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३४ औं वार्षिक प्रतिवेदन
आ. व. २०७६/७७ (FY 2019/2020)



उद्देश्य उत्कृष्टताको

३४ औं वार्षिक प्रतिवेदन आ. व. २०७६/७७ (FY 2019/2020)

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संचालक समिति



अध्यक्ष
श्रीपृथ्वीबहादुर पाँडे
संस्थापक समूह



संचालक
श्रीप्रजन्य राजभण्डारी
संस्थापक समूह



संचालक
श्रीसूर्यप्रकाशलाल श्रेष्ठ
संस्थापक समूह



संचालक
श्रीकविकुमार टिवरेवाला
संस्थापक समूह



संचालक
श्रीभुवनेश्वरप्रसाद शाह
सर्वसाधारणहरूको तर्फबाट



संचालक
श्रीमतीमञ्जु बस्नेत
स्वतन्त्र संचालक

लेखापरीक्षक
श्रीप्रभूराम भण्डारी, एफ.सि.ए.
निमित्तः जोशी एण्ड भण्डारी
चार्टर्ड एकाउण्टेण्टस्

३४ औं वार्षिक साधारण सभाको सूचना

यस बैंकको मिति २०७७/०९/१० मा बसेको संचालक समितिको ५४१ औं बैठकको निर्णय अनुसार यस बैंकको ३४ औं वार्षिक साधारण सभा निम्नलिखित मिति, समय तथा स्थानमा निम्न विषयहरु उपर छलफल तथा निर्णय गर्न भिडियो कन्फरेन्स (Virtual Zoom Meeting) मार्फत समेत सहभागी हुन सक्ने गरी बस्ने भएको हुँदा सम्पूर्ण शेयरधनीमहानुभावहरुको उपस्थितिका लागि अनुरोध गर्दछु ।

सभा हुने मिति, समय र स्थान :

मिति : २०७७ साल माघ महिना ०८ गते (२१ जनवरी २०२१) बिहीबार ।
समय : बिहान १०.०० बजे ।
स्थान : बैंकको केन्द्रिय कार्यालय, दरबारमार्ग, काठमाण्डौं ।

छलफलको विषय

क. सामान्य प्रस्ताव :

१. आर्थिक वर्ष २०७६/०७७ को संचालक समितिको प्रतिवेदन उपर छलफल गरी पारित गर्ने ।
२. लेखापरीक्षकको प्रतिवेदन सहितको आषाढ ३१, २०७७ मा समाप्त भएको वर्षको वासलात, तथा सोही मितिमा समाप्त भएको आ.व. २०७६/०७७ को नाफा नोक्सान हिसाब तथा नगद प्रवाह विवरण उपर छलफल गरी पारित गर्ने ।
३. यस बैंकको सहायक कम्पनी "एनआइबिएल एस क्यापिटल लि." को आ.व. २०७६/०७७ को वित्तीय विवरण सहितको एकीकृत (consolidated) वित्तीय विवरण स्वीकृत गर्ने ।
४. संचालक समितिबाट प्रस्ताव गरे बमोजिम प्रति शेयर ५.५० प्रतिशत नगद लाभांश वितरण गर्न स्वीकृत गर्ने ।
५. कम्पनी ऐन, २०६३ को दफा १११ तथा बैंक तथा वित्तीय संस्था सम्बन्धि ऐन, २०७३ को दफा ६३ अनुसार आर्थिक वर्ष २०७७/०७८ को लेखापरीक्षण गर्न लेखापरीक्षण समितिको सिफारिश मुताबिक लेखापरीक्षक नियुक्ति गर्ने र निजको पारिश्रमिक तथा नियुक्तिको शर्त तोक्ने । (वर्तमान लेखापरीक्षक जोशी एण्ड भण्डारी, चार्टड एकाउण्टेण्टसका श्री प्रभूराम भण्डारी पुन: नियुक्त हुन सक्नुहुनेछ)
६. सर्वसाधारण शेयरधनीहरुमध्येबाट संचालक समितिमा प्रतिनिधित्व गर्ने २ (दुई) जना सञ्चालकको निर्वाचन गर्ने ।

ख. विशेष प्रस्ताव

१. प्रबन्धपत्रको दफा ५(क) मा संशोधन गरी अधिकृत पूँजी वृद्धि गरी रु. १८ अर्ब पुऱ्याउने ।
२. संचालक समितिबाट प्रस्ताव गरे बमोजिम २०७७ आषाढ मसान्तमा कायम बैंकको चुक्ता पूँजीको १३ प्रतिशत बोनस शेयर जारी गर्ने र सो गर्दा बैंकको जारी पूँजी तथा चुक्ता पूँजी समेत वृद्धि हुने हुँदा सो को लागि प्रबन्धपत्रको दफा ५ (ख) र ५(ग) मा समेत संशोधन गरी जारी पूँजी तथा चुक्ता पूँजी समेत वृद्धि गर्ने (बोनस शेयर जारी गर्दा हुन आउने दशमलव पछीको अंक (fraction share) शेयरलाई नपुग रकम सम्बन्धित शेयरधनीबाट प्राप्त गरी एकमा परिणत गर्ने र सो गर्दा साविककै शेयर स्वामित्व (पूँजी प्रतिशत) कायम राख्ने गरी जारी पूँजी तथा चुक्ता पूँजी संशोधन गरी पेश गरिने ।)
३. यस बैंकले अन्य कुनै बैंक वा वित्तीय संस्था प्राप्ति (acquisition) गर्ने वा एकआपसमा गाभिने (merger) प्रयोजनको लागि उपयुक्त बैंक वा वित्तीय संस्थाको पहिचान र छनौट गर्ने, समझदारीपत्र (memorandum of understanding) मा हस्ताक्षर गर्ने, सोको आधारमा सैद्धान्तिक स्वीकृतिको लागि नेपाल राष्ट्र बैंक समक्ष निवेदन दिने, आवश्यकता अनुसार सम्पत्ति तथा दायित्वहरुको मूल्याङ्कन (due diligence audit) गर्न परामर्शदाता, मूल्याङ्कनकर्ता, तथा लेखापरीक्षकहरु नियुक्त गर्ने, निजहरुको पारिश्रमिक तोक्ने तथा प्राप्ति (acquisition) गर्ने वा एकआपसमा गाभिने (merger) सँग सम्बन्धित प्रचलित कानुन तथा निर्देशनहरु बमोजिम अपनाउनु पर्ने तथा गर्नुपर्ने सम्पूर्ण आवश्यक कार्य, प्रकृयाहरु पुरा गरी अख्तियार प्राप्त निकायबाट अन्तिम स्वीकृति लिने तथा सो सन्दर्भमा नियामक निकायहरुबाट निर्देश गरे बमोजिमका विवरण उपलब्ध गराउने लगायतका कार्य गर्न गराउन संचालक समितिलाई पूर्ण अख्तियारी दिने ।
४. विशेष प्रस्तावका संशोधनहरुबाट प्रबन्धपत्रमा भएका संशोधन उपर नियमनकारी निकाय वा कार्यालयबाट कुनै विषयमा थप संशोधन गर्न वा भाषिक संशोधन वा फेरबदल गर्न कुनै निर्देशन वा सुझाव दिएमा सो मुताबिक संशोधन गर्न संचालक समितिलाई पूर्ण अख्तियारी दिने ।

संशोधन गर्नुपर्ने विवरणहरु शेयरधनीमहानुभावहरुलाई सभा सम्बन्धी व्यक्तिगत सूचनाका साथ प्रेषित गरिएको छ ।

ग. विविध ।

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संचालक समितिको आज्ञाले
कम्पनी सचिव

सभा सम्बन्धी सामान्य जानकारी

१) बैंकको शेयरधनी दर्ता किताबमा नाम दर्ता भएका शेयरधनीहरुले आफै वा प्रतिनिधि मार्फत सभामा भाग लिन, छलफल गर्न र मतदान गर्न सक्नेछ । नाबालक शेयरधनीहरुको तर्फबाट नाबालकको संरक्षक वा निजले नियुक्त गरेको प्रतिनिधिले सभामा भाग लिन, छलफल गर्न र मतदान गर्न सक्नेछन् । शेयरधनीहरुको दर्ता किताबमा संरक्षकको रुपमा नाम लेखिएको व्यक्तिलाई मात्र संरक्षक मानिनेछ ।

२) हाल विश्वव्यापी महामारीको रुपमा कायम रहेको कोरोना भाइरस संक्रमणलाई ध्यानमा राखि यथासंभव् भिडियो कन्फरेन्स (Virtual Zoom Meeting) मार्फत सभामा भाग लिनुहुन वा कम भीडभाड हुने गरी प्रतिनिधि (प्रोक्सी) नियुक्त गरी प्रतिनिधि मार्फत सभामा भाग लिनुहुन तथा मतदान गरिदिनु हुन अनुरोध गर्दछौं । अनलाईन (भर्चुअल) माध्यमबाट सभामा उपस्थित भै आफनो मन्तव्य राख्न चाहनु हुने शेयरधनीमहानुभावहरुले सभा हुनुभन्दा कम्तीमा ७२ घण्टा अगावै बिहान १० बजे देखि दिनको ४ बजे भित्र niblagm@nibl.com.np मा इमेल गरी वा ९८४३३४६९८५ मा फोन गरी आफ्नो नाम र इमेल ठेगाना टिपाउनु पर्नेछ र त्यसरी सम्पर्क गर्नुहुने शेयरधनीमहानुभावहरुलाई सभामा मन्तव्य राख्न तथा मतदान गर्न Meeting Id र Password उपलब्ध गराइनेछ ।

३) संयूक्तरुपमा एकजना भन्दा बढी व्यक्तिको नाममा शेयर लिएकोमा त्यस्तो साझेदारहरुद्धारा मनोनित गरिएको साझेदारले वा निजहरुले मनोनित गरेको प्रतिनिधिले र सो बमोजिम कुनै साझेदार मनोनित हुन नसकेकोमा शेयरधनीहरुको दर्ता किताबमा जसको नाम पहिले उल्लेख भएको छ सोहि व्यक्तिले दिएको मत वा प्रतिनिधिपत्र मात्र सदर हुनेछ ।

४) सभामा भाग लिन, छलफल गर्न र मतदान गर्नको लागि प्रतिनिधि नियुक्त गर्न चाहने शेयरधनीले बैंकको अर्को कुनै शेयरधनीलाई मात्र प्रतिनिधि नियुक्त गर्न सक्नुहुनेछ ।

५) प्रतिनिधि नियुक्त हुने शेयरधनीले सभा सुरु हुनु भन्दा ७२ घण्टा अगावै प्रतिनिधिपत्र यस बैंकको शेयर रजिष्ट्रार एनआइबिएल एस क्यापिटल लि., लाजिम्पाट, काठमाण्डौंमा बुझाई सक्नुपर्नेछ ।

६) प्रतिनिधि नियुक्त गरी सोको लागि प्रतिनिधिपत्र यस बैंकको शेयर रजिष्ट्रार एनआइबिएल एस क्यापिटल लि., लाजिम्पाट, काठमाण्डौंमा बुझाई सकेपछि प्रतिनिधि बदर गरी अर्को प्रतिनिधि दिन चाहेमा सोको सूचना सभा सुरु हुन भन्दा ७२ घण्टा अगावै यस बैंकको शेयर रजिष्ट्रार एनआइबिएल एस क्यापिटल लि., लाजिम्पाट, काठमाण्डौंमा दिनुपर्नेछ । नयाँ प्रतिनिधिको हकमा दफा ४ र ५ बमोजिम हुनेछ ।

७) एकै शेयरधनीले एक भन्दा बढी प्रतिनिधि नियुक्त गरेको अवस्थामा दफा ६ बमोजिम बदर गरिएकोमा बाहेक त्यस्तो सबै प्रतिनिधि बदर हुनेछ ।

८) प्रतिनिधि नियुक्त गर्ने शेयरधनीले कुनै कारणवश त्यस्तो प्रतिनिधि बदर गरी आफै सभामा उपस्थित भई सभामा भाग लिन, छलफल गर्न र मतदान गर्न चाहेमा सोको लिखित सूचना सभा शुरु हुनु भन्दा ७२ घण्टा अगावै यस बैंकको शेयर रजिष्ट्रार एनआइबिएल एस क्यापिटल लि., लाजिम्पाट, काठमाण्डौंमा बुझाई सक्नुपर्नेछ ।

९) विविध शीर्षक अन्तर्गत प्रश्न गर्न चाहने शेयरधनीले आफूले प्रश्न गर्न चाहेको बिषय बारे सभा हुनुभन्दा ७ दिन अगावै बैंकको दरबारमार्ग, काठमाण्डौ स्थित केन्द्रीय कार्यालयमा जानकारी दिनुपर्नेछ । त्यसरी जानकारी नदिएको विषय उपर छलफल गर्न सकिने छैन ।

१०) संचालक निर्वाचन सम्बन्धि विस्तृत कार्यक्रम बैंकको दरबारमार्ग स्थित केन्द्रिय कार्यालयको सूचना पाटीमा सभा हुनुभन्दा १० दिन अगावै टाँस गरिनुका अलावा बैंकको वेवसाईटमा तथा राष्ट्रियस्तरको दैनिक पत्रिकामा समेत प्रकाशन गरिनेछ ।

११) संचालक पदको लागि उम्मेदवार हुन चाहने शेयरधनीले बैंकको सर्वसाधारण समूहको कम्तीमा ३० कित्ता शेयर लिएको र बैंक तथा वित्तीय संस्था सम्बन्धी ऐन, २०७३, कम्पनी ऐन, २०६३ तथा बैंकको साधारण सभा तथा संचालक निर्वाचन कार्यविधि सम्बन्धी निर्देशिका, २०७७ बमोजिम योग्य हुनुपर्नेछ ।

१२) मिति २०७७/०९/२२ गतेदेखि ३४ औं वार्षिक साधारणसभा नभएसम्म शेयर दाखिल खारेज दर्ता बन्द गरिनेछ । नेपाल स्टक एक्सचेञ्ज लिमिटेडमा २०७७/०९/२१ गतेसम्म कारोबार भई मिति २०७७/०९/२७ गते भित्र यस बैंकको शेयर रजिष्ट्रार एनआइबिएल एस क्यापिटल लि., लाजिम्पाट, काठमाण्डौंले प्राप्त गरेको नामसारीको लिखतका आधारमा शेयरधनी दर्ता किताबमा कायम शेयरधनीहरुले सभामा भाग लिन, छलफल गर्न र मतदान गर्न सक्नुहुनेछ ।

१३) आफ्नो परिचय पत्र सहित बैंकले जारी गरेको प्रवेश-पत्र वा शेयर प्रमाण पत्र वा बैंकको शेयर अभौतिकीकरण गरेको देखिने अभौतिकीकरण खाता (DEMAT Account) को विवरण (BOID Statement) प्रस्तुत गरेपछि मात्र सभामा भाग लिन पाईनेछ ।

१४) सभाको दिन सभा शुरु हुनुभन्दा पहिले नै उपस्थित भई दिनुहुन हार्दिक अनुरोध गर्दछु । साथै शेयरधनीमहानुभावहरुको सुविधाको लागि सभा हुने दिन बिहान ९:०० बजेदेखि हाजिर पुस्तिका खुल्ला रहने तथा सभा शुरु हुनुभन्दा अगावै ZOOM खुल्ला गरिनेछ ।

द्रष्टव्य: बैंकको वार्षिक प्रतिवेदन सम्पूर्ण शेयरधनीमहानुभावहरुलाई कुरियर मार्फत पठाईनेछ । कारणवश उक्त प्रतिवेदन प्राप्त हुन नसकेमा बैंकको दरबारमार्ग, काठमाण्डौस्थित केन्द्रीय कार्यालय तथा यस बैंकको शेयर रजिष्ट्रार एनआइबिएल एस क्यापिटल लि. लाजिम्पाट, काठमाण्डौंबाट प्राप्त गर्न सक्नुहुनेछ । साथै साधारणसभासँग सम्बन्धित वार्षिक प्रतिवेदन र छलफलका विषयहरु यस बैंकको वेवसाइट www.nibl.com.np मा पनि राखिएको हुँदा त्यहाँबाट समेत हेर्न सकिने व्यहोरा जानकारी गराउँदछौं ।

प्रोक्सी फाराम

श्रीसंचालक समिति,
नेपाल इन्भेष्टमेण्ट बैंक लि.
दरबारमार्ग, काठमाडौँ ।
पो.ब.नं. ३४१२

विषय: प्रतिनिधि (प्रोक्सी) नियुक्त गरेको बारे ।

..... जिल्ला ..... म.न.पा./उ.म.न.पा./न.पा./गाउँपालिका (साविक .....) वडा नं.....बस्ने म/हामी .... ले त्यस बैंकको शेयरधनीको हैसियतले मिति २०७७ साल माघ महिना ०८ गतेका दिन हुने ३४ औं वार्षिक साधारणसभामा म/हामी स्वयं उपस्थित भई छलफल तथा निर्णयमा सहभागी हुन नसक्ने भएकोले उक्त सभामा मेरो/हाम्रो तर्फबाट भाग लिन तथा मतदान गर्नको लागि ..... जिल्ला .... म.न.पा./उ.म.न.पा./न.पा./गाउँपालिका (साविक .....) वडा नं. ..... बस्ने त्यस बैंकका शेयरधनी श्री ..... लाई मेरो/हाम्रो प्रतिनिधि मनोनित गरी पठाएको छु/पठाएका छौं ।

प्रतिनिधि नियुक्त भएको व्यक्तिको
हस्ताक्षरको नमूना:

शेयर प्रमाणपत्र नं.:
हितग्राहि (डिम्याट) खाता नं.:
शेयरधनी (क्रम संख्या) नं.:
मिति:–

निवेदक,
दस्तखत: .....
नाम: .....
ठेगाना: .....
शेयरप्रमाण-पत्र नं.:.....
हितग्राहि (डिम्याट) खाता नं.:–
शेयरधनी (क्रम संख्या) नं.:–
शेयर संख्या:

(द्रष्टव्य: यो प्रतिनिधि (प्रोक्सी) फाराम सभा शुरु हुनुभन्दा ७२ घण्टा अगावै का.जि., का.म.न.पा., वडा नं. २, लाजिम्पाट स्थित यस बैंकको शेयर रजिष्ट्रार एनआइबिएल एस क्यापिटल लिमिटेडमा पेश गरिसक्नु पर्नेछ ।)

नेपाल इन्भेष्टमेण्ट बैंक लि.
NEPAL INVESTMENT BANK LTD.

प्रवेश-पत्र

शेयरधनीको नाम :.....
शेयरधनी (क्रम संख्या) नं. :.....
शेयर संख्या :.....
हितग्राहि (डिम्याट) खाता नं.:.....
शेयरधनीको सही :.....

आधिकारीक दस्तखत
(कम्पनी सचिव)

३४ औं वार्षिक साधारणसभामा उपस्थित हुन जारी गरिएको प्रवेश-पत्र ।

द्रष्टव्य:

१. शेयरधनी आफैंले खाली कोष्ठहरू भर्नुहोला ।
२. सभाकक्षमा प्रवेश गर्न यो प्रवेश-पत्र प्रस्तुत गर्नु अनिवार्य छ ।

चौंतिसौं वार्षिक साधारण सभामा
अध्यक्षज्यूद्वारा प्रस्तुत संचालक समितिको प्रतिवेदन

आदरणीय शेयरधनीमहानुभावहरु,

नेपाल इन्भेष्टमेण्ट बैंक लिमिटेड (एनआइबिएल) को चौंतिसौं वार्षिक साधारण सभामा शेयरधनी महानुभावहरुलाई स्वागत गर्न पाउँदा हामीलाई अत्यन्त खुसी लागेको छ ।

प्रस्तुत् प्रतिवेदन कम्पनी ऐन, २०६३ एवं अन्य नियमनकारी निकायहरुको निर्देशन अनुरुप रहेको जानकारी गराउन चाहन्छु ।

विगत तीन दशकभन्दा लामो समय देखि यहाँहरुबाट हामीलाई प्राप्त असीम विश्वास र आत्मीय सहयोगका लागि बैंक परिवार यहाँहरु प्रति हार्दिक आभारी छ । यस अवधिमा बैंकले व्यावसायिक उत्कृष्टता र ग्राहक सन्तुष्टिलाई उच्चस्तरमा कायम राख्न सफल भएको छ ।

सन् २०१९ डिसेम्बरबाट विश्वव्यापि रुपमा फैलिएको कोरोना महामारीले विश्वलगायत नेपालका सहित हरेक मानिसको दैनिक जीवनयापनमा नै प्रतिकुल असर परेको छ । यसले विश्वव्यापी रुपमा अल्पकालिन देखि दिर्घकालिन प्रभाव पर्ने देखिएको छ जसले गर्दा बैकिङ्ग क्षेत्रमा कर्जा, तरलता, सम्पत्तिको गुणस्तर, मुनाफा, व्यापार विस्तार आदिमा विभिन्न किसिमका जोखिम निम्त्याउने अवस्था सृजना भएको छ । यस स्थितिलाई मध्यनजर गर्दै महामारीको प्रभाव न्युनीकरण गर्न र आफ्ना ग्राहकवर्गहरुको व्यापार व्यवसाय संचालनमा आवश्यक सहयोग, सुविधा एवं सहुलियत प्रदान गर्न नेपाल सरकार तथा नेपाल राष्ट्र बैंकबाट जारी गरिएका नीति, निर्देशन तथा सुझावहरु पालना गर्दै आएको छौं । यस्तो कठिन स्थितिमा पनि बैंकले ग्राहकवर्गहरुको आवश्यकतालाई उच्च प्राथमिकतामा राखि निरन्तर गुणस्तरीय सेवा प्रदान गर्दै आएको छ ।

बैकिङ्ग क्षेत्रलाई थप मजबुत तथा एकिकृत गर्नको निम्ति नेपाल राष्ट्र बैंकले गाभ्ने वा प्राप्तीको माध्यमबाट बैंक तथा वित्तीय संस्था गच्छयाई कारोवार संचालन गर्न प्रोत्साहन गर्ने नीति लिएको छ । सोही नीतिलाई अनुसरण गर्दै यस बैंकले काठमाडौंको घण्टाघर, दरबारमार्ग स्थित सिटी एक्सप्रेस फाइनान्स कम्पनी लिमिटेडलाई प्राप्ती (acquisition) गर्न मिति २०७६ पौष २७ गते प्राप्ती सम्बन्धी सम्झौतामा हस्ताक्षर गरेको छ । नेपाल राष्ट्र बैंकले २०७६ चैत्र ३० गते दिएको सैद्धान्तिक सहमती पश्चात् दुवै संस्थाको मिति २०७७ अाश्वन २८ गते सम्पन्न विशेष साधारण सभाले शेयर स्वाप अनुपात (swap ratio) १:०.३० (सिटी एक्सप्रेस फाईनान्सको १ शेयर बापत यस बैंकको ०.३० शेयर) पारित गरी प्राप्ती सम्बन्धी कार्यलाई अनुमोदन गरेको छ । सम्बन्धित निकायको स्वीकृती पश्चात् निकट भविष्यमा एकिकृत कारोबार शुरु गरिनेछ ।

बैंकले ०.३० स्वाप अनुपात (swap ratio) मुताविक सिटी एक्सप्रेस फाइनान्स कम्पनी लिमिटेडको रु. ४० करोड चुक्ता पूँजीको बदलामा सिटी एक्सप्रेस फाइनान्स कम्पनी लिमिटेडका शेयरधनीहरुलाई रु. १२ करोड बराबरको NIBL को शेयर जारी गर्ने भएको छ । प्राप्ती पश्चात् यस बैंकको चुक्ता पूँजी रु. १४ अर्ब ३७ करोड पुग्ने छ ।

बैंकहरु ठुला र बलिया हुनु पर्छ भन्ने हाम्रो मान्यता रहेको छ । ठुला र बलिया बैंकहरुले मात्रै दिगो वृद्धि हासिल गर्न सक्ने र नयाँ कार्यक्षेत्रमा व्यवसाय तथा लगानी विस्तार गरि सेवाग्राहीहरुलाई नविनतम प्रविधी तथा न्युन लागत मार्फत प्रभावकारी बैंकिङ्ग सेवा प्रदान गर्दै आफ्ना सरोकारवालाहरुको लागि उचित मूल्य सृजना गर्न सक्ने विश्वास हामीले लिएका छौं । विगत केहि वर्ष देखि बैंकहरुको पूँजीमा प्रतिफल (Return on Equity) घट्दै गएको छ। केही वर्ष अगाडिसम्म २० प्रतिशतभन्दा माथि रहेको पूँजी प्रतिफल गत वर्ष १४/१५ प्रतिशतमा झरेको छ भने नेपाल राष्ट्र बैंकले यस आर्थिक वर्ष देखि लागु गरेको नयाँ व्याज अन्तर (Interest Spread) सम्बन्धी शुत्रको कार्यन्वयन पछि पूँजीमा प्रतिफल थप घटि ११/१२ प्रतिशतमा सीमित हुने देखिन्छ । यस्तो अवस्थामा पूँजीमा उचित प्रतिफलको लागि ठुलो आकारमा व्यापार विस्तार (Economies of Scale) को विकल्प देखिदैन । साथै प्रविधीमा आइरहेको व्यापक परिवर्तन तथा फिनटेक (Fin-tech) कम्पनीहरुको उदयसंगै परम्परागत बैकिङ्ग व्यवसायको भविष्य नै चुनौतीपुर्ण भएको छ । साथै नेपाल राष्ट्र बैंकले पनि बैंकहरुको संख्या घटाउन बिग मर्जर (Big Merger) को नीतिलाई जोडतोडले अगाडि बढाइरहेको छ । यस स्थितीलाई मध्यनजर गर्दै हाम्रो बैंकले उपयुक्त बैंक तथा वित्तीय संस्थासंग बिग मर्जर को लागि तयारी सुरु गरेको छ ।

अब म यहाँहरु समक्ष आर्थिक वर्ष २०७६/७७ को बैंकका गतिविधिहरु, वासलात तथा नाफा नोक्सान हिसाब सहितका अन्य वित्तीय विवरण प्रस्तुत गर्दछु ।

१. विगत वर्ष (आर्थिक वर्ष २०७६/७७) को बैंकको कारोवारको सिंहावलोकनः

आ.व. २०७६/७७ बैंकको लागि चुनौतीपुर्ण रह्यो । समिक्षा वर्षको अन्तिम चौमासबाट सुरु भएको कोरोना महामारीले देशको आर्थिक गतिविधिमा हालसम्म कहिल्यै नदेखिएको नकारात्मक असर पारेको छ जसको प्रभाव बैकिङ्ग क्षेत्रमा अल्पकालिन देखि दिर्घकालिन अवधिसम्म रहने छ। कोरोना महामारीको असरलाई न्यूनीकरण गर्न सरकारले जारी गरेको लकडाउनले उद्योग व्यवसाय, पर्यटन, आयात–निर्यात, निर्माण व्यवसाय लगायतका सम्पुर्ण आर्थिक गतिविधि ठप्प भई व्यवसाय विस्तार तथा लगानीमा अवरोध पुर्याएको छ । फलस्वरुप बैंकमा अधिक तरलता सृजना भई आम्दानीमा ह्रास आएको छ । बैंकको खुद व्याज आम्दानी गत वर्षको रु. ६ अर्ब १७ करोडबाट रु ३९ करोड अर्थात् ६.४१ प्रतिशतले घटेर रु. ५ अर्ब ७७ करोड भएको छ। साथै नेपाल राष्ट्र बैंकले कोरोना महामारीले पिडित ऋणीहरुलाई राहत प्रदान गर्न चौथौं त्रैमासको व्याजदरमा २ प्रतिशत घटाउन निर्देशन जारी गरेको थियो जसअनुसार यस बैंकले ऋणीलाई रु. ५५ करोड व्याज छुट प्रदान गरेको छ ।

शुःल्क तथा कमिशन आम्दानीमा संतोषजनक वृद्धि भएको छ । अघिल्लो आर्थिक वर्षमा रु. १ अर्व १० करोड रहेको खुद शुःल्क तथा कमिशन आम्दानी यस आ.व.मा रु.९ करोड अर्थात् ८.५२ प्रतिशतले वृद्धि भई रु. १ अर्व १९ करोड पुगेको छ । विदेशी मुद्रा सटही कारोबार आम्दानी (Net Trading Gain) भने रु. १ करोड ८९ लाख अर्थात् २.१३ प्रतिशतले घटेर रु. ८७ करोड १८ लाख पुगेको छ । अघिल्लो आर्थिक वर्षमा यो आम्दानी रु. ८९ करोड ८ लाख थियो । अन्य सञ्चालन आम्दानी रु.४ करोड ९७ लाख अर्थात् २७.६१ प्रतिशतले बढेर रु. २३ करोड १ लाख पुगेको छ । अघिल्लो आर्थिक वर्षमा यो आम्दानी रु. १८ करोड ३ लाख थियो ।

कोरोना महामारीले भविष्यमा निम्त्याउन सक्ने जोखिमलाई मध्यनजर गर्दै बैंकले जोखिम न्युनीकरण गर्न कर्जा नोक्सानी व्यवस्थामा ठूलो रकम छुट्टचाएको छ । सो बापत् बैंकले कर्जा नोक्सानी व्यवस्थाका लागि खुद रु. १ अर्ब ९९ करोड छुट्टचाएको छ । अवस्था सहजीकरण भएसंगै कर्जा नोक्सानी व्यवस्थामा रहेको रकम फिर्ता गर्न हामी विशेष ध्यान दिने छौं ।

कोरोना महामारीले नाफामा प्रतिकुल असर परेकोले समीक्षा अवधिमा कर्मचारीको तलबमा बार्षिक वृद्धि गरिएन । जस कारणले कर्मचारी खर्च रु. १० करोड ३२ लाख अर्थात् ६.६८ प्रतिशतले घटेर रु. १ अर्व ४४ करोड पुगेको छ । गत वर्ष कर्मचारी खर्च रु. १ अर्व ५४ करोड रहेको थियो । त्यसै गरी खर्चमा मितव्यइता अपनाइएको कारण सञ्चालन खर्च (ह्रास कट्टि सहित) रु. १ अर्ब १२ करोड कायम भएको छ । अतः समग्रमा बैंकको खुद मुनाफा रु. ९० करोड ९ लाख अर्थात् २७.१० प्रतिशतले घटेर रु. २ अर्ब ४२ करोडमा सिमित भएको छ । गत वर्ष बैंकको खुद मुनाफा रु ३ अर्ब ३२ करोड रहेको थियो ।

वासलाततर्फ समीक्षा आर्थिक वर्षमा बैंकको कूल सम्पत्ति रु. १७ अर्ब १८ करोड अर्थात् ९.२५ प्रतिशतले वृद्धि भई रु. २ खर्व ३ अर्व पुगेको छ । अघिल्लो वर्ष कूल सम्पत्ति रु.१ खर्व ८५ अर्व थियो । त्यस्तैगरी, बैंकको कूल निक्षेप र कूल कर्जा क्रमशः १०.९३ प्रतिशत र १०.१२ प्रतिशतले वृद्धि हुँदै रु. १ खर्ब ६८ अर्ब र रु. १ खर्ब ४० अर्ब कायम भएको छ भने कूल लगानी ५२.८५ प्रतिशतले वृद्धि भई रु. २६ अर्ब ३३ करोड कायम भएको छ ।

समीक्षा आर्थिक वर्षमा बैंकको निष्क्रिय कर्जा (NPA) २.९१ प्रतिशत रहेको छ । आउँदा वर्षहरुमा निष्क्रिय कर्जालाई घटाएर न्यूनतम् स्तरमा लैजान हामी निरन्तर प्रयासरत रहनेछौं ।

बैंकको पूँजी पर्याप्तता अनुपात सन्तोषजनक स्तरमा कायम रहेको छ । बासल तीन (Basel III) अनुसार न्यूनतम प्राथमिक पूँजी (Tier I) ६.० प्रतिशत आवश्यक भएपनि हाल सो अनुपात ११.७७ प्रतिशत कायम रहेको छ । त्यस्तैगरी, कूल पूँजी कोष अनुपात न्यूनतम ११.० प्रतिशत तोकिएकोमा बैंकको कूल पूँजी कोष १३.५४ प्रतिशत रहेको छ ।

त्यसैगरी बैंकको कर्जा निक्षेप अनुपात (स्वदेशी निक्षेप तथा पूँजी) पनि सहजस्तरमा नै कायम रहेको छ । नेपाल राष्ट्र बैंकको निर्देशानुसार कर्जा निक्षेप अनुपात (स्वदेशी निक्षेप तथा पूँजी) ८० प्रतिशत भन्दा बढी नहुने गरी कायम गर्नुपर्ने व्यवस्था भएकोमा बैंकको यो अनुपात ७२.९३ प्रतिशतमा कायम रहेको छ ।

खुद मुनाफामा ह्रास आएको कारण बैंकको चुक्ता पूँजीमा प्राप्त प्रतिफल र शेयरधनी कोषमा प्राप्त प्रतिफल पनि घट्न गएको छ । समीक्षा अवधिमा चुक्ता पूँजीमा प्राप्त प्रतिफल १७.०३ प्रतिशत रहेको छ भने शेयरधनी कोषमा प्राप्त प्रतिफल ८.९२ प्रतिशत रहेको छ । त्यस्तैगरी समीक्षा वर्षमा निक्षेप र कर्जामा हाम्रो बजार हिस्सा क्रमशः ४.८५ प्रतिशत र ४.८६ प्रतिशत रहेको छ ।

समीक्षा अवधिमा बैंकले हासिल गरेको कार्यसम्पादनको झलक तल उल्लेख गरिए अनुसार छ :

रु. दश लाखमा

क्र.स	विवरण	आर्थिक वर्ष २०७५/७६	आर्थिक वर्ष २०७६/७७	बृद्धि घटी रकम	बृद्धि घटी प्रतिशत
१	कूल सम्पत्ति	१,८५,८४२	२,०३,०२४	१७,१८२	९.२५%
२	कूल निक्षेप	१,५२,१८३	१,६८,८२४	१६,६४१	१०.९३%
३	कूल कर्जा-सापट	१,२७,१४१	१,४०,००२	१२,८६१	१०.१२%
४	कूल लगानी	१७,२२७	२६,३३२	९,१०५	५२.८५%
५	कूल संचालन मुनाफा (कर्जा नोक्सानी व्यवस्था अघि)	५,७३०	५,५१२	-२१८	-३.८०%
६	खूद मुनाफा	३,३२४	२,४२३	-९०१	-२७.१०%
७	निष्क्रिय कर्जा (NPA) (प्रतिशतमा)	२.७८%	२.९१%	-	०.१३%
८	पूँजी पर्याप्तता अनुपात (प्रतिशतमा)	१३.२६%	१३.५४%	-	०.२८%
९	कर्जा निक्षेप अनुपात	७१.९७%	७२.९३%	-	०.९६%
१०	चुक्ता पूँजीमा प्राप्त प्रतिफल (प्रतिशतमा)	२५.८३%	१७.०३%	-	-८.८०%
११	शेयरधनी कोषमा प्राप्त प्रतिफल (प्रतिशतमा)	१३.००%	८.९२%	-	-४.०८%
१२	कूल ग्राहक संख्या (अंकमा)	१०,०९,४६३	१०,९१,२४८	८१,७८५	८.१०%
१३	निक्षेपमा बजार अंश (प्रतिशतमा)	५.२३%	४.८५%	-	-०.३८%
१४	कर्जामा बजार अंश (प्रतिशतमा)	५.१३%	४.८६%	-	-०.२७%

२. राष्ट्रिय तथा अन्तराष्ट्रिय परिस्थितिबाट कम्पनीको कारोबारलाई कुनै असर परेको भए सो असरः

सन् २०२० मा कोभिड-१९ संक्रमण नियन्त्रण तथा रोकथामका लागि विश्वव्यापी रुपमा अवलम्बन गरिएका उपायहरुबाट उत्पादनदेखि आपूर्तिसम्मका श्रृंखला अवरुद्ध भई विश्व अर्थतन्त्र संकुचनमा गएको छ। अन्तर्राष्ट्रिय मुद्राकोषले जुन २०२० मा अद्यावधिक गरेको (World Economic Outlook) अनुसार सन् २०२० मा विश्व अर्थतन्त्र ४.९ प्रतिशतले संकुचन हुने प्रक्षेपण गरेको छ ।

विकसित मुलुकहरुको अर्थतन्त्र सन् २०१९ मा १.७ प्रतिशतले विस्तार भएकोमा सन् २०२० मा ८ प्रतिशतले संकुचन हुने अन्तर्राष्ट्रिय मुद्राकोषको प्रक्षेपण छ । उदीयमान तथा विकासशील अर्थतन्त्र

सन् २०१९ मा ३.७ प्रतिशतले वृद्धि भएकोमा सन् २०२० मा ३ प्रतिशतले संकुचन हुने प्रक्षेपण छ ।

एशियाली अर्थतन्त्र सन् २०२० मा १.६ प्रतिशतले संकुचन हुने अन्तर्राष्ट्रिय मुद्राकोषको प्रक्षेपण छ । यसमध्ये भारतको अर्थतन्त्र ४.५ प्रतिशतले संकुचन हुने र चीनको अर्थतन्त्र १ प्रतिशतले विस्तार हुने प्रक्षेपण छ । नेपालको आर्थिक वृद्धि भने १ प्रतिशतमा सीमित हुने अन्तर्राष्ट्रिय मुद्राकोषको प्रक्षेपण छ ।

कोभिड-१९ का कारण समष्टिगत मागमा संकुचन आउनुका साथै पेट्रोलियम पदार्थको मूल्यमा समेत गिरावट आएकोले मुद्रास्फीति केही न्यून रहेको छ । अन्तर्राष्ट्रिय मुद्राकोषले विकसित अर्थतन्त्रहरुमा सन् २०१९ मा १.४ प्रतिशत मुद्रास्फीति रहेकोमा सन् २०२० मा ०.३ प्रतिशत हुने प्रक्षेपण गरेको छ । उदीयमान तथा विकासशील अर्थतन्त्रहरुमा उपभोक्ता मुद्रास्फीति सन् २०१९ को ५.१ प्रतिशतको तुलनामा सन् २०२० मा ४.४ प्रतिशत रहने प्रक्षेपण छ ।

विश्व अर्थतन्त्रमा देखिएका चुनौतीहरु सामना गर्न अधिकांश मुलुकहरुले विस्तारकारी मौद्रिक एवम् वित्त नीति अवलम्बन गरेका छन् । कोभिड-१९ संकटबाट सिर्जित अनिश्चितताका वाबजुद धेरै मुलुकहरुले आर्थिक क्रियाकलाप सहज बनाउन बन्दाबन्दी लगायतका व्यवस्थाहरु क्रमशः खुकुलो बनाउँदै लगेका छन् ।

केन्द्रिय तथ्याङ्क विभागका अनुसार आर्थिक वर्ष २०७६/७७ मा २.२८ प्रतिशत आर्थिक वृद्धि भएको अनुमान छ । कृषि क्षेत्रको वृद्धि २.५९ प्रतिशत, उद्योग क्षेत्रको ३.२३ प्रतिशत तथा सेवा क्षेत्रको वृद्धि १.९९ प्रतिशत रहेको अनुमान छ ।
आर्थिक वर्ष २०७६/७७ मा वार्षिक औसत उपभोक्ता मुद्रास्फीति ६.१५ प्रतिशत रहेको छ । अघिल्लो आर्थिक वर्ष यस्तो मुद्रास्फीति ४.६४ प्रतिशत रहेको थियो ।

आर्थिक वर्ष २०७६/७७ मा कुल वस्तु निर्यात ०.६ प्रतिशतले वृद्धि भई रु.९७ अर्ब ७१ करोड पुगेको छ । अघिल्लो वर्षको तुलनामा यस्तो निर्यात १९.४ प्रतिशतले वृद्धि भएको थियो । गन्तव्यका आधार मा भारततर्फ ११.८ प्रतिशतले निर्यात वृद्धि भएको छ भने चीन तथा अन्य मुलुकतर्फ क्रमशः ४३.५ प्रतिशत र १८.२ प्रतिशतले घटेको छ ।

आर्थिक वर्ष २०७६/७७ मा विप्रेषण आप्रवाहमा ०.५ प्रतिशतले कमी आई रु.८७५ अर्ब ३ करोड कायम भएको छ । अघिल्लो वर्ष विप्रेषण आप्रवाह १६.५ प्रतिशतले बढेको थियो । अमेरिकी डलरमा विप्रेषण आप्रवाह ३.३ प्रतिशतले घटेको छ । अघिल्लो वर्ष यस्तो आप्रवाह ७.८ प्रतिशतले बढेको थियो ।

२०७६ असार मसान्तमा रु. १०३८ अर्ब ९२ करोड बराबर रहेको कुल विदेशी विनिमय सञ्चिति ३४.९ प्रतिशतले वृद्धि भई २०७७ असार मसान्तमा रु. १४०१ अर्ब ८४ करोड पुगेको छ । अमेरिकी डलरमा यस्तो सञ्चिति २०७६ असार मसान्तमा ९ अर्ब ५० करोड रहेकोमा २०७७ असार मसान्तमा ११ अर्ब ६५ करोड पुगेको छ ।

समीक्षा वर्षमा बैंक तथा वित्तीय संस्थाहरुबाट निजी क्षेत्रमा प्रवाहित कर्जा १२ प्रतिशतले बढेको छ । अघिल्लो वर्ष यस्तो कर्जा १९.४ प्रतिशतले बढेको थियो । समीक्षा वर्षमा बैंक तथा वित्तीय संस्थाहरूको निक्षेप १८.७ प्रतिशतले बढेको छ । अघिल्लो वर्ष यस्तो निक्षेप १८ प्रतिशतले बढेको थियो । २०७७ असारमा बैंक तथा वित्तीय संस्थाहरूको कुल निक्षेपमा चल्ती, बचत र मुद्दतीको अंश क्रमशः १० प्रतिशत, ३१.९ प्रतिशत र ४८.६ प्रतिशत रहेको छ । अघिल्लो वर्ष यस्तो अंश क्रमशः ९.७ प्रतिशत, ३२.८ प्रतिशत र ४६.३ प्रतिशत रहेको थियो ।

२०७६ असारमा ९१-दिने ट्रेजरी विलको भारित औसत ब्याजदर ४.९७ प्रतिशत रहेकोमा २०७७ असार मा १.२७ प्रतिशत कायम भएको छ । वाणिज्य बैंकहरुबीचको अन्तर-बैंक कारोबारको भारित औसत ब्याजदर २०७६ असारको ४.५२ प्रतिशतको तुलनामा २०७७ असारमा ०.३५ प्रतिशत कायम भएको छ ।

वाणिज्य बैंकहरुको औसत आधार दर २०७६ असारमा ९.५७ प्रतिशत रहेकोमा २०७७ असारमा ८.५० प्रतिशत कायम भएको छ । २०७७ असारमा वाणिज्य बैंकहरुको निक्षेपको औसत ब्याजदर ६.०१ प्रतिशत र कर्जाको औसत ब्याजदर १०.११ प्रतिशत रहेको छ । २०७६ असारमा यी ब्याजदर दरहरु क्रमशः ६.६० प्रतिशत र १२.१३ प्रतिशत रहेका थिए ।

३. प्रतिवेदन तयार भएको मितिसम्म चालु वर्ष (आर्थिक वर्ष २०७६/७७) को उपलब्धि र भविष्यमा गर्नुपर्ने कुराहरुका विषयमा संचालक समितिको धारणा :

२०७७ मङ्सिर मसान्त सम्ममा बैंकले रु. १ खर्ब ६८ अर्ब निक्षेप संकलन गरी रु १ खर्ब ४५ अर्ब कर्जा लगानी गरेको छ । भविष्यमा गर्नुपर्ने कामका विषयमा यसै प्रतिवेदनको बूँदा नं. २५ को 'ख' मा चर्चा गरिएको छ ।

४. कम्पनीको औद्योगिक वा व्यावसायिक सम्बन्धः

समीक्षा अवधिमा बैंकले आफ्ना सबै सरोकारवालाहरुसँग सौहार्दपूर्ण र व्यावसायिक सम्बन्ध विस्तार गरेको छ । पारदर्शिता र व्यावसायिकताका आधारमा स्थापित भएका यस्ता सम्बन्धहरु फलदायी हुने र बैंकको भावी प्रगति र सफलताका लागि पनि उपयुक्त माध्यम हुने विश्वास हामीले लिएका छौं । बैंकले श्रम सम्बन्धि लगायत सबै सम्बद्ध कानूनको पालना गर्ने गरेको छ ।

५. संचालक समितिमा भएको हेरफेर र सो को कारणः

यस बैंकमा सर्वसाधारण शेयरधनीहरुमध्येबाट संचालक रहनुभएका श्री निरञ्जनलाल श्रेष्ठको मिति २०७७ भाद्र ५ मा असामयिक निधन भएकोमा बैंक उहांको परिवार प्रति गहिरो समवेदना प्रकट गर्दै उहाँको आत्माको चीरशान्तीको कामना गर्दछ । उहाँले आफ्नो कार्यकालमा यस बैंकलाई पुऱ्याउनु भएको अमूल्य योगदान प्रति बैंक सधैं नै आभारी रहनेछ । उहाँको मृत्यु पश्चात् सो पद रिक्त भएको तथा ४ वर्ष पदावधि पुरा हुने कारणले समेत गर्दा सर्वसाधारण शेयरधनीहरुमध्येबाट हुने २ जना

संचालकको निर्वाचन पनि यसै सभाबाट हुने कार्यक्रम राखिएको छ । समीक्षा आर्थिक वर्षमा बैंकको स्वतन्त्र संचालकको रुपमा श्रीमती मञ्जु बस्नेत २०७६ पौष २२ मा नियुक्त हुनुभएको छ ।

६. कारोबारलाई असर पार्ने मुख्य कुराहरु :

बैंकको कारोबारलाई असर पार्ने मूख्य कुराहरु तल उल्लेख गरिएअनुसार रहेका छन्:

- ❖ कोरोना महामारीले निम्त्याएको प्रतिकुल अवस्थाका कारण सम्पत्तिको गुणस्तरमा ह्रास आउन सक्ने जोखिम ।
- ❖ कोरोना महामारीले उद्योग व्यवसायमा पुर्याएको अवरोधले कर्जाको मागमा कमि आई कर्जा विस्तार मा चुनौती ।
- ❖ बैंकहरु बिच कर्जा तथा निक्षेप व्यवसाय विस्तारमा अस्वस्थ प्रतिस्पर्धा तथा होडबाजी ।
- ❖ बैंकबाट प्रदान गरिने कर्जा तथा गैह्र-कोषीय सेवाहरु उपलब्ध गराउँदा हुनसक्ने संभावित जोखिमहरु ।
- ❖ समग्र बैंकिङ्ग क्षेत्रमा छोटो समयमा हुने तरलता अवस्थाको उतार चढाव र सोको कारण सम्पत्ति र दायित्व तथा निक्षेप र कर्जाको ब्याजदर व्यवस्थापनमा उत्पन्न हुने चुनौतीहरु ।
- ❖ विदेशी विनिमय कारोवार गर्दा विनिमय दरमा हुने परिवर्तनबाट हुन सक्ने संभावित जोखिमहरु ।
- ❖ राष्ट्रको आर्थिक, मौद्रिक तथा वित्तीय नीति परिवर्तनबाट हुन सक्ने संभावित जोखिमहरु ।
- ❖ अन्तर्राष्ट्रिय आर्थिक तथा वित्तीय क्षेत्रमा हुने उतार चढावको कारणबाट नेपाली बजारमा पर्नसक्ने असरबाट हुन सक्ने जोखिमहरु ।
- ❖ आम्दानीको स्रोत साँघुरिएको बेला पूँजी सम्बन्धी मापदण्ड कायम गरी लगानीकर्तालाई निरन्तर सन्तोषजनक प्रतिफल प्रदान गरिरहने सम्बन्धी चुनौती ।
- ❖ वैकल्पिक लगानी क्षेत्रको अभाव ।
- ❖ राजनीतिक अस्थिरता ।

७. लेखापरीक्षण प्रतिवेदनमा कुनै कैफियत उल्लेख भएको भए सो उपर संचालक समितिको प्रतिकिया:

नियमित कारोबारका क्रममा भएका सामान्य कैफियत बाहेक लेखापरीक्षण प्रतिवेदनमा अरु कुनै नकारात्मक कुरा देखिएको छैन । लेखापरीक्षकहरुबाट प्राप्त प्रतिक्रिया र सुझावका सम्बन्धमा संचालक समितिको ध्यानाकर्षण भएको छ । उनीहरुले सुझाएका सुधारका लागि आवश्यक कदम पनि चालिएको छ ।

८. लाभांश बाँडफाँड गर्न सिफारिस गरिएको रकम:

बैंकको संचालक समितिको ५४० औं बैठकले बैंकको मुनाफाबाट चुक्ता पूँजीमा ५.५० प्रतिशत नगद लाभांश रु. ७८३,६९२,४९८ तथा १३.०० प्रतिशत बोनस शेयर रु. १,८५२,३६४,०८५ वितरण गर्ने प्रस्ताव गरेको छ ।

९. शेयर जफत भएको भए जफत भएको शेयर संख्या, त्यस्तो शेयरको अंकित मूल्य, त्यस्तो शेयर जफत हुनुभन्दा अगावै सो बापत कम्पनीले प्राप्त गरेको जम्मा रकम र त्यस्तो शेयर जफत भएपछि सो शेयर बिक्री गरी कम्पनीले प्राप्त गरेको रकम तथा जफत भएको शेयरबापत रकम फिर्ता गरेको भए सो को विवरणः

समीक्षा वर्षमा कुनै पनि शेयर जफत गरिएको छैन ।

१०. विगत आर्थिक वर्षमा कम्पनी र यसको सहायक कम्पनीको कारोबारको प्रगति र सो आर्थिक वर्षको अन्त्यमा रहेको स्थितिको पुनरावलोकनः

समीक्षा वर्षमा यस कम्पनीको सहायक कम्पनीले सामूहिक लगानी कोष नियमावली, २०६७ अन्तर्गत देशकै पहिलो "एनआईबिएल सहभागिता फण्ड" नामक खुलामुखी योजना सहित ३ वटा योजनाहरु सञ्चालन गरिरहेको छ । उक्त कम्पनीबाट उपलब्ध गराइने मर्चेन्ट बैंकिङ्ग अन्तर्गतका सेवाहरुलाई सुलभ एवं सहज बनाउन विगत बर्षहरुमा जस्तै उपत्यका भित्र केन्द्रीय कार्यालय लाजिम्पाट सहित पुतलिसडक र लगनखेल तथा उपत्यका बाहिर पोखरा, बुटवल, बीरगञ्ज र बिराटनगरमा रहेको शाखाहरुबाट सेवा पुऱ्याउने कार्यलाई निरन्तरता दिदै आएको छ ।

समीक्षा अवधिमा उक्त कम्पनीले ४१ वटा कम्पनीहरुको शेयर रजिष्ट्रेशन सेवा सम्बन्धि कार्य गरिरहेको छ र लगानी व्यवस्थापन सेवा अन्तर्गत ग्राहक संख्या २२७ तथा लगानी व्यवस्थापन रकम रु. ५९.०३ करोड पुऱ्याउन सफल रहेको छ । आ.व.२०७६/०७७ सम्ममा एनआईबिएल एस क्यापिटल लिमिटेडले लगानी व्यवस्थापन अन्तर्गतका सेवाहरु प्रदान गर्दै आफ्ना सेवाग्राहीहरुलाई उचित प्रतिफल दिन सफल भएको छ। कम्पनीले यस बैंकको सम्पूर्ण शाखा कार्यालयहरु लगायत एनआईबिएल एस क्यापिटल लिमिटेडबाट देशभर निक्षेप सदस्य सम्बन्धी सेवा प्रदान गर्दै कूल १,८३,६८८ खाता खोलेको छ ।

एनआईबिएल म्युचुअल फण्ड अन्तर्गतको एनआईबिएल समृद्धि फण्ड–१ को योजना व्यवस्थापक रही एनआईबिएल एस क्यापिटल लि. ले रु. १ अर्बको कोष संचालन गरी यस आ.व.को अन्तमा प्रति इकाई खुद सम्पत्ति मूल्य रु ११.६१ कायम रहेको छ। जसमध्ये ईकाइधनीहरुलाई १२ प्रतिशत लाभांश वितरण गरेको छ ।

त्यसैगरि एनआईबिएल प्रगति फण्ड को योजना व्यवस्थापक रही एनआईबिएल एस क्यापिटल लिमिटेड लि. ले रु. ७५ करोडको कोष संचालन गरी यस आ.ब. को अन्तमा प्रति इकाई खुद सम्पत्ति मूल्य रु. ९.८६ कायम रहेको छ ।

साथै एनआईबिएल म्युचुअल फण्ड अन्तर्गतको "एनआईबिएल सहभागिता फण्ड" को योजना व्यवस्थापक रही एनआईबिएल एस क्यापिटल लि. ले रु. २० करोडको कोष संचालन गरी यस आ.व. को अन्तमा प्रति इकाई खुद सम्पत्ति मूल्य रु. ११.०७ कायम रहेको छ । जसमध्ये ईकाइधनीहरुलाई ८.२५ प्रतिशत लाभांश वितरण गरेको छ ।

गत वर्ष एनआईबिएल एस क्यापिटल लि. ले ६ करोड २ लाख खूद नाफा कमाएको थियो भने यस आर्थिक वर्ष २०७६/७७ मा कम्पनीको नाफामा बृद्धि भई रु. ६ करोड ३ लाख भएको छ । कम्पनीले आर्थिक वर्ष २०७६/७७ को लागि यस बैंकलाई चुक्ता पूँजीमा २२.२२ प्रतिशत नगद लाभांश (रु. छ करोड) वितरण गरेको छ ।

११ कम्पनी तथा त्यसको सहायक कम्पनीले आर्थिक वर्षमा सम्पन्न गरेको प्रमुख कारोबार र सो अवधिमा कम्पनीको कारोबारमा आएको कुनै महत्वपूर्ण परिवर्तनः

२०७७ असारको अन्त्यमा एनआईबीएल एस क्यापिटल लिमिटेडको नेपाल इन्भेष्टमेण्ट बैंकका विभिन्न खातामा रु. २ करोड ३० लाख निक्षेप रहेको थियो । सोही अवधिमा बैंकले कम्पनीलाई रु. १७ लाख ब्याज भुक्तानी गरेको थियो ।

बैंकका एकजना कर्मचारीलाई एनआइबीएल एस क्यापिटल लिमिटेडको प्रमुख कार्यकारी अधिकृतको रुपमा नियुक्त गरिएको छ । समीक्षा वर्षमा कम्पनीले निजलाई पारिश्रमिकको रुपमा मासिक रु. १ लाख २० हजार भुक्तानी गर्ने गरेको छ ।

बैंकले एनआइबिएल एस क्यापिटल लिमिटेडलाई व्यवस्थापकीय सेवाका साथसाथै अन्य आवश्यक सहयोग उपलब्ध गराउन कम्पनीसँग सेवास्तरीयता सम्झौता (Service level agreement) गरेको छ । यस सेवा बापत बैंकले कम्पनीबाट वार्षिक रु. ६ लाख प्राप्त गर्ने गरेको छ ।

बैंकले एनआइबिएल एस क्यापिटल लिमिटेडलाई आफनो शेयर रजिष्ट्रारको रुपमा नियुक्त गरेको छ । यस सेवाको लागि बैंकले कम्पनीलाई वार्षिक रु. ५ लाख शुःल्क भुक्तानी गर्ने गरेको छ । शेयर रजिष्ट्रार सेवा सम्बन्धी कार्यमा सहयोग गर्नका लागि यस बैंकका एकजना कर्मचारीलाई उक्त कम्पनीमा नियुक्त गरिएको छ । सो कर्मचारीको तलब तथा भत्ता उक्त कम्पनीले बैंकलाई शोधभर्ना गर्ने गरेको छ ।

बैंकले एनआईबीएल म्यूचुअल फण्ड अन्तर्गतको क्रमशः एनआईबीएल समृद्धि कोष १ मा बिज पूँजीको रुपमा रु. १४ करोड, एनआईबीएल प्रगति कोषमा रु. १० करोड २५ लाख र एनआईबिएल सहभागिता कोषमा रु. ६ करोड ५० लाख लगानी गरेको छ ।

बैंकले एनआइबिएल एस क्यापिटल लिमिटेडबाट रु. ५ करोड १३ लाख लाभांश स्वरुप प्राप्त गरेको छ । बैंक र एनआइबिएल एस क्यापिटल लिमिटेड बीचको कारोबार असम्बद्ध पक्षबीचको कारोबार (Arm's length transaction) को रुपमा गर्ने गरिएको छ ।

बैंकले कार्ड व्यवसाय तथा मोबाईल बैंकिङ्ग कारोवार विस्तारका लागि (Flexiterm Pvt. Ltd.) तथा (M Nepal Ltd.) मा क्रमशः रु. ८२.८८ लाख र रु. ४ करोड ८९ लाख बराबरको शेयर लगानी गरेको छ। यसै गरी बैंकले लघुवित्त कारोवार गर्नको निम्ति नेशनल माईक्रोफाइनान्स कम्पनी लिमिटेडमा रु. २ करोड ५१ लाख बराबरका शेयर पूँजी लगानी गरेको छ ।

१२. विगत आर्थिक वर्षमा कम्पनीको आधारभूत शेयरधनीहरुले कम्पनीलाई उपलब्ध गराएको जानकारी:

केही नभएको ।

१३. विगत आर्थिक बर्षमा कम्पनीका संचालक तथा पदाधिकारीहरुले लिएको शेयरको स्वामित्वको विवरण र कम्पनीको शेयर कारोबारमा निजहरु संलग्न रहेको भए सो सम्बन्धमा निजहरुबाट कम्पनीले प्राप्त गरेको जानकारी :

केही नभएको ।

१४. विगत आर्थिक वर्षमा कम्पनी सँग सम्बन्धित सम्झौताहरुमा कुनै संचालक तथा निजको नजिकको नातेदारको व्यक्तिगत स्वार्थको बारेमा उपलब्ध गराइएको जानकारीको व्यहोरा :

यस प्रकारको कुनै सम्झौता नभएको ।

१५. कम्पनीले आफ्नो शेयर आफै खरिद गरेको भए त्यसरी आफ्नो शेयर खरिद गर्नुको कारण, त्यस्तो शेयरको संख्या र अंकित मूल्य तथा त्यसरी शेयर खरिद गरे वापत कम्पनीले भुक्तानी गरेको रकम:

समीक्षा वर्षमा आफ्नो शेयर खरिद गर्ने कार्य नभएको ।

१६. आन्तरिक नियन्त्रण प्रणाली भए वा नभएको र भएको भए सो को विस्तृत विवरण:

बैंक संचालक समितिले नेपाल राष्ट्र बैंकबाट जारी निर्देशन तथा कम्पनी ऐनको प्रावधानको अधिनमा रही लेखापरीक्षण समिति, जोखिम व्यवस्थापन समिति, कर्मचारी सेवा सुविधा समिति र सम्पत्ति शुद्धीकरण निवारण सम्बन्धी समिति गठन गरेको छ । यी समितिहरुको बैठक आवधिक रुपमा बस्ने गर्दछ र निर्देशनमा भएका व्यवस्था अनुसार समितिहरुले आफ्ना काम र जिम्मेवारी पुरा गर्दछन् ।

बैंकमा एक स्वतन्त्र आन्तरिक लेखापरीक्षण विभाग रहेको छ । यस विभागले लेखापरीक्षण समितिको प्रत्यक्ष निगरानी र रेखदेखमा काम गर्दछ र समिति समक्ष आफ्नो प्रतिवेदन पेश गर्दछ । आन्तरिक लेखापरीक्षणको कार्यलाई सघाउन बैंकले आवश्यकता अनुसार कुनै विषयमा थप समीक्षा गर्नु परेमा बाह्य लेखापरीक्षण फर्महरुको समेत सेवा लिने गरेको छ । यसको साथै बैंकमा एक छुट्टै अनुपालना विभाग पनि रहेको छ, जसले आन्तरिक नियम तथा विनियमावलीका साथै बाह्य नियम तथा विनियमावली पालना भईरहेको सुनिश्चित गर्दछ ।

बैंकले जोखिम पहिचान तथा न्यूनीकरण गर्न जोखिम व्यवस्थापन विभाग स्थापना गरेको छ । संस्थाभरि नै प्रभावकारी आन्तरिक नियन्त्रण कायम गर्नका लागि बैंकले विभिन्न नीति, निर्देशन तथा प्रक्रियाहरु तर्जुमा गरी अवलम्बन गरेको छ । प्रत्येकजसो जोखिमपूर्ण क्षेत्रहरुमा 'चेक एन्ड ब्यालेन्स' प्रणाली कार्यान्वयन गरेको छ । यस्ता नीति, निर्देशन तथा प्रक्रियाहरु अद्यावधिक हुने र जोखिम पहिचान र निराकरण हुने सुनिश्चित गर्न यिनीहरुको आवधिक समीक्षा तथा पुनरावलोकन गर्ने गरिएको छ ।

क) जोखिम व्यवस्थापन समिति :

यस समितिको संयोजकत्वमा गैर-कार्यकारी संचालक श्री भुवनेश्वरप्रसाद शाह रहनुभएको छ । यसका अन्य सदस्यहरुमा सञ्चालक श्री प्रजन्य राजभण्डारी (संयोजक-लेखापरीक्षण समिति), श्री बिजेन्द्र सुवाल (प्रमुख- संचालन) र श्रीमती सुजाता जोशी (प्रमुख जोखिम व्यवस्थापन) रहनुभएको छ । यस समितिको बैंकको समग्र जोखिम व्यवस्थापन संरचना हेर्ने र जोखिम व्यवस्थापन प्रणालीको प्रभावकारिताको समीक्षा तथा अनुगमन गर्ने जिम्मेवारी छ ।

ख) कर्मचारी सेवा सुविधा समिति :

बैंकको गैर-कार्यकारी संचालक श्री सूर्यप्रकाशलाल श्रेष्ठको संयोजकत्वमा बैंकका कर्मचारी सम्बन्धी नीति निर्माण तथा योजना तर्जुमा गर्ने उद्देश्यले कर्मचारी सेवा सुविधा समिति गठन गरिएको छ । यस समितिका अन्य सदस्यहरुमा श्री ज्योतिप्रकाश पाण्डे (प्रमुख-कार्यकारी अधिकृत), श्रीमती डिना लामा (प्रमुख-मानव संसाधन) र श्री सचिन टिबडेवाल (प्रमुख-लेखा तथा वित्त) रहनुभएको छ । समिति बैंकको लागि उपयुक्त मानव संसाधन नीति तर्जुमा गर्न र सोको समय समयमा पुनरावलोकन गरी यसलाई समयसापेक्ष तथा स्तरीय राख्न जिम्मेवार छ ।

ग) लेखापरीक्षण समिति :

यस समितिको काम कारवाही र संरचना यस प्रतिवेदनको बूँदा नं. १८ मा उल्लेख गरिएको छ ।

घ) सम्पत्ति शुद्धीकरण निवारण सम्बन्धी समिति :

बैंकको गैर-कार्यकारी संचालक श्री निरञ्जनलाल श्रेष्ठको संयोजकत्वमा (वहाँको आकस्मिक निधन पश्चात् हाल रिक्त रहेको) मुद्रा निर्मलीकरण तथा सम्पत्ति शुद्धीकरण निवारण सम्बन्धी क्षेत्रमा आवश्यक नीति नियम बनाई सोको अनुगमन गर्ने प्रमुख उद्देश्यका साथ सम्पत्ति शुद्धीकरण निवारण सम्बन्धी समिति गठन गरिएको छ । यस समितिका अन्य सदस्यहरुमा श्री कविकुमार टिवरेवाला (संचालक), श्रीमती सुजाता जोशी (प्रमुख जोखिम व्यवस्थापन) र श्रीमती बन्दना थापा (प्रमुख-अनुपालना) रहनु भएको छ ।

१७. विगत आर्थिक वर्षको कुल व्यवस्थापन खर्चको विवरण:

कर्मचारी खर्च :	रु. १ अर्ब ४४ करोड २९ लाख
संचालन खर्च:	रु. १ अर्ब १२ करोड १४ लाख
कूल:	**रु. २ अर्ब ५६ करोड ४३ लाख**

१८. लेखापरीक्षण समितिका सदस्यहरुको नामावली, निजहरुले प्राप्त गरेको पारिश्रमिक, भत्ता र सुविधा, सो समितिले गरेको काम कारबाहीको विवरण र सो समितिले कुनै सुझाव दिएको भए सो को विवरण:

समीक्षा अवधिमा बैंकको गैर कार्यकारी संचालक श्री प्रजन्य राजभण्डारीको अध्यक्षतामा गठित लेखापरीक्षण समितिमा संचालक श्री सूर्यप्रकाशलाल श्रेष्ठ सदस्य तथा बैंकको आन्तरिक लेखापरीक्षण विभाग प्रमुख श्री अमीर भट्टराई समितिको सदस्य सचिव रहनुभएको छ ।

समितिले बैंकको वित्तीय स्थिति, आन्तरिक नियन्त्रण तथा जोखिम व्यवस्थापन प्रणाली, वैधानिक तथा नियमनकारी अनुपालन र लेखापरीक्षण कार्यक्रम आदि बारे नियमित समीक्षा गर्ने गर्दछ । आन्तरिक तथा बाह्य लेखापरीक्षण प्रतिवेदन र नेपाल राष्ट्र बैंकको निरीक्षण प्रतिवेदनहरु माथि विस्तृत छलफल र समीक्षापछि समितिले बैंक संचालन सम्बन्धी आवश्यक सुझावहरु नियमित रुपमा संचालक समितिलाई प्रदान गर्ने गर्दछ ।

समीक्षा अवधिमा लेखापरीक्षण समितिका १२ बैठकहरु बसेका थिए । समितिको बैठक भत्ता बापत प्रति बैठक प्रति सदस्य संचालकलाई रु. १२,०००/- प्रदान गरिन्छ ।

आर्थिक वर्ष २०७६/७७ मा लेखापरीक्षण समितिको बैठकमा छलफल गरिएका प्रमुख विषयहरु तल उल्लेख गरिए अनुसार छन् :-

१. शाखा तथा विभागहरुको साथै शाखा व्यवस्थापक र विभागीय प्रमुखहरुको जवाफ र अनुपालना स्थितिको बारेमा आन्तरिक लेखापरीक्षण प्रतिवेदनहरु उपर समीक्षा र छलफल ।
२. बैंकको त्रैमासिक वित्तीय अवस्थाको विश्लेषण ।
३. आन्तरिक लेखापरीक्षण विभागका कार्यक्रमहरुको समीक्षा एवं छलफल ।
४. बैंकको मुख्य कार्यालय तथा सबै शाखामा रहेका नगद तथा नगद योग्य उपकरणहरुको भौतिक जाँचको प्रतिवेदन ।
५. बाह्य लेखापरीक्षण प्रतिवेदन तथा नेपाल राष्ट्र बैंकको सुपरिवेक्षण प्रतिवेदन माथि छलफल र सुधारका लागि आवश्यक नीति निर्देशन ।
६. अन्य ।

१९. संचालक, प्रबन्ध संचालक, कार्यकारी प्रमुख वा कम्पनीका आधारभूत शेयरधनी वा निजको नजिकका नातेदार वा निज संलग्न रहेको फर्म, कम्पनी वा संगठित संस्थाले कम्पनीलाई कुनै रकम बुझाउन बाँकी भए सो कुरा:

केही नभएको ।

२०. संचालक, प्रवन्ध संचालक, कार्यकारी प्रमुख तथा पदाधिकारीहरुलाई भुक्तानी गरिएको पारिश्रमिक, भत्ता तथा सुविधाको रकम:

यसै प्रतिवेदनको अनुसूची "क" अनुसार ।

२१. शेयरधनीहरुले बुझिलिन बाँकी रहेको लाभांश रकम:

बैंकले घोषणा गरेको लाभांशमध्ये आर्थिक वर्ष २०७६/७७ को अन्त्यसम्म शेयरधनीहरुबाट दाबी नआएको रकम रु. ४१,९०,९८,३७५ रहेको छ ।

२२. कम्पनी ऐन, २०६३ को दफा १४१ अनुसार खरिद वा बिक्री गरिएको सम्पत्तिको विवरण:

समीक्षा वर्षमा यस प्रकारको कुनै खरिद बिक्री भएको छैन ।

२३. कम्पनी ऐन, २०६३ को दफा १७५ अनुसार सम्बद्ध कम्पनीहरुबीच भएको कारोबारको विवरण:

यसै प्रतिवेदनको बूँदा नं. ११ मा चर्चा गरिएको छ ।

२४. कम्पनी ऐन, २०६३ तथा प्रचलित कानून बमोजिम संचालक समितिको प्रतिवेदनमा खुलाउनुपर्ने अन्य कुनै कुराहरु:

यस वार्षिक प्रतिवेदनमा सान्दर्भिक ठाउँमा खुलाईएको छ ।

२५. अन्य आवश्यक कुराहरु:

क. यस बैंकको संचालक वा पदाधिकारीहरुको नजिकको नातेदार श्री कम्पनी रजिष्ट्रारको कार्यालय, धितोपत्र बोर्ड वा नेपाल राष्ट्र बैंकमा कम्तीमा अधिकृत तहमा कार्यरत रहेको सम्वन्धि विवरण :

केही नभएको ।

ख. आर्थिक वर्ष २०७६/०७७ को अवधिमा नयाँ शाखा, उत्पादन तथा सेवाहरु:

- **शाखा सञ्जाल:** बैंकले यस आर्थिक वर्षमा काठमाडौं जिल्लाको बालुवाटारमा एउटा नयाँ शाखा खोलेको छ । उक्त शाखा संजालमा थप भएसंगै आषाढ मसान्तमा यस बैंकका कूल ८२ वटा शाखा पुगेका छन् । यस आर्थिक वर्षमा ललितपुर जिल्लाको वालकुमारी स्थित काठमाडौं विश्वविद्यालय, भक्तपुर जिल्लाको दुवाकोट र भोजपुर जिल्लाको च्यांग्रे गरि ३ वटा स्थानमा एक्स्टेन्सन काउण्टर खोलिएका छन् । तत्पश्चात् यस बैंकको एक्स्टेन्सन काउण्टर कूल १७ वटा पुगेका छन् । एटिएम संख्या भने गत वर्षको ११७ मा यस वर्ष ८ वटा थप भई १२५ वटा पुगेका छन् ।

- **डेबिट/क्रेडिट कार्ड:** हामीले कार्ड सेवालाई थप सुरक्षित र चुस्त बनाउन contactless भिसा कार्ड (डेबिट र क्रेडिट) र प्रिपेड कार्ड जारी गर्न थालेका छौं जसका लागि Point of Sale Terminals लाई पनि अद्यावधिक गरेका छौं । साथै हामीले हाम्रा कार्ड नेटवर्कमा आवद्ध दुई सदस्य बैंकका लागि मास्टरकार्ड अफिलियट सदस्यता प्राप्त गरेका छौं । यसै गरी हामीले नयां कार्ड भुक्तानी प्रणाली (SelectSystem Switch) को पहिलो चरणको कार्यन्वयन सफलतापुर्वक पुरा गरेका छौं । हामीले नेपाल सरकारको विद्युतीय कारोबार प्रर्वधन गर्ने नीतिलाई आत्मसाथ गर्दै आन्तरिक राजस्व कार्यालयसंग ग्राहकहरुलाई १० प्रतिशत मूल्य अभिवृद्धि कर फिर्ता दिन साझेदारी गरेका छौं ।

- **विप्रेषण:** हामीले मुलुकमा विप्रेषण भित्र्याउने प्रयोजनका लागि Wirebarley Corp. सँग सम्वन्ध विस्तार गरेका छौं । Wirebarley Corp. मार्फत हाम्रो विप्रेषण सेवा अमेरिका, अष्ट्रेलिया, दक्षिण कोरिया, क्यानडा, हङकङ तथा न्यूजल्याण्डमा विस्तार भएको छ । हामीले UAE मा रहेका ग्राहकहरुलाई थप छिटो, छरितो सेवा प्रदान गर्न Wallstreet Exchange

संग Real time integration गरी सेवा सुरु गरेका छौं । आषाढ मसान्त सम्ममा मुलुकभर हाम्रा प्रत्यक्ष विप्रेषण भुक्तानी एजेन्टहरु २,४२२ पुगेको छ ।

- **क्रेडिट रेटिङ्ग:** विगत आर्थिक बर्ष जस्तै यस आर्थिक वर्षमा पनि बैंकले निरन्तर रुपमा आइक्रा नेपालबाट 'ए' रेटिङ प्राप्त गरेको छ । यसले हाम्रो मजबूत विश्वसनीयता दर्शाउनुको साथै नियमनकर्ता र शेयरधनीहरु समक्ष बैंकको थप पारदर्शिता प्रदर्शित भएको छ ।

ग. भावी योजनाहरु

❖ आगामी वर्षहरुमा बैंकले संभाव्यताको अध्ययन गरी संभावना भएको स्थानहरुमा बैंकको सेवा विस्तार गर्ने उद्देश्यले विभिन्न ग्रामीण भेगमा समेत शाखाहरु खोली आफ्नो शाखा संजालको विस्तार गर्ने तथा सर्वसाधारणलाई सर्वसुलभ सेवा प्रदान गर्ने योजना बनाउनुका साथै नियमनकारी निकायको निर्देशन अनुसार प्रदेशमा समेत आवश्यक संख्यामा शाखा बिस्तार गर्ने योजना बनाएको छ ।

❖ बैकिङ्ग क्षेत्र तथा व्यापारिक जगतको आवश्यकता अनुसार नयाँ नयाँ उत्पादन तथा सेवाहरुको शुरुवात गर्ने योजना बनाएका छौं जसले गर्दा हाम्रो ग्राहक संख्यामा बृद्धि भई न्यून लागत निक्षेप बढ्न मद्दत पुग्नुका अलावा देशकै आर्थिक जगतको उत्थानमा सहयोग पुग्ने विश्वास लिएका छौं ।

❖ नयाँ प्रविधिमा आधारित सर्वसुलभ सेवा विस्तार गर्ने ।

❖ पूँजी थप गर्न ऋणपत्र जारी गर्ने ।

❖ आफ्नो पूँजी, ग्राहक संख्या तथा शाखा सञ्जाललाई मजबूत बनाउन उपयुक्त बैंक तथा वित्तिय संस्थालाई गाभ्ने/प्राप्ती गर्नका निम्ती मर्जर अध्ययन कार्य अगाडी बढेको छ ।

❖ जोखिम व्यवस्थापन प्रणाली र कर्जा, तरलता तथा सञ्चालनसँग सम्बन्धी जोखिम न्यूनीकरण गर्ने अभ्यास मजबूत बनाउने र सोको स्तरोन्नति गर्न जोखिम व्यवस्थापन प्रणालीलाई थप मजबुत गर्ने कारबाही शुरु गरि सकेका छौं ।

❖ वित्तीय समावेशीकरण योजनाको माध्यमबाट ग्रामीण भेगका जनतालाई समेत समावेश गरेर ग्राहक पोर्टफोलियोमा विविधिता ल्याउने ।

❖ थप तालिमको व्यवस्था, समूह निर्माण गतिविधि, वृत्ति विकासको क्षेत्रमा थप अग्रसर गराई बैंकको मानव संसाधानको दक्षता, सीप र उत्पादकत्व बढाउने ।

❖ शुःल्कमा आधारित आय बढाउनका लागि आम्दानीको नयाँ क्षेत्र पहिचान गर्ने ।

❖ एटीएम, ई-बैंकिङ्ग, मोबाइल बैंकिङ्ग, POS मेशिन र अन्य डेलिभरी च्यानलको माध्यमबाट नयाँ मूल्य अभिवृद्धि सेवा थप्ने ।

❖ बढ्दो घरबहाललाई ध्यानमा राखेर उपयुक्त स्थानमा बैंकको शाखा संचालन गर्नको लागी बैंकको आफ्नै घर/जग्गा खरिद गर्दै जाने ।

❖ अन्त्यमा, विकास रणनीति र गुणस्तरीय सेवाहरुको अनुसरण गर्दै मुलुककै शिर्ष बैंकका रुपमा आफूलाई स्थापित गर्न बैंक निरन्तर रुपमा प्रयासरत र प्रतिबद्ध रहेको कुरामा पनि म यहाँहरुलाई आश्वस्त तुल्याउन चाहन्छु ।

घ. मानव संसाधन :

ग्राहकहरुलाई उत्कृष्ट सेवा प्रदान गर्न तथा बैंकको उद्देश्य हासिल गर्न मानव संसाधनको प्रभावकारी व्यवस्थापन पूर्वशर्त हो भन्ने कुरा हामीले राम्ररी मनन् गरेका छौं । उत्कृष्ट, सक्षम तथा राम्रा तालिम प्राप्त कर्मचारीहरु बैंकका अमूल्य सम्पत्ति हुन् । कर्मचारीहरुको क्षमता तथा बौद्धिकताले संगठनको प्रभावकारितामा प्रभाव पार्ने हुँदा राम्रा तथा सक्षम मानव संसाधनको निर्माणका लागि बैंकले सोही अनुसारको आवश्यक लगानी पनि गर्दै आईरहेको छ ।

हामीसँग अहिले बैंकको मूल्य, मान्यता र अभियान प्रति प्रतिबद्ध १,४३७ जना कर्मचारीहरु छन्, जसमध्ये ४७ प्रतिशत महिला छन् । उनीहरुले हाम्रा ग्राहकहरुलाई तत्काल विश्वसनीय सेवा दिने लक्ष्यका साथ सुमधुर वातावरणमा कार्य सम्पादन गरिरहेका छन् । संस्थामा १० वर्षभन्दा लामो अवधिसम्म सेवा गर्ने कर्मचारीको संख्या ६५६ पुगिसकेको छ । हामीले विश्वासिलो र सहयोगी वातावरणमा काम गर्ने संस्कारको विकास गरेका छौं ।

तीव्र बजार प्रतिस्पर्धासँग गति कायम गर्दै व्यावसायिक वृद्धि हासिल गर्न निरन्तर अध्ययन र क्षमता वृद्धि महत्वपूर्ण हुन्छ । समीक्षा वर्षमा विभिन्न कर्मचारीहरुले पेशागत विकास अवसरका लागि आन्तरिक, वाह्य तथा अर्न्तराष्ट्रिय गरि जम्मा १७४ तालिम तथा गोष्ठीमा भाग लिएका थिए । जसमा नेपाल राष्ट्र बैंकको निर्देशन, सम्पति शुद्धीकरण/आतंककारी क्रियाकलापमा वित्तीय लगानी सम्बन्धी तालिम, NFRS / BASEL सम्बन्धित तालिम, प्रतीतपत्र, ग्राहकसँगको सम्बन्ध व्यवस्थापन, सुरक्षा जागरुकता, SME Lending, नेतृत्व तथा व्यक्तित्व बिकास, बैंकिङ्ग अपरेसन्स् प्रर्बधन, परिचालन जोखिम प्रबन्धन, नोट तथा हस्ताक्षर परीक्षण, मालपोत सम्बन्धि, बैंकिङ्ग क्षेत्रसँग सम्बन्धित चुनौती, आयकर सम्बन्धी तथा UCPDC ६०० तालिम प्रमुख हुन् । साथै व्यक्तित्व विकासका लागि खेलकुद सम्बन्धी विभिन्न कार्यक्रमहरुको पनि आयोजना गरिएको थियो ।

मानव पूँजीको गुणस्तर सुधार्ने कुनै पनि लगानी अन्ततः संस्थाको वृद्धि र शेयरधनीहरुको मूल्य बढाउने कुरामा हामी विश्वास गर्दछौं । नेपाल राष्ट्र बैंकले अघिल्लो वर्षको कुल तलब भत्ता खर्चको ३ प्रतिशतले हुने रकम कर्मचारीको तालिम तथा वृत्ति विकासमा खर्च गर्नुपर्ने व्यवस्था गरे बमोजिम बैंकले कर्मचारीको तालिममा यस वर्षमा रु. १ करोड ९० लाख खर्च गरेको छ ।

ङ. सामाजिक तथा सामुदायिक कार्यहरु (CSR) :

आफू जुन समाजमा रहेको हो त्यो समाजप्रति हरेक संघ संस्थाको केही न केही दायित्व हुन्छ । आफनो संस्कृति र राष्ट्रिय सम्पदाका संरक्षण तथा प्रवर्धन गर्नुका साथै समाजमा रहेका समाजिक-शैक्षिक संस्था, परोपकारी संस्था, मठ-मन्दिर, अस्पताल, खेलकुद र अन्य सामाजिक हितका संस्थाहरुलाई दान तथा सहयोग गरेर यो दायित्व वहन गर्न सकिन्छ भन्ने हाम्रो मान्यता छ । यस बाहेक पनि गरिबी, अशिक्षा, अत्याधिक जनसंख्या, वातावरणीय ह्रास, मोफसलका

युवाहरुलाई ग्रामीण उद्यमतर्फ आकर्षित गरी बेराजगारी लगायतका समस्या समाधानमा सहभागी भएरपनि सामाजिक दायित्व निर्वाह गर्न सक्दछ । यही तथ्यलाई हृदयङ्गम गरेर बैंकले आफ्नो स्थापनाकाल देखि नै सामाजिक तथा सामुदायिक कार्य गर्दै आएको छ। समिक्षा वर्षमा CSR अन्तर्गत रु. ३,९८,३७,३१६/आर्थिक सहयोग गरिएको छ ।

विश्वव्यापी रुपमा फैलिएको कोरोना महामारीको असरलाई कम गर्न नेपाल सरकारद्धारा स्थापित कोरोना राहत कोषमा बैंकले रु. १ करोड रकम जम्मा गरेको छ । त्यसै गरि भाइरस नियन्त्रण तथा उपचारको लागि विभिन्न संघ संस्था, महानगरपालिका, नगरपालिका, गाउँपालिकाका साथै कर्मचारी र ग्राहकको स्वास्थ सुरक्षाको लागि मास्क, स्यानिटाइजर, पि.पि.ई लगायतका आवश्यक सुरक्षा साधनका वितरण गर्न बैंकले करिब रु. २४ लाख रकम खर्च गरेको छ ।

बैंकले यस वर्ष पनि राष्ट्रिय सम्पदाको संरक्षण कार्यलाई निरन्तरता दिएको छ । २०७२ सालको महाभुकम्पबाट प्रभावित शोभा भगवती मन्दिरको पुनःनिर्माण तथा संग्रहालयहरुको प्रवर्द्धनको लागि अर्न्तराष्ट्रिय संग्रालय परिषद्को कार्यशालाको लागि आर्थिक सहयोग प्रदान गरेको छ । त्यसको साथ साथै अरु विभिन्न मठ मन्दिरको पुनःनिर्माण तथा संरक्षणको लागी पनि रकम प्रदान गरेको छ। बैंकले समीक्षा अवधिमा गत वर्ष झैं यस आर्थिक वर्षमा पनि पशुपति क्षेत्रको सरसफाई अभियानका लागि जम्मा रु. ९० लाख रकम प्रदान गरेको छ ।

त्यसैगरि बैंकले सदर चिडियाखानाको प्रचार प्रसारको साथै स-साना वालवालिकालाई ज्ञान प्रदान गर्न कमिक किताव प्रकाशित गरेको छ जसको लागी रु. ५ लाख भन्दा बढि खर्च गरेको छ। साथै बैंकले शैक्षिक क्षेत्रको बिकासका लागि विभिन्न संघ संस्थालाई अनुदान रकम प्रदान गरेको छ । सो अर्न्तगत समान्ता फाउन्डेशनलाई रु. ६.५० लाख प्रदान गरेको छ भने खहरे, स्याङ्जा स्थित श्री रणविर जनहित स्कूलको भवन निर्माण गर्न लाई ४.८० लाख प्रदान गरेको छ । यसको साथै काठमाण्डौं विश्वविद्यालय, नेपाल प्रहरी स्कूललाई पनि रकम प्रदान गरेको छ । त्यसैगरि बैंकले खेलकुद विकासका लागि माई भ्यालि फुटबल क्लब, ब्रिगेड बोइज् क्लब, फ्रेन्डस् क्लब कुपन्डोललाई क्रमश रु. १५ लाख, रु. १२ लाख तथा रु. १२ लाख प्रदान गरेको छ ।

बैंकले "रक्त दान जिवन दान" भन्ने सारलाई आत्मसाथ गर्दै नेपाल रेडक्रस सोसाईटीलाई रक्तदान सेवाको लागि रु. ५ लाख रकम प्रदान गरेको छ। साथै गोदावरी एलमुनीलाई ग्रामिण क्षेत्रमा स्वास्थ शिविर संचालन गर्नको लागि रु. ५ लाख रकम प्रदान गरेको छ ।

यसैगरि बैंकले नेपाल सरकारले निकालेको "एक व्यक्ति एक बैंक खाता"को मर्म अनुसार "खोलौं बैंक खाता" भन्ने अभियानलाई प्रोत्साहन गर्न र त्यसको प्रचार गर्न रु. ५ लाख रकम खर्च गरेको छ ।

देशको प्रमुख रक्षक संस्था नेपाली सेनाका वहालवाला तथा सेवा निवृत्त सदस्यहको आय आर्जनमा बृद्धि गर्ने उदेश्यले निजहरुको सीप विकासका लागि सीपमुलक तालिम लगायतका कार्यक्रमहरुलाई आर्थिक सहायता स्वरुप रु. ३३ लाख रकम उपलब्ध गराएर पनि आफ्नो समाजिक उत्तरदायित्व पुरा गर्ने प्रयास गरेको छ । यस बर्ष बैंकले नेपाल प्रहरीको प्रहरी समुदाय साझेदारी कार्यक्रम सहयोगार्थ रु. १३ लाख रकम प्रदान गरेको छ । साथै समाजमा रहेका फरक किसिमले सक्षम

मनस्थितिका व्यक्तिहरुको पक्षमा सकारात्मक धारणाको बिकास गर्ने र उनीहरुमा अन्तरनिहित सीप र दक्षता प्रस्फुटन हुने वातावरण सृजना गर्न आर्थिक सहयोग पुऱ्याएको छ ।

बैंकले प्रदान गर्ने यस्ता सहयोगले एकातिर सामाजिक उत्तरदायित्व पुरा गर्दछ भने यसबाट बैंकको साख र व्यवसाय पनि प्रवर्द्धन हुन पुग्दछ ।

च. संस्थागत सुशासन र कानूनी परिपालना :

कुनै पनि संस्थाको सफलता मूलरुपमा त्यस संस्थाले अवलम्बन गर्ने कुशल संस्थागत सुशासनका अभ्यासहरुमा निर्भर रहन्छ । यो तथ्यसँग नेपाल इन्भेष्टमेण्ट बैंक सधै सजग र सचेत छ । त्यसैले हामीले कम्पनी ऐन, २०६३, बैंक तथा वित्तीय संस्था सम्बन्धी ऐन, २०७३, र धितोपत्र कारोबार ऐन, २०६३, श्रम ऐन २०७४ तथा अन्य सम्बद्ध ऐन नियम, निर्देशन, परिपत्र, कार्यविधिमा भएका व्यवस्थाहरुको पालना गर्दै आएका छौं । साथै बैंकका सबै संचालकहरुले समेत तोकिएको आचरण पूर्ण रुपमा परिपालना गरेका छन् ।

छ. आफ्ना ग्राहक पहिचान (KYC) र मुद्रा निर्मलीकरण (AML) :

बैंकले सम्पत्ति शुद्धीकरण (मनी लाउन्डरिङ्ग) निवारण ऐन, २०६४, यस सम्बन्धी नियमावली तथा नेपाल राष्ट्र बैंकले जारी गर्ने सम्पत्ति शुद्धीकरण नियन्त्रणसँग सम्बन्धित निर्देशिकाहरुको परिपालना गर्दै आएको छ । यसको साथै सम्पत्ति शुद्धीकरण रोकथाम गर्न बैंकका आफ्नै नीति र नियमहरु रहेका छन् । आफ्ना ग्राहक पहिचान (KYC) र सम्पत्ति शुद्धीकरणका विषयमा आफ्ना कर्मचारीलाई अद्यावधिक जानकारी दिने उद्देश्य सहित बैंकले निरन्तर तालिम पनि आयोजना गर्दै आएको छ । यही अनुरुप बैंकले आफ्ना ग्राहकहरुको विवरण अद्यावधिक नभएमा नियमित अन्तरालमा तिनीहरुको (KYC) विवरण अद्यावधिक गर्न अनुरोध गरिरहेको छ ।

२६. धन्यवाद ज्ञापन :

यथासमयमै लेखापरीक्षण सम्पन्न गरी बैंकलाई यथोचित व्यावसायिक सुझाव प्रदान गर्ने बाह्य लेखापरीक्षकलाई संचालक समितिको तर्फबाट हामी हार्दिक धन्यवाद दिन चाहन्छौं । निरन्तर सहयोग, प्रोत्साहन र मार्गदर्शन प्रदान गरी बैंकको मनोबल उच्च राख्न सहयोग गर्ने शेयरधनीमहानुभावहरु प्रति हार्दिक आभार तथा कृतज्ञता प्रकट गर्न चाहन्छौं । त्यस्तै, निरन्तर सहयोग र निर्देशनको लागि हामी नेपाल सरकार, अर्थमन्त्रालय, नेपाल राष्ट्र बैंक, नेपाल धितोपत्र बोर्ड, कम्पनी रजिष्ट्रारलाई समेत धन्यवाद ज्ञापन गर्न चाहन्छौं । समर्पण र कडा परिश्रमबाट बैंकको उन्नति र प्रगतिमा साथ दिने बैंक व्यवस्थापन तथा कर्मचारीहलाई पनि विशेष धन्यवाद दिन चाहन्छौं ।

अन्त्यमा, सेवा गर्ने महत्वपूर्ण अवसर प्रदान गर्ने हाम्रा सबै ग्राहकवर्ग प्रति पनि हार्दिक कृतज्ञता ज्ञापन गर्दछौं । उहाँहरुको प्रेरणादायी सहयोग बिना बैंकको उन्नति र व्यावसायिक वृद्धि सम्भव थिएन र छैन ।

धन्यवाद ।

भुवनेश्वरप्रसाद शाह
संचालक

पृथ्वीबहादुर पाँडे
अध्यक्ष

अनुसूची क

(माथिको बुँदा २० सँग सम्बन्धित)

संचालक, कार्यकारी प्रमुख तथा अन्य पदाधिकारीहरु लाई प्रदान गरिएको पारिश्रमिक, भत्ता तथा सुविधाको विवरण

क. संचालकहरु :

यस बैंकको संचालक समिति देहाय बमोजिम रहेको छ :-

(क)	श्रीपृथ्वीबहादुर पाँडे	अध्यक्ष
(ख)	श्रीप्रजन्य राजभण्डारी	संचालक
(ग)	श्रीकवि कुमार टिवरेवाला	संचालक
(घ)	श्रीभुवनेश्वर प्रसाद शाह	संचालक
(ङ)	श्रीसूर्यप्रकाश लाल श्रेष्ठ	संचालक
(च)	श्रीमतीमञ्जु बस्नेत	संचालक

संचालकहरुलाई तल लेखिएबमोजिम पारिश्रमिक, भत्ता तथा अन्य सुविधाहरु उपलब्ध गराइएको छ :-

(क) संचालक समितिको अध्यक्षले पाएको बैठक भत्ता तथा अन्य सुविधाहरुको रकम : बैठक भत्ता प्रतिबैठक रु. १५,००० । गत आर्थिक वर्षको कुल बैठक भत्ता रु. २,२५,००० । मासिक ५० लिटर ईन्धन ।

(ख) संचालक समितिको अन्य सदस्यहरुले पाएको बैठक भत्ता तथा अन्य सुविधाहरुको रकम : बैठक भत्ता प्रतिबैठक रु. १२,००० प्रति संचालक । गत आर्थिक वर्षको कुल बैठक भत्ता रु. १८,१६,००० । मासिक प्रति संचालक ५० लिटर ईन्धन ।

ख. कार्यकारी प्रमुख तथा अन्य पदाधिकारी/व्यवस्थापकहरुको वार्षिक तलब, भत्ता तथा सुविधाहरु:

रु. हजारमा

क्रं. सं	विवरण	कार्यकारी प्रमुख	अन्य कार्यकारी पदाधिकारी/व्यवस्थापक
१.	तलव	१६,०७६	११२,३९१
२.	भत्ता	१०,७१७	७७,९९०
३.	दशैं भत्ता	२,२३३	१५,३९३
४.	संचय कोष	१,६०८	११,२३९
५.	संख्या	१	११४

कार्यकारी प्रमुखलाई तलब तथा भत्ताको साथै निम्न सुविधा दिईएको छ :–

१. कार्यकारी प्रमुखको हकमा पानी, बिजुली र टेलिफोन महशुलको भुक्तानी–बिल बमोजिम ।

२. कार्यकारी प्रमुखको हकमा सवारी चालक, ईन्धन तथा मर्मत सम्भार सहित सवारी साधन दिईएको छ भने व्यवस्थापकीय/प्रबन्धक स्तरका पदाधिकारीहरुको हकमा कर्मचारी सेवा विनियमावली र मानव संसाधन नीतिमा व्यवस्था गरिए बमोजिम ।

३. बोनसको सम्बन्धमा – बोनस ऐन अनुसार ।

४. उपदानको सम्बन्धमा – कर्मचारी सेवा विनियमावलीमा व्यवस्था गरिए बमोजिम । कार्यकारी प्रमुखको हकमा सम्झौतामा उल्लेख भए अनुसार ।

५. जीवन बीमा, औषधोपचार बीमा, दुर्घटना बीमा – बैंकको कर्मचारी सेवा विनियमावली र मानव संसाधन नीतिमा व्यवस्था गरिए बमोजिम ।

६. कार्यकारी प्रमुखको लागि पत्रपत्रिकाको व्यवस्था गरिएको छ ।

७. कार्यकारी प्रमुखको लागि ३ जना सुरक्षा गार्ड दिईएको छ ।

संस्थागत सुशासन सम्बन्धी वार्षिक अनुपालना प्रतिवेदन

(सूचीकृत संगठित संस्थाहरुको संस्थागत सुशासन सम्बन्धी निर्देशिका, २०७४ बमोजिम)

सूचीकृत सङ्गठित सस्थाको नाम	नेपाल इन्भेष्टमेण्ट बैंक लिमिटेड
ठेगाना इमेल र वेभसाइट सहित	दरबारमार्ग, काठमाण्डौ, पो.ब.नं. ३४१२ info@nibl.com.np, www.nibl.com.np
फोन नं.	४२२८२२९, ४२४२५३०
प्रतिवेदन पेश गरिएको आ.ब.	२०७६/७७

१. संचालक समिति सम्बन्धी विवरण :

(क) संचालक समितिको अध्यक्षको नाम तथा नियुक्ति मिति : पृथ्वी बहादुर पाँडे

- प्रथम पटक अध्यक्षको रुपमा नियुक्त मितिः ई.स.२०१२/०७/१४

(ख) संस्थाको शेयर संरचनासम्बन्धी विवरण (संस्थापक, सर्वसाधारण तथा अन्य): आषाढ मसान्त २०७७ को विवरण

क्र.स.	विवरण	कित्ता	प्रतिशत
१	संस्थापक	९७,७३२,२११	६८.५९
२	सर्वसाधारण	४४,७५७,३३४	३१.४१

(ग) संचालक समिति सम्बन्धि विवरणः (हाल कायम)

क्र.स.	संचालकहरुको नाम, ठेगाना	प्रतिनिधित्व भएको समूह	शेयर संख्या (कित्ता) (व्यक्तिगत नाममा आषाढ मसान्त २०७७ को विवरण)	नियुक्त भएको मिति	पद तथा गोपनियताको शपथ लिएको मिति	संचालक नियुक्ति तरीका (विधि)
१.	श्रीपृथ्वी बहादुर पाँडे, महाराजगञ्ज, काठमाण्डौं ।	संस्थापक	२३५३८ (साधारण)	०७/०७/२०७४	१७/०७/२०७४	निर्वाचन
२.	श्रीप्रजन्य राजभण्डारी, कमलादी, काठमाण्डौं ।	संस्थापक	-	०७/०७/२०७४	२८/०७/२०७४	निर्वाचन
३.	श्रीसूर्य प्रकाश लाल श्रेष्ठ, तहाचल, काठमाण्डौ ।	संस्थापक	-	०७/०७/२०७४	२८/०७/२०७४	निर्वाचन
४.	श्रीकवि कुमार टिवरेवाला, काठमाण्डौं ।	संस्थापक	७५८१० (साधारण)	०७/०७/२०७४	३०/०७/२०७४	निर्वाचन
५.	श्रीभुवनेश्वर प्रसाद शाह, १२२ ज्ञानेश्वर, काठमाण्डौं ।	सर्वसाधारण	४२०७ (साधारण)	११/०६/२०७३	-	निर्वाचन
६.	श्रीनिरञ्जन लाल श्रेष्ठ,* नयाँ बानेश्वर, काठमाण्डौं ।	सर्वसाधारण	१३२३१ (साधारण)	११/०६/२०७३	-	निर्वाचन
७.	श्री मन्जु बस्नेत, महाराजगञ्ज, काठमाण्डौं ।	स्वतन्त्र संचालक	११०५ (साधारण)	२२/०९/२०७६	२२/०९/२०७६	संचालक समितिबाट नियुक्त

* निरञ्जन लाल श्रेष्ठ को मिति ०५/०५/२०७७ मा असामयिक निधन भई हाल उक्त स्थान रिक्त रहेको ।

(घ) संचालक समितिको बैठक

● संचालक समितिको बैठक संचालन सम्बन्धी विवरण :

क्र.स.	यस आ.व. मा बसेको संचालक समितिको बैठकको मिति	उपस्थित संचालकको संख्या	बैठकको निर्णयमा भिन्न मत राखी हस्ताक्षर गर्ने संचालकको संख्या	गत आ.व. मा बसेको बैठकको मिति
१.	२०७६/४/५	५	-	२०७५/४/३१
२.	२०७६/५/४	६	-	२०७५/५/१३
३.	२०७६/५/१६	६	-	२०७५/६/१५
४.	२०७६/६/१६	६	-	२०७५/७/१४
५.	२०७६/७/१	५	-	२०७५/८/२३
६.	२०७६/७/२७	६	-	२०७५/९/२
७.	२०७६/९/६	५	-	२०७५/९/९
८.	२०७६/९/१५	५	-	२०७५/९/२८
९.	२०७६/९/२२	५	-	२०७५/११/१९
१०.	२०७६/९/२७	५	-	२०७५/११/२३
११.	२०७६/११/१५	७	-	२०७५/११/२६
१२.	२०७६/१२/०३	७	-	२०७५/१२/१२
१३.	२०७७/१/१५	५	-	२०७६/१/१६
१४.	२०७७/३/९	६	-	२०७६/२/१२
१५.	२०७७/३/२८	६	-	२०७६/२/२०
१६.	२०७७/३/३०	६	-	२०७६/२/३०
१७.				२०७६/३/१३
१८.				२०७६/३/१८
१९.				२०७६/३/२४
२०.				२०७६/३/२६

कुनै संचालक समितिको बैठक आवश्यक गणपुरक संख्या नपुगी स्थगित भएको भए सोको विवरण: नभएको

● संचालक समितिको बैठक सम्बन्धी अन्य विवरण :

संचालक समितिको बैठकमा संचालक वा वैकल्पिक संचालक उपस्थित भए- नभएको (नभएको अवस्थामा बैठकको मिति सहित कारण खुलाउने) :	लागू नहुने
संचालक समितिको बैठकमा उपस्थित संचालकहरु, छलफल भएको विषय र तत्सम्बन्धमा भएको निर्णयको विवरण (माईन्यूट) को छुट्टै अभिलेख राखे नराखेको :	राखेको
संचालक समितिको दुई लगातार बसेको बैठकको अधिकतम अन्तर (दिनमा) :	५६ दिन
संचालक समितिको बैठक भत्ता निर्धारण सम्बन्धमा बसेको वार्षिक साधारण सभाको मिति:	२०७२/७/३० (२९ औं वार्षिक साधारण सभा)
संचालक समितिको प्रति वैठक भत्ता रु.	अध्यक्ष रु. १५,०००/- र संचालकको रु. १२,०००/-
आ.व.को संचालक समितिको कुल वैठक खर्च रु.	२०,४१,०००/-

२. संचालकको आचरण सम्बन्धी तथा अन्य विवरण :

संचालकको आचरण सम्बन्धमा सम्बन्धित संस्थाको आचार संहिता भए/नभएको :					भएको
एकाघर परिवारको एक भन्दा बढी संचालक भए सो सम्बन्धी विवरण :					नभएको
संचालकहरुको वार्षिक रुपमा सिकाई तथा पूर्नताजगी कार्यक्रम सम्बन्धी विववरण :					
क्र.स.	विषय	मिति	सहभागी संचालकको संख्या	तालिम संचालन भएको स्थान	
१.	कार्यकारी नेतृत्व	२०७६/०८/१६ देखि २०७६/०८/२०	१	अष्ट्रेलिया	
२.	AML/CFT- KYC	२०७७/०३/२६	५	अनलाईन मार्फत	
प्रत्येक संचालकले आफू संचालकको पदमा नियुक्त वा मनोनयन भएको पन्ध्र दिनभित्र देहायका कुराको लिखित जानकारी गराएको/नगराएको र नगराएको भए सोको विवरण:					
● संस्थासँग निज वा निजको एकाघरको परिवारको कुनै सदस्यले कुनै किसिमको करार गरेको वा गर्न लागेको भए सो को विवरण,					गराएको
● निज वा निजको एकाघरको परिवारको कुनै सदस्यले संस्था वा सो संस्थाको मुख्य वा सहायक कम्पनीमा लिएको शेयर वा डिबेन्चरको विवरण,					गराएको
● निज अन्य कुनै सङ्गठित संस्थाको आधारभूत शेयरधनी वा संचालक रहेको भए त्यसको विवरण,					गराएको
● निजको एकाघरको परिवारको कुनै सदस्य संस्थामा पदाधिकारी वा कर्मचारीको हैसियतमा काम गरिरहको भए सोको विवरण ।					गराएको
संचालकले उस्तै प्रकृतिको उद्देश्य भएको सूचिकृत संस्थाको संचालक, तलवी पदाधिकारी, कार्यकारी प्रमुख वा कर्मचारी भई कार्य गरेको भए सोको विवरण:					नगरेको
संचालकहरुलाई नियमन निकाय तथा अन्य निकायहरुबाट कुनै कारवाही गरिएको भए सोको विवरण:					नभएको

३. संस्थाको जोखिम व्यवस्थापन तथा आन्तरिक नियन्त्रण प्रणाली सम्बन्धि विवरण:

(क) जोखिम व्यवस्थापनको लागि कुनै समिति गठन भए/नभएको गठन नभएको भए सोको कारण: जोखिम व्यवस्थापन समिति भएको

(ख) जोखिम व्यवस्थापन समिति सम्बन्धी जानकारी:

(अ) समितिको संरचना (संयोजक तथा सदस्यहरुको नाम तथा पद):

श्री भुवनेश्वर प्रसाद शाह : संयोजक
श्री प्रजन्य राजभण्डारी : सदस्य
श्री विजेन्द्र सुवाल : सदस्य
श्री सुजाता जोशी : सदस्य सचिव

(आ) समितिको बैठक संख्या: आ.व. २०७६/७७ मा बैठक संख्या १०

(इ) समितिको कार्य सम्बन्धी छोटो विवरण:

- बैंकमा विद्यमान बजार, संचालन र कर्जा जोखिमको समीक्षा गरी त्यस्तो जोखिम न्युनीकरणका लागि उपयुक्त सुझाव/सल्लाह दिने ।
- बैंकले अपनाएको विद्यमान प्रणाली र नीति समीक्षा गर्न र त्यस्ता प्रणाली र नीतिको कार्यान्वयन र पर्याप्तताको बारेमा संचालक समितिलाई सुझाव दिने ।

- बैंकले जोखिम व्यवस्थापन र जोखिम वहन गर्ने क्षमताको मूल्यांकन गर्न अपनाएको प्रणाली र नीतिको कार्यान्वयन, र मार्गदर्शनको नियमित पुनरावलोकन गरी सो को पर्याप्तताको बारेमा संचालक समितिलाई सुझाव/सिफारिस गर्ने ।
- बैकले सृजना गरेको जोखिम सम्पत्तिको सम्बन्धमा पूँजी पर्याप्तताको समीक्षा गर्न र सोही अनुरुप संचालक समितिलाई सुझाव/सिफारिस गर्ने ।
- नेपाल राष्ट्र बैंक लगायतका नियामक निकायद्धारा जारी गरीएका निर्देशन/मार्ग निर्देशन उपर छलफल गरी सोका आधारमा अपनाउनु पर्ने आवश्यक नीति वा प्रकृयाका लागि सुझाव पेश गर्ने ।
- सम्पत्ति दायित्व समिति (ALCO) मा छलफल भएका बिषयहरुलाई समिक्षा गर्ने ।
- बैंकको कर्जा पोर्टफलियो समीक्षा गर्ने र कर्जा जोखिम घटाउनको लागि उपयुक्त सुझाव पेश गर्ने ।
- बैंकको वित्तीय पक्षलाई उल्लेखनिय असर पार्न सक्ने कानुनी मुद्दा समीक्षा गर्ने ।
- बैंकको वित्तीय अवस्थामा उल्लेखनिय असर पार्न सक्ने देशको सुक्ष्म एवं वृहत आर्थिक परिदृश्यमा भएका परिवर्तनहरुको समीक्षा गर्ने एवं उक्त प्रभाव कम गर्न अपनाउनु पर्ने उपयुक्त नीति एवं प्रक्रिया संचालक समिति समक्ष पेश गर्ने ।
- नियामक निकायबाट जारी निर्देशन/मार्ग निर्देशन/परिपत्रबारे छलफल गरी संचालक समितिलाई जानकारी दिने ।
- प्रत्येक समितीहरुमा गरिएका छलफल भएका बिषयहरुलाई समीक्षा गरी संचालक समितिमा पेश गर्ने ।
- व्यवस्थापनको सुचना प्रणालीको (MIS) पर्याप्तता, समिक्षा गर्ने एवं आवश्यक सुधारको लागि व्यवस्थापनलाई निर्देशन दिने ।
- जोखिम समायोजित सम्पति अनुसार पुँजीको पर्याप्तता, आन्तरीक पुँजी विश्लेशषण पद्धति (ICAAP), व्यवसायिक रणनीति अनुरुप नीतिगत व्यवस्थाको पर्याप्तता, संस्थाले बहन गर्न चाहेको जोखिम र संस्थालाई ग्राह्य हुने सीमा सम्बन्धमा नियमित रुपमा छलफल तथा विश्लेषण गरी संचालक समितिलाई आवश्यक राय सुभाव दिने ।
- नियमित रुपमा दवाव परीक्षण (Stress Testing) गरी सोको परिणाम उपर छलफल गरी सोका आधारमा भविष्यमा गर्नुपर्ने निर्णय प्रकृयाका लागि संचालक समितिलाई आवश्यक राय सुभाव दिने ।

(ग) आन्तरिक नियन्त्रण कार्यविधि भए/नभएको : भएको

(घ) आन्तरिक नियन्त्रण प्रणालीको लागि कुनै समिति गठन भए/नभएको गठन नभएको भए सोको कारण: गठन भएको

(ङ) आन्तरिक नियन्त्रण प्रणाली समिति सम्बन्धी विवरण:

(अ) समितिको संरचना (संयोजक तथा सदस्यहरुको नाम तथा पद)

- संचालक समिति:

अध्यक्ष- श्रीपृथ्वी बहादुर पाँडे

संचालक- श्रीप्रजन्य राज भण्डारी

संचालक- श्रीसूर्यप्रकाश लाल श्रेष्ठ

संचालक- श्रीकवि कुमार टिवरेवाला

संचालक- श्रीभुवनेश्वर प्रसाद शाह

संचालक- श्रीमतीमन्जु बस्नेत

संचालक- श्रीनिरन्जन लाल श्रेष्ठ*

- जोखिम व्यवस्थापन समिति:

  संयोजक- श्रीभुवनेश्वर प्रसाद शाह

  सदस्य- श्रीप्रजन्य राजभण्डारी

  सदस्य- श्रीबिजेन्द्र सुवाल

  सदस्य सचिव- श्रीसुजाता जोशी

- लेखा परिक्षण समिति:

  संयोजक- श्रीप्रजन्य राजभण्डारी

  सदस्य- श्रीसूर्यप्रकाश लाल श्रेष्ठ

  सदस्य सचिव- श्रीअमिर भट्टराई

- सम्पति शुद्धिकरण निवारण समिति :

  संयोजक- श्रीनिरन्जन लाल श्रेष्ठ*

  सदस्य- श्रीकवि कुमार टिवरेवाला

  सदस्य- श्रीसुजाता जोशी

  सदस्य सचिव- श्रीबन्दना थापा

- कर्मचारी सेवा सुविधा समिति :

  संयोजक- श्रीसूर्यप्रकाश लाल श्रेष्ठ

  सदस्य- श्रीज्योति प्रकाश पाण्डे

  सदस्य- श्रीसचिन टिबडेवाल

  सदस्य सचिव- श्रीडिना लामा

**** निरञ्जन लाल श्रेष्ठ को मिति ०५/०५/२०७७ मा असामयिक निधन भई हाल उक्त स्थान रिक्त रहेको***

(आ) समितिको बैठक संख्या :

समिति	बैठक संख्या
संचालक समिति	१६
जोखिम व्यवस्थापन समिति	१०
लेखापरीक्षण समिति	१२
कर्मचारी सेवा सुविधा समिति	०
सम्पति शुद्धिकरण निवारण समिति	४

(इ) समितिको कार्य सम्बन्धी छोटो विवरण : समितिको मुख्य कार्य राष्ट्र बैंक को निर्देशन, कम्पनी ऐन तथा बैंक तथा वित्तिय संस्था सम्बन्धि ऐनको पुनरावलोकन गर्नु रहेको छ । यस बाहेक आन्तरिक नियन्त्रण प्रणालीको पुनरावलोकन गर्नुको साथै संचालक समितिलाई आवश्यक सुझाव प्रदान गर्ने कार्य पनि गर्दछ ।

(च) आर्थिक प्रशासन विनियमावली भए/नभएको : भएको

४. सुचना तथा जानकारी प्रवाह सम्बन्धी विवरण:

(क) संस्थाले सार्वजनिक गरेको सूचना तथा जानकारी प्रवाहको विवरण :

विषय	माध्यम	सार्वजनिक गरेको मिति
३३ औं वार्षिक साधारण सभाको सूचना	राष्ट्रिय दैनिक पत्रिकाहरु तथा बैंककोवेव साईटमा	०७/०९/२०७६, ०८/०९/२०७६ र २७/०९/२०७६
विशेष साधारण सभाको सूचना	राष्ट्रिय दैनिक पत्रिकाहरु तथा बैंकको वेवसाईटमा	०८/०६/२०७७ र ०९/०६/२०७७
वार्षिक प्रतिवेदन	पुस्तकको स्वरुपमा प्रकाशित गर्नुको अलावा बैंकको वेव साइटमा समेत प्रकाशित	
त्रैमासिक प्रतिवेदन	राष्ट्रिय दैनिक पत्रिका	२९/०७/२०७६ कारोबार दैनिक २४/१०/२०७६ कारोबार दैनिक ३०/०१/२०७७ नागरीक दैनिक ३०/०४/२०७७ कारोबार दैनिक
धितो मूल्यमा प्रभाव पार्ने मूल्य संवेदनशील सूचना	नेपाल स्टक एक्सचेन्ज - पत्र तथा विद्युतिय माध्यमबाट जानकारी गराएको	०५/०९/२०७७
अन्य	नभएको	

(ख) सुचना सार्वजनिक नगरेको वा अन्य कारणले धितोपत्र बोर्ड तथा अन्य निकायबाट कारवाहिमा परेको भए सो सम्बन्धी जानकारी : नपरेको

(ग) पछिल्लो वार्षिक तथा विशेष साधारण सभा सन्पन्न भएको मिति : २०७६ पौष २८ गते

५. संस्थागत संरचना र कर्मचारी सम्बन्धी विवरण

(क) कर्मचारीहरुको संरचना, पदपूर्ति, वृति विकाश, तालिम, तलव, भत्ता तथा अन्य सुविधा, हाजिर र विदा, आचारसंहिता लगायतका कुराहरु समेटिएको कर्मचारी सेवा शर्त विनियमावली/व्यवस्था भए नभएको: भएका

(ख) सांगठनीक संरचना संलग्न गर्ने : यसै साथ संलग्न गरेको

(ग) उच्च व्यवस्थापन तहका कर्मचारीहरुको नाम, शैक्षिक योग्यता तथा अनुभव सम्बन्धी विवरण :

सि.नं.	कर्मचारीको नाम	तह	योग्यता	अनुभव
१.	श्री ज्योति प्रकाश पाण्डे	प्रमुख कार्यकारी अधिकृत	एम.बि.ए. भारत	३२ बर्ष
२.	श्री बिजेन्द्र सुवाल	नायब महाप्रबन्धक	ई.म.बि.ए. पोखरा विश्वविद्यालय	२८ बर्ष
३.	श्री रबिन सिजापती	नायब महाप्रबन्धक	सि.ए . भारत	२३ बर्ष
४.	श्री दिपक श्रेष्ठ	सहायक महाप्रबन्धक	एम.ए. त्रिभुवन विश्वविद्यालय/ एल.एल.एम. पूर्वाञ्चल विश्वविद्यालय	२० बर्ष
५.	श्री सचिन टिबडेवाल	सहायक महाप्रबन्धक	सि.ए . भारत	१७ बर्ष
६.	श्री सुजाता जोशी	सहायक महाप्रबन्धक	एम.बि.ए., त्रिभुवन विश्वविद्यालय	२७ बर्ष

(घ) कर्मचारी सम्बन्धी अन्य विवरण :

संरचना अनुसार कर्मचारी पदपूर्ती गर्ने गरे/नगरेको :	गरेको
नयाँ कर्मचारीहरुको पदपूर्ति गर्दा अपनाएको प्रकृया :	लिखित तथा मौखिक परिक्षा
व्यवस्थापन स्तरका कर्मचारीको संख्या:	बरिष्ठ प्रबन्धक र सो भन्दा माथी १८
कुल कर्मचारीको संख्या: (मिति २०७७/०८/१६ सम्म)	१४४०
कर्मचारीहरुको सक्सेसन प्लान भए/नभएको :	भएको
आ. व.कर्मचारीहरुलाई दिइएको तालिम संख्या तथा सम्मलित कर्मचारीको संख्या:	तालिम संख्या १७४ र सम्मलीत कर्मचारी संख्या २१५९
आ. व. को कर्मचारी तालिम खर्च रु :	आ.व. २०७६/०७७ मा भएको तालिम खर्च रु.१,९०,३२,९३१ ।
कुल खर्चमा कर्मचारी खर्चको प्रतिशत :	४८.४२५
कुल कर्मचारी खर्चमा कर्मचारी तालीम खर्चको प्रतिशत :	१.८१५

६. संस्थाको लेखा तथा लेखापरीक्षण सम्बन्धी विवरण

(क) लेखासम्बन्धी विवरण

संस्थाको पछिल्लो आ. व. को वित्तिय विवरण NFRS अनुसार तयार गरे/नगरेको, नगरेको भए सोको कारण :	गरेको
संचालक समितिबाट पछिल्लो वित्तीय विवरण स्वीकृत भएको मिति:	२०७६/०७/२७
त्रैमासिक वित्तीय विवरण प्रकाशन गरेको मिति :	२०७६/०७/२९ कारोबार दैनिक २०७६/१०/२४ कारोबार दैनिक २०७७/०१/३० नागरिक दैनिक २०७७/०४/३० कारोबार दैनिक
अन्तिम लेखापरिक्षण सम्पन्न भएको मिति :	२०७६/०७/२७
साधारण सभाबाट वित्तीय विवरण स्वीकृत भएको मिति :	२०७६/०९/२८
संस्थाको आन्तरिक लेखापरीक्षण सम्बन्धी विवरण : (अ) आन्तरिक रुपमा लेखापरीक्षण गर्ने गरिएको वा वाह्य विज्ञ नियुक्त गर्ने गरिएको (आ) वाह्य विज्ञ नियुक्त गरिएको भए सोको विवरण (इ) आन्तरिक लेखापरीक्षण कति अवधिको गर्ने गरिएको (त्रैमासिक,चौमासिक वा अर्धवार्षिक)	आन्तरिक रुपमा लेखापरिक्षण गर्ने गरेको नभएको वार्षिक गर्ने गरेको

(ख) लेखापरीक्षण समितिसम्बन्धी विवरण:

संयोजक तथा सदस्यहरुको नाम, पद तथा योग्यता :	संयोजक- प्रजन्य राजभण्डारी (संचालक, इर्निजिनियरिङ डिग्रि), सदस्य- सुर्य प्रकाश लाल श्रेष्ठ (संचालक, पि.एच.डि), सदस्य सचिव- अमिर भट्टराई (प्रमुख-आन्तरिक लेखापरीक्षण)
बैठक बसेको मिति तथा उपस्थित सदस्य संख्या :	बैठक विभिन्न समयमा आवश्यकता अनुसार बस्दछ । आ.व. २०७६/७७ मा १२ वटा बैठक निम्न अनुसार बसेको छ । २०७६/५/८ २०७६/६/१५ २०७६/७/२९ २०७६/८/६ २०७६/८/२९ २०७६/९/६ २०७६/९/१० २०७६/१०/१२ २०७६/१०/१९ २०७६/१०/२६ २०७७/२/१५ २०७७/३/२९ उपस्थित तीन जना ।
प्रति वैठक भत्ता रु. :	१२,०००
लेखापरीक्षण समितिले आफ्नो काम कारवाहीको प्रतिवेदन संचालक समितिमा पेश गरेको मिति :	२०७६/९/१५ २०७७/१/१५ २०७७/३/२८

७. अन्य विवरण:

संस्थाले संचालक तथा निजको एकाघरका परिवारको वित्तीय स्वार्थ भएको व्यक्ति, बैंक तथा वित्तीय संस्थाबाट ऋण वा सापटी वा अन्य कुनै रूपमा रकम लिए/ नलिएको	नलिएको
प्रचलित कानुन बमोजिम कम्पनीको संचालक, शेयरधनी, कर्मचारी, सल्लाहकार, परामर्शदाताको हैसियतमा पाउने सुविधा वा लाभ बाहेक सूचिकृत सङ्गठित संस्थाको वित्तीय स्वार्थ भएको कुनै व्यक्ति, फर्म, कम्पनी, कर्मचारी, सल्लाहकार वा परामर्शदाताले संस्थाको कुनै सम्पत्ति कुनै किसिमले भोगचलन गरे/नगरेको	नगरेको
नियमकारी निकायले इजाजतपत्र जारी गर्दा तोकेको शर्तहरुको पालना भए/नभएको	भएको
नियमकारी निकायले संस्थाको नियमन निरीक्षण वा सुपरीवेक्षण गर्दा संस्थालाई दिइएको निर्देशन पालना भए/नभएको	भएको
संस्था वा संचालक विरुद्ध अदालतमा कुनै मुद्दा चलिरहेको भए सोको विवरण	नियमित कारोबारसंग सम्बन्धित बाहेक बैंकको वित्तय स्थितिमा तात्वीक असर पार्ने कुनै मुद्दा नभएको

परिपालन अधिकृतको नाम : श्रीमतीबन्दना थापा

JOSHI & BHANDARY ▪ Chartered Accountants ▪ G.P.O. Box: 3423
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INDEPENDENT AUDITOR'S REPORT TO THE SHAREHOLDERS OF NEPAL INVESTMENT BANK LIMITED

Report on the Audit of Consolidated Financial Statements

Opinion

We have audited the consolidated financial statements of Nepal Investment Bank Limited and its subsidiaries (collectively referred to as the "Group"), which comprise the consolidated statement of financial position as at Ashad 31, 2077 (corresponding to July 15, 2020), the consolidated statement of profit or loss, the consolidated statement of other comprehensive income, the consolidated statement of changes in equity, the consolidated statement of cash flow for the year then ended, and a summary of significant accounting policies and other explanatory information prepared in accordance with Nepal Financial Reporting Standards.

In our opinion, the financial statement of the Bank and the consolidated financial statements of the Group present fairly, in all material respect, the financial position of the Bank and the Group as at Ashad 31, 2077 (July 15, 2020) and its financial performance, the statement of other comprehensive income, the statement of changes in equity and the statement of cash flow statement for the year then ended in accordance with the Nepal Financial Reporting Standards.

Basis for Opinion

We have conducted our audit in accordance with Nepal Standards on Auditing. Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the financial Statements section of our report. We are independent of the Group in accordance with the Institute of Chartered Accountant of Nepal's code of ethics for professional accountants (ICAN Code) together with the ethical requirements that are relevant to our audit of the financial statements in Nepal and we have fulfilled our ethical responsibilities in accordance with these requirements and the ICAN Code. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Key Audit Matters

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the consolidated financial statements of the current period and include most significant assessed risks of material misstatement (whether of not due to fraud) identified including those which has greatest effect on overall audit strategy, allocation of resources in the audit and directing effort of the engagement team. We summaries below key audit matters, in decreasing order of audit significance, in arriving at our audit opinion above, together with our key audit procedures to address those matters and, as required for public interest entities, our results from those procedures. These matters were addressed in the context of our audit of the consolidated financial statements as whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters.

We have determined the matters described below to be the key audit matters to be communicated in our report.

Key Audit Matter	How the Key Audit Matter was Addressed
a. Impairment of Loans and Advances to Customers including Interest Income recognized on non-performing Loans and Advances	
Total Loans and Advances to Customers: NPR 141,451 million as on July 15, 2020 (NPR 127,244 as on July 16, 2019) Total Impairment: NPR 6,368 million as on July 15, 2020 (NPR 4,378 million as on July 16, 2019) Total Impairment Charges: NPR 1,997 million in FY 2019-20 (NPR 1,596 million in FY 2018-19)	

Total Accrued Interest Income is NPR 1,365 million in FY 2019-20 (NPR 61 million in FY 2018-19) out of Total Interest Income of NPR 15,201 million in FY 2019-20 (NPR 14,975 million in FY 2018-19)	
Allowances for impairment of loans and advances to customers have been made based on incurred loss model, giving impact of COVID-19 and Nepal Rastra Bank (NRB) regulations, as applicable. The Bank is required to apply its judgment and estimation to determine allowances for impairment. In addition, assessment of allowances for impairment is important as carve out provides for higher of the incurred loss model or NRB's directive. The carrying value of the loans and advances to the customers can be materially misstating if the Bank's judgment and estimation are inappropriate. In addition to above, interest income on loans and advances to customers has been recognized on accrual basis calculated by the Bank's core banking system and following the interest income recognition Guidelines 2019 issued by NRB. Recognition of interest income on non-performing loans and advances involves estimation and judgments on calculating net realizable value of loans and advances. Considering the significance of the above matter to the financial statements, we have identified this as a key audit matter for the current year audit.	We planned and tested the operating effectiveness of key controls established by the Bank to identify loss events and for determining the extent of provisioning required against non-performing loans and advances to customers. The testing of controls include testing of controls over correct identification and classification of non-performing loans and advances to customers on time-based criteria; control over statistical models used to calculate the incurred loss in accordance with incurred loss model; control over monitoring of loans and advances to customers with higher risk default; control over accurate computation and recording of provisions; and control over the governance and approval process related to provisions including continuous reassessment by the Bank's Management. We selected a sample of loans and advances to customers, checked installments of repayments and tested classification of non-performing loans and advances to customers based on the number of days overdue; evaluated the Bank's assessment for classification of loans and advances to customers as performing and non-performing based on repayment pattern, documentation, inspection and through discussion with the Bank's Management; assessment of control over mortgage value of loans and advances to customers. We selected sample of loans and advances to customers and independently performed and reassessed whether there was need to classify loans and advances to customers as non-performing and compared our outcome to that prepared by the bank and challenged various assumptions and judgments which were used by the Bank's Management. We assessed the appropriateness and adequacy of disclosures against the relevant accounting standards and NRB requirements relating to allowances for impairment on loans and advances and interest recognition, and considered to be acceptable.
b. Information Technology System and Control impacting Financial Reporting in relation to the Bank	
The Bank's Information Technology environment is complex and involves a large number of independent and inter- dependent Information technology systems used in the Bank's operations for processing and recording a large volume of transactions at numerous locations. As a result, there is a high degree of reliance and dependency on such Information technology systems for the Bank's financial reporting process. Appropriate Information technology, general controls and application controls are required to ensure that such Information technology systems are able to process the data, as required, completely, accurately and consistently for reliable financial reporting. The accuracy and reliability of the financial reporting process depends on the Information technology systems and the related control environment, including: Information technology general controls over user access management and change management across applications,	In assessing the integrity of the Information technology systems, we involved our Information technology experts to obtain an understanding of the Information technology infrastructure and Information technology systems relevant to the Bank's financial reporting process for evaluation and testing of Information technology general controls and Information technology automated controls existing in such Information technology systems. Access rights were tested over applications, operating systems, networks, and databases, which are relied upon for financial reporting. We also assessed the operating effectiveness of controls over granting, removal and periodical review of access rights. We further tested segregation of duties, including preventive controls to ensure that access to change applications, the operating system or databases in the production environment were granted only to authorized personnel. Other areas that were assessed under the Information technology control environment, included password policies, security configurations, and controls around change management.



networks, database, and operating systems; and Information technology automated application controls. Due to the importance of the impact of the Information technology systems and related control environment on the Bank's financial reporting process, we have identified testing of such Information technology systems and related control environment as a key audit matter for the current year audit.	We also evaluated the design and tested the operating effectiveness of key automated controls within various business processes. This included testing the integrity of system interfaces, the completeness and accuracy of data feeds and automated calculations, and considered to be acceptable.

Information Other than the Consolidated Financial Statement and Auditors' Report Thereon

The Bank's Management is responsible for the other information. The other information comprises the information included in the Management Letter, the Board of Directors and Chairman's Statement but does not include the consolidated financial statements and our auditor's report thereon.

Our opinion on the consolidated financial statements does not cover the other information and we do not express any form of assurance conclusion thereon.

In connection with our audit of the consolidated financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the audit or otherwise appears to be materially misstated. If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

Other Matters

We did not audit the financial statements and other financial information of subsidiary NIBL Ace Capital Limited, whose financial statements reflect total assets of NPR 1,306 million as at Ashad 31, 2077 (corresponding to July 15, 2020) and net profit of NRP 63 million and net cash outflows of NRP 241 million for the year then ended. These financial statements and other financial information have been audited by other auditors whose reports have been furnished to us by the management and our opinion on the financial statements in so far as it relates to the accounts and disclosures included in respect of these subsidiaries, are based solely on the report of other auditors.

Government of Nepal had initiated nationwide lockdown from March 24, 2020 due to COVID-19 pandemic. The nation's economy has been affected due to COVID-19 pandemic which had led to contraction of economic activities of businesses that are customers to the bank. In view of these developments, the impact on bank's result is significantly dependent on future outcomes.

Our opinion on the consolidated financial statements and our report on Other Legal and Regulatory Requirements below, is not modified in respect of the above matters.

Responsibilities of Management and Those Charged with Governance for the Consolidated Financial Statements

Management is responsible for the preparation and fair presentation of the consolidated financial statements in accordance with Nepal Financial Reporting Standards, and for such internal control as management determines is necessary to enable the preparation of financial statements that are free from material misstatements, whether due to fraud or error.

In preparing the consolidated financial statements, management is responsible for assessing the Group's ability to continue as a going concern, disclosing, as applicable matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Group or to cease operations, or has no realistic alternative but to do so.

Those charged with governance are responsible for overseeing the Group's financial reporting process.

Auditor's Responsibility for Audit of the Consolidated Financial Statements



Our objectives are to obtain reasonable assurance about whether the consolidated financial statements as a whole are free from material misstatements, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with Nepal Standards on Auditing will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with Nepal Standards on Auditing, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risk of material misstatement of the consolidated financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omission, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances but not for the purpose of expressing an opinion of the effectiveness of the Bank and its subsidiary's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- Conclude on the appropriateness of the management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cause significant doubt on the Bank's and its subsidiary's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosure in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Bank and its subsidiary to cease to continue as a going concern.
- Evaluate the overall presentation, structure, and content of the consolidated financial statements, including the disclosures, and whether the consolidated financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

Report on Other Legal and Regulatory Requirements

We have obtained information and explanations asked for which, to best of our knowledge and belief, were necessary for the purpose of our audit. In our opinion, consolidated statements of financial position, consolidated statement of profit or loss, consolidated statement of other comprehensive income, consolidated statements of changes in equity and consolidated statements of cash flows, have been prepared in accordance with the procedure and format prescribed by Nepal Rastra Bank and are in agreement with the books of account maintained by the Bank and its subsidiaries included in the Group. Proper books and records have been kept as per law, so far as it appears, from our examination of those books and records of the Bank and the reports of the other auditors.

In our opinion, so far as it appears from our examination of the books, the Bank has maintained adequate capital funds and adequate provision for possible impairment of assets in accordance with the directives of Nepal Rastra Bank.



To the best of our information and according to explanations given to us and so far as it appears from our examination of the books of account of the Bank and the audit reports issued by other auditors necessary for the purpose of our audit, we have not come across cases where Board of Directors or any employees of the Bank and its subsidiaries have acted contrary to the provisions of law or committed any misappropriation relating to the accounts or caused loss or damage to the Group and violated any directives of Nepal Rastra Bank or acted in a manner to jeopardize the interest and security of the Bank, its depositors and investors.

Prabhu R. Bhandary
Managing Partner

Joshi & Bhandary
Chartered Accountants

Place: Kathmandu
Date: December 20, 2020
UDIN No: 201220CA00030Q9sLC

Nepal Investment Bank Limited

Consolidated Statement of Financial Position

As on Ashad 31 2077 (15 July 2020)

Assets	Notes	Group		Bank	
		15-Jul-2020 Ashad 31 2077	16-Jul-2019 Ashad 31 2076	15-Jul-2020 Ashad 31 2077	16-Jul-2019 Ashad 31 2076
Cash and Cash Equivalent	4.01	7,845,206,508	14,057,180,771	7,538,028,646	13,520,574,452
Due from Nepal Rastra Bank	4.02	14,321,970,764	10,860,922,267	14,321,970,764	10,860,922,267
Placements with Banks and FIs	4.03	7,964,991,870	8,498,973,679	7,964,991,870	8,498,973,679
Derivative financial instruments	4.04	133,976,991	436,888,360	133,976,991	436,888,360
Other trading assets	4.05	80,036,708	95,681,264	-	-
Loans and advances to B/FIs	4.06	4,920,062,224	4,274,416,419	4,920,062,224	4,274,416,419
Loans and advances to customers	4.07	135,082,098,539	122,866,553,596	135,082,098,539	122,866,553,596
Investment Securities	4.08	26,891,507,529	17,405,724,794	26,078,436,529	16,973,474,794
Current tax assets	4.09	715,226,432	507,636,181	715,878,466	501,179,607
Investments in subsidiaries	4.10	-	-	171,500,000	171,500,000
Investments in associates	4.11	143,670,660	121,631,918	82,362,800	82,364,280
Investment Property	4.12	265,982,961	214,090,090	265,982,961	214,090,090
Property and Equipment	4.13	4,030,148,381	4,068,901,347	4,010,977,101	4,042,456,211
Goodwill and Intangible assets	4.14	126,105,664	92,518,795	124,618,954	90,628,239
Deferred tax assets	4.15	-	-	-	-
Other assets	4.16	1,666,512,509	3,356,114,570	1,613,011,295	3,307,966,236
Total Assets		**204,187,497,740**	**186,857,234,051**	**203,023,897,140**	**185,841,988,230**

Liabilities	Notes	Group		Bank	
		15-Jul-2020 Ashad 31 2077	16-Jul-2019 Ashad 31 2076	15-Jul-2020 Ashad 31 2077	16-Jul-2019 Ashad 31 2076
Due to Banks and Financial Institutions	4.17	2,462,217,078	2,790,962,616	2,462,217,078	2,790,962,616
Due to Nepal Rastra Bank	4.18	2,722,787	940,266,774	2,722,787	940,266,774
Derivative Financial Instruments	4.19	-	-	-	-
Deposits from customers	4.20	166,338,554,321	149,336,508,090	166,362,126,293	149,392,281,905
Borrowings	4.21	-	-	-	-
Current tax liabilities	4.09	-	-	-	-
Provisions	4.22	2,496,960	2,279,375	-	-
Deferred tax liabilities	4.15	961,560,869	857,560,110	968,728,628	865,207,173
Other Liabilities	4.23	3,738,016,060	3,871,826,592	2,804,938,623	3,024,073,727
Debt securities issued	4.24	3,250,000,000	3,250,000,000	3,250,000,000	3,250,000,000
Subordinated liabilities	4.25	-	-	-	-
Total Liabilities		**176,755,568,075**	**161,049,403,557**	**175,850,733,409**	**160,262,792,195**
Equity					
Share capital	4.26	14,248,954,500	12,869,749,100	14,248,954,500	12,869,749,100
Share premium		32,598,858	105,648,593	32,598,858	105,648,593
Retained earnings		2,885,969,018	2,303,535,397	2,622,386,038	2,064,662,325
Reserves	4.27	10,264,407,289	10,528,897,404	10,269,224,335	10,539,136,017
Total equity attributable to equity holders		**27,431,929,665**	**25,807,830,494**	**27,173,163,731**	**25,579,196,035**
Non-Controlling Interest		-		-	-
Total Liabilities and Equity		**204,187,497,740**	**186,857,234,051**	**203,023,897,140**	**185,841,988,230**
Contingent Liabilities & commitment	4.28	77,163,352,814	89,776,744,482	77,163,352,814	89,776,744,482
Net assets value per share		**193**	**201**	**191**	**199**

Prithivi Bahadur Pandé Chairman	Prajanaya Rajbhandary Director	Surya Prakash Lal Shrestha Director	Kabi Kumar Tibrewala Director	Prabhu Ram Bhandary, FCA Managing Partner Joshi & Bhandary Chartered Accountants Auditor
Manju Basnett Director	Bhuwaneshwar Prasad Shah Director	Jyoti P. Pandey CEO	Sachin Tibrewal Head-Accounts & Finance	

Date : Poush 05, 2077 (December 20, 2020)
Place : Durbarmarg, Kathmandu

Nepal Investment Bank Limited

Consolidated Statement of Profit or Loss

For the year ended Ashad 31 2077 (FY 2019-20)

Assets	Notes	Group		Bank	
		FY 2019-20 FY 2076-77	FY 2018-19 FY 2075-76	FY 2019-20 FY 2076-77	FY 2018-19 FY 2075-76
Interest income	4.29	15,284,715,553	15,047,526,761	15,201,326,112	14,975,214,929
Interest expense	4.30	(9,421,936,008)	(8,798,166,539)	(9,423,657,132)	(8,801,708,681)
Net interest income		**5,862,779,545**	**6,249,360,222**	**5,777,668,980**	**6,173,506,249**
Fees and Commission income	4.31	1,596,092,181	1,550,628,895	1,513,163,506	1,442,867,238
Fees and Commission expense	4.32	(326,480,303)	(355,753,116)	(315,998,302)	(339,736,881)
Net fee and commission income		**1,269,611,878**	**1,194,875,779**	**1,197,165,204**	**1,103,130,358**
Net interest, fee and commission income		**7,132,391,423**	**7,444,236,001**	**6,974,834,184**	**7,276,636,607**
Net trading income	4.33	878,920,495	895,393,134	871,873,211	890,843,806
Other operating income	4.34	178,823,840	141,030,286	230,123,840	180,329,014
Total Operating Income		**8,190,135,758**	**8,480,659,421**	**8,076,831,235**	**8,347,809,426**
Impairment (charges)/reversals for loans & other losses	4.35	(1,997,245,355)	(1,596,609,597)	(1,997,245,355)	(1,596,609,597)
Net operating income		**6,192,890,403**	**6,884,049,824**	**6,079,585,880**	**6,751,199,829**
Personnel Expenses	4.36	(1,493,243,345)	(1,604,259,178)	(1,442,949,135)	(1,546,163,212)
Other Operating Expenses	4.37	(877,782,269)	(880,154,226)	(862,095,484)	(854,242,238)
Depreciation and Amortization	4.38	(268,058,168)	(227,702,528)	(259,300,970)	(217,420,648)
Total operating expenses		**(2,639,083,782)**	**(2,712,115,932)**	**(2,564,345,589)**	**(2,617,826,098)**
Operating profit		**3,553,806,621**	**4,171,933,892**	**3,515,240,291**	**4,133,373,731**
Non operating income	4.39	25,357,613	695,195,356	3,317,391	650,918,703
Non operating expense	4.40	(6,287,986)	(315,657,879)	(6,287,986)	(297,758,185)
Profit before income tax		**3,572,876,248**	**4,551,471,369**	**3,512,269,696**	**4,486,534,250**
Income tax expense	4.41				
Current Tax		(1,112,577,681)	(1,182,136,822)	(1,087,060,140)	(1,153,109,936)
Deferred Tax		(3,036,271)	(7,304,744)	(2,023,498)	(9,311,377)
Profit for the year		**2,457,262,295**	**3,362,029,803**	**2,423,186,059**	**3,324,112,936**
Profit attributable to Equity holders of the Bank		**2,457,262,295**	3,366,086,414	2,423,186,059	3,324,112,936
Profit attributable to non-controlling interests			(4,056,612)		
Profit for the year		**2,457,262,295**	**3,362,029,803**	**2,423,186,059**	**3,324,112,936**
Earning per share	**4.42**				
Basic earnings per share		17.27	26.76	17.03	26.43
Diluted earnings per share		17.27	26.76	17.03	26.43

Prithivi Bahadur Pandé Chairman	Prajanaya Rajbhandary Director	Surya Prakash Lal Shrestha Director	Kabi Kumar Tibrewala Director	Prabhu Ram Bhandary, FCA Managing Partner Joshi & Bhandary Chartered Accountants Auditor
Manju Basnett Director	Bhuwaneshwar Prasad Shah Director	Jyoti P. Pandey CEO	Sachin Tibrewal Head-Accounts & Finance	

Date : Poush 05, 2077 (December 20, 2020)
Place : Durbarmarg, Kathmandu

Nepal Investment Bank Limited

Consolidated Statement of Other Comprehensive Income

For the year ended Ashad 31 2077 (FY 2019-20)

Particulars	Notes	Group		Bank	
		FY 2019-20 FY 2076-77	FY 2018-19 FY 2075-76	FY 2019-20 FY 2076-77	FY 2018-19 FY 2075-76
Profit for the year		**2,457,262,295**	**3,362,029,803**	**2,423,186,059**	**3,324,112,936**
Other comprehensive income/(expense), net of tax					
a) Items that will not be reclassified to profit or loss					
– Gains/(losses) from investments in equity instruments measured at fair value		354,486,614	(57,715,656)	356,264,844	(43,089,066)
– Gains/(losses) on revaluation					
– Actuarial gains/(losses) on defined benefit plans		(17,938,320)	(341,770)	(17,938,320)	(341,770)
– income taxes		(100,964,488)	17,417,228	(101,497,957)	13,029,251
b) Items that are or may be reclassified to profit or loss					
– Gains/(losses) on cash flow hedge					
– Exchange gains/(losses) (arising from translating financial assets of foreign operation)					
– income taxes relating to above items					
– reclassify to profit or loss					
c) Share of other comprehensive income of associates accounted as per equity method					
Other comprehensive income /(loss) for the year, net of income tax		235,583,806	(40,640,198)	236,828,567	(30,401,585)
Total comprehensive income for the year		**2,692,846,101**	**3,321,389,604**	**2,660,014,626**	**3,293,711,351**
Total comprehensive income for the year attributable to:					
– Equity holders of the Bank		2,692,846,101	3,325,446,216	2,660,014,626	3,293,711,351
– non-controlling interests		-	(4,056,612)	-	
Total comprehensive income for the year		**2,692,846,101**	**3,321,389,604**	**2,660,014,626**	**3,293,711,351**

Prithivi Bahadur Pandé Chairman	Prajanaya Rajbhandary Director	Surya Prakash Lal Shrestha Director	Kabi Kumar Tibrewala Director	Prabhu Ram Bhandary, FCA Managing Partner Joshi & Bhandary Chartered Accountants Auditor
Manju Basnett Director	Bhuwaneshwar Prasad Shah Director	Jyoti P. Pandey CEO	Sachin Tibrewal Head-Accounts & Finance	

Date : Poush 05, 2077 (December 20, 2020)
Place : Durbarmarg, Kathmandu

Statement of
For the year ended
Group

Particulars	Attributable to equity					
	Share Capital	Share premium	Retained earning	General reserve	Exchange equalisation reserve	Assets Revaluation Reserve
Balance at 1 Shrawan 2075	**10,645,599,000**	**1,718,454,020**	**2,933,950,240**	**4,785,059,440**	**83,733,982**	**1,560,760,238**
Comprehensive income for the year	-	-	-	-	-	-
Profit for the year	-	-	3,366,086,414	-	-	-
Other comprehensive income, net of tax	-	-	-	-	-	-
Gains/(losses) from investments in equity instruments measured at fair value	-	-	-	-	-	-
Gains/(losses) on revaluation	-	-	-	-	-	-
Actuarial gains/(losses) on defined benefit plans	-	-	-	-	-	-
Gains/(losses) on cash flow hedge	-	-	-	-	-	-
Exchange gains/(losses) (arising from translating financial assets of foreign operation)	-	-	-	-	-	-
Total comprehensive income for the year	**-**	**-**	**3,366,086,414**	**-**	**-**	**-**
Business Combination	**279,841,900**	**3,402,393**	**(51,770,652)**	**44,619,788**	**-**	**-**
Adjustments relating to prior periods	**-**	**-**	**(551,447,943)**	**-**	**-**	**-**
Transfer to reserve during the year	-	-	(1,115,458,175)	664,822,588	6,147,008	-
Transfer from reserve during the year	-	-	66,232,293	-	-	-
Transactions with owners, directly recognised in equity	-	-	-	-	-	-
Share issued	28,100,380	-	-	-	-	-
Share based payments	-	-	-	-	-	-
Dividends to equity holders	-	-	-	-	-	-
Bonus shares issued	1,916,207,820	(1,616,207,820)	-	-	-	-
Cash dividend paid	-	-	(2,344,056,780)	-	-	-
Other	-	-	-	-	-	-
Total contributions by and distributions	**2,224,150,100**	**(1,612,805,427)**	**(3,996,501,257)**	**709,442,376**	**6,147,008**	**-**
Balance at Ashad 2076	**12,869,749,100**	**105,648,593**	**2,303,535,397**	**5,494,501,816**	**89,880,990**	**1,560,760,238**
Balance at 1 Shrawan 2076	**12,869,749,100**	**105,648,593**	**2,303,535,397**	**5,494,501,816**	**89,880,990**	**1,560,760,238**
Comprehensive income for the year	-	-	-	-	-	-
Profit for the year	**-**	**-**	**2,457,262,295**	**-**	**-**	**-**
Other comprehensive income, net of tax	-	-	-	-	-	-
Gains/(losses) from investments in equity instruments measured at fair value	-	-	-	-	-	-
Gains/(losses) on revaluation	-	-	-	-	-	-
Actuarial gains/(losses) on defined benefit plans	-	-	-	-	-	-
Gains/(losses) on cash flow hedge	-	-	-	-	-	-
Exchange gains/(losses) (arising from translating financial assets of foreign operation)	-	-	-	-	-	-
Total comprehensive income for the year	**-**	**-**	**2,457,262,295**	**-**	**-**	**-**
Business Combination	**-**	**-**	**-**	**-**	**-**	**-**
Adjustments relating to prior periods	-	-	-	-	-	-
Transfer to reserve during the year	-	-	(1,613,834,993)	490,970,813	14,098,487	-
Transfer from reserve during the year	-	-	835,634,992	-	-	-
Transactions with owners, directly recognised in equity	-	-	-	-	-	-
Share issued	27,881,744	-	-	-	-	-
Share based payments	-	-	-	-	-	-
Dividends to equity holders	-	-	-	-	-	-
Bonus shares issued	1,351,323,656	(73,049,735)	-	-	-	-
Cash dividend paid	-	-	(1,096,628,674)	-	-	-
Other	-	-	-	-	-	-
Total contributions by and distributions	**1,379,205,400**	**(73,049,735)**	**(1,874,828,674)**	**490,970,813**	**14,098,487**	**-**
Balance at Ashad 2077	**14,248,954,500**	**32,598,858**	**2,885,969,018**	**5,985,472,629**	**103,979,477**	**1,560,760,238**

Prithivi Bahadur Pandé
Chairman

Prajanaya Rajbhandary
Director

Surya Prakash Lal Shrestha
Director

Kabi Kumar Tibrewala
Director

Date : Poush 05, 2077 (December 20, 2020)
Place : Durbarmarg, Kathmandu

Changes in Equity

Ashad 31 2077 (FY 2019-20)

of the Bank									Non controlling interest
Debenture Redemption Reserve	Fair value reserve	Capital Adjustment Reserve	Investment Adjustment Reserve	Actuary Gain / (loss)	Regulatory Reserves	CSR Reserve	Employee Training Reserve	Total	Total
1,085,714,283	**550,467,751**	**129,199,207**	**75,763,600**	**(50,406,526)**	**1,507,845,254**	**38,834,724**	**4,971,507**	**25,069,946,721**	**15,251,644**
-	-	-	-	-	-	-	-	-	-
-	-	-			-	-	-	3,366,086,414	(4,056,612)
-		-	-	-	-	-	-	-	-
-	(40,400,959)	-	-	-	-	-	-	(40,400,959)	-
-	-	-	-	-	-	-	-	-	-
-	-	-	-	(239,239)				(239,239)	-
-	-	-	-	-	-	-	-	-	-
-	-	-	-	-	-	-	-	-	-
-	**(40,400,959)**	**-**	**-**	**(239,239)**	**-**	**-**	**-**	**3,325,446,216**	**(11,195,032)**
-	**-**	**-**	**2,677,904**	**-**	**-**	**215,233**	**855,334**	**279,841,900**	**-**
-	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**(551,447,943)**	**-**
178,571,428	-	-	-	-	235,931,884	33,241,130	(3,255,863)	-	-
-	-	-	(12,689,136)	-	-	(53,543,158)	-	-	-
-	-	-	-	-	-	-		-	-
-	-	-	-	-	-	-	-	28,100,380	-
-	-	-	-	-	-	-	-	-	-
-	-	-	-	-	-	-	-	-	-
(300,000,000)	-	-	-	-	-	-	-	-	-
-	-	-	-	-	-	-	-	(2,344,056,780)	-
-	-	-	-	-	-	-	-	-	-
(121,428,572)	**-**	**-**	**(10,011,232)**	**-**	**235,931,884**	**(20,086,794)**	**(2,400,529)**	**(2,587,562,443)**	**-**
964,285,711	**510,066,792**	**129,199,207**	**65,752,368**	**(50,645,765)**	**1,743,777,138**	**18,747,930**	**2,570,978**	**25,807,830,494**	**-**
964,285,711	**510,066,792**	**129,199,207**	**65,752,368**	**(50,645,765)**	**1,743,777,138**	**18,747,930**	**2,570,978**	**25,807,830,494**	**-**
-	-	-	-	-	-	-	-	-	-
-	**-**	**-**			**-**	**-**	**-**	**2,457,262,295**	**-**
-		-	-	-	-	-	-	-	-
-	248,140,630	-	-	-	-	-	-	248,140,630	-
-	-	-	-	-	-	-	-	-	-
-	-	-	-	(12,556,824)				(12,556,824)	-
-	-	-	-	-	-	-	-	-	-
-	-	-	-	-	-	-	-	-	-
-	**248,140,630**	**-**	**-**	**(12,556,824)**	**-**	**-**	**-**	**2,692,846,101**	**-**
-	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**
-	-	-	-	-	-	-	-	-	-
178,571,431	-	-	-	-	905,629,673	24,564,588	-	-	-
-	-	(129,199,207)	-	-	(666,598,469)	(39,837,316)	-	-	-
-	-	-	-	-	-	-	-	-	-
-	-	-	-	-	-	-	-	27,881,744	-
-	-	-	-	-	-	-	-	-	-
-	-	-	-	-	-	-	-	-	-
-	-	-	-	-	(1,278,273,921)	-	-	-	-
-	-	-	-	-	-	-	-	(1,096,628,674)	-
-	-	-	-	-	-	-	-	-	-
178,571,431	**-**	**(129,199,207)**	**-**	**-**	**(1,039,242,717)**	**(15,272,728)**	**-**	**(1,068,746,930)**	**-**
1,142,857,142	**758,207,422**	**-**	**65,752,368**	**(63,202,589)**	**704,534,421**	**3,475,203**	**2,570,978**	**27,431,929,665**	**-**

Manju Basnett
Director

Bhuwaneshwar Prasad Shah
Director

Jyoti P. Pandey
CEO

Sachin Tibrewal
Head-Accounts & Finance

Prabhu Ram Bhandary, FCA
Managing Partner
Joshi & Bhandary
Chartered Accountants
Auditor

Statement of
For the year ended
Bank

Particulars	Attributable to equity					
	Share Capital	Share premium	Retained earning	General reserve	Exchange equalisation reserve	Assets Revaluation Reserve
Balance at 1 Shrawan 2075	**10,645,599,000**	**1,718,454,020**	**2,735,025,645**	**4,785,059,440**	**83,733,982**	**1,560,760,238**
Comprehensive income for the year	-	-	-	-	-	-
Profit for the year	-	-	3,324,112,936	-	-	-
Other comprehensive income, net of tax	-	-	-	-	-	-
Gains/(losses) from investments in equity instruments measured at fair value	-	-	-	-	-	-
Gains/(losses) on revaluation	-	-	-	-	-	-
Actuarial gains/(losses) on defined benefit plans	-	-	-	-	-	-
Gains/(losses) on cash flow hedge	-	-	-	-	-	-
Exchange gains/(losses) (arising from translating financial assets of foreign operation)	-	-	-	-	-	-
Total comprehensive income for the year	**-**	**-**	**3,324,112,936**	**-**	**-**	**-**
Business Combination	**279,841,900**	**3,402,393**	**(51,770,652)**	**44,619,788**	**-**	**-**
Adjustments relating to prior periods	**-**	**-**	**(551,447,943)**	**-**	**-**	**-**
Transfer to reserve during the year	-	-	(1,115,458,175)	664,822,588	6,147,008	-
Transfer from reserve during the year	-	-	66,232,293	-	-	-
Transactions with owners, directly recognised in equity	-	-	-	-	-	-
Share issued	28,100,380	-	-	-	-	-
Share based payments	-	-	-	-	-	-
Dividends to equity holders	-	-	-	-	-	-
Bonus shares issued	1,916,207,820	(1,616,207,820)	-	-	-	-
Cash dividend paid	-	-	(2,342,031,780)	-	-	-
Other	-	-	-	-	-	-
Total contributions by and distributions	**2,224,150,100**	**(1,612,805,427)**	**(3,994,476,257)**	**709,442,376**	**6,147,008**	**-**
Balance at Ashad 2076	**12,869,749,100**	**105,648,593**	**2,064,662,325**	**5,494,501,816**	**89,880,990**	**1,560,760,238**
Balance at 1 Shrawan 2076	**12,869,749,100**	**105,648,593**	**2,064,662,325**	**5,494,501,816**	**89,880,990**	**1,560,760,238**
Comprehensive income for the year	-	-	-	-	-	-
Profit for the year	**-**	**-**	**2,423,186,059**	**-**	**-**	**-**
Other comprehensive income, net of tax	-	-	-	-	-	-
Gains/(losses) from investments in equity instruments measured at fair value	-	-	-	-	-	-
Gains/(losses) on revaluation	-	-	-	-	-	-
Actuarial gains/(losses) on defined benefit plans	-	-	-	-	-	-
Gains/(losses) on cash flow hedge	-	-	-	-	-	-
Exchange gains/(losses) (arising from translating financial assets of foreign operation)	-	-	-	-	-	-
Total comprehensive income for the year	**-**	**-**	**2,423,186,059**	**-**	**-**	**-**
Business Combination		**-**	**-**	**-**	**-**	**-**
Adjustments relating to prior periods	-	-	-	-	-	-
Transfer to reserve during the year	-	-	(1,607,168,664)	484,637,212	14,098,487	-
Transfer from reserve during the year	-	-	835,634,992	-	-	-
Transactions with owners, directly recognised in equity	-	-	-	-	-	-
Share issued	27,881,744	-	-	-	-	-
Share based payments	-	-	-	-	-	-
Dividends to equity holders	-	-	-	-	-	-
Bonus shares issued	1,351,323,656	(73,049,735)	-	-	-	-
Cash dividend paid	-	-	(1,093,928,674)	-	-	-
Other	-	-	-	-	-	-
Total contributions by and distributions	**1,379,205,400**	**(73,049,735)**	**(1,865,462,345)**	**484,637,212**	**14,098,487**	**-**
Balance at Ashad 2077	**14,248,954,500**	**32,598,858**	**2,622,386,038**	**5,979,139,028**	**103,979,477**	**1,560,760,238**

Prithivi Bahadur Pandé
Chairman

Prajanaya Rajbhandary
Director

Surya Prakash Lal Shrestha
Director

Kabi Kumar Tibrewala
Director

Date : Poush 05, 2077 (December 20, 2020)
Place : Durbarmarg, Kathmandu

Changes in Equity

Ashad 31 2077 (FY 2019-20)

of the Bank								
Debenture Redemption Reserve	Fair value reserve	Capital Adjustment Reserve	Investment Adjustment Reserve	Actuary Gain / (loss)	Regulatory Reserves	CSR Reserve	Employee Training Reserve	Total
1,085,714,283	**550,467,751**	**129,199,207**	**75,763,600**	**(50,406,526)**	**1,507,845,254**	**38,834,724**	**4,971,507**	**24,871,022,126**
-	-	-	-	-	-	-	-	-
-	-	-	-	-	-	-	-	3,324,112,936
-	-	-	-	-	-	-	-	-
-	(30,162,346)	-	-	-	-	-	-	(30,162,346)
-	-	-	-	-	-	-	-	-
-	-	-	-	(239,239)	-	-	-	(239,239)
-	-	-	-	-	-	-	-	-
-	-	-	-	-	-	-	-	-
-	**(30,162,346)**	**-**	**-**	**(239,239)**	**-**	**-**	**-**	**3,293,711,351**
-	**-**	**-**	**2,677,904**	**-**	**-**	**215,233**	**855,334**	**279,841,900**
-	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**(551,447,943)**
178,571,428	-	-	-	-	235,931,884	33,241,130	(3,255,863)	-
-	-	-	(12,689,136)	-	-	(53,543,158)	-	-
-	-	-	-	-	-	-	-	-
-	-	-	-	-	-	-	-	28,100,380
-	-	-	-	-	-	-	-	-
-	-	-	-	-	-	-	-	-
(300,000,000)	-	-	-	-	-	-	-	-
-	-	-	-	-	-	-	-	(2,342,031,780)
-	-	-	-	-	-	-	-	-
(121,428,572)	**-**	**-**	**(10,011,232)**	**-**	**235,931,884**	**(20,086,794)**	**(2,400,529)**	**(2,585,537,443)**
964,285,711	**520,305,405**	**129,199,207**	**65,752,368**	**(50,645,765)**	**1,743,777,138**	**18,747,930**	**2,570,978**	**25,579,196,035**
964,285,711	**520,305,405**	**129,199,207**	**65,752,368**	**(50,645,765)**	**1,743,777,138**	**18,747,930**	**2,570,978**	**25,579,196,035**
-	-	-	-	-	-	-	-	-
-	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**2,423,186,059**
-	-	-	-	-	-	-	-	-
-	249,385,391	-	-	-	-	-	-	249,385,391
-	-	-	-	-	-	-	-	-
-	-	-	-	(12,556,824)	-	-	-	(12,556,824)
-	-	-	-	-	-	-	-	-
-	-	-	-	-	-	-	-	-
-	**249,385,391**	**-**	**-**	**(12,556,824)**	**-**	**-**	**-**	**2,660,014,626**
-	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**
-	-	-	-	-	-	-	-	-
178,571,431	-	-	-	-	905,629,673	24,231,861	-	
-	-	(129,199,207)	-	-	(666,598,469)	(39,837,316)	-	-
-	-	-	-	-	-	-	-	-
-	-	-	-	-	-	-	-	27,881,744
-	-	-	-	-	-	-	-	-
-	-	-	-	-	-	-	-	-
-	-	-	-	-	(1,278,273,921)	-	-	-
-	-	-	-	-	-	-	-	(1,093,928,674)
-	-	-	-	-	-	-	-	-
178,571,431	**-**	**(129,199,207)**	**-**	**-**	**(1,039,242,717)**	**(15,605,455)**	**-**	**(1,066,046,930)**
1,142,857,142	**769,690,796**	**-**	**65,752,368**	**(63,202,589)**	**704,534,421**	**3,142,475**	**2,570,978**	**27,173,163,731**

Manju Basnett
Director

Bhuwaneshwar Prasad Shah
Director

Jyoti P. Pandey
CEO

Sachin Tibrewal
Head-Accounts & Finance

Prabhu Ram Bhandary, FCA
Managing Partner
Joshi & Bhandary
Chartered Accountants
Auditor

Nepal Investment Bank Limited
Consolidated Statement of Cash Flows
For the year ended Ashad 31 2077 (FY 2019-20)

Particulars	Notes	Group		Bank	
		FY 2019-20 FY 2076-77	FY 2018-19 FY 2075-76	FY 2019-20 FY 2076-77	FY 2018-19 FY 2075-76
CASH FLOWS FROM OPERATING ACTIVITIES					
Interest received		13,916,679,809	14,529,567,573	13,834,714,577	14,451,892,099
Fees and other income received		1,567,240,868	1,517,584,121	1,491,454,640	1,431,520,475
Divided received		-	-	-	-
Receipts from other operating activities		1,004,026,063	997,589,690	998,478,176	979,732,680
Interest paid		(9,000,939,695)	(8,824,891,436)	(9,000,939,695)	(8,824,891,436)
Commission and fees paid		(323,459,831)	(348,295,443)	(315,998,302)	(339,736,881)
Cash payment to employees		(1,073,227,458)	(1,594,798,459)	(1,023,053,989)	(1,546,163,212)
Other expense paid		(881,428,903)	(259,655,388)	(862,095,483)	(230,000,541)
Operating cash flows before changes in operating assets and liabilities		**5,208,890,854**	**6,017,100,657**	**5,122,559,924**	**5,922,353,183**
(Increase)/Decrease in operating assets					
Due from Nepal Rastra Bank		(3,461,048,497)	1,646,510,599	(3,461,048,497)	1,646,510,599
Placement with bank and financial institutions		533,981,809	964,126,321	533,981,809	964,126,321
Other trading assets		(341,355,517)	(234,816,426)	-	-
Loan and advances to bank and financial institutions		(652,167,480)	(1,789,384,405)	(652,167,480)	(1,789,384,405)
Loans and advances to customers		(12,846,873,530)	(6,471,368,818)	(12,846,873,530)	(6,471,368,818)
Other assets		1,997,633,272	(2,486,630,157)	1,998,794,766	(2,484,224,800)
Increase/(Decrease) in operating liabilities		-	-	-	
Due to bank and financial institutions		(328,745,538)	1,095,455,110	(328,745,538)	1,095,455,110
Due to Nepal Rastra Bank		(937,543,987)	434,418,284	(937,543,987)	434,418,284
Deposit from customers		16,982,046,230	10,724,031,198	16,969,844,387	10,759,805,013
Borrowings		-	-	-	
Other liabilities		(659,932,929)	(2,257,786,598)	(747,977,140.62)	(895,395,485)
Net cash flow from operating activities before tax paid			-		
Income taxes paid		(1,320,167,932)	(1,325,959,699)	(1,301,758,999)	(1,307,437,161)
Net cash flow from operating activities		**4,174,716,755**	**6,315,696,065**	**4,349,065,715**	**7,874,857,840**
CASH FLOWS FROM INVESTING ACTIVITIES					
Purchase of investment securities		(8,748,696,892)	(3,545,496,035)	(8,748,696,892)	(3,545,496,035)
Receipts from sale of investment securities		-	-		
Purchase of property and equipment		(208,961,321)	(522,799,442)	(201,147,775)	(516,132,040)
Receipt from the sale of property and equipment		21,190,857	15,983,488	14,456,808	15,433,488
Purchase of intangible assets		(73,562,886)	(29,163,976)	(73,562,886)	(29,163,976)
Receipt from the sale of intangible assets		-	-	-	
Subsidiary		-	59,857,628	-	66,660,000
Associates		1,480	(49,075,680)	1,480	(49,075,680)
Purchase of investment properties		(51,892,871)	(197,531,000)	(51,892,871)	(197,531,000)
Receipt from the sale of investment properties		-	-	-	-
Interest received		-	-	-	-
Dividend received		105,277,545	91,440,140	105,277,545	91,440,140
Net cash used in investing activities		**(8,956,644,088)**	**(4,176,784,876)**	**(8,955,564,591)**	**(4,163,865,102)**
CASH FLOWS FROM FINANCING ACTIVITIES					
Receipt from issue of debt securities		-	2,000,000,000	-	2,000,000,000
Repayment of debt securities		-		-	
Receipt from issue of subordinated liabilities		-		-	
Repayment of subordinated liabilities		-		-	
Receipt from issue of shares		27,881,744	28,100,380	27,881,744	28,100,380
Dividends paid		(1,147,928,674)	(2,382,531,780)	(1,093,928,674)	(2,342,031,780)
Interest paid		(310,000,000)	(116,109,589)	(310,000,000)	(116,109,589)
Other receipt/payment		-		-	
Net cash from financing activities		**(1,430,046,930)**	**(470,540,989)**	**(1,376,046,930)**	**(430,040,989)**
Cash Flow From Merger & Acquisition Activities		**-**	**279,841,900**	**-**	**279,841,900**
Net increase (decrease) in cash and cash equivalents		**(6,211,974,263)**	**1,948,212,101**	**(5,982,545,805)**	**3,560,793,649**
Cash and cash equivalents at Shrawan 1, 2076		**14,057,180,771**	**12,108,968,670**	**13,520,574,452**	**9,959,780,803**
Effect of exchange rate fluctuations on cash and cash equivalents held					
Cash and cash equivalents at Ashad end 2077		**7,845,206,508**	**14,057,180,771**	**7,538,028,646**	**13,520,574,452**

Prithivi Bahadur Pandé Chairman	Prajanaya Rajbhandary Director	Surya Prakash Lal Shrestha Director	Kabi Kumar Tibrewala Director	Prabhu Ram Bhandary, FCA Managing Partner Joshi & Bhandary Chartered Accountants Auditor
Manju Basnett Director	Bhuwaneshwar Prasad Shah Director	Jyoti P. Pandey CEO	Sachin Tibrewal Head-Accounts & Finance	

Date : Poush 05, 2077 (December 20, 2020)
Place : Durbarmarg, Kathmandu

Nepal Investment Bank Limited Group
Notes to the Consolidated Financial Statements
For the year ended Ashad 31, 2077 (15 July 2020)

1. About Nepal Investment Bank Limited

Nepal Investment Bank Limited (NIBL) was established in 1986 as Nepal Indosuez Bank, a joint venture between Nepalese and French partners. The French partner Credit Agricole Indosuez, one of the largest global banking group holding the equity stake of 50%, decided to divest its investment in the bank. Consequently, in April 2002, Nepalese group of companies comprising of bankers, professional, industrialists and businessman acquired the 50% stake of divested by Credit Agricole Indosuez. The name of the bank was then changed to Nepal Investment Bank Limited, after completing all legal and regulatory formalities.

NIBL is licenced by Nepal Rastra Bank (the central bank of Nepal) as a commercial bank under Class "A" financial institution category. The registered office of the Bank is located at Durbar Marg, Kathmandu Nepal. The Bank's ordinary shares are listed in the Nepal Stock Exchange for public trading.NIBL is licenced to operate as a commercial bank under the Banking and Financial Institution Act. It provides wide arrays of banking services within the limits and parameters set by legislations and regulatory framework.

NIBL is the parent company with its subsidiary namely NIBL Ace Capital Limited.

NIBL Ace capital Limited is a 100% subsidiary of the bank and its business include merchant banking, depository services, asset-management of mutual fund units, portfolio management and corporate advisory.

2. Basis of preparation

2.1 Statement of Compliance

The consolidated financial statements of the group and the separate financial statements of NIBL have been prepared in accordance with NFRSs as issued by the ASB-N and as endorsed by the Institute of Chartered Accountants of Nepal and Nepal Rastra Bank directives.

2.2 Reporting period and approval of financial statements

The Bank follows the Nepalese financial year based on the Nepalese calendar.

The corresponding dates for the English calendar are as follows:

Relevant Financial Statement	Nepalese Calendar Date/Period	English Calendar Date/Period
Comparative SFP Date	31 Ashad 2076	16 July 2019
Comparative reporting period	1 Shrawan 2075 – 31 Ashad 2076	17 July 2018 - 16 July 2019
Reporting SFP Date	31 Ashad 2077	15 July 2020
Reporting period	1 Shrawan 2076– 31 Ashad 2077	17 July 2019 – 15 July 2020

2.3. Functional and presentation currency

The functional currency of the bank is Nepalese Rupees (NPR), which is also the presentation currency of the consolidated financial statements of the group.

2.4. Use of Estimates, assumptions and judgements

The preparation of financial information requires the use of estimates and judgements about future conditions. In view of the inherent uncertainties and the high level of subjectivity involved in the recognition or measurement of items listed below, it is possible that the outcomes in the next financial year could differ from those on which management's estimates are based, resulting in materially different conclusions from those reached by management for the purposes of this financial statements.

Management's selection of the accounting policies, which contain critical estimates and judgements, is listed below; it reflects the materiality of the items to which the policies are applied, the high degree of judgement and estimation uncertainty involved:

- Impairment of loans and advances
- Valuation of financial instruments
- Provisions
- Estimation of useful lives of property and equipment and intangible assets

2.5. Changes in accounting policies

NFRS requires the company to adopt accounting policies that are most appropriate to the company's circumstances.The bank has been adopting accounting policies to ensure compliance with NFRS. Specific accounting policies have been included in the section 3 of the notes for each items of financial statements which requires disclosures of accounting policies or changes in accounting policies. Effect and nature of the changes, if any, have been disclosed wherever applicable

2.6. New standards issued but not yet effective

NFRS 9 'Financial Instruments'

Classification and measurement: The classification and measurement of financial assets will depend on how these are managed (the entity's business model) and their contractual cash flow characteristics. These factors determine whether the financial assets are measured at amortised cost, fair value through other comprehensive income ('FVtOCI') or fair value through profit or loss ('FVtPL'). In many instances, the classification and

measurement outcomes will be similar to NAS 39, although differences will arise. The combined effect of the application of the business model and the contractual cash flow characteristics tests may result in some differences in the population of financial assets measured at amortised cost or fair value compared with NAS 39. The classification of financial liabilities is essentially unchanged. For certain liabilities measured at fair value, gains or losses relating to changes in the entity's own credit risk are to be included in other comprehensive income.

Impairment: The impairment requirements apply to financial assets measured at amortised cost and FVOCI, and lease receivables and certain loan commitments and financial guarantee contracts. At initial recognition, allowance (or provision in the case of commitments and guarantees) is required for expected credit losses ('ECL') resulting from default events that are possible within the next 12 months ('12-month ECL'). In the event of a significant increase in credit risk, allowance (or provision) is required for ECL resulting from all possible default events over the expected life of the financial instrument ('lifetime ECL').

- Financial assets where 12-month ECL is recognised are considered to be 'stage 1';
- Financial assets which are considered to have experienced a significant increase in credit risk are in 'stage 2'; and
- Financial assets for which there is objective evidence of impairment so are considered to be in default or otherwise credit impaired are in 'stage 3'.

The assessment of whether credit risk has increased significantly since initial recognition is performed for each reporting period by considering the change in the risk of default occurring over the remaining life of the financial instrument, rather than by considering an increase in ECL. The assessment of credit risk and the estimation of ECL are required to be unbiased and probability-weighted and should incorporate all available information which is relevant to the assessment, including information about past events, current conditions and reasonable and supportable forecasts of future events and economic conditions at the reporting date. In addition, the estimation of ECL should take into account the time value of money. As a result, the recognition and measurement of impairment is intended to be more forward-looking than under NAS 39 and the resulting impairment charge will tend to be more volatile. It will also tend to result in an increase in the total level of impairment allowances, since all financial assets will be assessed for at least 12-month ECL and the population of financial assets to which lifetime ECL applies is likely to be larger than the population for which there is objective evidence of impairment in accordance with NAS 39.

2.7. New Standards and Interpretations not adopted

New standards on revenue recognition, financial instrument accounting, leasing and insurance accounting have been issued by IASB which could represent significant changes to accounting requirements in the future.

a. IFRS 9 'Financial Instruments'

In July 2014, the IASB issued IFRS 9 'Financial Instruments', which is the comprehensive standard to replace IAS 39 'Financial Instruments: Recognition and Measurement', and includes requirements for classification and measurement of

financial assets and liabilities, impairment of financial assets and hedge accounting. (Effects and implications have been discussed above in 2.6)

b. IFRS 15 'Revenue from Contracts with Customers'

In May 2014, the IASB issued IFRS 15 'Revenue from Contracts with Customers'. The original effective date of IFRS 15 has been delayed by one year and the standard is now effective for annual periods beginning on or after 1 January 2018 with early application permitted. IFRS 15 provides a principles-based approach for revenue recognition, and introduces the concept of recognising revenue for performance obligations as they are satisfied. The standard should be applied retrospectively, with certain practical expedients available. The bank has assessed the impact of IFRS 15 and it expects that the standard will have no significant effect, when applied, on the financial statements of the group and NIBL.

c. IFRS 16 'Leases'

In January 2016, the IASB issued IFRS 16 'Leases' with an effective date of annual periods beginning on or after 1 January 2019. IFRS 16 results in lessees accounting for most leases within the scope of the standard in a manner similar to the way in which finance leases are currently accounted for under IAS 17 'Leases'. Lessees will recognise a 'right of use' asset and a corresponding financial liability on the balance sheet. The asset will be amortised over the length of the lease and the financial liability measured at amortised cost. Lessor accounting remains substantially the same as in IAS 17. The bank is currently assessing the impact of IFRS 16 and it is not practicable to quantify the effect as at the date of the publication of these financial statements.

2.8. Previous Year's Figures

Previous year's figures have been regrouped / reclassified wherever necessary to make them comparable with the current year's classification / disclosure.

2.9. Discounting

When the realisation of assets and settlement of obligation is for more than one year, the Bank considers the discounting of such assets and liabilities where the impact is material. Various internal and external factors have been considered for determining the discount rate to be applied to the cash flows of the bank. For financial instruments recognised at amortised costs that meet the 'SPPI' criteria, i.e. solely for the purpose of collecting principal and interest, the effective interest rate is considered to cover for the credit risk and time value of money, therefore further discounting is not made. The fair value of debt securities shall be determined by discounting by the future cash flows by the coupon interest rate.

2.10. Going concern

The financial statements are prepared on a going concern basis, as the management of the Bank is satisfied that the bank has the resources to continue in business for the foreseeable future. In making this assessment, the Board of directors have considered a wide range of information relating to present and future conditions, including future projections of profitability, cash flows and capital resources.

2.11. Materiality

The Bank for the preparation of financial statements determines materiality based on the nature or magnitude, or both. Materiality is a pervasive constraint in financial reporting because it is pertinent to all of the qualitative characteristics.

2.12. Approval of financial statements

The accompanied financial statements have been approved and authorised for issue by the Board of Directors in its meeting held on 20th December, 2020.

3. Significant accounting policies

3.1. Basis of measurement

The financial information has been prepared under the historical cost convention, fair value measurement of financial assets and liabilities wherever the standard requires or provides option for such measurements.

3.2. Basis of consolidation

The group controls and consequently consolidates an entity when it is exposed, or has rights, to variable returns from its involvement with the entity and has the ability to affect those returns through its power over the entity. Control is initially assessed based on consideration of all facts and circumstances, and is subsequently reassessed when there are significant changes to the initial setup. Where an entity is governed by voting rights, the group would consolidate when it holds, directly or indirectly, the necessary voting rights to pass resolutions by the governing body. In all other cases, the assessment of control is more complex and requires judgement of other factors, including having exposure to variability of returns, power over the relevant activities or holding the power as agent or principal. The cost of an acquisition is measured at the fair value of the consideration, including contingent consideration, given at the date of exchange. Acquisition-related costs are recognised as an expense in the income statement in the period in which they are incurred. The acquired identifiable assets, liabilities and contingent liabilities are generally measured at their fair values at the date of acquisition. Goodwill is measured as the excess of the aggregate of the consideration transferred, the amount of non-controlling interest and the fair value of the group's previously held equity interest, if any, over the net of the amounts of the identifiable assets acquired and the liabilities assumed.

a. **Non-controlling interest (NCI):** The amount of non-controlling interest is measured either at fair value or at the non-controlling interest's proportionate share of the acquiree's identifiable net assets. For acquisitions achieved in stages, the previously held equity interest is re-measured at the acquisition-date fair value with the resulting gain or loss recognised in the income statement.

b. **Subsidiaries - Carve out not Taken** Subsidiary of Bank, NIBL Ace Capital Limited, has applied NFRS in preparation of their financial statements, which have been consolidated in NIBL Group consolidated financial statements under NFRS.The Financial Statements of the Bank's Subsidiaries are prepared for the same reporting period as per the Bank, using consistent accounting policies.

Carve out Taken - Associates

National Microfinance BittiyaSanstha Limited, M Nepal Ltdand FlexitermPrivate Limited the group's associate companies have not prepared its financial statements in accordance with NFRS however the Group has applied equity accounting for recognition and presentation of its associates. The Bank in its standalone financial statements has recognised its investment in associates at cost under NAS 27.

c. **Loss of Control –** Upon the loss of control, the Bank derecognizes the assets and liabilities of the Subsidiary, any non-controlling interests and other components of equity related to the subsidiary. Any surplus or deficit arising on the loss of control is recognized in the Statement of Profit or loss. If the Bank retains any interest in the previous Subsidiary, then such interest is measured at fair value at the date that control is lost. Subsequently it is accounted for as equity-accounted investee or in accordance with the Bank's accounting policy for financial instruments depending on the level of influence retained.

d. **Special Purpose Entity (SPE) –** The bank does not have any investment in special purpose entities.

e. **All intra-group transactions are eliminated on consolidation.**
Intra group balances and transactions, any unrealized income and expenses arising from intra group transactions, are eliminating in preparing the consolidated financial statements. Unrealized gains/losses arising from transactions with equity accounted investees are eliminated against the investments to the extent of group interest of investee.

3.3. Cash and cash Equivalent

Cash and cash equivalents include highly liquid investments that are readily convertible to known amounts of cash and which are subject to an insignificant risk of change in value. Such investments and/or placements are normally those with less than three months' maturity from the date of acquisition. Cash and cash equivalent are classified as financial assets and treated accordingly.

For the purposes of the cash flow statement, cash and cash equivalents comprise cash and non-mandatory balances with central banks and amounts due from banks with a maturity of less than three months. Cash and cash equivalent are carried at amortized cost in the Statement of Financial Position.

3.4. Financial Instruments: Financial Assets and Financial Liabilities

Financial asset is any asset that is:

(a) cash
(b) an equity instrument of another entity;
(c) a contractual right:
    i) to receive cash or another financial asset from another entity; or
    ii) to exchange financial assets or financial liabilities with another entity under conditions that are potentially favourable to the entity; or

(d) a contract that will or may be settled in the entity's own equity instruments and is:
   (i) a non-derivative for which the entity is or may be obliged to receive a variable number of the entity's own equity instruments; or
   (ii) a derivative that will or may be settled other than by the exchange of a fixed amount of cash or another financial asset for a fixed number of the entity's own equity instruments.

Financial liability is any liability that is:

a) a) contractual obligation:
   (i) to deliver cash or another financial asset to another entity; or
   (ii) to exchange financial assets or financial liabilities with another entity under conditions that are potentially unfavourable to the entity; or

(b) a contract that will or may be settled in the entity's own equity instruments and is:
   (i) a non-derivative for which the entity is or may be obliged to deliver a variable number of the entity's own equity instruments; or
   (ii) a derivative that will or may be settled other than by the exchange of a fixed amount of cash or another financial asset for a fixed number of the entity's own equity instruments.

3.4.1. Recognition

Bank / group recognises financial asset or financial liability in its statement of financial position when, and only when, it becomes a party to the contractual provisions of the instrument.

3.4.2. Classification

Financial assets are classified under three categories, namely,

- Fair Value through Profit or Loss,
- Fair Value Though Other Comprehensive Income
- At Amortised Cost

Financial liabilities are classified under two categories, namely,

- Fair Value through Profit or Loss,
- Held at amortised cost

3.4.3. Measurement

At initial recognition, the bank measures financial instruments (financial assets and liabilities) at its fair value plus, in the case of a financial asset not at fair value through profit or loss, transaction costs that are directly attributable to the acquisition of the financial asset. Transaction costs of financial assets carried at fair value through profit or loss are expensed in profit or loss.

Subsequent measurement – financial assets

- Financial assets other than recognised at amortised cost are measured and reported at fair value.
- Assets classified as held at amortised costs are carried at amortised costs using

effective interest rate.

Subsequent measurement – financial liabilities

- Financial liabilities carried at fair value are measured and reported at fair value
- Other financial liabilities are carried at amortised cost.

Gain or loss

Gain or loss arising from changes in the fair value of a financial asset or financial liability are recognised, as follows.

- A gain or loss on a financial asset or financial liability classified as at fair value through profit or loss shall be recognised in profit or loss.
- A gain or loss on a financial asset or financial liability classified as at fair value through OCI shall be recognised in other comprehensive income.

3.4.4. De-recognition

Bank derecognises financial assets when, and only when:

- The contractual rights to the cash flows from the financial asset expire; or
- It transfers the financial asset and the transfer qualifies for de-recognition.

Bank removes financial liabilities (or a part of a financial liabilities) from its statement of financial position when, and only when, it is extinguished: i.e. when the obligation specified in the contract is discharged or cancelled or expires.

3.4.5. Determination of fair value

Fair values of financial assets and liabilities are determined according to the following hierarchy:

- Level 1 – valuation technique using quoted market price: financial instruments with quoted prices for identical instruments in active markets that the group can access at the measurement date.
- Level 2 – valuation technique using observable inputs: financial instruments with quoted prices for similar instruments in active markets or quoted prices for identical or similar instruments in inactive markets and financial instruments valued using models where all significant inputs are observable. For the listed securities where the bank holds promoter shares which are priced and traded differently in the market than ordinary shares, the bank has considered the valuation of promoters shares at 50% of the price of the ordinary shares.For quoted mutual funds which are yet to be traded in NEPSE, published NAV has been considered as fair value.
- Level 3 – valuation technique with significant unobservable inputs: financial instruments valued using valuation techniques where one or more significant inputs are unobservable, where market prices are not available, then the bank considers the carrying value and future cash flows from the financial instruments.

3.4.6. Impairment

Impairment of financial assets held at amortised costs

Impairment of financial assets is considered when the carrying values of the assets are

more than the recoverable amount from the assets. Impairment is tested for all financial assets except those measured at fair value.

Impairment of loans and advances to customers and bank and financial institutions
Losses for impaired loans are recognised promptly when there is objective evidence that impairment of a loan or portfolio of loans has occurred. Impairment allowances that are calculated on individual loans or on groups of loans assessed collectively are recorded as charges to the profit or loss and are recorded against the carrying amount of impaired loans in the statement of financial position. Losses, which may arise from future events are not recognised.

The process of impairment followed by the bank under NAS 39 is as under

- Bank individually assesses for impairment of loans and advances for all loans that are overdue.
- When testing for impairment if there is no indication of impairments such loans and advances are considered for collective assessment. If there is an indication of impairment then impairment is charged to loans and advances on individual basis.
- If the loans and advances are not overdue and do not indicate any trigger events that would require detailed impairment testing such loans and advances are categorised for collective assessment of impairment.
- When triggers are identified for individually significant loans and advances they are tested for impairment.
- Impairment is specifically (individually) assessed and charged for overdue loans and advances.
- Collective assessment is based on the risk assessment, risk categories and risk classification of loans and advances.

Individually assessed loans and advances

The criteria used to make this assessment include:

- known cash flow difficulties experienced by the borrower;
- contractual payments of either principal or interest being past due for more than 90 days;
- the probability that the borrower will enter bankruptcy or other financial realisation;
- a concession granted to the borrower for economic or legal reasons relating to the borrower's financial difficulty that results in forgiveness or postponement of principal, interest or fees, where the concession is not insignificant; and
- there has been deterioration in the financial condition or outlook of the borrower such that its ability to repay is considered doubtful. For loans where objective evidence of impairment exists, impairment losses are determined considering the following factors:
  - the group's aggregate exposure to the customer;
  - the viability of the customer's business model and their capacity to trade successfully out of financial difficulties and generate sufficient cash flow to service debt obligations;
  - the amount and timing of expected receipts and recoveries;
  - the likely dividend available on liquidation or bankruptcy;
  - the extent of other creditors' commitments ranking ahead of, or paripassu with,

the group and the likelihood of other creditors continuing to support the company;
– the complexity of determining the aggregate amount and ranking of all creditor claims and the extent to which legal and insurance uncertainties are evident;

- the realisable value of security (or other credit mitigants) and likelihood of successful repossession;
- the likely costs of obtaining and selling collateral as part of foreclosure;
- the ability of the borrower to obtain, and make payments in, the currency of the loan if not denominated in local currency; and
- when available, the secondary market price of the debt.

The determination of the realisable value of security is based on the market value at the time the impairment assessment is performed. The value is not adjusted for expected future changes in market prices, though adjustments are made to reflect local conditions such as forced sale discounts. Impairment losses are calculated by discounting the expected future cash flows of a loan, which includes expected future receipts of contractual interest, at the loan's original effective interest rate and comparing the resultant present value with the loan's current carrying amount. The impairment allowances on individually significant accounts are reviewed at least quarterly and more regularly when circumstances require.

Collectively assessed loans and advances

Impairment is assessed collectively to cover losses, which have been incurred but have not yet been identified on loans subject to individual assessment or for homogeneous groups of loans that are not considered individually significant. All individually significant loans and advances and investment securities are assessed for specific impairment. Those found not to be specifically impaired are then collectively assessed for any impairment that has been incurred but not yet identified. Loans and advances that are not individually significant are collectively assessed for impairment by grouping together loans and advances with similar risk characteristics.

Impairment of loans and advances portfolios are based on the judgments in past experience of portfolio behaviour. In assessing collective impairment, the Bank uses historical trends of the probability of default by analyzing data of last twenty quarters, the timing of recoveries and the amount of loss incurred, adjusted for management's judgment as to whether current economic and credit conditions are such that the actual losses are likely to be greater or less than suggested by historical trends. Default rates, loss rates and the expected timing of future recoveries are regularly benchmarked against actual outcomes to ensure that they remain appropriate. When information becomes available which identifies losses on individual loans within the group, those loans are removed from the group and assessed individually.

The entire loan portfolio has been segregated into eight portfolio categories considering similar characterises, risk profile and other similar attributes of the loans. The collective impairment allowance is determined using statistical methods by calculating probability of default (PD) and Loss given Default (LGD) for each portfolio or homogeneous groups of loans not considered individually significant and not specifically impaired.

Reversals of impairment

If the amount of an impairment loss decreases in a subsequent period, and the decrease can be related objectively to an event occurring after the impairment was recognised, the excess is written back by reducing the loan impairment allowance account accordingly. The write-back is recognised in the profit and loss statement.

Write-off of loans and advances

Loans (and the related impairment allowance accounts) are normally written off, either partially or in full, when there is no realistic prospect of recovery. Where loans are secured, this is generally after receipt of any proceeds from the realisation of security. In circumstances where the net realisable value of any collateral has been determined and there is no reasonable expectation of further recovery, write-off may be earlier.

Carve out – Loans and Advances Impairment

The regulators have provided a mandatory carve-out for charging impairment of loans and advances. The carve-out provides that the bank needs to assess its impairment of loans and advances under NFRS and calculate impairment under rule based impairment model of Directive 2 of Nepal Rastra Bank. Then higher impairment of the two methods needs to be recognised in the financial statements, with additional disclosure of the loans and advances had the other methods been applied for comparison purpose. The bank for the current financial year has assessed the impairment under NFRS impairment model and under NRB Directives. Since the impairments under NRB directives are more than under NFRS, the bank has recognised impairment calculated under NRB directives. Following table below depicts the calculation of impairment allowance as per NFRS and as per NRB Directives:

Loans and advances to BF/Is	As per NFRS FY 2076-77	As per NRB FY 2076-77	As per NFRS FY 2075-76	As per NRB FY 2075-76
Loans to microfinance institutions	4,969,759,822	4,969,759,822	4,317,592,342	4,317,592,342
Other				
Less: Allowances for Impairment	(7,967,501)	(49,697,598)	(559,844)	(43,175,923)
Total Loans and advances to BFIs	**4,961,792,321**	**4,920,062,224**	**4,317,032,498**	**4,274,416,419**

Loans and advances to Customers	As per NFRS FY 2076-77	As per NRB FY 2076-77	As per NFRS FY 2075-76	As per NFRS FY 2075-76
Loans and advances measured at amortised cost				
Loans and advances to Customers (A)	139,365,502,152	139,365,502,152	126,618,333,520	126,618,333,520
Staff Loan (B)	439,202,631	439,202,631	345,785,720	345,785,720
AIR (C)	1,646,333,004	1,646,333,004	280,649,924	280,649,924
Total Loan as per Financial Statement (A+B+C)	**141,451,037,787**	**141,451,037,787**	**127,244,769,164**	**127,244,769,164**
Less: Impairment allowances (a+b+c)				
for Loans and Advances Collective Allowances (a)	(1,266,335,104)	(1,197,628,743)	(233,760,064)	(1,092,253,851)
for Loans and Advances Individual Allowances (b)	(4,305,155,600)	(5,171,310,505)	(3,250,009,239)	(3,285,961,717)
Total Impairment Allowance	**(5,571,490,704)**	**(6,368,939,248)**	**(3,483,769,303)**	**(4,378,215,568)**
Net Loans and Advance to customers	**135,879,547,084**	**135,082,098,539**	**123,760,999,861**	**122,866,553,596**

3.4.7. Offsetting of financial assets and financial liabilities

Financial assets and financial liabilities are offset and the net amount is reported in the balance sheet when there is a legally enforceable right to offset the recognised amounts and there is an intention to settle on a net basis, or realise the asset and settle the liability simultaneously ('the offset criteria').

3.5. Trading Assets

Financial assets are classified as trading assets (held for trading) if they have been acquired principally for the purpose of selling in the near term, or form part of a portfolio of identified financial instruments that are managed together and for which there is evidence of a recent pattern of short- term profit-taking. They are recognised on trade date, when the group enters into contractual arrangements with counterparties, and are normally derecognised when sold. They are initially measured at fair value, with transaction costs taken to the income statement. Subsequent changes in their fair values are recognised in the income statement in 'Net trading income'.

3.6. Derivative Assets and derivative liabilities

Derivatives are financial instruments that derive their value from the price of underlying items such as equities, bonds, interest rates, foreign exchange, credit spreads, commodities and equity or other indices. Derivatives are initially recognised, and are subsequently re-measured, at fair value. Fair values of derivatives are obtained either from quoted market prices or by using valuation techniques.

Embedded derivatives are bifurcated from the host contract when their economic characteristics and risks are not clearly and closely related to those of the host non-derivative contract, their contractual terms would otherwise meet the definition of a stand-alone derivative and the combined contract is not held for trading or designated at

fair value. The bifurcated embedded derivatives are measured at fair value with changes therein recognised in the income statement.

3.7. Property and equipment

Property and Equipment except freehold land are stated at historical cost, or fair value at the date of transition to NFRSs ('deemed cost'), less impairment losses and depreciation over their estimated useful lives. Freehold land are periodically assessed for their fair value and reported at revalued amount. The excess of fair value over the cost of freehold land is recognized in equity as revaluation reserve.

Depreciation is made on the following basis

Asset Class	Useful life / years (%)
Land	Not depreciated
Building	50 (2%)
Leasehold Properties	6.67 (15%)
Computer & accessories	5 (20%)
Vehicles	6.67 (15%)
Furniture	6.67 (15%)
Machinery	6.67 (15%)
Equipment & others	6.67 (15%)

Property and equipment is subject to an impairment review if their carrying amount may not be recoverable. Leasehold properties are depreciated over 6.67 years or over the remaining useful life, whichever is lower.Depreciation on property and equipment is charged from next month of purchase. No depreciation is charged in the month of disposal.

Low value assets costing less than NRs 10,000 each are charged as operational expenses in the year of purchase. The assets' residual values and useful lives are reviewed, and adjusted if appropriate, at each balance sheet date. Assets are reviewed for impairment whenever events or changes in circumstances indicate that the carrying amount may not be recoverable. In the event that an asset's carrying amount is determined to be greater than its recoverable amount it is written down immediately. The recoverable amount is the higher of the asset's fair value less costs to sell and its value in use. For the first time adoption of NFRS land properties, under the ownership and control of the bank, have been revalued to reflect the value of those properties. The excess of the carrying value and the market value is taken to the equity as revaluation reserve.

3.8. Goodwill and intangible assets

Goodwill arises on the acquisition of subsidiaries, when the aggregate of the fair value of the consideration transferred, the amount of any non- controlling interest and the fair value of any previously held equity interest in the acquiree exceed the amount of the identifiable assets and liabilities acquired. If the amount of the identifiable assets and liabilities acquired is greater, the difference is recognised immediately in the profit and loss. Goodwill is allocated to cash-generating units ('CGU's) for the purpose of impairment testing, which is undertaken at the lowest level at which goodwill is monitored for internal management purposes. Impairment testing is performed at least annually, or

whenever there is an indication of impairment, by comparing the recoverable amount of a CGU with its carrying amount. The carrying amount of a CGU is based on its assets and liabilities, including attributable goodwill. The recoverable amount of an asset is the higher of its fair value less cost to sell and its value in use. Value in use ('VIU') is the present value of the expected future CGU cash flows. If the recoverable amount is less than the carrying value, an impairment loss is charged to the income statement. Goodwill is carried on balance sheet at cost less accumulated impairment losses. At the date of disposal of a business, attributable goodwill is included in the group's share of net assets in the calculation of the gain or loss on disposal.

Intangible assets are recognised separately from goodwill when they are separable or arise from contractual or other legal rights, and their fair value can be measured reliably. These intangible assets are recognised at historical cost less impairment less amortisation over their estimated useful life.

Amortisation is made on the following basis

Asset Class	Useful life
Software	5

3.9. Investment property

Land or a building or part of a building or both owned by the bank or held by the bank as the lessee under a finance lease to earn rentals or for capital appreciation or both, rather than for:

- use in the production or supply of goods or services or for administrative purposes; or
- sale in the ordinary course of business.

are classified as investment properties

Investment properties are measured initially at its cost. Transaction costs are included in the initial measurement.After initial recognition, the bank chooses the cost model to measure its investment properties in accordance with NAS 16.
The total fair value of investment property as on Ashad end 2077 is NPR 305,634,635 and cost is NPR 265,985,961.

3.10. Income Tax

Income tax comprises current tax and deferred tax. Income tax is recognised in the income statement except to the extent that it relates to items recognised in other comprehensive income or directly in equity, in which case it is recognised in the same statement in which the related item appears. Current tax is the tax expected to be payable on the taxable profit for the year, calculated using tax rates enacted or substantively enacted by the reporting date, and any adjustment to tax payable in respect of previous years. Current tax assets and liabilities are offset when the group intends to settle on a net basis and the legal right to offset exists.

Deferred tax is recognised on temporary differences between the carrying amounts of assets and liabilities in the balance sheet and the amounts attributed to such assets and liabilities for tax purposes. Deferred tax liabilities are generally recognised for all taxable

temporary differences and deferred tax assets are recognised to the extent that it is probable that future taxable profits will be available against which deductible temporary differences can be utilised.

Deferred tax is calculated using the tax rates expected to apply in the periods in which the assets will be realised or the liabilities settled, based on tax rates and laws enacted, or substantively enacted, by the balance sheet date. Deferred tax assets and liabilities are offset when they arise in the same tax reporting group and relate to income taxes levied by the same taxation authority, and when the group has a legal right to offset.

Deferred tax relating to actuarial gains and losses on post-employment benefits is recognised in other comprehensive income. Deferred tax relating to share-based payment transactions is recognised directly in equity to the extent that the amount of the estimated future tax deduction exceeds the amount of the related cumulative remuneration expense. Deferred tax relating to fair value re-measurements of available-for-sale investments and cash flow hedging instruments is credited or charged directly to other comprehensive income and is subsequently recognised in the income statement when the deferred fair value gain or loss is recognised in the income statement.

3.11. Deposits, debt securities issued and subordinated liabilities

Borrowings (which include deposits from banks, customer deposits, debt securities in issue and subordinated liabilities) are recognised initially at fair value, being their issue proceeds net of transaction costs incurred. These instruments are subsequently stated at amortised cost using the effective interest method. The Bank has availed the carve out for recognition of transaction costs for debentures issued in the current fiscal year.

3.12. Provisions

Provisions are recognised when it is probable that an outflow of economic benefits will be required to settle a current legal or constructive obligation, which has arisen as a result of past events, and for which a reliable estimate can be made. Judgement is involved in determining whether a present obligation exists and in estimating the probability, timing and amount of any outflows. Professional expert advice is taken on the assessment of litigation, property (including onerous contracts) and similar obligations wherever necessary.

3.13. Revenue recognition

Interest income

(i) Interest income are recognised under accrual basis in the profit or loss for all interest-bearing financial instruments.

(ii) The bank has recognised interest income on loans and advances as per the guidelines prescribed by Nepal Rastra Bank through NRB Circular number 1 dated 2076/04/10.

The criteria for determining when interest income recognition should be suspended as per the NRB circular are as follows:

a. Loans where there is reasonable doubt about the ultimate collectability of principal or interest;
b. Loans against which individual impairment as per NAS 39 or life time impairment as per NFRS 9 has been made;

c. Loans where contractual payments of principal and/or interest are more than 3 months in arrears and where the "net realizable value" of security is insufficient to cover payment of principal and accrued interest;
d. Loans where contractual payments of principal and/or interest are more than 12 months in arrears, irrespective of the net realizable value of collateral;
e. Overdrafts and other short term facilities which have not been settled after the expiry of the loan and even not renewed within 3 months of the expiry, and where the net realizable value of security is insufficient to cover payment of principal and accrued interest;
f. Overdrafts and other short term facilities which have not been settled after the expiry of the loan and even not renewed within 12 months of the expiry, irrespective of the net realizable value of collateral;.

Notwithstanding anything contained in this paragraph, the suspended interest shall be recognized as income in profit or loss when the interest is receipt by the bank.

Bank shall accrue the interest on loan although it has been decided to suspend the recognition of income. However, bank shall cease to accrue interest on loan, in case where contractual payments of principal and/or interest of the loan are due for more than 12 months and the "net realizable value" of security is insufficient to cover payment of principal and accrued interest. Cessation of accrual of interest for accounting purpose shall not preclude the bank to continue to accrue interest on a memorandum basis for legal enforcement purposes unless the loan is written off.

NFRS Requirement

NFRS requires interest income to be recognised using the effective interest method, except for those classified at fair value through profit or loss. The effective interest method is a method of calculating the amortised cost of a financial asset and of allocating the interest income over the expected life of the financial instrument. The effective interest rate is the rate that exactly discounts the estimated future cash payments or receipts over the expected life of the financial instrument or, when appropriate, a shorter period, to the net carrying amount of the financial asset or financial liability. The effective interest rate is calculated on initial recognition of the financial asset or liability by estimating the future cash flows after considering all the contractual terms of the instrument but not future credit losses. The calculation includes all amounts expected to be paid or received by the Bank including expected early redemption fees and related penalties and premiums and discounts that are an integral part of the overall return. Direct incremental transaction costs related to the acquisition, issue or disposal of financial instruments is also taken into account in the calculation. Once financial asset or a group of similar financial assets has been written down as a result of an impairment loss, interest income is recognised using the rate of interest used to discount the future cash flows for the purpose of measuring the impairment loss.

Since the commission and other service fees that the bank charges on the loans and advances are less than 1% and hence considered insignificant, applying EIR method would not be practical and cost effective. Hence, initial service fees and renewal charges have been recognised during the period when such income accrue rather than being included within the component of interest income under EIR method.

Total accrued interest income accounted for FY 2076/77 as per Interest income recognition guidelines issued by NRB is NPR 1,365.68 million out of which NPR 814.44 million, realized till 16th October 2020 has been factored in computation of Regulatory Reserve as per section 3 of NRB directive number 4.

10% rebate amounting to NPR 22.88 million and 2% discount amounting to NPR 550 million on interest income has been provided to the eligible borrowers for prescribed period amidst the COVID 19 pandemic as per NRB circular no 21 (2076/77) dated 2077/01/16 and NRB circular no 18 (2076/77) dated 2076/12/16 .

Fees and Commission Income – Fees and commissions, which are not an integral part of the effective interest rate are generally recognised when the service has been provided. Fee income is earned from a diverse range of services provided by the group to its customers. Loan commitment fees for loans that are likely to be drawn down are deferred (together with related direct costs) and recognised as an adjustment to the effective interest rate on the loan once drawn. Where it is unlikely that loan commitments will be drawn, loan commitment fees are recognised over the life of the facility. Loan syndication fees are recognised as revenue when the syndication has been completed and the Bank retains no part of the loan package for itself or retains a part at the same effective interest rate for all interest-bearing financial instruments, including loans and advances, as for the other participants.

Dividend Income: Dividend income is recognised when the right to receive payment is established. This is the ex-dividend date for listed equity securities, and usually the date when shareholders approve the dividend for unlisted equity securities.

Net trading income comprises all gains and losses from changes in the fair value of financial assets and financial liabilities held for trading, together with the related interest income, expense and dividends.

Net income from financial instruments designated at fair value includes all

- gains and losses from changes in the fair value of financial assets and liabilities designated at fair value through profit or loss, including liabilities under investment contracts;
- gains and losses from changes in the fair value of derivatives that are managed in conjunction with financial assets or liabilities designated at fair value through profit or loss; and
- interest income, interest expense and dividend income in respect of
  - financial assets and liabilities designated at fair value through profit or loss; and
  - derivatives managed in conjunction with the above,
  - except for interest arising from the group's issued debt securities and derivatives managed in conjunction with those debt securities, which is included in 'Interest expense'.

3.14. Interest expense

Under NFRS Interest expense are recognised in the profit or loss for all interest-bearing financial instruments using the effective interest method. The effective interest method is a method of calculating the amortised cost of a financial liability and of allocating the

interest expense over the expected life of the financial instrument.

3.15. Employee benefits

3.15.1.Current employee benefits costs

Short-term employee benefits, such as salaries, paid absences, performance-based cash rewards and social security costs are recognised over the period in which the employees provide the related services.

3.15.2. Post-employment benefits

The bank operates a number of post-employment benefit plans. These plans include both defined benefit and defined contribution plans.

Defined contribution plan

Payments to defined contribution plans where the bank's obligations are equivalent to a contribution to the defined contribution plan. These are charged as an expense as the employees render service. The bank operates provident fund scheme under Defined contribution plan. A percentage of basic pay is paid on monthly basis to the plan. The bank has no further obligation to pay after such contribution even if the plan assets may not be sufficient to pay out to the employees. The plan is managed by a separately registered retirement benefit plan managed by the employees of the bank. Any further income on such fund belongs to the employees.

Defined benefit plan

The defined benefit plan includes gratuity and accumulated leave compensation payment at the time of retirement. The present value of defined benefit obligations are calculated at the reporting date by the actuaries. The net charge to the profit and loss comprises the service costs and the net interest on the net defined benefit liability and is presented under staff cost.

The past service cost, which is charged immediately to the income statement, is the change in the present value of the defined benefit obligation for employee service in prior periods resulting from a plan amendment (the introduction or withdrawal of, or changes to, a defined benefit plan) or curtailment (a significant reduction by the entity in the number of employees covered by a plan). A settlement is a transaction that eliminates all further legal and constructive obligations for part or all of the benefits provided under a defined benefit plan, other than a payment of benefits to, or on behalf of, employees that is set out in the terms of the plan and included in the actuarial assumptions.

Re-measurements of the net defined benefit liability, which comprise actuarial gains and losses, return on plan assets (excluding interest) and the effect of the asset ceiling (if any, excluding interest), are recognised immediately in other comprehensive income. Actuarial gains and losses comprise experience adjustments (the effects of differences between the previous actuarial assumptions and what has actually occurred), as well as the effects of changes in actuarial assumptions..

The defined benefit asset or liability represents the present value of defined benefit obligations reduced by the fair value of plan assets. Any net defined benefit surplus is limited to the present value of available refunds and reductions in future contributions to the plan.

Sick Leave and Accumulative Leave

Sick Leave and accumulated leave has been defined as long term employee benefit. Expense relating to leave benefits, including actuarial gain or loss are charged to profit and loss.

Staff Loans:

The bank provides under listed types of loans to its staffs at the rates mentioned below as per the provisions of employees' bylaws of the bank. The staff loans are shown at fair value in the financial statements considering the base rate of the bank. The subsidized interest is shown as expense in the staff costs in the income statement.

Land loan:	5%
Social loan:	5%
Vehicle loan:	4%
Housing loan:	tied up with insurance policy
Solar loan:	8%

3.16. Leases

Agreements which transfer substantially all the risks and rewards incidental to the ownership of assets are classified as finance leases. As a lessor under finance leases, the group presents the amounts due under the leases, after deduction of unearned charges, in 'Loans and advances to banks' or 'Loans and advances to customers'. As a lessee under finance leases, the group presents the leased assets in 'Property and equipment' and the corresponding liability to the lessor is included in 'Other liabilities'. A finance lease and its corresponding liability are recognised initially at the fair value of the asset or, if lower, the present value of the minimum lease payments.

All other leases are classified as operating leases. As a lessor, the group presents assets subject to operating leases in 'Property and equipment'. Impairment losses are recognised to the extent that the carrying values are not fully recoverable. As a lessee, leased assets are not recognised on the balance sheet. The finance income or charges on finance leases are recognised in 'Net interest income' over the lease periods so as to give a constant rate of return.

The leases entered into by the Bank are primarily operating leases. Operating lease rentals payable are charged to the profit and loss on a straight-line basis over the period of the lease. When an operating lease is terminated before the end of the lease period, any payment made to the lessor by way of penalty is recognised as an expense in the period of termination.

3.17. Foreign currency translation

Transactions in foreign currencies are recorded in the functional currency at rate of exchange prevailing on the date of the transaction. Monetary assets and liabilities denominated in foreign currencies are translated into the functional currency at the buying rate of exchange at the balance sheet date. Any resulting exchange differences are included in the profit or loss. Non-monetary assets and liabilities that are measured at historical cost in a foreign currency are translated into the functional currency using the rate of exchange at the date of the initial transaction. Non-monetary assets and liabilities measured at fair value in a foreign currency are translated into the functional

currency using the rate of exchange at the date the fair value was determined.

3.18. Financial Guarantee and loan commitments

Financial guarantees, which are not classified as insurance contracts, are the contingent liabilities, which include certain guarantees and letters of credit pledged as collateral security as well as contingent liabilities related to legal proceedings or regulatory matters are possible obligations that arise from past events whose existence will be confirmed only by the occurrence, or non-occurrence, of one or more uncertain future events not wholly within the control of the group; or are present obligations that have arisen from past events but are not recognised because it is not probable that settlement will require the outflow of economic benefits, or because the amount of the obligations cannot be reliably measured. Contingent liabilities are not recognised in the financial statements but are disclosed unless the probability of settlement is remote.

Loan Commitments
These include the amount of loans approved by the bank but are not yet disbursed / utilised. These include for example overdraft / crash credit limits given to the customers in excess of already utilised balances where customers can draw down credit facilities, within the limit, without going through any further approval process of the bank.

3.19. Share capital and reserves

Financial instruments issued are classified as equity when there is no contractual obligation to transfer cash, other financial assets or issue a variable number of own equity instruments. Incremental costs directly attributable to the issue of equity instruments are shown in equity as a deduction from the proceeds.

Reserves

- Share Premium: Any premium collected on issue of shares to the public is credited to this reserve. This reserve is utilised only for issue of the bonus share capital.
- Retained Earnings: Earning made during the current and previous years not distributed has been credited to this reserve.
- General Reserve: There is a regulatory requirement under Bank and Financial Institutions Act to set aside 20% of the net profit after tax every year as general reserve to build up the capital until the general reserve fund balance is twice the paid up share capital. This is the restricted reserve and cannot be freely used. The Bank appropriates 20% of the regulatory net profit every year and transfers to the general reserve fund.
- Exchange equalization reserve: Central bank's regulatory directives require banks to transfer 25% of the revaluation gain as at the year end to this reserve account. Thus, 25% of such gains are transferred to the exchange equalization reserve.
- Assets Revaluation Reserve: Bank has revalued its land properties as on the date of transition to NFRS. The upward movement in the value of the land is adjusted by creating an equivalent amount of revaluation reserve. Bank periodically reviews the fair value of freehold land, as entire class of the assets, and makes changes in the recognised value. Professional valuations are used to assess the fair value changes.

- Fair value Reserve: Net change in fair value of equity instruments that are measured at fair value and the changes in fair value is presented under this reserve.
- Debenture Redemption Reserve: The Bank sets aside a portion of its profit to create a reserve for repayment of debenture liabilities when they mature. On maturity and settlement of the debentures there reserves will be available as free reserve.
- Other reserves
  - o CSR Reserve: Bank has regulatory requirement to set aside 1% of the net profit of previous year for corporate social responsibility activities. The amount spent in the year is written back from the reserve to retained earnings.
  - o Staff Training Reserve: Bank has regulatory requirement to set aside the shortfall between amount spent for training and amount calculated at 3% of the previous year's staff cost. Such shortfall amount if any is set aside in the reserves. In case where the amount spent exceeds 3%, the excess is written back from the reserve.
- Capital adjustment reserve; The amount includes interest income recognized as income on accrual basis in earlier years (vide NRB directives providing relaxation to recognize accrued income on project loans during the period of earthquake and blockade.) The amount has been reversed back to retained earning as there is no longer requirement of such reserve.
- Investment Adjustment reserve: 100% reserve is created on investments in equity instruments that are not listed and are not exempted by NRB.
- Regulatory reserves: Includes
  - o Accrued Interest Receivable Reserve
  - o Bargain Purchase Gain Reserve to the extent not available or not proposed for distribution
  - o Non-banking Asset Reserve
  - o Actuarial Loss Reserve and
  - o Other reserves as prescribed by NRB

3.20. Earning per share including diluted

Basic earnings per share are calculated by dividing the net profit attributable to equity shareholders by the weighted average number of ordinary shares in issue during the year. For the calculation of diluted earnings per share the weighted average number of ordinary shares in issue is adjusted to assume conversion of all dilutive potential ordinary shares that arise in respect of convertible instruments, if any.

3.21. Segment reporting

The bank's business segments are basically identified as banking operations, treasury functions, trade finance business, remittance business and card operations. Measurement of segmental assets, liabilities, income and expenses is in accordance with the bank's accounting policies. Branch networks are under regional demarcation for supervision, monitoring and control. The bank does not have transfer pricing adjustments between its segments and branches /units for allocating costs and revenues. After the restructuring

of Nepal under federal constitution, the bank is considering realigning its management under provincial lines.

Bank's established departmental operation also allows the management to monitor the bank's business under the product /service lines. However the costs and revenues are not passed on between the intra-product & service lines.

Bank applies following principles for reporting operating segments

- An operating segment is a component of the bank (geographical or product/service line):
- That engages in business activities from which it may earn revenues and incur expenses
- Whose operating results are regularly reviewed by the Banks's seniors management team which is also the chief operating decision maker (CODM) to make decisions about resources to be allocated to the segment and assess its performance
- For which discrete financial information is available.

3.22. Investment in associates and joint ventures

Investments in which the bank, together with one or more parties, has joint control of an arrangement set up to undertake an economic activity are classified as joint ventures. The group classifies investments in entities over which it has significant influence, and that are neither subsidiaries nor joint ventures, as associates. Investments in associates are recognised using the equity method for reporting under the NIBL Group. Under this method, such investments are initially stated at cost, including attributable goodwill, and are adjusted thereafter for the post-acquisition change in the group's share of net assets. Goodwill arises on the acquisition of interests in joint ventures and associates when the cost of investment exceeds the group's share of the net fair value of the associates or joint venture's identifiable assets and liabilities.

An investment in an associate is tested for impairment when there is an indication that the investment may be impaired. Goodwill on acquisitions of interests in joint ventures and associates is not tested separately for impairment.

Profits on transactions between the group and its associates and joint ventures are eliminated to the extent of the group's interest in the respective associates or joint ventures. Losses are also eliminated to the extent of the group's interest in the associates or joint ventures unless the transaction provides evidence of an impairment of the asset transferred.

For standalone financial statement of the bank the investments in associates have been carried at cost.

4.01 Cash and Cash Equivalents

Particulars	Group		Bank	
	15-Jul-2020	16-Jul-2019	15-Jul-2020	16-Jul-2019
Cash in Hand	2,840,056,124	2,612,807,582	2,840,056,124	2,612,807,582
Balance with B/Fis	3,311,350,522	5,471,679,746	3,311,350,522	5,471,679,746
Money at call and short notice	-	-	-	-
Others	1,693,799,862	5,972,693,443	1,386,622,000	5,436,087,124
Total	**7,845,206,508**	**14,057,180,771**	**7,538,028,646**	**13,520,574,452**

4.02 Due from Nepal Rastra Bank

Particulars	Group		Bank	
	15-Jul-2020	16-Jul-2019	15-Jul-2020	16-Jul-2019
Statutory balances with NRB	4,426,267,920	5,315,487,140	4,426,267,920	5,315,487,140
Securities purchased under resale agreement	-	-	-	-
Other deposit and receivable from NRB	9,895,702,844	5,545,435,127	9,895,702,844	5,545,435,127
Total	**14,321,970,764**	**10,860,922,267**	**14,321,970,764**	**10,860,922,267**

4.03 Placements with Banks and Financial Institutions

Particulars	Group		Bank	
	15-Jul-2020	16-Jul-2019	15-Jul-2020	16-Jul-2019
Placement with domestic B/Fis	-	-	-	-
Placements with Foreign B/Fis	7,964,991,870	8,498,973,679	7,964,991,870	8,498,973,679
Less: Allowances for Impairments	-	-	-	-
Total	**7,964,991,870**	**8,498,973,679**	**7,964,991,870**	**8,498,973,679**

4.04 Derivative Financial Intruments - Assets

Particulars	Group		Bank	
	15-Jul-2020	16-Jul-2019	15-Jul-2020	16-Jul-2019
Held for trading	-	-	-	-
-Interest rate swap	-	-	-	-
-Currency swap	-	-	-	-
- Forward exchange contract	-	-	-	-
- Others	-	-	-	-
Held for risk management	**133,976,991**	**436,888,360**	**133,976,991**	**436,888,360**
-Interest rate swap	-	-	-	-
- Currency swap	-	-	-	-
- Forward exchange contract	133,976,991	436,888,360	133,976,991	436,888,360
- Others	-	-	-	-
Total	**133,976,991**	**436,888,360**	**133,976,991**	**436,888,360**

4.05 Other Trading Assets

Particulars	Group		Bank	
	15-Jul-2020	16-Jul-2019	15-Jul-2020	16-Jul-2019
Treasury Bills	-	-	-	-
Government Bonds	-	-	-	-
NRB Bonds	-	-	-	-
Domestic Corporate Bonds	-	-	-	-
Equities	71,978,628	88,068,854	-	-
Other	8,058,079	7,612,410	-	-
Total	**80,036,708**	**95,681,264**	**-**	**-**
Pledged	-	-	-	-
Non- Pledged	-	-	-	-

4.05.1 Information relating to Investments in Equities of subsidiary

Particulars	Group			
	15-Jul-2020		16-Jul-2019	
	Cost	Fair Value	Cost	Fair Value
A Investment in Equity Shares				
Arun Kabeli Power Limited			29,500	55,460
(295 shares of Rs.100 each)				
Ngadi Group Power Ltd.			57,900	73,776
(636 shares of Rs.100 each)				
Shikhar Insurance Co. Ltd.	501,800	2,409,935	501,800	1,823,415
(2,365 shares of Rs.100 each)				
NLG Insurance Company Ltd.	101,677	182,646	101,677	211,836
(278 shares of Rs.100 each)				
Synergy Power Development Co. Ltd.	61,600	60,368	61,600	55,440
(616 shares of Rs.100 each)				
Nepal Life Insurance Co. Ltd.	794,859	1,558,620	794,859	891,990
(1,237 shares of Rs.100 each)				
United Modi Hydropower Ltd.	12,300	12,792	33,700	36,733
(123 shares of Rs.100 each)				
Standard Chartered Bank Ltd.	-	-	-	-
(3,260 shares of Rs.100 each)				
NMB Bank Ltd. (Clean Energy)	-	3,573	-	2,674
(9 shares of R. 100 each)				
Rastriya Beema Co. Ltd. - Promoters	1,427,084	699,696	1,427,084	763,422
(86 shares of Rs.100 each)				
Butwal Power Co. Ltd.	20,117,450	17,442,733	39,287,553	35,280,340
(48,587 shares of Rs.100 each)				

4.05.1 Information relating to Investments in Equities of subsidiary

Contd....

Particulars	Group			
	15-Jul-2020		16-Jul-2019	
	Cost	Fair Value	Cost	Fair Value
Barun Hydropower Company Limited (10 shares of Rs.100 each)	1,000	840	1,000	900
Mero Microfinance Bittiya Sanstha Limited (162 shares of Rs.100 each)	9,961	109,188	9,900	66,500
National Microfinance Bittiya Sanstha Limited (50 shares of Rs.100 each)	1,900	82,500	1,900	42,920
Jyoti Bikash Bank Ltd. (2,229 shares of Rs.100 each)	169,300	370,014	169,300	322,251
RSDC Microfinance Bittiya Sanstha Limited (95 shares of Rs.100 each)	7,800	51,490	7,800	30,870
Deva: Bikash Bank Ltd. (496 shares of Rs.100 each)			49,600	72,416
Saptakoshi Development Bank Limited (3,094 shares of Rs.100 each)	285,900	371,280	285,900	393,206
Sub total	**23,492,632**	**23,355,675**	**42,821,074**	**40,124,149**
B. Investment in Mutual Fund Units				
Siddhartha Equity Oriented Scheme (58,977 units of Rs.10 each)			589,770	638,131
NMB Suluv Investment Fund-1 (105,500 units of Rs.10 each)			1,055,000	1,141,510
Global IME Samunnat Scheme-1 (237,328 units of Rs.10 each)	2,373,280	2,036,274	2,373,280	1,988,809
NIBL Samriddhi Fund-1 (1,000,000 units of Rs.10 each)	10,000,000	9,900,000	10,000,000	9,260,000
NMB Hybrid Fund L1 (94,644 units of Rs.10 each)	946,440	899,118	946,440	949,279
Nabil Equity Fund (112,646 units of Rs.10 each)	1,126,460	1,050,987	1,126,460	1,050,987
NIBL Pragati Fund (1,051,384 units of Rs.10 each)	10,513,840	8,568,780	10,513,840	7,822,297
Laxmi Equity Fund (438,717 units of Rs.10 each)	4,387,170	3,847,548	4,387,170	3,347,411
Siddhartha Equity Fund (400,000 units of Rs.10 each)	4,000,000	4,000,000	4,000,000	4,036,000
Sanima Equity Fund (400,000 units of Rs.10 each)	4,000,000	3,972,000	4,000,000	3,760,000
Laxmi Value Fund 1 (321,611 units of Rs.10 each)	-	-	3,216,110	3,280,432
NIBL Sahavagita Fund (1,071,270 units of Rs.10 each)	10,712,700	11,848,246	10,712,700	10,669,849
NMB 50 (250,000 units of Rs.10 each)	2,500,000	2,500,000	-	-
Sub total	**50,559,890**	**48,622,953**	**52,920,770**	**47,944,705**
Total	**74,052,522**	**71,978,628**	**95,741,844**	**88,068,854**

4.06 Loans and Advances to Bank and Financial Institutions

Particulars	Group		Bank	
	15-Jul-2020	16-Jul-2019	15-Jul-2020	16-Jul-2019
Local Banks and FI	-	-	-	-
Loan to Micro Finance Institutions	4,969,759,822	4,317,592,342	4,969,759,822	4,317,592,342
Other		-		-
Less: Allowances for impairment	(49,697,598)	(43,175,923)	(49,697,598)	(43,175,923)
Total	**4,920,062,224**	**4,274,416,419**	**4,920,062,224**	**4,274,416,419**

4.06.1 Allowance for Impairment

Particulars	Group		Bank	
	15-Jul-2020	16-Jul-2019	15-Jul-2020	16-Jul-2019
Balance at Shrawan 1	**43,175,924**	**25,282,079**	**43,175,924**	**25,282,079**
Impairment loss for the year	-	-	-	-
Charge for the year	14,548,269	21,776,153	14,548,269	21,776,153
Recoveries / reversals	(8,026,594)	(3,882,309)	(8,026,594)	(3,882,309)
Amount Written Off	**-**	-	**-**	**-**
Balance at Ashad end	**49,697,598**	**43,175,924**	**49,697,598**	**43,175,924**

4.07 Loans and Advances to Customers

Particulars	Group		Bank	
	15-Jul-2020	16-Jul-2019	15-Jul-2020	16-Jul-2019
Loans and Advances measured at amortised cost	141,451,037,787	127,244,769,164	141,451,037,787	127,244,769,164
Less: Impairment Allowances				
Collective Impairment	(1,197,628,743)	(1,092,253,851)	(1,197,628,743)	(1,092,253,851)
Individual Impairment	(5,171,310,505)	(3,285,961,717)	(5,171,310,505)	(3,285,961,717)
Total Impairment	(6,368,939,248)	(4,378,215,568)	(6,368,939,248)	(4,378,215,568)
Net Amount	135,082,098,539	122,866,553,596	135,082,098,539	122,866,553,596
Loan and advances measured at FVTPL				
Total	**135,082,098,539**	**122,866,553,596**	**135,082,098,539**	**122,866,553,596**

4.07.1 Analysis of Loans and Advances - By Product

Particulars	Group		Bank	
	15-Jul-2020	16-Jul-2019	15-Jul-2020	16-Jul-2019
Product				
Term loans	50,671,330,431	39,534,964,412	50,671,330,431	39,534,964,412
Overdraft	15,905,603,903	15,584,905,226	15,905,603,903	15,584,905,226
Trust receipt/Import loans	14,712,607,428	18,247,118,422	14,712,607,428	18,247,118,422
Demand and other working capital loans	41,053,736,639	35,682,569,016	41,053,736,639	35,682,569,016
Personal residential loans	2,142,120,399	2,281,680,966	2,142,120,399	2,281,680,966
Real estate loans	5,265,489,125	4,010,889,941	5,265,489,125	4,010,889,941
Margin lending loans	1,195,244,456	1,249,536,805	1,195,244,456	1,249,536,805
Hire purchase loans	2,969,724,204	3,398,626,665	2,969,724,204	3,398,626,665
Deprived sector loans	2,242,264,228	2,398,358,367	2,242,264,228	2,398,358,367
Bills purchased	446,807,833	775,179,329	446,807,833	775,179,329
Staff loans	439,202,631	345,785,720	439,202,631	345,785,720
Other	**2,760,573,506**	**3,454,504,373**	**2,760,573,506**	**3,454,504,373**
Gross Loan	**139,804,704,783**	**126,964,119,239**	**139,804,704,783**	**126,964,119,239**
Sub total	**139,804,704,783**	**126,964,119,239**	**139,804,704,783**	**126,964,119,239**
Interest receivable	1,646,333,004	280,649,925	1,646,333,004	280,649,925
Grand total	**141,451,037,787**	**127,244,769,164**	**141,451,037,787**	**127,244,769,164**

4.07.2 Analysis of Loans and Advances - By Currency

Particulars	Group		Bank	
	15-Jul-2020	16-Jul-2019	15-Jul-2020	16-Jul-2019
Nepalese rupee	129,597,014,498	116,533,792,578	129,597,014,498	116,533,792,578
Indian rupee	3,583,803	5,276,390	3,583,803	5,276,390
United State dollar	11,849,018,742	10,680,737,857	11,849,018,742	10,680,737,857
Great Britain pound	-	-	-	
Euro	1,420,744	24,962,339	1,420,744	24,962,339
Japenese yen	-	-		-
Chinese yuan	**-**	**-**		**-**
Other	**-**	**-**		**-**
Total	**141,451,037,787**	**127,244,769,164**	**141,451,037,787**	**127,244,769,164**

4.07.3 Analysis of Loans and Advances - By Collateral

Particulars	Group		Bank	
	15-Jul-2020	16-Jul-2019	15-Jul-2020	16-Jul-2019
Secured				
Movable/immovable assets	124,451,001,255	112,243,472,214	124,451,001,255	112,243,472,214
Gold and silver	916,723,716	930,004,248	916,723,716	930,004,248
Guarantee of domestic B/FIs	-	-	-	-
Government guarantee	383,429,574	383,429,574	383,429,574	383,429,574
Guarantee of international rated bank	-	-	-	-
Collateral of export document	-	-	-	-
Collateral of fixed deposit receipt	482,428,973	1,068,361,212	482,428,973	1,068,361,212
Collateral of Governement securities	891,738	873,532	891,738	873,532
Counter guarantee	-	-	-	-
Personal guarantee	479,302,557	794,336,318	479,302,557	794,336,318
Other collateral	14,737,259,975	11,824,292,066	14,737,259,975	11,824,292,066
Subtotal	**141,451,037,787**	**127,244,769,164**	**141,451,037,787**	**127,244,769,164**
Unsecured				
Grant Total	**141,451,037,787**	**127,244,769,164**	**141,451,037,787**	**127,244,769,164**

4.07.4 Allowance for Impairment

Particulars	Group		Bank	
	15-Jul-2020	16-Jul-2019	15-Jul-2020	16-Jul-2019
Specific Allowances for Impairment				
Balance at Shrawan 1	**3,285,961,717**	**1,609,720,776**	**3,285,961,717**	**1,609,720,776**
Impairment loss for the year				
Charge for the year	2,148,551,586	2,328,340,613	2,148,551,586	2,328,340,613
Recoveries / reversals	(262,496,709)	(430,269,214)	(262,496,709)	(430,269,214)
Write-offs	(706,090)	(297,400,937)	(706,090)	(297,400,937)
Exchange rate variance on FCY impairment	-	-	-	-
Other Movement	-	75,570,479	-	75,570,479
Balance at Ashad End	**5,171,310,505**	**3,285,961,717**	**5,171,310,505**	**3,285,961,717**
Collective allowances for impairment				
Balance at Shrawan 1	**1,092,253,851**	**1,099,274,067**	**1,092,253,851**	**1,099,274,067**
Impairment loss for the year				
Charge for the year	105,374,893	-	105,374,893	-
Recoveries / reversals	-	(17,425,533)	-	(17,425,533)
Write-offs	-	-	-	-
Exchange rate variance on foreign currency impairment	-	-	-	-
Other Movement	-	10,405,317	-	10,405,317
Balance at Ashad End	**1,197,628,743**	**1,092,253,851**	**1,197,628,743**	**1,092,253,851**
Total allowances for impairment	**6,368,939,248**	**4,378,215,568**	**6,368,939,248**	**4,378,215,568**

4.08 Investment Securities

Particulars	Group		Bank	
	15-Jul-2020	16-Jul-2019	15-Jul-2020	16-Jul-2019
Investment Securities measured at amortised Cost	23,550,630,876	14,602,954,050	22,737,559,876	14,170,704,050
Investment Securities measured at FVTOCI	3,340,876,653	2,802,770,743	3,340,876,653	2,802,770,743
Total	**26,891,507,529**	**17,405,724,794**	**26,078,436,529**	**16,973,474,794**

4.08.1 Investments securities measured at amortised cost

Particulars	Group		Bank	
	15-Jul-2020	16-Jul-2019	15-Jul-2020	16-Jul-2019
Debt Securities	-	-	-	-
Govt of Nepal Bonds	14,625,335,000	11,718,135,000	14,625,335,000	11,718,135,000
Govt of Nepal Treasury Bills	8,112,224,876	2,452,569,050	8,112,224,876	2,452,569,050
Nepal Rastra Bank Bonds	-	-	-	-
NRB deposits instruments/reverse repo	-	-	-	-
Other Government Securities	-	-	-	-
Other	813,071,000	432,250,000	-	-
Less: specific allowances for impairment	-	-	-	-
Total	**23,550,630,876**	**14,602,954,050**	**22,737,559,876**	**14,170,704,050**

4.08.2 Investment in equity measured at fair value through other comprehensive income

Particulars	Group		Bank	
	15-Jul-2020	16-Jul-2019	15-Jul-2020	16-Jul-2019
Equity Instruments				
Quoted Equity Securities	2,288,788,829	1,768,800,742	2,288,788,829	1,768,800,742
UnQuoted Equity Securities	1,052,087,824	1,033,970,002	1,052,087,824	1,033,970,002
Total	**3,340,876,653**	**2,802,770,743**	**3,340,876,653**	**2,802,770,743**

4.08.3 Information relating to Investments in Equities

Particulars	Group				Bank			
	15-Jul-2020		16-Jul-2019		15-Jul-2020		16-Jul-2019	
	Cost	Fair Value	Cost	Fair Value	Cost	Fair Value	Cost	Fair Value
A Investment in Equity Shares								
Quoted								
" Nepal Grameen Bikash Bank "	6,929,900	19,682,460	4,500,000	8,747,640	6,929,900	19,682,460	4,500,000	8,747,640
(72,898 shares of Rs.100 each)								
Rural Micro Finance Dev. Centre Ltd	62,593,943	233,091,613	33,881,262	171,852,101	62,593,943	233,091,613	33,881,262	171,852,101
(665,026 shares of Rs.100 each)								
Swabalamban Bikas Bank	12,490,500	466,095,578	12,490,500	330,765,313	12,490,500	466,095,578	12,490,500	330,765,313
(756,035 shares of Rs.100 each)								
National Life Insurance Co. Ltd	165,195,857	592,088,828	165,195,857	450,465,210	165,195,857	592,088,828	165,195,857	450,465,210
(1,778,158 shares of Rs.100 each)								
Nepal Life Insurance Co. Ltd	2,776,605	5,281,920	2,776,605	3,776,091	2,776,605	5,281,920	2,776,605	3,776,091
(4,192 shares of Rs.100 each)								
Himalayan General Insurance Co. Ltd.	8,675,450	10,385,753	8,675,450	8,675,450	8,675,450	10,385,753	8,675,450	8,675,450
(24,787shares of Rs.100 each)								
Laxmi Equity MF	58,495,870	51,300,878	58,495,870	44,632,349	58,495,870	51,300,878	58,495,870	44,632,349
(5,849,587 units of Rs.10 each)								
Nabil Equity Fund	11,265,040	10,510,282	11,265,040	10,510,282	11,265,040	10,510,282	11,265,040	10,510,282
(1,126,504 units of Rs.10 each)								
NIBL Pragati Fund	102,500,000	83,537,500	102,500,000	76,260,000	102,500,000	83,537,500	102,500,000	76,260,000
(10,250,000 units of Rs.10 each)								
NIBL Samriddhi Fund- I	140,000,000	138,600,000	140,000,000	129,640,000	140,000,000	138,600,000	140,000,000	129,640,000
(14,000,000 units of Rs.10 each)								
NMB Hybrid Fund- I	13,535,210	12,938,250	13,535,210	13,660,068	13,535,210	12,938,250	13,535,210	13,660,068
(1,361,921 units of Rs.10 each)								
Sanima Mutual Fund	24,000,000	23,832,000	24,000,000	22,560,000	24,000,000	23,832,000	24,000,000	22,560,000
(2,400,000 units of Rs.10 each)								
Siddhartha Equity MF	14,577,480	16,394,745	14,577,480	14,809,577	14,577,480	16,394,745	14,577,480	14,809,577
(1,467,748 units of Rs.10 each)								
Siddhartha Investment growth scheme - II	50,000,000	55,400,000	-	-	50,000,000	55,400,000		
(5,000,000 units of Rs.10 each)								
Citizen Mutual Fund - II	30,000,000	33,270,000	30,000,000	30,000,000	30,000,000	33,270,000	30,000,000	30,000,000
(3000,000 units of Rs.10 each)								

4.08.3 Information relating to Investments in Equities

Contd....

Particulars	Group				Bank			
	15-Jul-2020		16-Jul-2019		15-Jul-2020		16-Jul-2019	
	Cost	Fair Value	Cost	Fair Value	Cost	Fair Value	Cost	Fair Value
Nabil Balanced Fund-II	120,000,000	118,800,000	120,000,000	120,000,000	120,000,000	118,800,000	120,000,000	120,000,000
(12,000,000 units of Rs.10 each)								
NIBL Sahavagita Fund	65,000,000	71,955,000	65,000,000	65,000,000	65,000,000	71,955,000	65,000,000	65,000,000
(6,500,000 units of Rs.10 each)								
NIC Asia Balanced Fund	50,000,000	51,900,000	-	-	50,000,000	51,900,000		
(5,000,000 units of Rs.10 each)								
NMB 50 Mutual Fund	50,000,000	54,500,000	-	-	50,000,000	54,500,000		
(5,000,000 units of Rs.10 each)								
Sunrise First Mutual Fund	50,000,000	54,700,000	-	-	50,000,000	54,700,000		
(5,000,000 units of Rs.10 each)								
Nepal Telecom	34,428,785	32,920,955	34,428,785	34,830,873	34,428,785	32,920,955	34,428,785	34,830,873
(50,261 shares of Rs.100 each)								
Butwal Power Co. Ltd	105,638,763	92,233,921	105,638,763	95,527,267	105,638,763	92,233,921	105,638,763	95,527,267
(256,919 shares of Rs.100 each)								
Jalabidyut Lagani Tatha Bikas Co. Ltd	11,853,938	15,510,992	11,853,938	18,776,593	11,853,938	15,510,992	11,853,938	18,776,593
(116,624 shares of Rs.100 each)								
Taragaon Regency Hotel Ltd	15,000,000	28,226,902	15,000,000	47,698,936	15,000,000	28,226,902	15,000,000	47,698,936
(150,946 shares of Rs.100 each)								
Chilime Hydro Power Co. Ltd.	1,454,620	1,351,608	1,454,620	1,474,430	1,454,620	1,351,608	1,454,620	1,474,430
(3,396 shares of Rs.100 each)								
National Hydropower Company ltd	656,500	535,300	656,500	646,400	656,500	535,300	656,500	646,400
(10,100 shares of Rs.100 each)								
Oriental Hotel Ltd.	701,195	400,064	701,195	703,513	701,195	400,064	701,195	703,513
(1,216 shares of Rs.100 each)								
Sanima Mai Hydropower Ltd.	6,510,750	6,388,281	6,510,750	6,380,535	6,510,750	6,388,281	6,510,750	6,380,535
(26,043 shares of Rs.100 each)								
Uniliver Nepal Limited	7,492,500	6,956,000	7,492,500	7,492,500	7,492,500	6,956,000	7,492,500	7,492,500
(370 shares of Rs.100 each)								
Siddhartha Equity Oriented Scheme	-	-	35,386,460	38,288,150	-	-	35,386,460	38,288,150
(3,538,646 units of Rs.10 each)								
NMB Sulav Investment Fund-I	-	-	14,455,465	15,532,088	-	-	14,455,465	15,532,088
(1,435,498 units of Rs.10 each)								
Asian Life Insurance Co. Ltd.	-	-	24,381	24,129	-	-	24,381	24,129
(63 shares of Rs.100 each)								

4.08.3 Information relating to Investments in Equities

Contd....

Particulars	Group				Bank			
	15-Jul-2020		16-Jul-2019		15-Jul-2020		16-Jul-2019	
	Cost	Fair Value	Cost	Fair Value	Cost	Fair Value	Cost	Fair Value
Api Power Company Ltd.	-	-	138	143	-	-	138	143
(1 shares of Rs.100 each)								
Forward Community Mirrofinance Bittiya Sanstha Ltd.	-	-	13,060	13,280	-	-	13,060	13,280
(10 shares of Rs.100 each)								
Khanikhola Hydropower Ltd.	-	-	1,088	1,056	-	-	1,088	1,056
(16 shares of Rs.100 each)								
Kalika Microcredit Development Bank Ltd.	-	-	1,398	1,398	-	-	1,398	1,398
(2 shares of Rs.100 each)								
Life Insurance Corporation Ltd	-	-	1,615	1,600	-	-	1,615	1,600
(1 shares of Rs.100 each)								
Mero Microfinance Bittiya Sanstha Ltd.	-	-	35,156	36,176	-	-	35,156	36,176
(68 shares of Rs.100 each)								
Ridi Hydropower Development Ltd.	-	-	14,850	14,850	-	-	14,850	14,850
(165 shares of Rs.100 each)								
RSDC Laghubitta Bittiya Sanstha Ltd.	**-**	**-**	**2,704**	**2,744**	**-**	**-**	**2,704**	**2,744**
(8 shares of Rs.100 each)								
Sub total	**1,221,772,905**	**2,288,788,829**	**1,040,566,640**	**1,768,800,742**	**1,221,772,905**	**2,288,788,829**	**1,040,566,640**	**1,768,800,742**
Not Quoted								
Credit Information Centre Ltd	3,705,600	31,053,000	3,705,600	16,561,600	3,705,600	31,053,000	3,705,600	16,561,600
(310,530 shares of Rs.100 each)								
Nepal Clearing House Ltd	5,506,200	10,634,556	5,506,200	7,706,200	5,506,200	10,634,556	5,506,200	7,706,200
(106,346 shares of Rs.100 each)								
ICRA Nepal Ltd	760,000	760,000	760,000	760,000	760,000	760,000	760,000	760,000
(7,600 shares of Rs.100 each)								
Nepal Infrastructure Bank Ltd	1,000,000,000	1,000,000,000	1,000,000,000	1,000,000,000	1,000,000,000	1,000,000,000	1,000,000,000	1,000,000,000
(10,000,000 shares of Rs.100 each)								
Banking Finance And Ins Inst Of Nepal Ltd (Bfin)	3,000,000	3,000,000	3,000,000	3,000,000	3,000,000	3,000,000	3,000,000	3,000,000
(30,000 shares of Rs.100 each)								
General Insurance Co. Ltd	-	-	-	-	-	-	-	-
(500 shares of Rs.100 each)								
Nepal Stock Exchange Ltd	5,000	71,600	5,000	8,334	5,000	71,600	5,000	8,334
(83.34 shares of Rs.100 each)								
National Banking Institute	1,834,800	1,834,800	1,200,000	1,200,000	1,834,800	1,834,800	1,200,000	1,200,000
(12,000 shares of Rs.100 each)								
Other Investments (Swift)	**4,733,868**	**4,733,868**	**4,733,868**	**4,733,868**	**4,733,868**	**4,733,868**	**4,733,868**	**4,733,868**
Sub total	**1,019,545,468**	**1,052,087,824**	**1,018,910,668**	**1,033,970,002**	**1,019,545,468**	**1,052,087,824**	**1,018,910,668**	**1,033,970,002**
Total	**2,241,318,373**	**3,340,876,653**	**2,059,477,308**	**2,802,770,743**	**2,241,318,373**	**3,340,876,653**	**2,059,477,308**	**2,802,770,743**

4.09 Current Taxes

Particulars	Group		Bank	
	15-Jul-2020	16-Jul-2019	15-Jul-2020	16-Jul-2019
Current Tax Assets				
Current year income tax assets	1,321,027,059	1,370,025,074	1,301,758,999	1,351,707,981
Tax assets of prior periods	11,069,619,923	9,728,416,290	11,063,163,349	9,711,455,368
Total	**12,390,646,982**	**11,098,441,364**	**12,364,922,348**	**11,063,163,349**
Current Tax Liabilities				
Current year income tax liabilities	(1,087,060,140)	(1,226,202,197)	(1,087,060,140)	(1,197,380,756)
Tax liabilities of prior periods	(10,588,360,411)	(9,364,602,986)	(10,561,983,742)	(9,364,602,986)
Total	**(11,675,420,550)**	**(10,590,805,183)**	**(11,649,043,882)**	**(10,561,983,742)**
Total	**715,226,432**	**507,636,181**	**715,878,466**	**501,179,607**

4.10 Investment in Subsidiaries

Particulars	Group		Bank	
	15-Jul-2020	16-Jul-2019	15-Jul-2020	16-Jul-2019
Investment in quoted subsidiaries	-	-	-	-
Investment in unquoted subsidiaries	-	-	171,500,000	171,500,000
Total Investment	**-**	**-**	**171,500,000**	**171,500,000**
Less: Impairment allowances	-	-	-	-
Net Carrying amount	**-**	**-**	**171,500,000**	**171,500,000**

4.10.1 Investment in quoted subsidiaries

Particulars	Bank			
	15-Jul-2020 Cost	16-Jul-2019 Fair Value	15-Jul-2020 Cost	16-Jul-2019 Fair Value
	-	-	-	-
	-	-	-	-
	-	-	-	-
	-	-	-	-
	-	-	-	-

4.10.2 Investment in unquoted subsidiaries

Particulars	Bank			
	15-Jul-2020		16-Jul-2019	
	Cost	Fair Value	Cost	Fair Value
NIBL Ace Capital Ltd (2,700,000 shares of Rs.100 each)	171,500,000	171,500,000	171,500,000	171,500,000
Total	**171,500,000**	**171,500,000**	**171,500,000**	**171,500,000**

4.10.3 Information relating to subsidiaries of the Bank

Particulars	Bank	
	Percentage of Ownership held by the Bank	
	15-Jul-2020	16-Jul-2019
NIBL Ace Capital Ltd	100%	100%
M Nepal Limited	-	-

Non Controlling Interest (NCI

Particulars	M Nepal	
	15-Jul-2020	16-Jul-2019
Equity interest held by NCI (%)	-	-
Profit/(loss) allocated during the year	-	-
Accumulated bal. of NCI as on Asar end	-	-
Dividend paid to NCI	-	-

4.11 Investment in Associates

Particulars	Group		Bank	
	15-Jul-2020	16-Jul-2019	15-Jul-2020	16-Jul-2019
Investment in quoted associates	118,741,000	98,021,500	25,109,300	25,110,780
Investment in unquoted associates	24,929,660	23,610,418	57,253,500	57,253,500
Total Investment	**143,670,660**	**121,631,918**	**82,362,800**	**82,364,280**
Less: Impairment allowances				
Net Carrying amount	**143,670,660**	**121,631,918**	**82,362,800**	**82,364,280**

4.11.1 Investment in quoted associates

Particulars	Group				Bank			
	15-Jul-2020		16-Jul-2019		15-Jul-2020		16-Jul-2019	
	Cost	Fair Value	Cost	Fair Value	Cost	Fair Value	Cost	Fair Value
National Micro Finance Bittiya Sanstha Ltd (660,096 shares of Rs.100 each)	25,109,300	118,741,000	25,110,780	98,021,500	25,109,300	118,741,000	25,110,780	98,021,500
Total	**25,109,300**	**118,741,000**	**25,110,780**	**98,021,500**	**25,109,300**	**118,741,000**	**25,110,780**	**98,021,500**

4.11.2 Investment in unquoted associates

Particulars	Group				Bank			
	15-Jul-2020		16-Jul-2019		15-Jul-2020		16-Jul-2019	
	Cost	Fair Value	Cost	Fair Value	Cost	Fair Value	Cost	Fair Value
Flexiterm P. Ltd. (82,886 shares of Rs.100 each)	8,288,600	7,591,716	8,288,600	7,646,312	8,288,600	7,591,716	8,288,600	7,646,312
M Nepal Limited (489,649 shares of Rs.100 each)	48,964,900	17,337,944	48,964,900	15,964,106	48,964,900	17,337,944	48,964,900	15,964,106
Total	**57,253,500**	**24,929,660**	**57,253,500**	**23,610,418**	**57,253,500**	**24,929,660**	**57,253,500**	**23,610,418**

4.11.3 Information relating to associates of the Bank

Particulars	Group		Bank	
	Percentage of ownership held by the Group		Percentage of ownership held by the Bank	
	15-Jul-2020	16-Jul-2019	15-Jul-2020	16-Jul-2019
National Micro Finance Bittiya Sanstha Ltd	25%	25%	25%	25%
Flexiterm P Limited	43%	43%	43%	43%
M Nepal Ltd.	49%	49%	49%	49%

4.11.4 Equity value of associates

Particulars	Group	
	15-Jul-2020	16-Jul-2019
National Micro Finance Bittiya Sanstha Ltd	118,741,000	98,021,500
Flexiterm P Limited	7,591,716	7,646,312
M Nepal Ltd.	17,337,944	15,964,106
Total	**143,670,660**	**121,631,918**

4.12 Investment Properties

Particulars	Group		Bank	
	15Jul-2020	16-Jul-2019	15Jul-2020	16-Jul-2019
Investment properties measured at fair value				
Opening Balance	-	-	-	-
Addition/disposal during the year	-	-	-	-
Net changes in fair value during the year	-	-	-	-
Adjustment/transfer	-	-	-	-
Net amount	**-**	**-**	**-**	**-**
Investment properties measured at cost				
Opening Balance	214,090,090	16,559,090	214,090,090	16,559,090
Addition/disposal during the year	51,892,871	197,531,000	51,892,871	197,531,000
Adjustment/transfer		-		-
Accumulated Depreciation		-		-
Accumulated impairment loss				
Net amount	**265,982,961**	**214,090,090**	**265,982,961**	**214,090,090**
Total	**265,982,961**	**214,090,090**	**265,982,961**	**214,090,090**

4.13 Property and Equipment

Group

Particulars	Land	Building	Lease hold Properties	Computer & Accessories	vehicles	Furniture & Fixture	Machinery	Equipment & Others	Capital Work in Progress	Total Ashad End 2077	Total Ashad End 2077
Cost											
As on Shrawan 1, 2075	2,757,453,000	252,750,353	328,726,070	649,122,287	498,351,046	173,641,591	-	467,966,610	-	5,128,010,957	5,128,010,957
Addition during the year									-	-	-
Acquisition	-	-	1,001,593	2,213,958	-	2,475,743	-	3,460,802	-	9,152,096	9,152,096
Capitalization	159,946,330	66,499,428	60,223,243	101,054,930	107,881,550	35,182,516	-	50,820,082	-	581,608,078	581,608,078
Disposal During the year	-	-	(17,016,326)	(87,361,328)	(39,576,442)	(5,942,849)	-	(24,239,330)	-	(174,136,274)	(174,136,274)
Adjustment/Revaluation	-	-	-	-	-	-	-	-	-	-	-
Balance as on Asadh End 2076	**2,917,399,330**	**319,249,781**	**372,934,580**	**665,029,847**	**566,656,154**	**205,357,001**	**-**	**498,008,164**	**-**	**5,544,634,857**	**5,544,634,857**
Addition during the year											
Acquisition	-	-	-	-	-	-	-	-	-	-	-
Capitalization	-	5,205,257	34,208,417	38,590,896	92,719,200	10,445,560	-	27,594,062	-	208,763,391	208,763,391
Disposal During the year	-	-	(37,840)	(32,303,364)	(51,840,000)	(36,238)	-	(368,522)	-	(84,585,965)	(84,585,965)
Adjustment/Revaluation	-	-	-	-	-	-	-		-	-	-
Balance as on Ashadh End 2077	**2,917,399,330**	**324,455,038**	**407,105,156**	**671,317,379**	**607,535,354**	**215,766,323**	**-**	**525,233,704**	**-**	**5,668,812,283**	**5,668,812,283**
Depreciation and Impairment	-	-	-	-	-	-	-	-	-	-	
As on Shrawan 1, 2075	-	70,684,903	276,580,970	463,898,720	189,305,325	125,285,315	-	301,399,406	-	1,427,154,640	1,427,154,640
Depreciation charge for the year	-	5,070,860	18,451,679	55,593,916	72,374,600	10,892,013	-	38,165,259	-	200,548,327	200,548,327
Impairment for the year	-	-	-	-	-	-	-	-	-	-	-
Disposals	-	-	(13,986,298)	(86,225,949)	(30,678,303)	(4,896,038)	-	(23,440,160)	-	(159,226,748)	(159,226,748)
Adjustment	-	-	494,592	1,895,062	-	2,008,623	-	2,859,014	-	7,257,291	7,257,291
As on Asadh End 2076	**-**	**75,755,763**	**281,540,943**	**435,161,749**	**231,001,622**	**133,289,913**	**-**	**318,983,520**	**-**	**1,475,733,510**	**1,475,733,510**
Depreciation charge for the year	-	6,419,697	24,408,973	67,726,367	77,653,819	13,696,621	-	37,978,922	-	227,884,400	227,884,400
Impairment for the year	-	-	-	-	-	-	-	-	-	-	-
Disposals	-	-	(14,493)	(32,303,276)	(32,484,500)	(10,410)	-	(141,329)	-	(64,954,008)	(64,954,008)
Adjustment	-	-	-	-	-	-	-	-	-	-	-
As on Ashadh End 2077	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**1,638,663,902**	**1,638,663,902**
Capital Work in Progress	-	-	-	-	-	-	-	-	-	-	-
Net Book Value	-	-	-	-	-	-	-	-	-	-	-
As on Asadh End 2075	**2,757,453,000**	**182,065,450**	**52,145,100**	**185,223,567**	**309,045,721**	**48,356,275**	**-**	**166,567,204**	**61,181,301**	**3,762,037,618**	**3,762,037,618**
As on Asadh End 2076	**2,917,399,330**	**243,494,018**	**91,393,637**	**229,868,098**	**335,654,532**	**72,067,088**	**-**	**179,024,644**		**4,068,901,347**	**4,068,901,347**
As on Asadh End 2077	**2,917,399,330**	**324,455,038**	**407,105,156**	**671,317,379**	**607,535,354**	**215,766,323**	**-**	**525,233,704**	**-**	**4,030,148,381**	**4,030,148,381**

4.13 Property and Equipment

Bank

Particulars	Land	Building	Lease hold Properties	Computer & Accessories	vehicles	Furniture & Fixture	Machinery	Equipment & Others	Capital Work in Progress	Total Ashad End 2077	Total Ashad End 2077
Cost											
As on Shrawan 1, 2075	**2,757,453,000**	**252,750,353**	**320,582,731**	**626,456,068**	**488,333,017**	**161,336,806**	**-**	**466,324,573**	**-**	**5,073,236,548**	**5,073,236,548**
Addition during the year										-	-
Acquisition	-	-	1,001,593	2,213,958	-	2,475,743	-	3,460,802	-	9,152,096	9,152,096
Capitalization	159,946,330	66,499,428	59,883,497	101,054,930	103,681,550	34,695,842	-	50,287,702	-	576,049,278	576,049,278
Disposal During the year	-	-	(14,806,576)	(86,210,442)	(37,376,442)	(3,540,081)	-	(24,122,528)	-	(166,056,069)	(166,056,069)
Adjustment/Revaluation									-	-	-
Balance as on Asadh End 2076	**2,917,399,330**	**319,249,781**	**366,661,245**	**643,514,513**	**554,638,125**	**194,968,310**	**-**	**495,950,549**	**-**	**5,492,381,853**	**5,492,381,853**
Addition during the year											
Acquisition									-	-	-
Capitalization	-	5,205,257	33,860,989	38,590,896	87,319,200	10,220,034	-	25,951,219	-	201,147,595	201,147,595
Disposal During the year			-	(32,303,364)	(41,040,000)	-			-	(73,343,364)	(73,343,364)
Adjustment/Revaluation										-	-
Balance as on Ashadh End 2077	**2,917,399,330**	**324,455,038**	**400,522,234**	**649,802,045**	**600,917,325**	**205,188,344**	**-**	**521,901,768**	**-**	**5,620,186,084**	**5,620,186,084**
Depreciation and Impairment											
As on Shrawan 1, 2075	-	70,684,903	274,942,264	455,072,631	183,792,429	120,766,836	-	301,186,661	-	1,406,445,724	1,406,445,724
Depreciation charge for the year	-	5,070,860	17,216,711	55,593,916	70,829,985	9,446,330	-	33,886,336	-	192,044,138	192,044,138
Impairment for the year	-	-	-	-	-	-	-	-	-	-	-
Disposals	-	-	(13,925,757)	(85,971,557)	(29,028,303)	(3,487,212)	-	(23,408,683)	-	(155,821,511)	(155,821,511)
Adjustment	-	-	494,592	1,895,062	-	2,008,623	-	2,859,014	-	7,257,291	7,257,291
As on Asadh End 2076	**-**	**75,755,763**	**278,727,810**	**426,590,052**	**225,594,111**	**128,734,576**	**-**	**314,523,328**	**-**	**1,449,925,642**	**1,449,925,642**
Depreciation charge for the year		6,419,697	23,137,199	67,726,367	76,389,204	12,316,804		33,739,526	-	219,728,798	219,728,798
Impairment for the year								-	-	-	-
Disposals			-	(32,303,276)	(28,142,000)	-		(180)	-	(60,445,456)	(60,445,456)
Adjustment			-	-		-		-	-	-	-
As on Ashadh End 2077	**-**	**82,175,461**	**301,865,009**	**462,013,143**	**273,841,316**	**141,051,380**	**-**	**348,262,675**	**-**	**1,609,208,984**	**1,609,208,984**
Capital Work in Progress	-	-	-	-	-	-	-	-	-	-	-
Net Book Value	-	-	-	-	-	-	-	-	-	-	-
As on Asadh End 2075	**2,757,453,000**	**182,065,450**	**45,640,467**	**171,383,437**	**304,540,588**	**40,569,970**	**-**	**165,137,912**	**61,181,301**	**3,727,972,125**	**3,727,972,125**
As on Asadh End 2076	**2,917,399,330**	**243,494,018**	**87,933,434**	**216,924,461**	**329,044,014**	**66,233,734**	**-**	**181,427,221**		**4,042,456,211**	**4,042,456,211**
As on Asadh End 2077	**2,917,399,330**	**242,279,577**	**98,657,224**	**187,788,902**	**327,076,009**	**64,136,965**	**-**	**173,639,094**	**-**	**4,010,977,101**	**4,010,977,101**

4.14 Goodwill and Intangible Assets

Group

Particulars	Goodwill	Software		Other	Total Ashad End 2077
		Purchased	Developed		
Cost					
As on Shrawan 1, 2075	**-**	**254,120,958**			**254,120,958**
Addition during the year					
Acquisition		-			-
Capitalization		55,649,065			55,649,065
Disposal During the year		(21,500)			(21,500)
Adjustment/Revaluation		-			-
Balance as on Asadh End 2076	-	**309,748,523**			**309,748,523**
Addition during the year					-
Acquisition					-
Capitalization		73,760,636			73,760,636
Disposal During the year					-
Adjustment/Revaluation					-
Balance as on Asadh End 2077	**-**	**383,509,159**			**383,509,159**
Amortization and Impairment					
As on Shrawan 1, 2075		191,297,534			191,297,534
Amortization charge for the year		25,953,694			25,953,694
Impairment for the year		-			-
Disposals		(21,500)			(21,500)
Adjustment					-
As on Asadh End 2076	**-**	**217,229,728**			**217,229,728**
Amortization charge for the year					-
Impairment for the year		40,173,768			40,173,768
Disposals					-
Adjustment					**-**
As on Asadh End 2077	**-**	**257,403,495**			**257,403,495**
Capital Work in Progress		**-**			**-**
Net Book Value		**-**			**-**
As on Asadh End 2075	**-**	**62,823,424**			**62,823,424**
As on Asadh End 2076	**-**	**92,518,795**			**92,518,795**
As on Asadh End 2077	**-**	**126,105,664**			**126,105,664**

4.14 Goodwill and Intangible Assets

Bank

Particulars	Goodwill	Software		Other	Total Asadh End 2077
		Purchased	Developed		
Cost					
As on Shrawan 1, 2075	**-**	**251,349,667**			**251,349,667**
Addition during the year					
Acquisition					-
Capitalization		54,540,462			54,540,462
Disposal During the year		-			-
Adjustment/Revaluation		-			-
Balance as on Asadh End 2076	-	**305,890,129**			**305,890,129**
Addition during the year					-
Acquisition					-
Capitalization		73,562,886			73,562,886
Disposal During the year					-
Adjustment/Revaluation					-
Balance as on Asadh End 2077	**-**	**379,453,016**			**379,453,016**
Amortization and Impairment					
As on Shrawan 1, 2075		189,885,403			189,885,403
Amortization charge for the year		25,376,487			25,376,487
Impairment for the year		-			-
Disposals		-			-
Adjustment					-
As on Asadh End 2076	**-**	**215,261,890**			**215,261,890**
Amortization charge for the year					-
Impairment for the year		39,572,172			39,572,172
Disposals		-			-
Adjustment		**-**			**-**
As on Asadh End 2077	**-**	**254,834,062**			**254,834,062**
Capital Work in Progress		**-**			**-**
Net Book Value		**-**			**-**
As on Asadh End 2075	**-**	**61,464,264**			**61,464,264**
As on Asadh End 2076	**-**	**90,628,239**			**90,628,239**
As on Asadh End 2077	**-**	**124,618,954**			**124,618,954**

4.15 Deferred Tax

Particulars	Group			Bank		
	2076-77			2076-77		
	Deferred Tax Assets	Deferred Tax Liabilities	Deferred Tax Assets/(Liabilities)	Deferred Tax Assets	Deferred Tax Liabilities	Deferred Tax Assets/(Liabilities)
Deferred Tax on temporary differences on following items						
Loans and Advance to B/Fis	-	-	-	-	-	-
Loans and advances to customers	-	-	-	-	-	-
Interest receivable	-	24,940,600	(24,940,600)	-	24,940,600	(24,940,600)
Investment properties	-	-	-	-	-	-
Investment securities	-	324,323,888	(324,323,888)	-	329,867,484	(329,867,484)
Property & Equipment	-	690,784,105	(690,784,105)	-	691,311,949	(691,311,949)
Employees' defined benefit plan	60,612,240	-	60,612,240	60,612,240	-	60,612,240
Lease Liabilities	16,779,165	-	16,779,165	16,779,165	-	16,779,165
Provisions	1,096,319	-	1,096,319	-	-	-
Other temporary differences (Jebils)	-	-	-	-	-	-
Other temporary differences(M Nepal)	-	-	-	-	-	-
Deferred Tax on temporary differences	-	-	**(961,560,869)**	**-**	**-**	**(968,728,628)**
Deferred tax on carry forward of unused tax losses	-	-	-	-	-	-
Deferred tax due to changes in tax rate	-	-	-	-	-	-
Deferred Tax assets acquired from Jebils Finance Ltd.	-	-	-	-	-	-
Net Deferred tax asset/(liabilities) as on year end of Asadh End 2077	**-**	**-**	**(961,560,869)**	**-**	**-**	**(968,728,628)**
Deferred tax asset/(liabilites) as on Shrawan 1, 2076	**-**	**-**	(857,560,110)	-	-	(865,207,173)
Origination/(Reversal) during the year	**-**	**-**	**104,000,760**	**-**	**-**	**103,521,455**
Deferred tax expense/(income) recognized in profit or loss	**-**	**-**	**3,036,271**	**-**	**-**	**2,023,498**
Deferred tax expense/(income) recognized in other comprehensive income	**-**	**-**	**100,964,488**	**-**	**-**	**101,497,957**
Deferred tax expense/(income) recognized directly in equity	**-**	**-**	**-**	**-**	**-**	**-**

4.15 Deferred Tax

Particulars	Group			Bank		
	2075-76			2075-76		
	Deferred Tax Assets	Deferred Tax Liabilities	Deferred Tax Assets/(Liabilities)	Deferred Tax Assets	Deferred Tax Liabilities	Deferred Tax Assets/(Liabilities)
Deferred Tax on temporary differences on following items						
Loans and Advance to B/Fis	-	-	-	-	-	-
Loans and advances to customers	-	-	-	-	-	-
Interet recdeivable	-	24,940,598	(24,940,598)	-	24,940,598	(24,940,598)
Investment properties	-	-	-	-	-	-
Investment securities	-	216,298,157	(216,298,157)	-	222,988,031	(222,988,031)
Property & Equipment	-	684,050,103	(684,050,103)	-	683,977,178	(683,977,178)
Employees' defined benefit plan	51,503,685	-	51,503,685	51,503,685	-	51,503,685
Lease Liabilities	15,194,950	-	15,194,950	15,194,950	-	15,194,950
Provisions	1,030,114	-	1,030,114	-	-	-
Other temporary differences (Jebils)	-	-	-	-	-	-
Other temporary differences(M Nepal)	-	-	-	-	-	-
Deferred Tax on temporary differences	**-**	**-**	**(857,560,110)**	**-**	**-**	**(865,207,173)**
Deferred tax on carry forward of unused tax losses	-	-	-	-	-	-
Deferred tax due to changes in tax rate	-	-	-	-	-	-
Net Deferred tax asset/(liabilities) as on year end of Asadh End 2076	**-**	**-**	**(857,560,110)**	**-**	**-**	**(865,207,173)**
Deferred tax asset/(liabilites) as on Shrawan 1, 2075	-	-	(865,345,428)	-	-	(868,925,046)
Origination/(Reversal) during the year	**-**	**-**	**(7,785,319)**	**-**	**-**	**(3,717,873)**
Deferred tax expense/(income) recognized in profit or loss	**-**	**-**	**9,631,909**	**-**	**-**	**9,311,377**
Deferred tax expense/(income) recognized in other comprehensive income	**-**	**-**	**(17,417,228)**	**-**	**-**	**(13,029,251)**
Deferred tax expense/(income) recognized directly in equity	**-**	**-**	**-**	**-**	**-**	**-**

4.16 Other Assets

Particulars	Group		Bank	
	15-Jul-2020	16-Jul-2019	15-Jul-2020	16-Jul-2019
Assets held for sale		-		-
Other non banking assets		-		-
Bills receivable		-		-
Accounts receivable	241,308,747	2,245,258,389	199,379,765	2,207,277,716
Accrued Income (investments)	188,424,045	187,495,589	188,424,045	187,495,589
Prepayments and deposits	57,439,724	59,490,176	57,439,724	59,490,176
Income tax deposit	-	-	-	-
Deferred employee expenditure	258,309,697	285,628,834	258,309,697	285,628,834
Premium paid on GoN Bond	-	-	-	-
Premium paid on employee home loan	411,842,261	331,324,089	411,842,261	331,324,089
Inventory	38,460,766	16,139,816	38,460,766	16,139,816
Accrued Income (Loans & Advances)	977,676,584	499,462,694	977,676,584	499,462,694
Interest Suspense	(977,676,584)	(499,462,694)	(977,676,584)	(499,462,694)
Others	470,727,270	230,777,677	459,155,038	220,610,016
Total	**1,666,512,510**	**3,356,114,570**	**1,613,011,295**	**3,307,966,236**

4.17 Due to Banks and Financial Institutions

Particulars	Group		Bank	
	15-Jul-2020	16-Jul-2019	15-Jul-2020	16-Jul-2019
Money Market Deposits	-	-	-	-
Interbank Borrowing	232,804,358	1,311,325,350	232,804,358	1,311,325,350
Settlement and Clearing accounts	-	-	-	-
Other Deposits from BFIs	2,229,412,720	1,479,637,266	2,229,412,720	1,479,637,266
Total	**2,462,217,078**	**2,790,962,616**	**2,462,217,078**	**2,790,962,616**

4.18 Due to Nepal Rastra Bank

Particulars	Group		Bank	
	15-Jul-2020	16-Jul-2019	15-Jul-2020	16-Jul-2019
Refinance from NRB	2,722,787	940,266,774	2,722,787	940,266,774
Standing Liquidity Facility	-	-	-	-
Lender of last report facility from NRB	-	-	-	-
Securities sold under repurchase agreements	-	-	-	-
Other payable to NRB	-	-	-	-
Total	**2,722,787**	**940,266,774**	**2,722,787**	**940,266,774**

4.19 Derivative Financial Instruments

Particulars	Group		Bank	
	15-Jul-2020	16-Jul-2019	15-Jul-2020	16-Jul-2019
Held for trading				
-Interest rate swap	-	-	-	-
-Currency swap	-	-	-	-
- Forward exchange contract	-	-	-	-
- Others	-	-	-	-
Held for risk management				
-Interest rate swap	-	-	-	-
-Currency swap	-	-	-	-
- Forward exchange contract	-	-	-	-
- Others	-	-	-	-
Total	-	-	-	-

4.20 Deposits from Customers

Particulars	Group		Bank	
	15-Jul-2020	16-Jul-2019	15-Jul-2020	16-Jul-2019
Institutional Customers:				
Term Deposits	42,939,730,615	39,865,295,815	42,939,730,615	39,885,295,815
Call Deposits	20,086,511,505	22,747,305,592	20,086,511,505	22,747,305,592
Current deposits	14,690,219,490	13,116,213,211	14,713,791,462	13,151,987,026
Other	3,237,605,056	2,972,279,846	3,237,605,056	2,972,279,846
Sub-total	**80,954,066,666**	**78,701,094,465**	**80,977,638,638**	**78,756,868,280**
Individual customers:				
Term Deposits	38,706,890,225	29,210,361,992	38,706,890,225	29,210,361,992
Saving Deposits	45,936,190,385	41,062,864,293	45,936,190,385	41,062,864,293
Current Deposits	722,235,253	341,822,498	722,235,253	341,822,498
Other	19,171,792	20,364,842	19,171,792	20,364,842
Sub-total	**85,384,487,655**	**70,635,413,625**	**85,384,487,655**	**70,635,413,625**
Total	**166,338,554,321**	**149,336,508,090**	**166,362,126,293**	**149,392,281,905**

4.20.1 Currency wise analysis of deposit from customers

Particulars	Group		Bank	
	15-Jul-2020	16-Jul-2019	15-Jul-2020	16-Jul-2019
Nepalese Rupee	153,625,375,370	138,688,439,368	153,648,947,342	138,724,213,183
Indian Rupee	150,265,997	118,555,531	150,265,997	118,555,531
United States Dollar	11,457,910,298	10,047,669,388	11,457,910,298	10,047,669,388
Great Britain Pound	29,926,612	40,572,594	29,926,612	40,572,594
Euro	607,846,161	248,579,917	607,846,161	248,579,917
Japanese Yen	73,965	554,139	73,965	554,139
Chinese Yuan	-	-		-
Other	467,155,918	212,137,154	467,155,918	212,137,154
Total	**166,338,554,321**	**149,356,508,090**	**166,362,126,293**	**149,392,281,905**

4.21 Borrowings

Particulars	Group		Bank	
	15-Jul-2020	16-Jul-2019	15-Jul-2020	16-Jul-2019
Domestic Borrowing				
Nepal Government	-	-	-	-
Other Institutions	-	-	-	-
Other	-	-	-	-
Sub total	-	-	-	-
Foreign Borrowing				
Foreign Bank and Financial Institutions	-	-	-	-
Multilateral Development Banks	-	-	-	-
Other Institutions	-	-	-	-
Sub total	-	-	-	-
Total	-	-	-	-

4.22 Provisions

Particulars	Group		Bank	
	15-Jul-2020	16-Jul-2019	15-Jul-2020	16-Jul-2019
Provisions for redundancy	-	-	-	-
Provision for restructuring	-	-	-	-
Pending legal issues and tax litigation	-	-	-	-
Onerous contracts	-	-	-	-
Other	2,496,960	2,279,375	-	-
Total	**2,496,960**	**2,279,375**	**-**	**-**

4.22.1 Movement in Provisions

Particulars	Group		Bank	
	15-Jul-2020	16-Jul-2019	15-Jul-2020	16-Jul-2019
Balance at Shrawan 1	(2,279,375)	3,363,715	-	-
Provisions made during the year	(217,585)	-	-	-
Provisions used during the year		(2,279,375)	-	-
Provisions reversed during the year	-	-	-	-
Unwind of discount	-	-	-	-
Balance at Ashad end	**(2,496,960)**	**(2,279,375)**	**-**	**-**

4.23 Other Liabilities

Particulars	Group		Bank	
	15-Jul-2020	16-Jul-2019	15-Jul-2020	16-Jul-2019
Liabilities for employees defined benefit obligations	109,985,119	101,273,028	109,985,119	100,118,689
Liability for long-service leave	93,213,117	71,560,261	92,055,682	71,560,261
Short term employee benefit	-	-	-	-
Bills Payable	78,889,693	331,076,636	78,889,693	331,076,636
Creditors and accruals	1,294,842,935	1,211,230,966	362,922,933	364,632,440
Interest payable on deposits	305,042,823	277,516,447	305,042,823	277,516,447
Interest payable on borrowings	158,202,687	73,011,626	158,202,687	73,011,626
Liabilities on deferred grant income	-	-		-
Unpiad dividend	419,098,375	408,013,810	419,098,375	408,013,810
Liabilities under lease	55,930,550	50,649,832	55,930,550	50,649,832
Employee bonus payable	390,252,189	498,503,805	390,252,189	498,503,805
Employee bonus payable - Jebils Finance	-	2,629,056	-	2,629,056
Others	-	-	-	-
Matured fixed deposits	69,616,131	75,523,094	69,616,131	75,523,094
Audit fees payable	2,260,000	2,260,000	2,260,000	2,260,000
Unearned Discount and commission	246,578,135	224,869,269	246,578,135	224,869,269
Amounts payable on LC	373,090,075	455,157,904	373,090,075	455,157,904
Others	141,014,231	88,550,858	141,014,231	88,550,858
Total	**3,738,016,060**	**3,871,826,592**	**2,804,938,623**	**3,024,073,727**

4.23.1 Defined benefit obligations

Particulars	Group		Bank	
	15-Jul-2020	16-Jul-2019	15-Jul-2020	16-Jul-2019
Present Value of unfunded obligations		-		-
Present Value of funded obligations	337,390,890	294,144,404	337,390,890	294,144,404
Total present value of obligations	337,390,890	294,144,404	337,390,890	294,144,404
Fair value of plan assets	227,405,770	194,025,720	227,405,770	194,025,720
Present value of net obligations	109,985,120	100,118,684	109,985,120	100,118,684
Recognized liability for defined benefit obligations	109,985,120	100,118,684	109,985,120	100,118,684

4.23.2 Plan Assets

Particulars	Group		Bank	
	15-Jul-2020	16-Jul-2019	15-Jul-2020	16-Jul-2019
Equity Securities	-	-	-	-
Government bonds	-	-	-	-
Bank deposits	227,405,770	194,025,720	227,405,770	194,025,720
Others	-	-	-	-
Total	**227,405,770**	**194,025,720**	**227,405,770**	**194,025,720**
Actual return on plan assets				

4.23.3 Movement in present value of defined benefit obligations

Particulars	Group		Bank	
	15-Jul-2020	16-Jul-2019	15-Jul-2020	16-Jul-2019
Opening DBP Obligation	294,144,404	279,843,857	294,144,404	279,843,857
Actuarial (Gain) or Loss	(7,794,750)	(21,045,870)	(7,794,750)	(21,045,870)
Benefits Paid	(8,023,640)	(17,748,943)	(8,023,640)	(17,748,943)
Current Service Costs	34,571,150	30,062,960	34,571,150	30,062,960
Interest Cost (unwinding)	24,493,720	23,032,400	24,493,720	23,032,400
Closing DBP Obligation	**337,390,884**	**294,144,404**	**337,390,884**	**294,144,404**

4.23.4 Movements in fair value of plan assets

Particulars	Group		Bank	
	15-Jul-2020	16-Jul-2019	15-Jul-2020	16-Jul-2019
Opening DBP Assets	194,025,720	162,199,311	194,025,720	162,199,311
Contributions paid into the plan	46,898,080	55,568,710	46,898,080	55,568,710
Benefits paid during the year	(8,023,640)	(17,748,943)	(8,023,640)	(17,748,943)
Actuarial (losses) gains	(25,733,070)	(21,387,640)	(25,733,070)	(21,387,640)
Expected return on plan assets	20,238,680	15,394,282	20,238,680	15,394,282
Closing fair value of DBP Assets	**227,405,770**	**194,025,720**	**227,405,770**	**194,025,720**

4.23.5 Amount Recognised in Profit or Loss

Particulars	Group		Bank	
	15-Jul-2020	16-Jul-2019	15-Jul-2020	16-Jul-2019
Current Service Costs	34,571,150	30,062,960	34,571,150	30,062,960
Interest on obligation	4,255,040	7,638,120	4,255,040	7,638,120
Expected Return on Plan Assets	-	-	-	-
Total	**38,826,190**	**37,701,080**	**38,826,190**	**37,701,080**

4.23.6 Amount recognised in other comprehensive income

Particulars	Group		Bank	
	15-Jul-2020	16-Jul-2019	15-Jul-2020	16-Jul-2019
Actuarial Gain/(Loss)	**(17,938,320)**	**(341,770)**	**(17,938,320)**	**(341,770)**

4.23.7 Actuarial Assumptions

Particulars	Group		Bank	
	15-Jul-2020	16-Jul-2019	15-Jul-2020	16-Jul-2019
Discount rate	8.5%	8.5%	8.5%	8.5%
Expected return on plan asset	-	-		-
Future salary increase	8.0%	8.0%	8.0%	8.0%
Withdrawal rate	3.0%	3.0%	3.0%	3.0%

4.23.8 Liability for long service leave

Particulars	Group		Bank	
	15-Jul-2020	16-Jul-2019	15-Jul-2020	16-Jul-2019
Opening Leave Obligation	71,560,261	33,603,093	71,560,261	33,603,093
Current Servive Costs	12,225,080	11,255,250	12,225,080	11,255,250
Finance Cost (unwinding)	5,913,990	2,720,920	5,913,990	2,720,920
Benefits Paid	(4,219,700)	(3,184,682)	(4,219,700)	(3,184,682)
Actuarial Gain or Loss	6,576,050	27,165,680	6,576,050	27,165,680
Closing Leave Obligation	**92,055,681**	**71,560,261**	**92,055,681**	**71,560,261**
Actuarial loss /(gain) on leave (P&L)	**6,576,050**	**1,580,432**	**6,576,050**	**1,580,432**

4.24 Debt securities issued

Particulars	Group		Bank	
	15-Jul-2020	16-Jul-2019	15-Jul-2020	16-Jul-2019
Debt securities issued designated at FVtPL	-	-	-	-
Debt Securities issued at amortised cost	-	-	-	-
12% Debenture 2075 (29.03.2068 to 28.03.2075)	-	-	-	-
8% Debenture 2077 (06.04.2070 to 05.04.2077)	500,000,000	500,000,000	500,000,000	500,000,000
8% Debenture 2078 (11.04.2071 to 10.04.2078)	750,000,000	750,000,000	750,000,000	750,000,000
10.5% Debenture 2083 (04.03.2076 to 03.03.2083)	2,000,000,000	2,000,000,000	2,000,000,000	2,000,000,000
Total	**3,250,000,000**	**3,250,000,000**	**3,250,000,000**	**3,250,000,000**

4.25 Subordinated Liabilities

Particulars	Group		Bank	
	15-Jul-2020	16-Jul-2019	15-Jul-2020	16-Jul-2019
Redeemable preference shares	-	-	-	-
Irredeemade cumulative preference shares (liability component)	-	-	-	-
Others	-	-	-	-
Total	-	-	-	-

4.26 Share Capital

Particulars	Group		Bank	
	15-Jul-2020	16-Jul-2019	15-Jul-2020	16-Jul-2019
Ordinary shares	14,248,954,500	12,869,749,100	14,248,954,500	12,869,749,100
Convertible preference shares (equity component only)	-	-	-	-
Irreedemable preference shares (equity component only)	-	-	-	-
Perpetual debt (equity component only)	-	-	-	-
Total	**14,248,954,500**	**12,869,749,100**	**14,248,954,500**	**12,869,749,100**

4.26.1 Ordinary Shares

Particulars	Group		Bank	
	15-Jul-2020	16-Jul-2019	15-Jul-2020	16-Jul-2019
Authorised Capital				
150,000,000 no. of ordinary shares of Rs. 100 each	15,000,000,000	15,000,000,000	15,000,000,000	15,000,000,000
Issued Capital				
142,489,545 no. of ordinary shares of Rs. 100 each	14,248,954,500	12,869,749,100	14,248,954,500	12,869,749,100
Subscribed and paid up capital				
142,489,545 no. of ordinary shares of Rs. 100 each	14,248,954,500	12,869,749,100	14,248,954,500	12,869,749,100
Total	**14,248,954,500**	**12,869,749,100**	**14,248,954,500**	**12,869,749,100**

4.26.2 Ordinary Shares Ownership

Particulars	Bank			
	15-Jul-2020		16-Jul-2019	
	Percent	Amount	Percent	Amount
Domestic ownership	**100.00%**	**14,248,954,500**	**100.00%**	**12,869,749,100**
Nepal Government			-	-
"A" class licensed institutions			-	-
Other licensed institutions	18.18%	2,589,717,700	14.91%	1,919,044,100
Other Institutions	42.31%	6,028,913,100	45.98%	5,917,974,200
Public	31.41%	4,475,733,400	31.41%	4,042,511,743
Other	8.10%	1,154,590,300	7.69%	990,219,057
Foreign ownership	**0.00%**	**-**	**0.00%**	**-**
Total	**100.00%**	**14,248,954,500**	**100.00%**	**12,869,749,100**

Details of Shareholders holding 0.5 percent or above shares are mentioned below:

Shareholder's Name	% Holding	Amount
Rastriya Beema Company Ltd	12.15%	1,731,674,400
Mahalaxmi Investment Pvt.Ltd.	7.15%	1,019,167,100
Chhaya Investment Pvt. Ltd.	6.65%	947,018,600
K.U.P.Investment Pvt.Ltd.	6.33%	901,915,000
Sophia Investment Pvt.Ltd.	6.01%	856,825,100
Citizen Investment Trust	2.63%	374,649,100
Annapurna Investment Pvt. Ltd.	1.33%	189,371,800
Surya Infosys Pvt. Ltd	1.33%	189,371,600
Prestine Investment Pvt. Ltd	1.33%	189,371,600
Kamala Investment Pvt. Ltd	1.27%	180,386,500
Noble Investment Pvt. Ltd.	1.27%	180,386,500
Lotus Investment Pvt. Ltd.	1.17%	167,188,400
Rastriya Beema Sansthan	1.14%	162,094,000
Mercantile Investment Pvt. Ltd.	1.04%	147,692,000
National Life Insurance Company Limited	0.76%	107,673,600
Life Insurance Corporation (Nepal) Limited	0.75%	106,858,700
Singhe Carpets Pvt. Ltd	0.72%	102,221,500
Apollo Investment Pvt. Ltd.	0.63%	90,210,600
Shrestha Brothers' Investment Pvt. Ltd	0.63%	90,193,400
Panchakanya Investment Pvt. Ltd	0.63%	90,193,400
P Sanghai Investment Pvt. Ltd.	0.63%	90,193,100
R Sanghai Investment Pvt. Ltd.	0.63%	90,193,100

4.27 Reserves

Particulars	Group		Bank	
	15-Jul-2020	16-Jul-2019	15-Jul-2020	16-Jul-2019
Statutory general reserve	5,985,472,629	5,494,501,816	5,979,139,028	5,494,501,816
Exchange equalization reserve	103,979,477	89,880,990	103,979,477	89,880,990
Corporate social responsibility reserve	3,475,203	18,747,930	3,142,475	18,747,930
Capital redemption reserve	-	-	-	-
Investment adjustment reserve	65,752,368	65,752,368	65,752,368	65,752,368
Capital adjustment reserve	-	129,199,207	-	129,199,207
Assets revaluation reserve	1,560,760,238	1,560,760,238	1,560,760,238	1,560,760,238
Fair value reserve	758,207,422	510,066,792	769,690,796	520,305,405
Dividend equalization reserve	-	-	-	-
Actuarial Gain Reserve	(63,202,589)	(50,645,765)	(63,202,589)	(50,645,765)
Special reserve	-	-	-	-
Debenture Redemption Reserve	1,142,857,142	964,285,711	1,142,857,142	964,285,711
Staff Training Reserve	2,570,978	2,570,978	2,570,978	2,570,978
Regulatory reserve:				
Accrued Interest Reserve	473,762,566	200,767,362	473,762,566	200,767,362
NBA Reserve	167,569,266	214,090,090	167,569,266	214,090,090
Bargain Gain Reserve	-	1,278,273,921	-	1,278,273,921
Actuary Reserve	63,202,589	50,645,765	63,202,589	50,645,765
Total	**10,264,407,289**	**10,528,897,404**	**10,269,224,335**	**10,539,136,017**

4.28 Contingent Liabilities and Commitments

Particulars	Group		Bank	
	15-Jul-2020	16-Jul-2019	15-Jul-2020	16-Jul-2019
Contingent Liabilities	68,555,916,544	81,737,695,024	68,555,916,544	81,737,695,024
Undrawn and undisbursed facilities	8,562,777,306	7,967,539,668	8,562,777,306	7,967,539,668
Capital Commitments	-	-	-	-
Lease Commitments	-	-	-	-
Litigation	44,658,964	71,509,790	44,658,964	71,509,790
Total	**77,163,352,814**	**89,776,744,482**	**77,163,352,814**	**89,776,744,482**

4.28.1 Contingent Liabilities

Particulars	Group		Bank	
	15-Jul-2020	16-Jul-2019	15-Jul-2020	16-Jul-2019
Acceptance and documentary credit	33,033,381,668	36,438,523,715	33,033,381,668	36,438,523,715
Bills for collection	1,293,161,851	1,312,467,875	1,293,161,851	1,312,467,875
Forward exchange contracts	11,712,615,123	15,804,637,734	11,712,615,123	15,804,637,734
Guarantees	22,489,257,902	25,284,592,942	22,489,257,902	25,284,592,942
Underwriting commitment	-	-		-
Loan sales	27,500,000	2,897,472,757	27,500,000	2,897,472,757
Other commitments		**-**		**-**
Total	**68,555,916,544**	**81,737,695,024**	**68,555,916,544**	**81,737,695,024**

4.28.2 Undrawn and undisbursed facilities

Particulars	Group		Bank	
	15-Jul-2020	16-Jul-2019	15-Jul-2020	16-Jul-2019
Undisbursed amount of loans	-	-	-	-
Undrawn limits of overdrafts	8,356,003,972	7,967,539,668	8,356,003,972	7,967,539,668
Undrawn limits of credit cards	206,773,334	-	206,773,334	-
Undrawn limits of letter of credit	-	-	-	-
Undrawn limits of guarantee	-	-	-	-
Total	**8,562,777,306**	**7,967,539,668**	**8,562,777,306**	**7,967,539,668**

4.28.3 Capital commitments

Capital expenditure approved by relevant authority of the bank but provision has not been made in financial statements

Particulars	Group		Bank	
	15-Jul-2020	16-Jul-2019	15-Jul-2020	16-Jul-2019
Capital Commitment in relation to Property & Equipment				
Approved and contracted for	-	-	-	-
Approved but not contracted for	-	-	-	-
Sub total	-	-	-	-
Capital Commitment in relation with Intangible assets				
Approved and contracted for	-	-	-	-
Approved but not contracted for	-	-	-	-
Sub total	-	-	-	-
Total	-	-	-	-

4.28.4 Lease commitments

Particulars	Group		Bank	
	15-Jul-2020	16-Jul-2019	15-Jul-2020	16-Jul-2019
Operating lease commitments				
Future minimum lease payments under non cancellable lease, where bank is a lessee	-	-	-	-
Not later than 1 year	-	-	-	-
Later than 1 year but not later than 5 years	-	-	-	-
Later than 5 years	-	-	-	-
Sub total	-	-	-	-
Finance lease commitments				
Future minimum lease payments under non cancellable lease, where bank is a lessee	-	-	-	-
Not later than 1 year	-	-	-	-
Later than 1 year but not later than 5 years	-	-	-	-
Later than 5 years	-	-	-	-
Sub total	-	-	-	-
Total	-	-	-	-

4.28.5 Litigation

Particulars	Group		Bank	
	15-Jul-2020	16-Jul-2019	15-Jul-2020	16-Jul-2019
Contingent Liabilities on Taxes	44,658,964	71,509,790	44,658,964	71,509,790
Total	**44,658,964**	**71,509,790**	**44,658,964**	**71,509,790**

4.29 Interest Income

Particulars	Group		Bank	
	15-Jul-2020	16-Jul-2019	15-Jul-2020	16-Jul-2019
Cash and cash equivalent	-	-	-	-
Due from Nepal Rastra Bank	-	-	-	-
Placement with B/FIs	266,189,487	320,335,347	266,189,487	320,335,347
Loan and advances to B/FIs	489,964,695	446,301,848	489,964,695	446,301,848
Loans and advances to customers	13,522,653,785	13,431,156,761	13,522,653,785	13,431,156,761
Investment securities	760,837,935	636,814,342	760,837,935	636,814,342
Loan and advances to staff	58,093,176	63,276,087	58,093,176	63,276,087
Other	186,976,475	149,642,375	103,587,034	77,330,544
Total Interest income	**15,284,715,553**	**15,047,526,761**	**15,201,326,112**	**14,975,214,929**

4.30 Interest Expense

Particulars	Group		Bank	
	15-Jul-2020	16-Jul-2019	15-Jul-2020	16-Jul-2019
Due to bank and financial institutions	15,700,222	90,079,149	15,700,222	90,079,149
Due to Nepal Rastra Bank	24,142,020	20,899,453	24,142,020	20,899,453
Deposits from customers	9,065,635,186	8,559,567,536	9,067,356,310	8,563,109,677
Borrowing	6,458,579	11,510,812	6,458,579	11,510,812
Debt securities issued	310,000,000	116,109,589	310,000,000	116,109,589
Subordinated liabilities	-	-	-	-
Other	-	-	-	-
Total Interest expense	**9,421,936,008**	**8,798,166,539**	**9,423,657,132**	**8,801,708,681**

4.31 Fees and Commission Income

Particulars	Group		Bank	
	15-Jul-2020	16-Jul-2019	15-Jul-2020	16-Jul-2019
Loan administration fees	118,112,878	83,123,659	118,112,878	83,123,659
Service Fees	107,187,084	149,468,921	107,187,084	149,468,921
Consortium fees	127,864,875	-	127,864,875	-
Commitment fees	5,158,827	4,117,016	5,158,827	4,117,016
DD/TT/Swift fees	78,423,979	96,516,695	78,423,979	96,516,695
Card/ATM/POS issuance and renewal fees	435,843,233	494,528,266	435,843,233	494,528,266
Prepayment and swap fees	1,243,615	3,936,210	1,243,615	3,936,210
Investment banking fees	-	-	-	-
Assets management fees	41,724,809	39,037,065	-	-
Brokerage fees	-	-	-	-
Remitance fee	18,907,951	23,090,205	18,907,951	23,090,205
Commission on Letter of Credit	338,326,056	289,896,151	338,326,056	289,896,151
Commission on guarantee contracts issued	223,147,132	232,018,506	223,147,132	232,018,506
Commission on share underwriting/Issue	150,000	11,565,525	-	-
Locker rental	38,412,575	37,618,855	38,412,575	37,618,855
Exchange fees (batta)	31,696	51,139	31,696	51,139
Bills discount commission	2,044,211	3,272,365	2,044,211	3,272,365
Other fees and commission income	59,513,260	82,388,317	18,459,394	25,229,251
Total	**1,596,092,181**	**1,550,628,895**	**1,513,163,506**	**1,442,867,238**

4.32 Fees and Commission Expense

Particulars	Group		Bank	
	15-Jul-2020	16-Jul-2019	15-Jul-2020	16-Jul-2019
ATM management fees	4,900,792	4,348,363	4,900,792	4,348,363
Card fees and commission	270,874,259	292,011,006	270,874,259	292,011,006
Guarantee commission	-	-	-	-
Brokerage	-	-	-	-
DD/TT/Swift fees	11,797,401	12,221,311	11,797,401	12,221,311
Branchless banking commission	3,051,990	2,570,545	3,051,990	2,570,545
Bank charges	25,373,860	28,585,656	25,373,860	28,585,656
Others	10,482,001	16,016,235	-	-
Total fee & commision expense	**326,480,303**	**355,753,116**	**315,998,302**	**339,736,881**

4.33 Net Trading Income

Particulars	Group		Bank	
	15-Jul-2020	16-Jul-2019	15-Jul-2020	16-Jul-2019
Changes in fair value of trading assets	3,267,337	25,610	-	-
Gain/loss on disposal of trading assets	-	-	-	-
Interest income on trading assets	-	-	-	-
Dividend income on trading assets	3,779,947	4,523,718	-	-
Gain/loss foreign exchange transation	871,873,211	890,843,806	871,873,211	890,843,806
Other	-	-	-	-
Net trading income	**878,920,495**	**895,393,134**	**871,873,211**	**890,843,806**

4.34 Other Operating Income

Particulars	Group		Bank	
	15-Jul-2020	16-Jul-2019	15-Jul-2020	16-Jul-2019
Foreign exchange revaluation gain	56,393,947	24,588,028	56,393,947	24,588,028
Gain/loss on sale of investment securities	6,253,574	-	6,253,574	-
Fair values gain/loss on investment properties	-	-	-	-
Dividend on equity instruments	53,977,545	52,965,140	105,277,545	91,440,140
Gain/loss on sale of property and equipment	1,558,720	5,829,696	1,558,720	5,829,696
Gain/loss on sale of investment property	-	-	-	-
Operating lease income	-	-	-	-
Gain/loss on sale of gold and silver	2,874,421	4,870,718	2,874,421	4,870,718
Others	57,765,633	52,776,704	57,765,633	53,600,431
Total	**178,823,840**	**141,030,286**	**230,123,840**	**180,329,014**

4.35 Impairment Charge / (Reversals)

Particulars	Group		Bank	
	15-Jul-2020	16-Jul-2019	15-Jul-2020	16-Jul-2019
Impairment charge/(reversal) on loan and advances to B/FIs	6,521,675	17,893,844	6,521,675	17,893,844
Impairment charge/(reversal) on loan and advances to customer	1,990,723,680	1,583,244,929	1,990,723,680	1,583,244,929
Impairment charge/(reversal) on financial investment	-	-		-
Impairment charge/(reversal) on placement with B/FIs	-	(4,529,176)		(4,529,176)
Impairment charge/(reversal) on property and equipment	-	-		-
Impairment charge/(reversal) on goodwill and intangible assets	-	-		-
Impairment charge/(reversal) on investment properties	-	-		-
Total	**1,997,245,355**	**1,596,609,597**	**1,997,245,355**	**1,596,609,597**

4.36 Personnel Expenses

Particulars	Group		Bank	
	15-Jul-2020	16-Jul-2019	15-Jul-2020	16-Jul-2019
Salary	501,835,398	491,309,089	461,993,544	444,115,478
Allowances	381,717,022	369,229,854	381,717,022	369,229,854
Gratuity Expenses	38,826,190	37,701,080	38,826,190	37,701,080
Provident fund	45,831,263	43,337,843	45,831,263	43,337,843
Uniform	1,450,185	1,485,316	1,450,185	1,485,316
Training & development expense	19,500,139	25,626,166	19,032,931	24,893,781
Leave expenses	24,715,120	41,141,850	24,715,120	41,141,850
Medical	92,648	120,142	92,648	120,142
Insurance	34,229,498	30,914,337	34,229,498	30,914,337
Employees incentive	-	3,419,315	-	3,419,315
Cash-settled share based payments	-	-	-	-
Pension expense	-	-	-	-
Finance expense under NFRS	17,219,426	21,029,105	17,219,426	21,029,105
Other expenses related to staff (lunch)	27,589,120	30,271,305	27,589,120	30,271,305
Subtotal	**1,093,006,009**	**1,095,585,403**	**1,052,696,947**	**1,047,659,407**
Employee bonus	400,237,336	508,673,775	390,252,188	498,503,805
Grand total	**1,493,243,345**	**1,604,259,178**	**1,442,949,135**	**1,546,163,212**

4.37 Other operating expenses

Particulars	Group		Bank	
	15-Jul-2020	16-Jul-2019	15-Jul-2020	16-Jul-2019
Directors' fee	2,665,000	3,445,000	2,041,000	2,713,000
Directors' expenses	198,335	310,175	192,852	286,101
Auditors' remuneration	2,663,410	2,649,850	2,260,000	2,260,000
Other audit related expenses	663,768	1,449,302	628,033	1,422,712
Professional, legal and other expenses	137,442,460	81,396,494	137,442,460	81,396,494
Office administration expense	488,371,565	542,605,157	476,577,430	530,444,948
Operating lease expense	198,716,591	179,798,833	196,780,591	177,818,833
Operating expense of investment properties	-	-	-	-
Corporate social responsibility expense	40,137,949	53,543,158	39,837,316	53,543,158
Onerous lease provisions	-	-		-
Others	6,923,190	14,956,257	6,335,801	4,356,992
Total	**877,782,269**	**880,154,226**	**862,095,484**	**854,242,238**

Note: Amount equivalent to CSR expense during the year has been transferred to retained earning from CSR reserve.

4.37.1 Office administration expense

Particulars	Group		Bank	
	15-Jul-2020	16-Jul-2019	15-Jul-2020	16-Jul-2019
Water and electricity	37,383,079	40,316,120	37,309,151	39,965,772
Repair and maintenance	-			
(a) Building	8,236,856	16,267,274	8,171,774	16,267,274
(b) Vehicle	5,156,527	4,760,778	5,098,963	4,760,778
(c) Computer and accessories	1,971,401	4,885,046	1,916,364	4,161,454
(d) Office equipment and furniture	8,759,355	9,229,755	7,802,554	9,229,755
(e) Other	-	-		-
Insurance	14,077,239	13,503,520	13,934,317	13,378,393
Postage, telex, telephone, fax	37,568,575	35,263,291	35,357,094	33,277,679
Printing and stationery	29,434,709	66,344,632	28,181,401	64,354,341
Newspaper, books and journals	897,923	941,891	871,832	941,891
Advertisement	59,331,696	70,754,763	56,421,704	69,034,325
Donation	355,780	728,707	355,780	429,707
Security expense	108,840,963	98,805,880	107,810,403	96,890,869
Deposit and loan guarantee premium	46,528,011	43,169,866	46,528,011	43,169,866
Travel allowance and expense	13,742,451	16,835,002	13,742,451	16,024,056
Entertainment	15,121,567	16,128,548	14,992,402	16,128,548
Annual/special general meeting expense	3,373,609	4,083,420	3,313,721	4,036,385
Other	-			
(a) Share / Debenture expenses	6,894,787	11,033,561	6,894,787	11,033,561
(b) Fuel	25,987,901	28,567,488	25,498,879	28,567,488
(c) Taxes and other duties	15,368,609	23,699,698	15,262,773	23,699,698
(d) Membership fee	3,368,933	5,132,313	2,208,934	3,986,313
(e) Non capital expense	5,443,422	7,509,463	5,359,846	7,444,095
(f) Janitorial expenses	40,528,173	24,644,141	39,544,289	23,662,699
(g) Others	-			
Total	**488,371,565**	**542,605,157**	**476,577,430**	**530,444,948**

4.38 Depreciation and Amortisation

Particulars	Group		Bank	
	15-Jul-2020	16-Jul-2019	15-Jul-2020	16-Jul-2019
Depreciation of Property and Equipment	227,884,400	201,729,020	219,728,798	192,044,162
Depreciation of Investment properties	-	-		
Amortisation of intangible assets	40,173,768	25,973,508	39,572,172	25,376,487
Total	**268,058,168**	**227,702,528**	**259,300,970**	**217,420,648**

4.39 Non Operating Income

Particulars	Group		Bank	
	15-Jul-2020	16-Jul-2019	15-Jul-2020	16-Jul-2019
Recovery of loan written off	3,317,391	23,495,397	3,317,391	23,495,397
Other income (Share of Profit in Associates equity accounting)	22,040,222	-	-	-
Bargain Purchase Gain	-	627,323,306	-	627,323,306
Other income	-	44,376,652	-	100,000
Total	**25,357,613**	**695,195,356**	**3,317,391**	**650,918,703**

4.40 Non Operating Expense

Particulars	Group		Bank	
	15-Jul-2020	16-Jul-2019	15-Jul-2020	16-Jul-2019
Loan written off	6,287,986	297,758,185	6,287,986	297,758,185
Redundancy provision	-	-		-
Expense of restructuring	-	-		-
Other expense	-	17,899,694		-
Total	**6,287,986**	**315,657,879**	**6,287,986**	**297,758,185**

4.41 Income Tax Expense / (Income)

Particulars	Group		Bank	
	15-Jul-2020	16-Jul-2019	15-Jul-2020	16-Jul-2019
Income Taxes				
For Current Period	1,048,723,866	1,166,518,241	1,023,206,324	1,137,491,355
For Previous period	63,853,816	15,618,581	63,853,816	15,618,581
Deferred Taxes				
Origination and reversal of temporary differences	3,036,271	9,311,377	2,023,498	9,311,377
Changes in tax rate		-		-
Recognition of previously unrecognised tax losses		-		-
Total income tax expense	**1,115,613,953**	**1,191,448,199**	**1,089,083,637**	**1,162,421,313**

4.41.1 Reconciliation of tax expense and accounting profit

Particulars	Group		Bank	
	15-Jul-2020	16-Jul-2019	15-Jul-2020	16-Jul-2019
Profit Before Tax	3,572,876,248	4,551,471,369	3,512,269,696	4,486,534,250
Tax amount at tax rate of 30%	1,071,862,874	1,365,441,411	1,053,680,909	1,345,960,275
Add: Tax effect of non deductibles	160,701,487	96,061,567	157,601,549	91,241,214
Less Tax effect on exempt income	(11,369,356)	(209,400,164)	(26,759,356)	(208,490,912)
Add/Less: Tax effect on other items	(105,581,052)	(60,654,615)	(95,439,464)	(66,289,264)
Total income tax expense	**1,115,613,953**	**1,191,448,199**	**1,089,083,637**	**1,162,421,313**
Effective tax rate	**45.40%**	**35.44%**	**44.94%**	**34.97%**

Statement of distributable profit or loss

For the year ended 31st Ashad 2077
(As per NRB Regulation)

	Bank	
	Current Year	**Previous Year**
Net profit or (loss) as per statement of profit or loss	**2,423,186,059**	**3,324,112,936**
Appropriations:		
a. General reserve	(484,637,212)	(664,822,588)
b. Foreign exchange fluctuation fund	(14,098,487)	(6,147,008)
c. Capital Adjustment reserve reversal	129,199,207	-
d. Corporate social responsibility fund	(24,231,861)	(33,241,130)
e. Employees' training fund	-	3,255,863
f. Debenture Redemption Reserve	(178,571,431)	(178,571,428)
g. Investment Adjustment Reserve	-	12,689,136
h. Transfer from Debenture Redemption Reserve	-	-
i. Transfer From Capital Premium	-	-
j.Transfer from corporate social responsibility fund	39,837,316	53,543,158
Profit or (loss) before regulatory adjustment	**1,890,683,590**	**2,510,818,938**
Regulatory adjustment :		
a. Interest receivable (-)/previous accrued interest received (+)	(272,995,204)	530,002,141
b. Short loan loss provision in accounts (-)/reversal (+)	-	-
c. Short provision for possible losses on investment (-)/reversal (+)	-	-
d. Short loan loss provision on Non Banking Assets (-)/reversal (+)	46,520,825	(197,531,000)
e. Deferred tax assets recognised (-)/ reversal (+)	-	-
f. Goodwill recognised (-)/ impairment of Goodwill (+)	-	-
g. Bargain purchase gain recognised (-)/reversal (+)	-	(568,163,786)
h. Actuarial loss recognised (-)/reversal (+)	-	-
i. AFS Reserve (+/-)	-	-
j. Actuarial Loss Reserve	(12,556,824)	(239,239)
Distributable profit or (loss)	**1,651,652,387**	**2,274,887,054**
Previous year adjustments		(551,447,943)
Opening Balance in Retained Earnings (less dividend paid)	970,733,652	392,993,865
Add Jebils		(51,770,652)
Balance Available for Distribution	**2,622,386,038**	**2,064,662,325**

5. Disclosure and Additional Information

5.1 Risk Management Framework

Overview of Risk

Risk may be defined as possibility of loss due to uncertainty, which may be financial loss or loss to the image or reputation of the Bank. Risk management of NIBL has the practice of identifying potential risks in advance, analyzing them and taking precautionary steps to reduce/mitigate various types of risks that a bank is exposed to.

Risk management is an integral part of NIBL's culture, strategy, and day-to-day business operations. Keeping in mind that risk management in the banking is a key to link to financial system stability as well as to optimize return to its stakeholders, NIBL tries to ensure that the risk taking is informed and prudent. It uses varieties of assessment tools to measure and predict various types of risk. Moreover, Board of Directors (BOD) as well as top level management constantly overviews the overall risk governance of the bank.

Active Board and Senior Management Oversight

BOD have ultimate responsibility for the level of risk taken by the Bank. Accordingly, overall business strategies, risk appetite, risk tolerance to take and manage risks are formulated by active involvement of BOD and senior level management of the bank.

The role of BOD is limited to oversight of various types of risks that NIBL is exposed to. Without becoming directly involved in managing such risks, BOD of the bank plays active role by:

- Assessing risk on an ongoing basis and developing policies and procedures that are consistent with the organization's strategy and risk appetite.
- Regularly monitoring for effective implementation of such policies and procedures by updating itself through various reports on regular interval.
- Giving regular feedbacks for taking steps to mitigate risk.

Similarly, our senior management is actively involved in implementation of approved policies and procedures at all levels in the bank. It creates and fosters the environment within the bank for effective implementation of policies and procedures by timely communicating at each level and through constant interaction with key department heads. Similarly, if needed, training are also provided to the staff of the bank for creating risk awareness of the bank. It also develops effective internal controls with high ethical standards for effective implementation of such policies and procedures.

Risk Governance

The ideologies of risk management followed by the Bank include:

- Reviewing/studying changes in micro/macroeconomic of the country that could have a significant impact on the financial performance of the Bank and suggest/recommend appropriate policies/processes to adopt to mitigate such impacts.
- Supporting the Board in its implementation, review and approval of the governance framework which includes the bank's risk culture, risk appetite, risk limits.
- Establishing trigger system to avoid breaches of the bank's risk appetite, tolerance limits.

- Taking calculative business risk and optimizing return.

Risk Management Department

The risk management system ensures that the bank takes well-calculated business risks while safeguarding the bank's capital, its financial resources and return to its stakeholders. Risk Management Department directly reports to the Board level committees. The Board of Directors of NIBL recognizes that a critical factor in the bank's continued growth, profitability and stability lies in its effective risk management capabilities and risk return trade-off.

Perceptions and behaviors towards risk are ever changing. The Bank has well established system, procedures and policies in place for comprehensive identification, assessment, monitoring, controlling and reporting of all material risks which are controlled, managed and identified in a timely and efficient manner. It has adequate risk management processes commensurate with the nature, scope, scale and the degree of complexity of its business operations.

Risk Management Department is an integrated department comprising of:

- Credit Risk Management Unit
- Market Risk Management Unit
- Operation Risk Management Unit
- IT Risk Management Unit

a. Credit Risk Management

The goal of credit risk management is to maximize bank's risk adjusted rate of return by maintaining credit risk exposure within acceptable parameters. Bank has formulated tools to evaluate credit risk of the bank. Credit Risk Management Department reviews the credit proposals and assigns independent risk rating before processing for credit decisions to the concerned authorities. Five pillars of credit namely Industry Environment, Financial Indicators, Management Quality, Conduct of Account and Security Realization are taken into consideration while assigning risk for Corporate Credit & SME whereas, four pillars of credit namely Borrower's Competency, Financial & Repayment Capacity, Conduct of Account and Security Realization are taken into consideration while assigning risk for Personal/Consumer Loan. Credit quality, credit performance, emerging trends, expected level of credit losses are reviewed on periodic basis. Credit Risk reports are thoroughly discussed and reviewed by Credit Risk Management Committee and is then presented to Risk Management Committee and to the BOD. Based on thorough analysis, discussion necessary strategies, policies and action plan are formulated. Such policies, action plans are clearly communicated to concerned staff for effective implementation.

Management of Environment and Social Risk

Environment and Social Risk are also a part of credit assessment tool wherein relation of business with locales / society, its labor, environmental impact are assessed while taking credit decision.

b. Market Risk Management

The bank is required to identify all the market risks that it faces and the same are monitored centrally. Risk identification requires a thorough analysis of the bank's activities, its business units, regulatory and market environment, historical scenarios, etc. Risk identification extensively covers interest rate risk, exchange rate risk, liquidity risk and counterparty risk.

Market risk is assessed and monitored using the measures such as: Net Open Position, Gap Analysis, Stress Testing, Approved Risk limits etc. prescribed in the internal and regulatory policies. In order to monitor market risk, Assets Liability Committee (ALCO) within the management level manages the bank's asset and liability position. ALCO meets on a regular basis to review the liquidity ratios, asset and liability position, interest rate trend in the market, foreign exchange exposures, lending and placements, bank's position to internal risk appetite & regulatory ratio requirements and general domestic and international economic and financial market conditions. The Middle Office manages and monitors the liquidity, market and treasury specific risks of the Bank. It regularly monitors the Bank's adherence to various integral internal and regulatory limits as well as counterparty limits. TMO reviews and monitors daily positions and gaps in the balance sheet. It also prepares various assets and liability oriented reports detailing and analyzing the loan and deposit exposures and interest rate movements providing comparisons and behavioral trends and key risk issues, periodic stress testing, financial performance analysis of the Bank's and its peer banks.

b1. Management of liquidity Risk

The liquidity profile of the bank is analyzed on a static basis by tracking all outflows and inflows in the maturity ladder based on the expected occurrence of cash flows. The bank prepares quarterly "Statement of Structural Liquidity" by classifying all assets and liabilities under different maturity bands according to their respective residual maturity periods. The bank monitors liquidity risk by conducting behavioral analysis of non-maturity products. The renewal pattern and premature withdrawals of deposits and drawdown of unavailed credit limits are captured through historical and behavioral studies. The concentration of large institutional and individual deposits is monitored on a periodic basis. The bank also ensures that adequate level of assets is maintained in cash and equivalents such as investments readily convertible into cash having maturities of three months or less.

Risk reports relating to Market Risk are reviewed by Risk Management Committee and presented to Risk Management Committee to be further appraised to BOD which reports the market related information and seek for necessary instructions..

b.2. Management of Interest Rate Risk:

The bank classifies its rate sensitive assets and liabilities into respective maturity bands to perform Maturity Gap Analysis for measuring and managing the Interest Rate Risk. The Gap is then used as a measure of interest rates sensitivity of the assets and liabilities to analyze the impact of changes in the interest rate on the Net Interest Income and Net Interest Margin of the bank. The bank ensures to monitor

and control the size of the Net Interest Income Margin. Interest rates are reviewed regularly and published quarterly as per change in the base rate.

b.3. Management of Foreign Exchange Risk

The bank operates with a full- fledged Treasury department within the consideration of the foreign exchange rules and regulations under the guidance of Nepal Rastra Bank (NRB). The department updates the exchange rates daily as per the market movement. The foreign currency position is maintained as per the need of the bank. Mostly, the currencies are squared off at day end to minimize the risks related to exchange rate fluctuations. The department is equipped with suitable operating procedures, MIS system and monitoring system.

c. Operational Risk Management

Operational risk is the risk of loss resulting from inadequate internal processes, people, and systems, or from external events. Losses from these operational risk cannot just be determined in monetary terms but can also adversely impact the overall business and reputation of the bank. With the principle that the operation risk cannot be fully eliminated but it can be mitigated by taking proactive approach, the bank has defined Operational risk through Key Risk Indicators (KRI) and Key Performance Indicators (KPI). The Bank assigns various risks grade based on the functions, products and its people. These parameters and weightage for defining KRI and KPI are reviewed on periodic basis. Operational risk are monitored and controlled through branch visit, review of audit observation, whistle blowing system, various MIS reports etc. To minimize the risk, the bank also grades the branches based on various parameters. It uses effective tools to analysis various adverse incident, near missed event, grievance lodge records in the bank and formulates policies, action plan to minimize such events or to address the grievance lodged. NIBL has developed a robust framework for managing operational risk to evaluate the adequacy of the capital covering the Bank's appetite and tolerance for operational risk. Risk reports relating to Operation Risk and operational loss data recorded through various tools are reviewed by Operation Risk Management Committee and presented to Risk Management Committee to be further appraised to BOD. Based on through analysis, discussion bank's policies are outlined to identify, assess, monitor, control and mitigate the risk.

c.1. IT Risk management

IT is an important and integral part of the organization to run and meet the business requirement. IT risk consist events which occurs with uncertain frequency and magnitude which could potentially affect the entire business of the Bank.IT Risk Management provide guidance to effectively manage and mitigate the IT-related risk. It provides adequate security for NIBL information and systems through implementation of proper risk response strategies. It also conduct risk assessment for all IT system and processes to evaluate and analyze the likelihood, its impact, and control mechanism for diversified IT risk categories. Risk reports related to IT Risk

are reviewed by Operation Risk Management Committee, IT Steering Committee, IT Strategy Committee and presented to Risk Management Committee to be further appraised to BOD and seek for necessary instructions.

c.2.Other Risk

Strategic Risk

The Board of Directors and the Top Management are proactively involve in providing strategic direction to the Bank's business. At the start of each fiscal year, the strategic plans are detailed along with the business targets. Bank has also formulated long term strategies for showing clear road map for the bank. The Bank has developed a system for internal communication and free flow of information so that these strategies are timely and effectively communicated to the concerned department for effective implementation. Further, the bank has the practice of monitoring and reviewing the bank's achievement in line with its long term and short term strategies so that the bank function in line with the strategy of the bank.

Human Resource Risk

The Bank has well-defined HR policies and practices, which are revised and reviewed on a periodic basis. It also has a separate HR Software having comprehensive data of all employees. At every key level position, successor is identified and appropriately placed to avoid any succession planning risk. For all functional positions at all levels, adequate talent pool is maintained through regular promotions and trainings. The Bank has promotion and transfer procedure to ensure implementation of timely promotions and transfers to keep the employees motivated, and for capacity building.

Compliance & AML/CFT Risk

Compliance department ensures that the Bank's overall operation comply with bank's internal policies, procedures and instructions, statutory and regulatory requirements like NRB directives & circulars, Companies Act, BAFIA, FATF etc. Further it ensures compliance of Corporate Government Policy of the bank. It coordinate with all departments and branches and ensure that overall compliance issues are identified and are timely resolved. It also recommends and reports to the management on the overall compliance aspect of the bank. It also conducts branches/department visits to review and ensure compliance issues are addressed on a regular basis. Any suspicious transaction/activity is reported from AML Cell to FIU/NRB in a prescribed format as per NRB. AML policy and procedural guideline is well defined to identify and mitigate AML/CFT risk. Such risks are discussed in BOD level AML Committee & Risk Management Committee which is further appraised to BOD on periodic basis for formulating necessary guideline.

Internal Control

Various policies, procedures, SOP and manuals duly approved by the Board, are in place to implement internal control mechanism in the bank. Similarly, both on-Site and off-Site monitoring of branches are conducted on regular basis. It uses various MIS data for detailed off –site monitoring.

The Bank has robust internal control systems with well-defined responsibilities at each level. The Internal Audit Department (IAD) of the Bank perform audit of all the branches and departments as per audit plan approved by audit committee. IAD is functionally independent. It reports directly to the Audit Committee of the Bank's Board. IDA has already started to implement risk based audit in the bank.

Monitoring and Reporting

The bank has established an adequate system for monitoring and reporting risk exposures and assessing how the bank's changing risk profile affects the need for capital. The bank's senior management or Board of Directors receives on a regular basis reports on the bank's risk profile and capital needs. These reports allow senior management to:

- Evaluate the level and trend of material risks and their effect on capital levels:
- Evaluate the sensitivity and reasonableness of key assumptions used in the capital assessment measurement system;
- Determine that the bank holds sufficient capital against the various risks and is in compliance with established capital adequacy goals; and
- NIBL conducts periodic reviews of its risk management process to ensure its integrity, accuracy, and reasonableness.

d. Fair value of financial assets and liabilities

Fair values of financial assets and liabilities are determined according to the following hierarchy:

- **Level 1 –** valuation technique using quoted market price: financial instruments with quoted prices for identical instruments in active markets that the group can access at the measurement date.

- **Level 2 –** valuation technique using observable inputs: financial instruments with quoted prices for similar instruments in active markets or quoted prices for identical or similar instruments in inactive markets and financial instruments valued using models where all significant inputs are observable. For the listed securities where the bank holds promoter shares which are priced and traded differently in the market than ordinary shares the bank has considered the valuation of similar promoters shares traded in the market which approximates to 50% of the price that the ordinary shares are traded. For quoted mutualfunds which are yet to be traded in NEPSE, published NAV has been considered as fair value.

- **Level 3 –** valuation technique with significant unobservable inputs: financial instruments valued using valuation techniques where one or more significant inputs are unobservable. where market prices are not available then the bank considers the carrying value and future cash flows from the financial instruments.

Particulars	FY 2019/20				FY 2018/19			
Fair Value of Financial Assets and Liabilities Held at Fair Value	**Carrying Value 2019-20**	**Quoted Level 1**	**Observable Level 2**	**Unobservable Level 3**	**Carrying Value 2018-19**	**Quoted Level 1**	**Observable Level 2**	**Unobservable Level 3**
Fair Value Through Profit and Loss								
Fair value Through OCI								
Investment Securities	3,340,876,653	977,830,351	1,310,958,479	1,052,087,824	2,802,770,743	806,970,478	961,830,264	1,033,970,002
Fair Value of Financial Assets – Held at Amortised Cost								
Cash and Cash Equivalent	7,538,028,646	7,538,028,646			13,520,574,452	13,520,574,452		
Due from Nepal Rastra Bank	14,321,970,764			14,321,970,764	10,860,922,267			10,860,922,267
Placements with Banks and Fis	7,964,991,870			7,964,991,870	8,498,973,679			8,498,973,679
Derivative financial instruments	133,976,991			133,976,991	436,888,360			436,888,360
Other trading assets	-				-			-
Loans and advances to B/Fis	4,920,062,224			4,920,062,224	4,274,416,419			4,274,416,419
Loans and advances to customers	135,082,098,539			135,082,098,539	122,866,553,596			122,866,553,596
Investment Securities	22,737,559,876			22,737,559,876	14,170,704,050			14,170,704,050
Other assets	1,613,011,295			1,613,011,295	3,307,966,236			3,307,966,236
Fair Value Financial Liabilities-Held at Amortised Cost								-
Due to Banks and Financial Institutions	2,462,217,078			2,462,217,078	2,790,962,616			2,790,962,616
Due to Nepal Rastra Bank	2,722,787			2,722,787	940,266,774			940,266,774
Derivative Financial Instruments	-				-			-
Deposits from customers	166,362,126,293			166,362,126,293	149,392,281,905			149,392,281,905
Borrowings	-				-			-
Other Liabilities	2,804,938,623			2,804,938,623	3,024,073,727			3,024,073,727
Debt securities issued	3,250,000,000			3,250,000,000	3,250,000,000			3,250,000,000
Subordinated liabilities								

5.2 Capital Management

(i) Qualitative disclosures

The bank manages and maintains its capital considering the business and associated risks. The regulator also has set the minimum capital requirements, under Basel III norms, which the bank has been complying duly. In addition bank has implemented Internal Capital Adequacy Assessment Policy (ICAAP) that assesses capital requirements in accordance with the bank's strategy and the market conditions.The purpose of Nepal Investment Bank Ltd. Capital management practice is to ensure that NIBL has sufficient capital at all times to cover the risks associated with the bank's business.Further, NIBL has clearly defined its risk appetite and has set its risk tolerance limit. Periodic review of these limits are conducted and if required necessary corrective action plans are formulated on timely manner.

ICAAP is understood as bank's internal assessment of capital that it considers adequate to cover all material risks to which it is exposed. The objective is to determine the economic capital required to cover all risks faced. A sound risk management framework, which includes Board oversight, risk assessment, monitoring and reporting processes, and regular independent review of all activities carried out by the risk function, is the major building block of an ICAAP.

ICAAP document is reviewed annually based on the strategy of the Bank within first quarter covering the capital assessment and projection for the next year, to enable collation and presentation of comprehensive ICAAP to the Board.

The ICAAP document contains a comprehensive assessment of identified risks and estimates Bank's capital requirement, as applicable, on account of those risks. It also details controls, monitoring and reporting measures for various risks and hence is a valuable source for effective risk management.

The following measures are being taken to ensure use of the ICAAP within the Bank:

- The Bank has adopted a conservative approach for evaluating the capital buffer based on the ICAAP.
- Regular interactions are held with key departments of the Bank during the course of the ICAAP exercise to sensitize them to various risks and management of risks.
- Copies of ICAAP documents are sent to functional head of the various departments to ensure dissemination of information contained in the document among the operating functionaries.
- Other measures include – improving risk management practices, inculcating risk awareness/culture amongst the operating functionaries by suitable training programs, constant monitoring, stress testing of portfolios.

The ICAAP review committee reviews ICAAP annually and adequacy of capital under various stress conditions and scenarios. ICAAP review committee meets at quarterly intervals and any key findings is appraised to BOD through risk management committee.

NIBL Board is responsible for setting the risk appetite and risk tolerance limit. NIBL

has a separate independent Risk Management Department (RMD), Internal Audit Department and Risk Management Committee chaired by a director to monitor and assess risk appetite and risk tolerance.

The ICAAP guidelines ensure that the Senior Management:

- Establishes detailed set of policies that place effective controls on the Bank's activities ensuring consistency with its risks appetite.
- Effectively communicates these policies.
- Recognizes the severity of the risks and its impact on operational activities.
- Assessing the various risks.
- Develops a system to relate risk to the capital level.
- Establishes strong internal control mechanisms and a method for monitoring compliance with internal policies.

Stress Testing

Stress test scenarios have been developed for credit risk, market risk, operational risk, and other risks. Individual scenarios for the aforesaid risks are detailed in respective risk reviews. Bank analyzes the result of Stress Testing and systematically assesses its impact on the financial position, profitability, liquidity and bank's available capital on a periodic basis and adopts necessary strategies.

Bank does not possess any innovative complex or hybrid capital instruments. Bank's capital comprises of fully paid up share capital and retained earning and reserves.

(ii) Quantitative disclosures

1. 1 RISK WEIGHTED EXPOSURES	Current Period	Previous Year
a Risk Weighted Exposure for Credit Risk	183,417,157,054	181,251,255,708
b Risk Weighted Exposure for Operational Risk	10,804,455,574	10,148,670,097
c Risk Weighted Exposure for Market Risk	296,879,288	311,163,122
Total Risk Weighted Exposures (Before adjustments of Pillar II)	**194,518,491,916**	**191,711,088,927**
Adjustments under Pillar II		
SRP 6.4a (5) ALM policies & practices are not satisfactory, add 1% of net interest income to RWE	-	-
SRP 6.4a (6) Add ...% of the total deposit due to insufficient Liquid Assets	-	-
SRP 6.4a (7) Add RWE equivalent to reciprocal of capital charge of 3 % of gross income.	3,890,369,838	2,379,235,631
SRP 6.4a (9) Overall risk management policies and procedures are not satisfactory. Add 2% of RWE	2,382,625,958	3,834,221,779
SRP 6.4a (10) If desired level of disclosure requirement has not been achieved, Add ....% of RWE	-	-
Total Risk Weighted Exposures (After Bank's adjustments of Pillar II)	**200,791,487,712**	**197,924,546,337**

1.2 CAPITAL		Current Period	Previous Period
(A) Tier 1 Capital [Core Capital (CET 1 + AT 1)]		**23,627,148,633**	**22,544,830,271**
	Common Equity Tier 1 (CET 1)	23,627,148,633	22,544,830,271
a	Paid up Equity Share Capital	14,248,954,500	12,869,749,100
b	Equity Share Premium	32,598,858	105,648,593
c	Proposed Bonus Equity Shares	-	-
d	Statutory General Reserves	5,979,139,028	5,494,501,816
e	Retained Earnings	2,622,386,038	2,064,662,325
f	Unaudited current year cumulative profit/(loss)	-	-
g	Capital Redemption Reserve	1,142,857,142	964,285,711
h	Capital Adjustment Reserve	-	129,199,207
i	Dividend Equalization Reserves	-	**-**
j	Bargain Purchase Gain	-	1,278,273,921
k	Other Free Reserve	-	-
l	Less: Goodwill	-	-
m	Less: Intangible Assets	124,618,954	90,628,239
n	Less: Deferred Tax Assets	-	-
o	Less: Fictitious Assets	-	-
p	Less: Investment in equity in licensed Financial Institutions	-	-
q	Less: Investment in equity of institutions with financial interests	228,753,500	228,753,500
r	Less: Investment in equity of institutions in excess of limits	16,020,480	12,714,663
s	Less: Investments arising out of underwriting commitments	-	-
t	Less: Reciprocal crossholdings	-	-
u	Less: Purchase of land & building in excess of limit and unutilized	29,394,000	29,394,000
v	Less: Cash Flow Hedge	-	-
w	Less: Defined Benefits Pension Assets	-	-
x	Less: Unrecognized Defined Benefit Pension Liabilities	-	-
y	Less: Negative balance of reserve accounts	-	-
z	Less: Other Deductions	-	-
	Adjustments under Pillar II	-	-
SRP 6.4a(1)	Less: Shortfall in Provision	-	-
SRP 6.4a(2)	Less: Loans & Facilities extended to related parties and restricted lending	-	-
	Additional Tier 1 (AT 1)	-	-
a	Perpetual Non-Cumulative Preference Share Capital	-	-
b	Perpetual Debt Instruments	-	-
c	Stock Premium	-	-
(B) Supplementary Capital (Tier 2)		**3,567,058,186**	**3,691,063,133**
a	Cumulative and/or Redeemable Preference Share	-	-
b	Subordinated Term Debt	2,150,000,000	2,400,000,000
c	Hybrid Capital Instruments	-	-
d	Stock Premium	-	-
e	General Loan Loss Provision	1,247,326,342	1,135,429,775
f	Exchange Equalization Reserve	103,979,477	89,880,990
g	Investment Adjustment Reserve	65,752,368	65,752,368
h	Assets Revaluation Reserve	-	-
i	Other Reserves	-	-
	Total Capital Fund (Tier I and Tier II)	**27,194,206,819**	**26,235,893,404**

1.3 CAPITAL ADEQUACY RATIOS	Current Period	Previous Period
Common Equity Tier 1 Capital to Total Risk Weighted Exposures (After Bank's adjustments of Pillar II)	11.77%	11.39%
Tier 1 Capital to Total Risk Weighted Exposures(After Bank's adjustments of Pillar II)	11.77%	11.39%
Tier 1 and Tier 2 Capital to Total Risk Weighted Exposures(After Bank's adjustments of Pillar II)	13.54%	13.26%

Risk Weighted Exposure for Credit Risk
As at Ashad 31, 2077

A. Balance Sheet Exposures	Book Value	Specific Provision	Eligible CRM	Net Value	Risk Weight	Risk Weighted Exposures
	a	b	c	d=a-b-c	e	f=d*e
Balance With Nepal Rastra Bank	2,840,056,124			2,840,056,124	0%	-
Balance With Nepal Rastra Bank	14,065,684,975			14,065,684,975	0%	-
Gold	-			-	0%	-
Investment in Nepalese Government Securities	22,737,559,876			22,737,559,876	0%	-
All Claims on Government of Nepal				-	0%	-
Investment in Nepal Rastra Bank securities	-			-	0%	-
All Claims on Nepal Rastra Bank	64,602,536			64,602,536	0%	-
Claims on Foreign Government and Central Bank (ECA rating 0-1)				-	0%	-
Claims on Foreign Government and Central Bank (ECA-2)				-	20%	-
Claims on Foreign Government and Central Bank (ECA -3)				-	50%	-
Claims on Foreign Government and Central Bank (ECA-4-6)				-	100%	-
Claims on Foreign Government and Central Bank (ECA -7)				-	150%	-
Claims On BIS, IMF, ECB, EC and on Multilateral Development Banks (MDB's) recognized by the framework				-	0%	-
Claims On Other Multilateral Development Banks				-	100%	-
Claims on Public Sector Entity (ECA 0-1)				-	20%	-
Claims on Public Sector Entity (ECA 2)				-	50%	-
Claims on Public Sector Entity (ECA 3-6)	1,972,851,602			1,972,851,602	100%	1,972,851,602
Claims on Public Sector Entity (ECA 7)				-	150%	-
Claims on domestic Banks that meet capital adequacy requirements	422,606,437			422,606,437	20%	84,521,287
Claims on domestic Banks that do not meet capital adequacy requirements	-			-	100%	-
Claims on foreign bank (ECA Rating 0-1)	5,419,989,766			5,419,989,766	20%	1,083,997,953
Claims on foreign bank (ECA Rating 2)	5,485,709,302			5,485,709,302	50%	2,742,854,651
Claims on foreign bank (ECA Rating 3-6)	959,600,000			959,600,000	100%	959,600,000
Claims on foreign bank (ECA Rating 7)	-			-	150%	-
Claims on foreign bank incorporated in SAARC region operating with a buffer of 1% above their respective regulatory capital requirement	375,058,886			375,058,886	20%	75,011,777
Claims on Domestic Corporates	120,239,680,513			118,538,199,467	100%	118,538,199,467
Claims on Foreign Corporates (ECA 0-1)	-			-	20%	-
Claims on Foreign Corporates (ECA 2)				-	50%	-

A. Balance Sheet Exposures	Book Value	Specific Provision	Eligible CRM	Net Value	Risk Weight	Risk Weighted Exposures
	a	b	c	d=a-b-c	e	f=d*e
Claims on Foreign Corporates (ECA 3-6)			-	-	100%	-
Claims on Foreign Corporates (ECA 7)			-	-	150%	-
Regulatory Retail Portfolio (Not Overdue)	6,166,194,629	37,415,078	1,263,654,363	4,865,125,189	75%	3,648,843,891
Claims fulfilling all criterion of regulatory retail except granularity			-	-	100%	-
Claims secured by residental properties	2,148,262,540	18,694,282	-	2,129,568,258	60%	1,277,740,955
Claims not fully secured by residental properties	127,235,003	-	-	127,235,003	150%	190,852,505
Claims secured by residental properties (Overdue)	108,777,267	65,790,722	-	42,986,545	100%	42,986,545
Claims secured by Commercial Real Estate	4,025,292,991	77,509,690	-	3,947,783,300	100%	3,947,783,300
Past due claims (except for claim secured by residental properties)	5,089,075,749	3,743,398,362	-	1,345,677,387	150%	2,018,516,080
High Risk Claims	3,264,470,724	19,285,137	-	3,245,185,587	150%	4,867,778,381
Lending against securities (bonds & shares)	1,193,420,956	488,515		1,192,932,441	100%	1,192,932,441
Investment in equity and other capital instruments of institutions listed in the Stock exchange	1,181,882,205	-	-	1,181,882,205	100%	1,181,882,205
Investment in equity and other capital instruments of institutions not listed in the Stock exchange	1,313,298,968	228,753,500	-	1,084,545,468	150%	1,626,818,202
Staff Loan Secured by residential property	568,561,595			568,561,595	50%	284,280,798
Interest receivable/Claim on government securities	342,650,180			342,650,180	0%	-
Cash in Transit & other cash items in the process of Collection	-			-	20%	-
Other Assets (as per attachment)	19,846,126,433	14,236,085,483	-	5,610,040,950	100%	5,610,040,950
Total	**219,958,649,258**	**19,636,149,488**	**1,756,406,689**	**198,566,093,081**		**151,347,492,992**
B. Off Balance Sheet Exposures						
Revocable Commitments	-	-	-	-	0%	-
Bills Under Collection	1,293,161,851	-	-	1,293,161,851	0%	-
Forward Exchange Contract Liabilities	11,712,615,123	-	-	11,712,615,123	10%	1,171,261,512
LC Commitments With Original Maturity Up to 6 months	-					
domestic counterparty	11,743,899,235	-	327,655,030	11,416,244,205	20%	2,283,248,841
foreign counterparty (ECA Rating 0-1)		-		-	20%	-
foreign counterparty (ECA Rating 2)		-		-	50%	-
foreign counterparty (ECA Rating 3-6)		-		-	100%	-
foreign counterparty (ECA Rating 7)	-	-	-	-	150%	-
L C Commitments With Original Maturity Over 6 months						
domestic counterparty	9,506,523,897	-	1,991,100,259	7,515,423,637	50%	3,757,711,819
foreign counterparty (ECA Rating 0-1)		-		-	20%	-
foreign counterparty (ECA Rating 2)		-		-	50%	-
foreign counterparty (ECA Rating 3-6)		-		-	100%	-
foreign counterparty (ECA Rating 7)	-	-	-	-	150%	-
Bid Bond, Performance Bond and Counter guarantee			-			-
domestic counterparty	18,158,376,797	-	3,507,040,667	14,651,336,130	50%	7,325,668,065
foreign counterparty (ECA Rating 0-1)		-	-	-	20%	-
foreign counterparty (ECA Rating 2)		-	-	-	50%	-
foreign counterparty (ECA Rating 3-6)		-	-	-	100%	-

B. Off Balance Sheet Exposures	Book Value	Specific Provision	Eligible CRM	Net Value	Risk Weight	Risk Weighted Exposures
	a	b	c	d=a-b-c	e	f=d*e
foreign counterparty (ECA Rating 3-6)		-	-	-	100%	-
foreign counterparty (ECA Rating 7)	-	-	-	-	150%	-
Underwriting commitments	-	-	-	-	50%	-
Lending of Bank's Securities or Posting of Securities as collateral	-	-	-	-	100%	-
Repurchase Agreements, Assets sale with recourse	27,500,000	-	-	27,500,000	100%	27,500,000
Advance Payment Guarantee	4,330,881,105	-	77,716,970	4,253,164,134	100%	4,253,164,134
Financial Guarantee	-	-	-	-	100%	-
Acceptances and Endorsements	11,782,958,536	-	589,147,927	11,193,810,610	100%	11,193,810,610
Unpaid portion of Partly paid shares and Securities	-	-	-	-	100%	-
Irrevocable Credit Commitments (short term)	8,562,777,306	-	-	8,562,777,306	20%	1,712,555,461
Irrevocable Credit Commitments (long term)	-			-	50%	-
Other Contingent Liabilities	71,509,790	-	-	71,509,790	100%	71,509,790
Unpaid Gurantee Claims	136,479,415			136,479,415	200%	272,958,830
Total	**77,326,683,055**	**-**	**6,492,660,853**	**70,834,022,201**		**32,069,389,062**
Total RWE for Credit Risk Before Adjustment (A)+(B)	**297,285,332,312**	**19,636,149,488**	**8,249,067,543**	**269,400,115,282**		**183,416,882,054**
Adjustments under Pillar II						
Add: 10% of the loan and facilities in excess of Single Obligor Limits(6.4 a 3)						-
Add: 1% of the Contract(sale) value in case of the sale of Credit with recourse(6.4 a 4)	275,000					275,000
Total RWE for Credit Risk (After Bank's Adjustment of Pillar II)	**297,285,607,312**	**19,636,149,488**	**8,249,067,543**	**269,400,390,282**		**183,417,157,054**

ELIGIBLE CREDIT RISK MITIGANTS

Credit exposures	Deposits with Bank	Deposits with other banks/FI	Gold	Govt.& NRB Securities	G'tee of Govt. of Nepal	Sec/G'tee of Other Sovereigns	G'tee of domestic banks	G'tee of MDBs	Sec/G'tee of Foreign Banks	Total
	(a)	(b)	I	(d)	(e)	(f)	(g)	(h)	(i)	
Claims on Foreign Government and Central Bank (ECA-2)										-
Claims on Foreign Government and Central Bank (ECA-3)										-
Claims on Foreign Government and Central Bank (ECA-4-6)										-
Claims on Foreign Government and Central Bank (ECA-7)										-
Claims on Other Multilateral Development Banks										-
Claims on Public Sector Entity (ECA 0-1)										-
Claims on Public Sector Entity (ECA 2)										-
Claims on Public Sector Entity (ECA 3-6)										-
Claims on Public Sector Entity (ECA 7)										-
Claims on domestic banks that meet capital adequacy requirements										-
Claims on domestic banks that do not meet capital adequacy requirements										-
Claims on foreign bank (ECA Rating 0-1)										-
Claims on foreign bank (ECA Rating 2)										-
Claims on foreign bank (ECA Rating 3-6)										-
Claims on foreign bank (ECA Rating 7)										-
claims on foreign bank incorporated in SAARC region operating with a buffer of 1% above their respective regulatory capital requirement										
Claims on Domestic Corporates	113,157,048	-	-	-	379,595,278	-	-	-	-	492,752,327
Claims on Foreign Corporates (ECA 0-1)	-	-	-	-	-	-	-	-	-	-
Claims on Foreign Corporates (ECA 2)	-	-	-	-	-	-	-	-	-	-
Claims on Foreign Corporates (ECA 3-6)	-	-	-	-	-	-	-	-	-	-
Claims on Foreign Corporates (ECA 7)	-	-	-	-	-	-	-	-	-	-

Credit exposures	Deposits with Bank	Deposits with other banks/FI	Gold	Govt.& NRB Securities	G'tee of Govt. of Nepal	Sec/G'tee of Other Sovereigns	G'tee of domestic banks	G'tee of MDBs	Sec/G'tee of Foreign Banks	Total
	(a)	(b)	I	(d)	(e)	(f)	(g)	(h)	(i)	
Regulatory Retail Portfolio (Not Overdue)	368,729,682		894,032,943	891,738		-				1,263,654,363
Claims fulfilling all criterion of regulatory retail except granularity										
Claims secured by residential properties										
Claims not fully secured by residential properties										
Claims secured by residential properties (Overdue)										
Claims secured by Commercial real estate										
Past due claims (except for claim secured by resi-dental properties)										
High Risk claims										
Investments in equity and other capital insturments of institutions listed in the stock exchange										
Investments in equity and other capital insturments of institutions not listed in the stock exchange										
Other Assets (as per attachment)										
Off Balance Sheet Exposures										
Forware Exchange Contract Liabilities										
LC Commitments With Original Maturity Up to 6 months										
domestic counterparty	327,655,030									327,655,030
foreign counterparty (ECA Rating 0-1)										
foreign counterparty (ECA Rating 2)										
foreign counterparty (ECA Rating 3-6)										
foreign counterparty (ECA Rating 7)										
LC Commitments With Original Maturity Over 6 months										
domestic counterparty	1,991,100,259									1,991,100,259
foreign counterparty (ECA Rating 0-1)										

Credit exposures	Deposits with Bank	Deposits with other banks/FI	Gold	Govt.& NRB Securities	G'tee of Govt. of Nepal	Sec/G'tee of Other Sovereigns	G'tee of domestic banks	G'tee of MDBs	Sec/G'tee of Foreign Banks	Total
	(a)	(b)	I	(d)	(e)	(f)	(g)	(h)	(i)	
foreign counterparty (ECA Rating 2)										
foreign counterparty (ECA Rating 3-6)										
foreign counterparty (ECA Rating 7)										
Bid Bond, Performance Bond and Counter guarantee										
domestic counterparty	180,692,779								3,326,347,888	3,507,040,667
foreign counterparty (ECA Rating 0-1)										
foreign counterparty (ECA Rating 2)										
foreign counterparty (ECA Rating 3-6)										
foreign counterparty (ECA Rating 7)										
Underwriting commitments										
Lending of Bank's Securities or Posting of Securities as Collateral										
Repurchase Agreements, Assets sale with recourse										
Advance Payment Guarantee	77,716,970									77,716,970.19
Financial Guarantee										
Acceptances and Endorsements	589,147,927									589,147,926.82
Unpaid portion of Partly paid shares and Securities										
Irrevocable Credit commitments(Short Term)										
Irrevocable Credit commitments(Long Term)										
Other Contingent Liabilities										
Total	**3,648,199,696**	**-**	**894,032,943**	**891,738**	**379,595,278**	**-**	**-**	**-**	**3,326,347,888**	**8,249,067,543**

Risk Weighted Exposure for Operational Risk
As at Ashad end, 2077

S.N.	Particulars	Fiscal Year		
		2073/074	2074/075	2075/076
1	Net Interest Income	4,976,173,411	5,850,178,347	6,173,506,249
2	Commission and Discount Income	1,154,262,305	1,429,754,175	1,442,867,238
3	Other Operating Income	140,434,512	180,290,238	155,740,986
4	Exchange Fluctuation Income	621,431,590	682,486,004	915,431,834
5	Addition/Deduction in Interest Suspense during the period	-	-	49,622,590
6	**Gross income (a)**	**6,892,301,819**	**8,142,708,764**	**8,737,168,897**
7	**Alfa (b)**	**15%**	**15%**	**15%**
8	**Fixed Percentage of Gross Income [c=(a×b)]**	**1,033,845,273**	**1,221,406,315**	**1,310,575,335**
9	**Capital Requirement for operational risk (d) (average of c)**			**1,188,608,974**
10	**Risk Weight (reciprocal of capital requirement of 11%) in times (e)**			**9.09**
11	**Equivalent Risk Weight Exposure [f=(d×e)]**	**-**		**10,804,455,574**

Risk Weighted Exposure for Market Risk
As at Ashad, 2077

S.No.	Currency	Open Position (FCY)	Exchange Rate	Open Position (NPR)	Relevant Open Position
1	AED	35,540.00	31.36	1,114,534.40	1,114,534
2	AUD	379,217.48	83.62	31,710,165.68	31,710,166
3	BHD	0.00	316.41	0.00	0.00
4	CAD	153,096.92	88.06	13,481,714.78	13,481,715
5	CHF	(23,021.38)	126.54	(2,913,125.43)	2,913,125
6	CNY	225,225.02	16.81	3,786,032.59	3,786,033
7	DKK	196,626.43	18.23	3,584,499.82	3,584,500
8	EUR	135,046.45	136.61	18,448,695.53	18,448,696
9	GBP	74,317.85	150.92	11,216,049.92	11,216,050
10	HKD	66,890.00	15.37	1,028,099.30	1,028,099
11	INR	262,594,249.84	1.6	420,150,799.74	420,150,800
12	JPY	27,085,469.00	1.116	30,227,383.40	30,227,383
13	KRW	999,000.00	0.1000	99,900.00	99,900.00
14	KWD	891.00	387.44	345,209.04	345,209.04
15	MYR	15,718.00	27.19	427,372.42	427,372
16	QAR	9,487.00	31.63	300,073.81	300,074
17	SAR	103,586.00	31.55	3,268,138.30	3,268,138
18	SEK	0.00	13.17	0.00	-
19	SGD	158,168.54	86.04	13,608,821.18	13,608,821
20	THB	292,380.00	3.79	1,108,120.20	1,108,120
21	USD	(803,509.94)	119.95	(96,381,017.30)	96,381,017
(a) Total Open Position					**653,199,753**
(b) Fixed Percentage					**5%**
(c) Capital Charge for Market Risk (=a×b)					**32,659,988**
(d) Risk Weight (reciprocal of capital requirement of 11%) in times					**9.09**
(e) Equivalent Risk Weight Exposure (=c×d)					**296,879,288**

(iii) Compliance with external requirements

Bank has not been in default on the minimum capital requirement under the central bank directives. In addition bank regularly furnishes to the central bank its ICAAP compliances reports.

5.3 Classification of financial assets and financial liabilities

Financial assets are classified under three categories, namely,

- Fair Value through Profit or Loss,
- Fair Value Though Other Comprehensive Income
- At Amortised Cost

Financial liabilities are classified under two categories, namely,

- Fair Value through Profit or Loss,
- Held at amortised cost

Bank 19-20	Assets held at FV		Assets held at amortised cost	Total
	FVtPL	FVtOCI		
Cash and Cash Equivalent			7,538,028,646	7,538,028,646
Due from Nepal Rastra Bank			14,321,970,764	14,321,970,764
Placements with Banks and Fis			7,964,991,870	7,964,991,870
Derivative financial instruments			133,976,991	133,976,991
Other trading assets			-	-
Loans and advances to B/Fis			4,920,062,224	4,920,062,224
Loans and advances to customers			135,082,098,539	135,082,098,539
Investment Securities		3,340,876,653	22,737,559,876	26,078,436,529
Current tax assets			715,878,466	715,878,466
Other assets			1,316,240,833	1,316,240,833
Total		**3,340,876,653**	**194,730,808,209**	**198,071,684,862**

Bank 18-19	Assets held at FV		Assets held at amortised cost	Total
	FVtPL	FVtOCI		
Cash and Cash Equivalent			13,520,574,452	13,520,574,452
Due from Nepal Rastra Bank			10,860,922,267	10,860,922,267
Placements with Banks and Fis			8,498,973,679	8,498,973,679
Derivative financial instruments			436,888,360	436,888,360
Other trading assets			-	-
Loans and advances to B/Fis			4,274,416,419	4,274,416,419
Loans and advances to customers			122,866,553,596	122,866,553,596
Investment Securities		2,802,770,743	14,170,704,050	16,973,474,794
Current tax assets			501,179,607	501,179,607
Other assets			3,006,197,586	3,006,197,586
Total		**2,802,770,743**	**178,136,410,016**	**180,939,180,759**

Bank 19-20	Liabilities at fair value	Liabilities at amortized costs	Total
Financial Liabilities	Designated at FVTPL		
Due to Banks and Financial Institutions		2,462,217,078	2,462,217,078
Due to Nepal Rastra Bank		2,722,787	2,722,787
Derivative Financial Instruments		-	-
Deposits from customers		166,362,126,293	166,362,126,293
Borrowings		-	-
Current tax liabilities		-	-
Other Financial Liabilities		2,694,953,504	2,694,953,504
Debt Securities Issued		3,250,000,000	3,250,000,000
Total		**174,772,019,662**	**174,772,019,662**

Bank 18-19	Liabilities at fair value	Liabilities at amortized costs	Total
Financial Liabilities	Designated at FVTPL		
Due to Banks and Financial Institutions		2,790,962,616	2,790,962,616
Due to Nepal Rastra Bank		940,266,774	940,266,774
Derivative Financial Instruments		-	-
Deposits from customers		149,392,281,905	149,392,281,905
Borrowings		-	-
Current tax liabilities		-	-
Other Financial Liabilities		2,923,955,038	2,923,955,038
Debt Securities Issued		3,250,000,000	3,250,000,000
Total		**159,297,466,333**	**159,297,466,333**

5.4 Segmental Reporting

5.4.1 General Information

The bank is managed through central operation. All policies and operations are controlled and directed from the head office. NIBL operates in single jurisdictional area. The management of the bank is on the basis of various types of operations supported by ancillary support services. Bank has identified banking operation (which includes basically deposit lending and cash operation related activities), treasury function, trade finance business, cardoperation and remittance business as its major business segments.None of the segments have been identified as a single cost centre. Therefore there is no inter-unit cost transfer mechanism within the bank.

Banking Operations primarily includes deposit, lending and other cash and transfer managements related services.

Treasury: The Treasury business basically includes services such as foreign currencies exchange (Buy/ Sell), money market operations as well as specific services such as foreign currency forward contracts, placements of funds, inter bank borrowings, investments in securities and government bonds and instruments.

Trade Finance: The function basically involves issuance of letters of credit and bank guarantees.Letter of creditis an undertaking/promise given by a Bank on behalf of the Buyer/Importer to the Seller/Exporter to make or receive payments upon the receipt of LC documents. Bank guarantee is an undertaking/promise given by a Bank on behalf of the applicant and in favor of the Beneficiary.

Card business basically involves providing various type of card services like debit card credit card, prepaid card POS terminal etc.

Remittance: The business basically involves receiving remittances money from remitters outside Nepal and within Nepal. It is a means of money transfer between two persons. Remitters can send money to NIBL from any part of the globe through our correspondent banks, exchange houses and banks in the Middle East and using Prithivi Express, our in-house remittance software. NIBL is the authorized agent of leading remittance companies of the world including UAE, Qatar, Saudi Arabia, Malaysia, United States and United Kingdom.

5.4.2 Information on profit or loss, assets and liabilities

S/N	Particulars	Banking Operation	Treasury	Trade Finance	Card	Remittance	Total
a	Revenue from external customers	5,381,230,762	1,464,692,268	1,044,060,685	164,968,973	18,907,951	8,073,860,639
b	intersegment revenue	-	-	-	-	-	-
c	**Net Revenue**	**5,381,230,762**	**1,464,692,268**	**1,044,060,685**	**164,968,973**	**18,907,951**	**8,073,860,639**
d	Interest Revenue	12,752,644,465	1,027,027,422	1,421,654,225	-	-	15,201,326,112
e	Interest Expenses	(7,905,662,182)	(636,678,288)	(881,316,661)	-	-	(9,423,657,132)
f	**Net interest revenue**	**4,846,982,283**	**390,349,134**	**540,337,564**	**-**	**-**	**5,777,668,980**
g	Depreciation and amortization	(172,824,181.30)	(47,040,213.17)	(33,531,164.34)	(5,298,161.15)	(607,249.76)	(259,300,970)
h	Segment Profit	1,674,848,232	999,490,140	712,455,703	112,573,041	12,902,581	3,512,269,696
i	Entity's interest in the profit or loss of associates accounted for using equity method	-	-	-	-	-	-
j	Other material non-cash Items:	-	-	-	-	-	-
k	Impairment of Assets	(1,997,245,355)		-	-	-	(1,997,245,355)
l	**Segment Assets**	**152,005,999,824**	**36,128,623,034**	**14,735,800,157**	**153,347,147**	**126,978**	**203,023,897,140**
m	**Segment Liability**	**156,272,946,096**	**33,645,026,455**	**12,856,312,576**	**234,661,236**	**14,950,777**	**203,023,897,140**

Notes

a. Revenue from external customers: the revenue from external customers have been segregated in accordance with the nature and the type of the segment.
b. Inter segment revenue: Bank does not have inter unit cost charging mechanism therefore inter segment revenue is not disclosed.
c. Net Revenue: Net revenue is same as the revenue from external customers as there is no intersegment revenue.
d. Interest Revenue: Total interest income is bifurcated into those from the loans and advances to the customers and interest earned from investments.
e. Interest Expense: Interest expense has been apportioned on the basis of the interest revenue.

f. Net interest revenue: Net interest revenue is Interest revenue less interest expense.
g. Depreciation and amortisation: Bank's assets are managed centrally, depreciation and amortisations are apportioned according to income generation capacity of segments.
h. Segment Profit / Loss: the profit before tax has been apportion on the basis of the net revenue from external customers in absence of cost allocation data for each of the reported segment.
i. Profit from associates under equity method has been shown separately.
j. Other material non-cash items: - Bank does not have basis of allocation non-cash assets to the segments, as it operates as a single comprehensive business unit.
k. Impairment of assets: has been allocated to the specific segment assets.
l. Segment Assets: Segment assets have been allocated in accordance with the nature of the assets.
m. Segment Liabilities: Segment liabilities have been allocated in accordance with the nature of the liabilities.

5.4.3 Measurement of Operating segment profit or loss, assets and liabilities

Transaction between reportable segments is reported as per the bank's accounting policy. There is no separate policy for measuring segments profit or loss, assets and liabilities.

5.4.4 Reconciliation of reportable segments revenues, profit or loss, assets and liabilities

a) Revenue	**NPR**
Total revenues for reportable segments	8,073,860,639
Other revenues	
Elimination of intersegment revenues	-
Entity's revenues	**8,073,860,639**
b) Profit or Loss	
Total Profit or loss for reportable segments	3,512,269,696
Other profit or loss	-
Elimination of intersegment profits	-
Unallocated amounts	
Profit Before Income Tax	**3,512,269,696**
c) Assets	
Total Assets for reportable segments	203,023,897,140
Other assets	
Unallocated amounts	
Entity's assets	**203,023,897,140**
d) Liability	
Total Assets for reportable segments	203,023,897,140
Other liabilities	
Unallocated liabilities	
Entity's liabilities	**203,023,897,140**

5.4.5 Information about product and services

Product and Services	NPR
Banking Operation	5,381,230,762
Treasury	1,464,692,268
Trade Finance	1,044,060,685
Card	164,968,973
Remittance	18,907,951
Total	**8,073,860,639**

5.4.6 Information about geographical areas

Province	NPR
Province 1	144,744,163
Province 2	355,375,129
Province 3	6,940,404,815
Province 4	56,374,161
Province 5	525,499,979
Province 6	12,554,238
Province 7	38,908,155
Total	**8,073,860,639**

5.4.7 Information about major customers

None of the customer individually or as a group contribute to 10% or more of the bank's revenue.

5.5 Share options and share based payments

There are no share options and employees and directors are not given any share based payments whether equity settled or cash settled.

5.6 Contingent liabilities and commitments

Details of contingent liabilities and commitments are given in note 4.28

5.7 Related Parties

5.7.1 Identification of Related Parties

Following has been identified as related parties for Nepal Investment Bank Limited under NAS 24 Related Parties

1. Directors of the Bank
2. Key Management Personnel of the Bank
3. Relatives of directors and key management personnel
4. Subsidiaries- NIBL Ace Capital Limited
   and Associate companies- Flexiterm Private Limited,M Nepal Limited and National Micro Finance Bittiya Sanstha Ltd.
5. NIBL Employee Retirement Fund

5.7.2 Transactions during the period

NPR

Particulars	2019-20	2018-19
Directors and Family		
Director's Sitting Fees	2,041,000	2,713,000
Other Expenses	192,852	286,101
Interest Paid to directors on deposits	2,103,592	3,434,561
Key Management Personnel and Family		
Remuneration and benefits Paid	89,766,999	79,006,524
Interest on account balances	2,100,682	2,815,800
NIBL Ace Capital Limited		
Dividend Received	51,300,000	38,475,000
Bonus Shares Received		
Interest Receivable/interest paid	1,721,124	3,542,141
Other Fee and cost Payable	1,100,000	1,100,000
NIBL Retirement Fund		
Interest Receivable/interest paid	49,704,482	46,344,175
National Microfinance BittiyaSanstha		
Dividend Received	-	3,911,492
Bonus Shares Received	28,289,800	7,522,100

Salary, allowances and other benefits provided to CEO

S.N.	Particulars	NPR
1	Basic Salary	16,076,052
2	Allowances	10,717,356
3	Dashain Allowance	2,232,784
4	Provident Fund	1,607,605
5	Bonus	17,146,373
	Total	**47,780,170**

Besides Salary and Allowances, following facilities were provided to Chief Executive Officer:

1. Water/ Electricity/Telephone Bills are reimbursed as per actual to Chief Executive.
2. Vehicle with driver, fuel and repair and maintenance is provided to Chief Executive.
3. Bonus - as per Bonus Act.
4. Severance allowance as per Contract.
5. Accident Insurance, Medical Insurance, Life Insurance - as per Contract
6. Books & Periodicals are provided to Chief Executive.
7. Three security guards are provide to Chief Executive.

5.7.3 Reporting date balances

Year-end Balance	15-Jul-2020	16-Jul-2019
Directors Deposits	99,731,269	91,299,562
KMP Deposits	167,755,126	83,204,787
NIBL Capital	23,571,972	55,773,814
M Nepal Limited	293,580	426,698
Flexiterm Private Ltd	13,444	70,757
NIBL Retirement Fund	634,291,944	489,005,625

5.7.4 Board of Directors

1. Mr.Prithivi B. Pande' (Chairman)
2. Mr. Surya P. L. Shrestha
3. Mr. Prajanya Raj Bhandary
4. Mr. Bhuwaneshwor P. Shah
5. Mr. Kabi Kumar Tibrewala
6. Mr. Manju Basnett

5.7.5 Key Management Personnel

CEO	Mr. Jyoti Prakash Pandey
DGMs	Mr. Bijendra Suwal, Mr. Rabin Sijapati
AGMs	Mr. Deepak Shrestha, Mr. Sachin Tibrewal, Ms. Sujata Joshi

5.8 Additional disclosures of non-consolidated entities

The bank has no unconsolidated entities.

5.9 Grant Received from Sakshyam:

Sakchyam access to finance for the poor programme facilitates financial sector development for poor people mainly of SudhurPaschim region, Karnali district,Province number 5, and beyond. The bank and Sakchyam have entered into financial inclusion agreement for far western region.Accounting for grant received from Sakchyam has been presented in the financial statement as per NAS 20. As per the agreement, revenue grant of NPR 1,342,142 has been received which has been deducted in reporting the related expense.

5.10 Events after reporting date

The Bank follows NAS 10 Events After Reporting Period for accounting and reporting of the events that occur after the reporting period. Bank classifies those events as adjusting and non-adjusting. There are no material events both adjusting or non-adjusting for the reporting period.

5.11 Corporate Social Responsibility Reserve Movements

Particulars	FY 2019-20	FY 2018-19
Opening Reserve	18,747,930	38,834,724
1% of Current Period Profit	24,231,861	33,241,129
Acquisition from Jebils		215,233
Amount Spent	(39,837,316)	(53,543,158)
Closing Balance	**3,142,474**	**18,747,930**

CSR Expenses sector wise disclosures

Sector	Amount NPR
Financial,Economic And Industrial Development	6,346,300
Socio Economic Empowerment	50,000
Heritage Conservation And Preservation	9,412,333
Natural Disaster Management	100,000
Arts & Craft	500,000
Health And Sports	19,145,790
Education	2,027,893
Social Projects	1,880,000
Gender Equality And Empowerment Of Women	-
Cultural Programe	375,000
Total	**39,837,316**

CSR Expenses Province wise disclosures

Sector	Amount NPR
Province 1	2,013,750
Province 2	599,700
Province 3	33,406,009
Province 4	1,140,157
Province 5	1,211,000
Province 6	712,550
Province 7	754,150
Total	**39,837,316**

5.12 Staff Training Reserve Movements

	FY 2019-20	FY 2018-19
Opening Reserve	2,570,978	4,971,507
3% of LY staff cost (salary and allowances)	-	21,637,918
Acquisition from Jebil	-	855,334
Amount Spent		(24,893,781)
Amount (transfer/(reversal)		(3,255,863)
Closing Balance	**2,570,978**	**2,570,978**

5.13 Nostro Reconciliation

Particulars	Upto 1 Year	1-3 Years	Above 3 Years	Total
Agency Balance (NRB)	194,461,599	24,246,174	13,617,190	**232,324,963**
Agency Balance (Others)	972,858,002	9,036,236	88,631	**981,982,870**

The above balance includes debit/credit differences. The differences are recognized and reconciled on daily basis.

5.14 Table of assets and liabilities in accordance to their liquidity

Assets	1-90 Days	91-180 Days	181-270 Days	271-365 Days	Above one Year	Total Amount
Cash Balance	2,840,056,124	-	-	-	-	2,840,056,124
Balance with Banks	17,377,035,496	-	-	-	-	17,377,035,496
Investment made with Foreign Banks (Placement)	5,813,088,870	3,058,725,000	-	479,800,000	-	9,351,613,870
Call Money	-	-	-	-	-	-
Investment in Treasury Bills	-	996,791,750	3,927,712,726	3,187,720,400	14,625,335,000	22,737,559,876
Investment in NRB /Gov Bonds	-	-	-	-	-	-
Inter Bank Lending	-	-	-	-	-	-
Loans & Advances	51,650,983,757	14,320,506,486	5,609,962,094	5,609,744,565	67,144,065,073	144,335,261,974
Interest Receivable	3,224,634,364	-	-	-	-	3,224,634,364
Rev. Repo	-	-	-	-	-	-
Investment/ Deposit Collection	-	-	-	-	2,490,447,305	2,490,447,305
Others	-	-	-	-	-	-
Total Assets						
Liabilities	**80,905,798,612**	**18,376,023,236**	**9,537,674,820**	**9,277,264,965**	**84,259,847,378**	**202,356,609,010**
Current Deposits						
Saving Deposits	5,077,498,324	1,692,499,441	2,538,749,162	1,692,499,441	5,923,748,044	16,924,994,413
Fixed Deposits	13,802,107,457	4,600,702,486	6,901,053,728	4,600,702,486	16,102,458,699	46,007,024,855
Margin Deposit	21,356,630,087	21,979,684,195	11,436,339,230	18,240,236,995	8,777,730,331	81,790,620,840
Call Deposits	3,166,312,966					3,166,312,966
Debentures	6,210,775,782	2,070,258,594	3,105,387,891	2,070,258,594	7,245,905,079	20,702,585,939
Borrowings	235,527,145	-	-	-	-	235,527,145
Inter Bank	232,804,358	-	-	-	-	-
Re-Financing	2,722,787	-	-	-	-	-
Others	-	-	-	-	-	-
Other Liabilities	-	-	-	-	-	-
Sundry Creditiors	541,773,081	-	-	-	-	541,773,081
Bills Payable	-	-	-	-	-	-
Interest Payable	436,481,706	-	-	-	-	436,481,706
Others	-	-	-	-	-	-
Currency Payablespot	-	-	-	-	-	-
LC/ Guarantee (Net)	20,411,384,006	6,788,982,690	2,305,830,781	1,386,263,967	10,689,971,149	41,582,432,593
Repo	-					-
Total Liabilities	**71,238,490,553**	**37,132,127,406**	**26,287,360,793**	**27,989,961,483**	**48,739,813,303**	**211,387,753,538**
Net Financial Assets	**9,667,308,059**	**(18,756,104,170)**	**(16,749,685,973)**	**(18,712,696,519)**	**35,520,034,075**	**(9,031,144,528)**
Cumulative Net Financial Assets	**9,667,308,059**	**(9,088,796,112)**	**(25,838,482,085)**	**(44,551,178,603)**	**(9,031,144,528)**	**-**

5.15 Earning Per share

Earning Per Share	Group		Bank	
	15-Jul-2020	16-Jul-2019	15-Jul-2020	16-Jul-2019
Opening	128,697,491	106,455,990	128,697,491	106,455,990
Weight	1	1	1	1
Bonus	13,513,237	19,162,078.20	13,513,236.56	19,162,078.20
weight	1	1.00	1	1
Fraction	278,817	281,004	278,817	281,004
AGM date for confirmation of bonus	1-Mar-2020	13-Jan-2019	1-Mar-2020	13-Jan-2019
weight	0.37	0.50	0.37	0.50
Further / Right / Merger	-	2,798,419	-	2,798,419
Acquisition / Allotment date	-	14-Jul-2019	-	14-Jul-2019
weight	-	0.01	-	0.01
Total number of shares (gross)	**142,489,545**	**128,697,491**	**142,489,545**	**128,697,491**
Weighted number of shares	**142,314,616**	**125,775,059**	**142,314,616**	**125,775,059**
PAT	**2,457,262,296**	**3,366,086,414**	**2,423,186,059**	**3,324,112,936**
Weighted EPS	**17.27**	**26.76**	**17.03**	**26.43**

5.16 Distribution to shareholders

The Bank's Board has proposed total dividend of 18.50%(NPR 2,636,056,583) of which, 5.50% cash dividend (NPR 783,692,498) and 13.00% stock dividend (NPR 1,852,364,085) for the fiscal year 2019-20 subject to approval from NRB and annual general meeting. The appropriation of stock dividend is NPR 32,598,858.13 from Share Premium Account and balance NPR 1,819,765,226.87 from Retained Earning.

5.17 Principal Indicators

5 Years Principal Indicators						
Particulars	Indicators	F/Y 2015/2016 (F/Y 072/73)	F/Y 2016/2017 (F/Y 073/74)	F/Y 2017/2018 (F/Y 074/75)	F/Y 2018/2019 (F/Y 075/76)	F/Y 2019/2020 (F/Y 076/77)
1. Percent of Net Profit/ Operating Income	Percent	47.6	47.1	46.10	39.82	30.00
2. Earning Per Share (Basic)	Rs.	29.3	29.3	35.7	26.4	17.0
3. Market Value Per Share	Rs.	1,040	770	621	519	431
4. Price Earning Ratio	Ratio	35.5	26.3	17.4	19.6	25.3
5. Dividend (including bonus) on share capital	Percent	41.0	40.0	40.0	19.0	18.5
6. Cash Dividend on Share Capital	Percent	21.0	25.0	22.0	8.5	5.5
7. Interest Income/ Loan & Advances	Percent	8.4	9.0	11.0	10.9	10.1
8. Staff Expenses/ Total operating Expenses	Percent	58.8	61.4	63.6	59.1	56.3
9. Interest Expenses on Total Deposit and Borrowings	Percent	2.8	3.7	5.8	6.1	6.0
10.Exchange Gain/ Operating Income	Percent	9.9	9.4	8.6	11.0	11.5
11.Staff Bonus/ Total Staff Expenses	Percent	39.4	40.2	37.6	32.2	27.05
12.Net Profit/Loan and Advances (Gross)	Percent	2.9	2.9	3.0	2.5	1.7
13.Net Profit/Total Assets	Ratio	2.0	2.1	2.13	1.79	1.19
14. Credit Deposit Ratio with Equity (CCD LCY)	Percent	76.8	77.6	74.7	71.97	72.93
15.Total Operating Expenses**/ Total Assets	Percent	0.9	0.9	1.3	1.4	1.3
16.Adequacy of Capital Fund on Risk Weighted Assets						
a. Core Capital	Percent	13.05	11.58	11.58	11.39	11.77
b. Supplementary Capital	Percent	1.87	1.44	1.08	1.87	1.77
c. Total Capital Fund	Percent	14.92	13.02	12.66	13.26	13.54
17.Liquidity (CRR)	Percent	7.2	10.5	8.2	5.5	8.7
18.Non-performing credit/ Total credit	Ratio	0.68	0.83	1.36	2.78	2.91
19. Base Rate	Percent	5.08	8.36	9.02	8.74	8.36
20.Weighted Average Interest Rate Spread	Percent	4.66	4.34	4.30	4.32	4.83
21.Total Net-worth (Net Assets)	Rs. '000	16,287,752	18,707,884	24,871,022	25,579,196	27,173,163,732
22.Total Shares	No.	87,066,118	106,264,357	106,455,990	128,697,491	142,489,545
23.Total Staffs	No.	1,005	1,187	1,355	1,408	1,437
24.Book Value Per Share	Rs.	187	176	234	199	191
25. Return on Paid-Up Capital	Percent	29.3	29.3	34.4	25.8	17.0
26. Return on Shareholders' fund	Percent	15.7	16.6	14.7	13.0	8.9
27. Market Capitalization (in Billion)	Rs.	90.5	81.8	66.1	66.8	61.4
28. Total number of Branches	No.	46	61	77	81	82
29. Total number of ATMs	No.	82	98	101	117	125
30. Total employee expenses per employee	Rs. '000	567	561	673	744	733
31. Total Deposit per employee	Rs. '000	108,086	105,871	103,374	107,153	117,322
32.Employee expense/ Total income	Percent	17.5	16.9	18.4	18.5	17.9

Note: Figures for FY 2072/73, FY 2073/74 are as per previous GAAP and figures of FY 2074/75, FY 2075/76& FY 2076/77are as per NFRS and hence they may not be comparable.

Nepal Investment Bank Ltd.

Comparison of Unaudited and Audited Financial Statements as of FY 2019/20 (2076/77)

Statement of Financial Position	As per unaudited Financial Statement	As per Audited Financial Statement	Variance		Reasons for Variance
Assets			In amount	In %	
Cash and Cash Equivalent	10,013,893	7,538,029	(2,475,865)	-24.72%	due to regrouping of treasury bills with original maturity upto 90 days
Due from Nepal Rastra Bank	14,321,971	14,321,971	-	0.00%	
Placements with Banks and FIs	7,964,992	7,964,992	-	0.00%	
Derivative financial instruments	133,977	133,977	-	0.00%	
Other trading assets	-	-	-	0.00%	
Loans and advances to B/FIs	4,920,062	4,920,062	-	0.00%	
Loans and advances to customers	135,457,513	135,082,099	(375,414)	-0.28%	
Investment Securities	23,582,660	26,078,437	2,495,777	10.58%	due to regrouping of treasury bills with original maturity upto 90 days
Current tax assets	748,912	715,878	(33,033)	-4.41%	due to change in current tax liability
Investments in subsidiaries	171,500	171,500	-	0.00%	
Investments in associates	82,363	82,363	-	0.00%	
Investment Property	265,983	265,983	-	0.00%	
Property and Equipment	4,010,755	4,010,977	222	0.01%	
Goodwill and Intangible assets	124,619	124,619	(0)	0.00%	
Deferred tax assets	-	-	-	0.00%	
Other assets	1,354,771	1,613,011	258,240	19.06%	due to booking of fair valuation of loan under NFRS
Total Assets	**203,153,970**	**203,023,897**	**(130,073)**	**-0.06%**	
Capital and Liabilities					
Due to Banks and Financial Institutions	2,462,217	2,462,217	-	0.00%	
Due to Nepal Rastra Bank	2,723	2,723	-	0.00%	
Derivative Financial Instruments	-	-	-	0.00%	
Deposits from customers	166,362,126	166,362,126	-	0.00%	
Borrowings	-	-	-	0.00%	
Current tax liabilities	-	-	-	0.00%	
Provisions	-	-	-	0.00%	
Deferred tax liabilities	973,605	968,729	(4,876)	-0.50%	
Other Liabilities	2,783,052	2,804,939	21,887	0.79%	
Debt securities issued	3,250,000	3,250,000	-	0.00%	
Subordinated liabilities	-	-	-	0.00%	
Total Liabilities	**175,833,723**	**175,850,733**	**17,011**		
Equity					
Share capital	14,248,955	14,248,955	-	0.00%	
Share premium	32,599	32,599	(0)	0.00%	
Retained earnings	1,623,100	2,622,386	999,286	61.57%	due to reversal of reserves during finalization of audit
Reserves	11,415,595	10,269,224	(1,146,370)	-10.04%	due to reversal of reserves during finalization of audit
Total equity attributable to equity holders	27,320,248	27,173,164	(147,084)	-0.54%	
Non-Controlling Interest	-				
Total Liabilities and Equity	**203,153,970**	**203,023,897**	**(130,073)**	**-0.06%**	

Nepal Investment Bank Ltd.

Comparison of Unaudited and Audited Financial Statements as of FY 2019/20 (2076/77)

Statement of Financial Position Assets	As per unaudited Financial Statement	As per Audited Financial Statement	Variance		Reasons for Variance
			In amount	In %	
Statement of Profit or Loss					
Interest income	15,183,854	15,201,326	17,472	0.12%	due to fair value adjustment of staff loan
Interest expense	(9,423,657)	(9,423,657)	-	0.00%	
Net interest income	**5,760,197**	**5,777,669**	**17,472**	**0.30%**	
Fee and commission income	1,513,164	1,513,164	-	0.00%	
Fee and commission expense	(315,998)	(315,998)	-	0.00%	
Net fee and commission income	**1,197,165**	**1,197,165**	**-**	**0.00%**	
Net interest, fee and commission income	**6,957,362**	**6,974,834**	**17,472**	**0.25%**	
Net trading income	871,873	871,873	-	0.00%	
Other operating income	230,124	230,124	-	0.00%	
Total operaing income	**8,059,359**	**8,076,831**	**17,472**	**0.22%**	
Impairment charge/(reversal) for loans and other losses	(1,880,141)	(1,997,245)	(117,105)	6.23%	due to additional impairment allowance on loans and advances during finalization of audit
Net operating income	**6,179,219**	**6,079,586**	**(99,633)**	**-1.61%**	
Personnel expenses	(1,426,740)	(1,442,949)	(16,210)	1.14%	
Other operating expenses	(856,811)	(862,095)	(5,284)	0.62%	
Depreciation and Amortisation	(259,527)	(259,301)	226	-0.09%	
Total operating expenses	**(2,543,077)**	**(2,564,346)**	**(21,268)**	**0.84%**	
Operating profit	**3,636,141**	**3,515,240**	**(120,901)**	**-3.32%**	
Non operating income	3,317	3,317	-	0.00%	
Non operating expense	(6,288)	(6,288)	-	0.00%	
Profit before tax	**3,633,171**	**3,512,270**	**(120,901)**	**-3.33%**	
Income tax					
Current Tax	(1,054,026)	(1,087,060)	(33,034)	3.13%	due to change in profit
Deferred Tax	(7,492)	(2,023)	5,469	-73%	due to deferred tax adjustments in additional liabilities
Profit /(loss) for the period	**2,571,652**	**2,423,186**	**(148,466)**	**-5.77%**	

Nepal Investment Bank Limited
Unaudited Quarterly Result
Condensed Consolidated Statement of Financial Position As on Quarter ended 2077 Ashad 31

Assets	Group		Bank	
	This Quarter Ending	Immediate Previous Year Ending	This Quarter Ending	Immediate Previous Year Ending
	Ashadh 31 2077	Ashadh 31 2076	Ashadh 31 2077	Ashadh 31 2076
Cash and Cash Equivalent	10,310,328	14,057,181	10,013,893	13,520,574
Due from Nepal Rastra Bank	14,321,971	10,860,922	14,321,971	10,860,922
Placements with Banks and FIs	7,964,992	8,498,974	7,964,992	8,498,974
Derivative financial instruments	133,977	436,888	133,977	436,888
Other trading assets	82,187	95,681	-	-
Loans and advances to B/FIs	4,920,062	4,274,416	4,920,062	4,274,416
Loans and advances to customers	135,457,513	122,866,554	135,457,513	122,866,554
Investment Securities	24,395,731	17,405,725	23,582,660	16,973,475
Current tax assets	748,928	507,636	748,912	501,180
Investments in subsidiaries	-	-	171,500	171,500
Investments in associates	153,229	121,632	82,363	82,364
Investment Property	265,983	214,090	265,983	214,090
Property and Equipment	4,030,160	4,068,901	4,010,755	4,042,456
Goodwill and Intangible assets	126,106	92,519	124,619	90,628
Deferred tax assets	-	-	-	-
Other assets	1,412,298	3,356,115	1,354,771	3,307,966
Total Assets	**204,323,462**	**186,857,234**	**203,153,970**	**185,841,988**

Liabilities	Group		Bank	
	This Quarter Ending	Immediate Previous Year Ending	This Quarter Ending	Immediate Previous Year Ending
	Ashadh 31 2077	Ashadh 31 2076	Ashadh 31 2077	Ashadh 31 2076
Due to Banks and Financial Institutions	2,462,217	2,790,963	2,462,217	2,790,963
Due to Nepal Rastra Bank	2,723	940,267	2,723	940,267
Derivative Financial Instruments	-	-	-	-
Deposits from customers	166,338,554	149,336,508	166,362,126	149,392,282
Borrowings	-	-	-	-
Current tax liabilities	-	-	-	-
Provisions	5,668	2,279	-	-
Deferred tax liabilities	965,958	857,560	973,605	865,207
Other Liabilities	3,708,087	3,871,827	2,783,052	3,024,074
Debt securities issued	3,250,000	3,250,000	3,250,000	3,250,000
Subordinated liabilities	-	-	-	-
Total Liabilities	**176,733,208**	**161,049,404**	**175,833,723**	**160,262,792**
Equity				
Share capital	14,248,955	12,869,749	14,248,955	12,869,749
Share premium	32,599	105,649	32,599	105,649
Retained earnings	1,903,345	2,303,535	1,623,100	2,064,662
Reserves	11,405,356	10,528,897	11,415,595	10,539,136
Total equity attributable to equity holders	**27,590,255**	**25,807,830**	**27,320,248**	**25,579,196**
Non-Controlling Interest	-	-	-	-
Total equity	**27,590,255**	**25,807,830**	**27,320,248**	**25,579,196**
Total Liabilities and Equity	**204,323,462**	**186,857,234**	**203,153,970**	**185,841,988**

Nepal Investment Bank Limited
Condensed Consolidated Statement of Profit or Loss
For the Quarter ended 2077 Ashad

Particulars	Group				Bank			
	Current Year		Previous Year Corresponding		Current Year		Previous Year Corresponding	
	This Quarter	Up to This Quarter (YTD)	This Quarter	Up to This Quarter (YTD)	This Quarter	Up to This Quarter (YTD)	This Quarter	Up to This Quarter (YTD)
Interest income	3,657,292	15,267,342	3,593,801	15,047,527	3,632,914	15,183,854	3,575,239	14,975,215
Interest expense	(2,408,582)	(9,421,936)	(2,307,260)	(8,798,167)	(2,408,669)	(9,423,657)	(2,313,530)	(8,801,709)
Net interest income	**1,248,709**	**5,845,406**	**1,286,541**	**6,249,360**	**1,224,245**	**5,760,197**	**1,261,709**	**6,173,506**
Fees and Commission income	421,190	1,597,772	505,350	1,550,629	392,773	1,513,164	466,512	1,442,867
Fees and Commission expense	(68,033)	(327,589)	(112,364)	(355,753)	(64,028)	(315,998)	(106,242)	(339,737)
Net fee and commission income	**353,157**	**1,270,183**	**392,986**	**1,194,876**	**328,745**	**1,197,165**	**360,270**	**1,103,130**
Net interest, fee and commission income	**1,601,866**	**7,115,589**	**1,679,527**	**7,444,236**	**1,552,990**	**6,957,362**	**1,621,978**	**7,276,637**
Net trading income	189,330	879,292	296,453	895,393	182,139	871,873	281,511	890,844
Other operating income	14,763	178,824	(46,472)	141,030	18,132	230,124	2,509	180,329
Total Operating Income	**1,805,960**	**8,173,705**	**1,929,507**	**8,480,659**	**1,753,261**	**8,059,359**	**1,905,999**	**8,347,809**
Impairment (charges)/reversals for loans & other losses	(1,105,956)	(1,880,141)	(672,519)	(1,596,610)	(1,105,956)	(1,880,141)	(672,519)	(1,596,610)
Net operating income	**700,004**	**6,293,565**	**1,256,989**	**6,884,050**	**647,306**	**6,179,219**	**1,233,480**	**6,751,200**
Operating expenses	**(595,856)**	**(2,619,145)**	**(810,494)**	**(2,712,116)**	**(576,923)**	**(2,543,077)**	**(787,615)**	**(2,617,826)**
Personnel Expenses	(293,554)	(1,476,594)	(442,618)	(1,604,259)	(267,837)	(1,426,740)	(421,065)	(1,546,163)
Other Operating Expenses	(234,099)	(874,223)	(307,392)	(880,154)	(242,962)	(856,811)	(309,529)	(854,242)
Depreciation and Amortization	(68,203)	(268,327)	(60,484)	(227,703)	(66,124)	(259,527)	(57,021)	(217,421)
Operating profit	**104,148**	**3,674,420**	**446,494**	**4,171,934**	**70,382**	**3,636,141**	**445,864**	**4,133,374**
Non operating income	4,883	34,916	671,667	695,195	3,317	3,317	650,919	650,919
Non operating expense	(5,567)	(6,288)	(315,658)	(315,658)	(5,567)	(6,288)	(297,758)	(297,758)
Profit before income tax	**103,464**	**3,703,048**	**802,503**	**4,551,471**	**68,132**	**3,633,171**	**799,025**	**4,486,534**
Income tax expense								
Current Tax	7,085	(1,079,831)	(43,762)	(1,182,137)	15,485	(1,054,026)	(31,239)	(1,153,110)
Deferred Tax	(7,492)	(7,492)	(7,305)	(7,305)	(7,492)	(7,492)	(9,311)	(9,311)
Profit for the period	**103,056**	**2,615,724**	**751,437**	**3,362,030**	**76,125**	**2,571,652**	**758,475**	**3,324,113**

Condensed Consolidated Statement of Comprehensive Income

Profit/(loss) for the period	103,056	2,615,724	751,437	3,362,030	76,125	2,571,652	758,475	3,324,113
Other Comprehensive Income	167,756	235,447	2,894	(40,640)	167,756	235,447	13,132	(30,402)
Total Comprehensive Income	270,812	2,851,171	754,331	3,321,390	243,881	2,807,099	771,607	3,293,711
Basic earnings per share		18.38		26.76		18.07		26.43
Diluted earnings per share		18.38		26.76		18.07		26.43
Profit attributable to:								
Equity holders of the Bank	270,812	2,851,171	754,581	3,325,446	243,881	2,807,099	771,607	3,293,711
Non-controlling Interest			(251)	(4,057)				
Total	**270,812**	**2,851,171**	**754,331**	**3,321,390**	**243,881**	**2,807,099**	**771,607**	**3,293,711**

Five Years Financial Summary
Balance Sheet

Rs. in'000

Fiscal Year Assets	2072/73 2015/2016	2073/74 2016/2017	2074/75 2017/2018	2075/76 2018/2019	2076/77 2019/2020
Cash and Cash Equivalent	2,285,800	2,478,216	10,610,892	13,520,574	7,538,029
Due from Nepal Rastra Bank	7,767,323	11,382,513	7,389,706	10,860,922	14,321,971
Placements with Banks and FIs	15,847,518	13,360,729	10,246,404	8,498,974	7,964,992
Derivative financial instruments	101,465	117,351	30,855	436,888	133,977
Other trading assets	-	-	-	-	-
Loans and advances to B/FIs	1,496,951	2,158,458	2,502,926	4,274,416	4,920,062
Loans and advances to customers	83,964,100	102,466,349	118,322,570	122,866,554	135,082,099
Investment Securities	16,341,544	16,097,139	17,154,379	16,973,475	26,078,437
Current tax assets	85,315	149,967	346,852	501,180	715,878
Investments in subsidiaries	126,500	201,350	238,160	171,500	171,500
Investments in associates	33,289	33,289	33,289	82,364	82,363
Investment Property	-	-	16,559	214,090	265,983
Property and Equipment	1,050,446	1,304,305	3,727,972	4,042,456	4,010,977
Goodwill and Intangible assets	49,542	62,414	61,464	90,628	124,619
Deferred tax assets	-	-	-	-	-
Other assets	632,912	1,005,953	1,211,518	3,307,966	1,613,011
Total Assets	**129,782,705**	**150,818,034**	**171,893,547**	**185,841,988**	**203,023,897**

Capital & Liabilities	2015/2016	2016/2017	2017/2018	2018/2019	2019/2020
Due to Banks and Financial Institutions	1,010,008	937,860	3,742,408	2,790,963	2,462,217
Due to Nepal Rastra Bank	-	-	505,848	940,267	2,723
Derivative Financial Instruments	-	-	-	-	-
Deposits from customers	107,867,114	124,972,819	136,585,576	149,392,282	166,362,126
Borrowings	-	-	-	-	-
Current tax liabilities	-	-	-	-	-
Provisions	-	-	-	-	-
Deferred tax liabilities	11,927	4,912	868,925	865,207	968,729
Other Liabilities	3,055,905	4,644,558	4,069,767	3,024,074	2,804,939
Debt securities issued	1,550,000	1,550,000	1,250,000	3,250,000	3,250,000
Subordinated liabilities	-	-	-	-	-
Total Liabilities	**113,494,954**	**132,110,149**	**147,022,524**	**160,262,792**	**175,850,733**
Equity		-	-		-
Share capital	8,706,612	10,626,436	10,645,599	12,869,749	14,248,955
Share premium	3,104,511	1,718,454	1,718,454	105,649	32,599
Retained earnings	246,582	272,328	2,735,026	2,064,662	2,622,386
Reserves	4,230,047	6,090,667	9,771,943	10,539,136	10,269,224
Total equity attributable to equity holders	**16,287,752**	**18,707,884**	**24,871,022**	**25,579,196**	**27,173,164**
Non-Controlling Interest		-	-		-
Total Liabilities and Equity	**129,782,705**	**150,818,034**	**171,893,547**	**185,841,988**	**203,023,897**
Contingent Liabilities & commitment					
Net assets value per share	187	176	234	199	191
Total Liabilities	**129,782,705**	**150,818,034**	**171,893,547**	**185,841,988**	**203,023,897**

Five Years Financial Summary
Profit & Loss Account

Fiscal Year / Particulars	2072/73 2015/2016	2073/74 2016/2017	2074/75 2017/2018	2075/76 2018/2019	2076/77 2019/2020
Interest Income	6,776,755	9,248,699	13,574,102	14,975,215	15,201,326
Interest Expenses	(2,855,650)	(4,464,552)	(7,723,924)	(8,801,709)	(9,423,657)
Net Interest Income	**3,921,105**	**4,784,147**	**5,850,178**	**6,173,506**	**5,777,669**
Fees and Commission income	760,562	1,009,497	1,429,754	1,442,867	1,513,164
Fees and Commission expense	(156,162)	(194,670)	(211,923)	(339,737)	(315,998)
Net fee and commission income	**604,400**	**814,827**	**1,217,831**	**1,103,130**	**1,197,165**
Net interest, fee and commission income	**4,525,505**	**5,598,974**	**7,068,009**	**7,276,637**	**6,974,834**
Net trading income	515,694	617,676	654,481	890,844	871,873
Other operating income	333,858	453,997	208,295	180,329	230,124
Total Operating Income	**5,375,057**	**6,670,647**	**7,930,785**	**8,347,809**	**8,076,831**
Impairment (charges)/reversals for loans & other losses	(77,774)	(414,165)	(675,208)	(1,596,610)	(1,997,245)
Net operating income	**5,297,283**	**6,256,481**	**7,255,578**	**6,751,200**	**6,079,586**
Personnel Expenses	(940,494)	(1,113,662)	(1,467,836)	(1,546,163)	(1,442,949)
Other operating expense	(507,683)	(538,145)	(641,031)	(854,242)	(862,095)
Depreciation and Amortization	(150,230)	(161,540)	(187,796)	(217,421)	(259,301)
Total operating expenses	**(1,598,407)**	**(1,813,348)**	**(2,296,662)**	**(2,617,826)**	**(2,564,346)**
Operating profit	**3,698,876**	**4,443,134**	**4,958,916**	**4,133,374**	**3,515,240**
Non operating income	8,570	35,098	48,280	650,919	3,317
Non operating expense	-	-	(66,975)	(297,758)	(6,288)
Profit before income tax	**3,707,445**	**4,478,232**	**4,940,221**	**4,486,534**	**3,512,270**
Income tax expense					
- Current Year	(1,109,655)	(1,335,359)	(1,464,507)	(1,153,110)	(1,087,060)
- Upto Previous Year	(47,371)	(35,757)	-	-	-
- Deferred Tax Income / (Expense)	463	7,015	183,609	(9,311)	(2,023)
Net Profit/ Loss	**2,550,882**	**3,114,131**	**3,659,323**	**3,324,113**	**2,423,186**

Note: Figures for FY 2072/73 and FY 2073/74 are as per previous GAAP and figures of FY 2074/75, FY 2075/76 and FY 2076/77 are as per NFRS and hence they may not be comparable.

DISCLOSURE UNDER BASEL III

As at Ashad end 2077

1. Capital Structure & Capital Adequacy

Amount in NPR

Core Capital (Tier I)		**23,627,148,633**
Paid up Equity Share Capital		14,248,954,500
Share Premium		32,598,858
Proposed Bonus Equity Shares		-
Statutory General Reserves		5,979,139,028
Retained Earnings upto Previous Year		2,622,386,038
Acquisition Reserve		-
Unaudited current year cumulative profit		-
Debenture Redemption Reserve		1,142,857,142
Capital Adjustment Reserve		-
Less : Intangible Assets		(124,618,954)
Less. Investment in equity of institutions with financial interests		(228,753,500)
Less. Investment in equity of institutions in excess of limits		(16,020,480)
Less. Purchase of land & building in excess of limit & utilised		(29,394,000)
Supplementary Capital (Tier 2)		**3,567,058,186**
Subordinated Term Debt		3,250,000,000
Less : 20% discount value to 5YTM Bond/ Debenture		(1,100,000,000)
General loan loss provision		1,247,326,342
Exchange Equalization Reserve		103,979,477
Investment Adjustment Reserve		65,752,368
Other Reserves		-
Total Capital Fund (Tier I and Tier II)		**27,194,206,819**

Information about Subordinated Term Debts

8% Debenture of Rs.1000 each issued on 21-07-2013(2070-04-06) and Maturing On 20-07-2020(2077-04-05)		500,000,000
Outstanding balance of Redemption Reserve	500,000,000	
8% Debenture of Rs.1000 each issued on 27-07-2014(2071-04-11) and Maturing on 26-07-2021(2078-04-10)		750,000,000
Outstanding balance of Redemption Reserve	642,857,142	
10.25% Debenture of Rs.1000 each issued on 19-06-2019(2076-03-04) and Maturing on 28-06-2026(2081-03-03)		2,000,000,000
Outstanding balance of Redemption Reserve		
Total	1,142,857,142	**3,250,000,000**
Deductions from Capital		
20% Discount value to 5 YTM Debenture		(1,100,000,000)
Total Qualifying Capital		**2,150,000,000**

Tier 1 Capital to Total Risk Weighted Exposures **11.77%**
Tier 1 and Tier 2 Capital to Total Risk Weighted Exposures **13.54%**

Summary of the Banks internal approach to assess the adequacy of its capital to support current & future activities:

- Regular monitoring by the Internal Audit & Compliance Department
- Periodic supervision by the Top Management

Features of Subordinated Term Debts (Debenture)

-Fixed Maturity period of 7 Years
-Interest payment half yearly
-At the time of liquidation rights of claim will be only after depositors
-Listed with Nepal Stock Exchange Ltd.
-Redeemable and non convertible

2.Risk Exposures

Amount in NPR

RISK WEIGHTED EXPOSURES	Current Period
Risk Weighted Exposure for Credit Risk	183,417,157,054
Risk Weighted Exposure for Operational Risk	10,804,455,574
Risk Weighted Exposure for Market Risk	296,879,288
Add:2% of the total RWE As Per NRB Instruction	3,890,369,838
Add:3% Capital Charge For Operational Risk	2,382,625,958
Total Risk Weighted Exposures	**200,791,487,712**

Risk Weighted exposure under each of 11 categories of Credit Risk

Particulars	Risk Weighted Exposure
a.Claims on government & central bank	-
b.Claims on other official entities	-
c.Claims on banks	4,945,985,669
d.Claims on corporate & securities firms	120,511,051,069
e.Claims on regulatory retail portfolio	3,648,843,891
f. Claims secured by residential properties	1,277,740,955
g.Claims secured by commercial real state	3,947,783,300
h.Past due claims	2,061,502,626
i.High risk claims	4,867,778,381
j.Other assets	10,086,807,101
k.Off balance sheet items	32,069,664,062
Total	**183,417,157,054**

Amount of NPA's **Amount in NPR**

Category	Gross	Provision	Net
Substandard	402,929,372	100,732,343	302,197,029
Doubtful	236,104,073	118,052,036	118,052,037
Loss	3,559,791,557	3,559,791,557	-
Total	**4,198,825,002**	**3,778,575,936**	**420,249,066**

NPA Ratio	
Gross NPA to Gross Advances	2.91%
Net NPA to Net Advances	0.30%

Movement of NPA

Amount in NPR

Particulars	Opening Balance	Closing Balance	Movement
Non Performing Loan	**3,641,002,453**	**4,198,825,002**	**557,822,549**
1 Substandard	645,594,487	402,929,372	(242,665,115)
2 Doubtful	1,163,547,857	236,104,073	(927,443,784)
3 Loss	1,831,860,109	3,559,791,557	1,727,931,448

Write off of Loans & Interest Suspense: **Amount in NPR**

Particulars	Loan Amount	Interest Suspense	Provision write back
Total Loan Write off	706,090	5,581,897	3,317,391

Movement of Loan Loss Provision & Interest Suspense **Amount in NPR**

Particulars	Opening Balance	Closing Balance	Movement
Loan Loss Provision			
1. Pass	1,158,852,505	1,247,326,342	(11,402,841.97)
2. Watch List	586,472,659	1,324,969,632	547,315,179
3. Substandard	161,558,622	100,732,343	82,970,170
4. Doubtful	581,873,928	118,052,036	(575,067,045)
5. Loss	1,831,860,109	3,559,791,557	1,115,438,434
6. PG & Third Party Collateral	6,975,225	67,764,936	63,806,583
Total Loan Loss Provision	**4,327,593,048**	**6,418,636,847**	**1,223,060,479**

Interest Suspense **Amount in NPR**

Particulars	Opening Balance	Closing Balance	Movement
Interest Suspense	780,112,619	977,607,078	19,7494,459

Details of Additional Loan Loss Provision **Amount in NPR**

Particulars	Opening Balance	Closing Balance	Movement
Total Loan Loss Provision	4,327,593,048	6,418,636,847	2,091,043,799

Segregation of Investment Portfolio

Amount in NPR

Investment Held to Maturity	Cost Price Rs. (A)	Amount Impaired till Previous Year Rs.	Net
Nepal Government Treasury Bills	8,112,224,876		8,112,224,876
Nepal Government Savings Bond	14,625,335,000		14,625,335,000
Nepal Government Other Securities			-
Nepal Rastra Bank Bond	-		-
Foreign Bonds	-		-
Local Licensed Institutions-Placement with Local Banks	-		-
Local Licensed Institutions' Shares			-
Local Licensed Institutions' Debentures & Bond	-		-
Foreign Bank Placements	9,351,613,870		9,351,613,870
Other Investment	4,733,868		4,733,868
Total	**32,093,907,614**	**-**	**32,093,907,614**

Investment Held For Trading	NIL	NIL	NIL

Amount in NPR

Investment (Available for Sale)	Cost Price	Previous market price	Current Market Price	Current year Adjustment in Investment Reserve
Nepal Government Treasury Bills				
Nepal Government Savings Bond				
Nepal Government Other Securities				
Nepal Rastra Bank Bonds				
Foreign Bonds				
Local Licensed Institutions' Shares ***	75,800,500	790,491,574	1,263,448,851	-
Local Licensed Institutions' Mutual Fund	779,373,600	580,892,514	757,546,590	
Foreign Bank Placements				
Other Investment	1,392,873,366	1,910,426,354	2,068,388,024	-
Total	**2,248,047,466**	**3,281,810,442**	**4,089,383,464**	**-**

***Note: Incase of unlisted share Cost price is taken as Market Price.

Risk Management Process

Nepal Investment Bank has tailored its risk management program to its needs and circumstances. Regardless of the risk management program design, each program should cover:

Risk identification

In order to properly manage risks, an institution must recognize and understand risks that may arise from both existing and new business initiatives; for example, risks inherent in lending activity include credit, liquidity, interest rate and operational risks. Risk identification should be a continuing process, and should be understood at both the transaction and portfolio levels.

Risk Measurement

Once risks have been identified, they should be measured in order to determine their impact on the banking institution's profitability and capital. This can be done using various simple models. Accurate and timely measurement of risk is essential to effective risk management systems. An institution that does not have a risk measurement system has limited ability to control or monitor risk levels. Banking institutions should periodically test their risk measurement tools to make sure they are accurate. Good risk measurement systems assess the risks of both individual transactions and portfolios.

Risk Monitoring

Institutions should put in place an effective management information system (MIS) to monitor risk levels and facilitate timely review of risk positions and exceptions. Monitoring reports should be frequent, timely, accurate, and informative and should be distributed to appropriate individuals to ensure action, when needed.

Risk Control

After measuring risk, an institution should establish and communicate risk limits through policies, standards, and procedures that define responsibility and authority. These limits should serve as a means to control exposure to various risks associated with the banking institution's activities. Institutions may also apply various mitigating tools in minimizing exposure to various risks. Institutions should have a process to authorize and document Exceptions or changes to risk limits when warranted.

A sound risk management system should have the following elements:

- Active board and senior management oversight; (BMO)
- Adequate policies, procedures and limits; (PPL
- Adequate risk measurement, monitoring and management information system (MIS); and Comprehensive internal controls. (ICs)

Active Board and Senior Management Oversight

Boards of directors have ultimate responsibility for the level of risk taken by Nepal Investment Bank Limited. Accordingly, they should approve the overall business strategies and significant policies of NIBL, including those related to managing and taking risks, and should also ensure that senior management is fully capable of managing the activities that NIBL undertake. While all boards of directors are responsible for understanding the nature of the risks significant to NIBL and for ensuring that management is taking the steps necessary to identify, measure, monitor, and control these risks.

Senior management is responsible for implementing strategies in a manner that limits risks associated with

each strategy and that ensures compliance with laws and regulations on both a long-term and day-to-day basis. Accordingly, management should be fully involved in the activities of NIBL and possess sufficient knowledge of all major business lines to ensure that appropriate policies, controls, and risk monitoring systems are in place and that accountability and lines of authority are clearly delineated. Senior management is also responsible for establishing and communicating a strong awareness of and need for effective internal controls and high ethical standards.

Strategies and Processes

Credit risk process is a joint effort between its marketing and credit areas. Relationship managers and account officers on one hand, and the credit officers on the other are engaged in analyzing inherent risks in the customer's business, ability to repay and structure a facility that simultaneously accommodates the financing needs, while assuring seniority, protection and control of the Bank's assets and collateral.

The Structure and Organization of the Relevant Risk Management Function

The Board of Directors (BOD) is the ultimate authority in the decision making process. The process, however, is initiated at the business unit officers / business unit heads / ALCO level, Risk Management department and goes through the Chief Executive Officer, Risk management committee and the BOD. The risk management stops at different levels depending on the Bank's policy relating to approval discretions. Further policy manuals on credit, asset liability, information technology & operations are also available to guide the staff on day to day business.

The Scope and Nature of Risk Reporting and / or Measurement Systems

Risk reporting / measurement system is done through regular customer interactions, site inspections & annual reviews. These are continuous processes. Further, quarterly review of the bank's performance is conducted every quarter and findings reported to the BOD.

Policies for Hedging and / or mitigating risk and Strategies, and processes for monitoring the continuing effectiveness of hedges / mitigants

Policies for mitigating risks & strategies are as outlined in the respective manuals and as discussed at various levels after customer interactions / visits, during annual reviews, quarterly reviews and at meetings at various levels.

Types of Eligible credit risk mitigants used and the benefits availed under CRM: **NPR**

Particulars	Eligible CRM
Deposits with Bank	3,648,199,696
Deposits with other banks/FI	-
Gold	894,032,943
Govt. & NRB Securities	891,738
Government Guarantee	379,595,278
Sec/G'tee of Foreign Banks	3,326,347,888
Total	**8,249,067,543**

धितोपत्रदर्ता तथानिष्काशननियमावली २०७३ को नियम २६ को उपनियम (२) सँग सम्बन्धितवार्षिक प्रतिवेदन

१. संचालक समितिको प्रतिवेदन : यसै वार्षिक प्रतिवेदनमा संलग्न ।

२. लेखापरीक्षकको प्रतिवेदन : यसै वार्षिक प्रतिवेदनमा संलग्न ।

३. लेखापरीक्षण भएको वित्तीय विवरण : यसै वार्षिक प्रतिवेदनमा संलग्न ।

४. कानूनी कारवाही सम्बन्धी विवरण :

(क) यस अवधिमा संगठित संस्थाले वा संस्थाको विरुद्ध कुनै तात्विक मुद्दा दायर नभएको ।

(ख) संस्थाको संस्थापक वा संचालकले वा संस्थापक वा संचालकको विरुद्धमा प्रचलित नियमको अवज्ञा वा फौज्दारी अपराध गरेको सम्बन्धमा कुनै मुद्दा दायर नभएको ।

(ग) कुनै संस्थापक वा संचालक विरुद्ध आर्थिक अपराध गरेको सम्बन्धमा कुनै मुद्दा दायर नभएको ।

५. संगठित संस्थाको शेयर कारोबार तथाप्रगतिको विश्लेषण :

(क) धितोपत्र बजारमा भएको संगठित संस्थाको शेयरको कारोबार सम्बन्धमा व्यवस्थापनको धारणा : नेपाल स्टक एक्सचेन्ज लि., नेपाल धितोपत्र बोर्डको सुपरिवेक्षणमा संचालित भएको हुनाले यस सम्बन्धमा व्यवस्थापनको कुनै धारणा नभएको ।

(ख) आ.व. २०७६/७७ मा संगठित संस्थाको शेयरको अधिकतम, न्यूनतम र अन्तिम मूल्यका साथै कुल कारोबार शेयर संख्या र कारोबार दिन ।

त्रैमास (महिना)	शेयरको अधिकतम मूल्य	शेयरको न्यूनतम मूल्य	शेयरको अन्तिम मूल्य	कुल कारोबार शेयर संख्या (हजारमा)	कुल कारोबार दिन
प्रथम त्रैमासिक (असोज मसान्त २०७६)	रु. ५२७	रु. ४२८	रु. ४४३	८०३.०७०	६३
दोस्रो त्रैमासिक (पौष मसान्त २०७६)	रु. ४५९	रु. ३७५	रु. ४०५	७३७.०७३	५९
तेश्रो त्रैमासिक (चैत्र मसान्त २०७६)	रु. ५००	रु. ३५८	रु. ३७३	२१०४.५७८	४६
चौथौ त्रैमासिक (आषाढ मसान्त २०७७)	रु. ४९४	रु. ३३५	रु. ४३१	३६९.०८४	१५

६. समस्या तथा चुनौती :

बैकिङ्ग क्षेत्रमा बढ्दो अस्वस्थ प्रतिस्पर्धा, निक्षेपको कमीले लगानी विस्तारमा संकुचन, बढ्दो मुद्रास्फीति दर, कोभिड-१९ जस्ता काबू बाहिरका परिस्थितिले गर्दा विश्वव्यापि रुपमा पर्ने प्रभाव तथा अन्तराष्ट्रिय आर्थिक तथा व्यापारिक परिदृश्यमा हुने अनपेक्षीत उतार चढावलाई बैंकले बाह्य समस्या तथा चुनौतिको रुपमा लिएको छ र मानव संशाधनमा हुने परिवर्तनलाई आन्तरिक समस्या तथा चुनौतिको रुपमा लिएको छ । साथै काबूभन्दा बाहिरका परिस्थिति बाहेक उपरोक्त चुनौति समाधान गर्न व्यवसाय विविधीकरण, ग्राहकमुखी गुणस्तरीय सेवा, मानव संशाधन विकास आदि क्षेत्रमा लगानी गर्ने रणनीति लिएको छ ।

हाल विश्वव्यापि रुपमा भईरहेको कोरोना महामारी एवं देशव्यापि लकडाउनले देशको आर्थिक क्षेत्रमा अल्पकालिन देखि दिर्घकालिन प्रभाव पर्ने देखिन्छ जसले गर्दा बैकिङ्ग क्षेत्रमा कर्जा, तरलता, सम्पत्तिको गुणस्तरजस्ता विभिन्न किसिमका जोखिम निम्त्याउने अवस्था सृजना भएको छ । यस स्थितिलाई मध्यनजर गर्दै नेपाल सरकार तथा नेपाल राष्ट्र बैंकबाट विभिन्न समयमा जारी नीति, निर्देशन तथा सुझावहरु साथै भविष्यमा जारी हुने नीति तथा निर्देशनलाई पालना गर्दै बैंकले आफ्ना ग्राहकहरुलाई व्यापार व्यवसाय संचालन गर्न आवश्यक सहयोग, सुविधा एवं सहुलियत प्रदान गर्ने नीति लिएको छ । साथै सम्भव भएसम्म खर्चमा मितव्ययीता अपनाउने नीति अख्तियार गरेको छ ।

७. संस्थागत सुशासन :

संस्थागत सुशासन अभिवृद्धिका लागि व्यवस्थापनद्वारा चालिएका कदम सम्बन्धी विवरण :

(क) संचालक समिति,कर्जा तथा जोखिम व्यवस्थापन समिति, पदपूर्ति तथा बढुवा समिति, सम्पति तथा दायित्व समिति,सम्पत्ति सुद्धिकरण नियन्त्रण समिति लगायत विभिन्न समितिहरु क्रियाशील रहेका छन् ।

(ख) आन्तरिक नियन्त्रण प्रणालीलाई व्यवस्थित गर्न आन्तरिक लेखापरिक्षकबाट नियमित रुपमा लेखापरीक्षण गराई प्रतिवेदनमा दिइएका सुझावहरु कार्यान्वयन तथा समिक्षा गर्न लेखापरीक्षण समितिको बैठक नियमित बस्ने गरेको छ ।

(ग) संचालन जोखिमहरु कम गर्न तथा कारोवारलाई व्यवस्थित गर्न विभिन्न आन्तरिक नीति, नियम तथा निर्देशिकाहरुको तर्जुमा गरि लागू गरिएको छ ।

(घ) संस्थागत सुशासन कायम गर्न आचार संहिता जारी गरी सो को अनुगमनको समेत व्यवस्था गरिनुको अलावा अनुपालना विभागबाट सो सम्बन्धमा नियमित अनुगमन गर्ने व्यवस्था समेत गरिएको छ ।

Nepal Investment Bank Ltd.

Comparison of Projected Financial Statement for debenture and Audited Financial Statements as of FY 2019/20 (2076/77)

Statement of Financial Position	As per Projected Financial Statement	As per Audited Financial Statement	Variance		Reasons for Variance
Assets			In amount	In %	
Cash and Cash Equivalent	9,754,910	7,538,029	(2,216,882)	-22.73%	due to regrouping of item under NFRS
Due from Nepal Rastra Bank	6,054,335	14,321,971	8,267,635	136.56%	due to regrouping of item under NFRS
Placements with Banks and FIs	11,296,660	7,964,992	(3,331,669)	-29.49%	due to regrouping of item under NFRS
Derivative financial instruments	40,806	133,977	93,171	228.33%	due to increase in FCY transaction
Other trading assets		-	-	0.00%	
Loans and advances to B/FIs	3,028,540	4,920,062	1,891,522	62.46%	due to increase in lending
Loans and advances to customers	142,936,883	135,082,099	(7,854,784)	-5.50%	due to decrease in lending and increase in impairment allowance
Investment Securities	21,915,292	26,078,437	4,163,145	19.00%	due to increase in investment in government bond and treasury bills
Current tax assets	182,098	715,878	533,781	293.13%	due to decrease in profit
Investments in subsidiaries	238,160	171,500	(66,660)	-27.99%	due to partial disposal of equity investment in M Nepal
Investments in associates	33,289	82,363	49,074	147.42%	due to reclassfication of investment
Investment Property	-	265,983	265,983	0.00%	due to recognition of NBA in gross value under NFRS
Property and Equipment	4,110,089	4,010,977	(99,112)	-2.41%	
Goodwill and Intangible assets	67,764	124,619	56,855	83.90%	due to purchase of additional software
Deferred tax assets		-	-	0.00%	
Other assets	1,706,666	1,613,011	(93,655)	-5.49%	
Total Assets	**201,365,493**	**203,023,897**	**1,658,404**	**0.82%**	
Capital and Liabilities					
Due to Banks and Financial Institutions	4,126,005	2,462,217	(1,663,788)	-40.32%	due to decrease in deposit of BFIs
Due to Nepal Rastra Bank	922,826	2,723	(920,103)	-99.70%	due to decrease in NRB refinance loan
Derivative Financial Instruments		-	-	0.00%	
Deposits from customers	158,381,957	166,362,126	7,980,169	5.04%	
Borrowings	-	-	-	0.00%	
Current tax liabilities	-	-	-	0.00%	
Provisions	-	-	-	0.00%	
Deferred tax liabilities	957,990	968,729	10,739	1.12%	
Other Liabilities	5,017,827	2,804,939	(2,212,888)	-44.10%	due to decrease in payables
Debt securities issued	3,250,000	3,250,000	-	0.00%	
Subordinated liabilities		-	-	0.00%	
Total Liabilities	**172,656,605**	**175,850,733**	**3,194,128**		
Equity					
Share capital	12,589,907	14,248,955	1,659,047	13.18%	due to issuance of bonus share and acquisition of Jebils Finance
Share premium	102,246	32,599	(69,647)	-68.12%	due to utilization of premium for bonus issuance
Retained earnings	3,882,263	2,622,386	(1,259,877)	-32.45%	due to decrease in profit and payment of dividend
Reserves	12,134,472	10,269,224	(1,865,248)	-15.37%	due to distribution of bonus share
Total equity attributable to equity holders	28,708,888	27,173,164	(1,535,724)	-5.35%	
Non-Controlling Interest	-				
Total Liabilities and Equity	**201,365,493**	**203,023,897**	**1,658,404**	**0.82%**	

Nepal Investment Bank Ltd.

Comparison of Projected Financial Statement for debenture and Audited Financial Statements as of FY 2019/20 (2076/77)

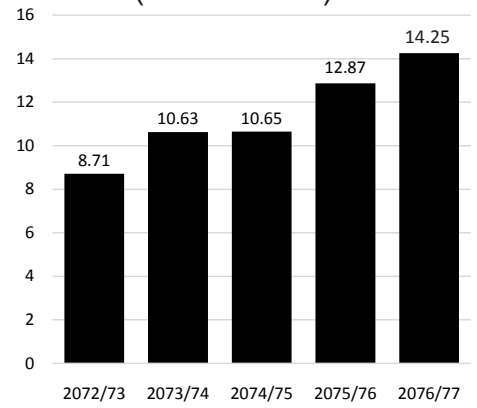
Statement of Financial Position Assets	As per Projected Financial Statement	As per Audited Financial Statement	Variance		Reasons for Variance
			In amount	In %	
Statement of Profit or Loss					
Interest income	16,896,823	15,201,326	(1,695,497)	-10.03%	
Interest expense	(9,307,032)	(9,423,657)	(116,625)	1.25%	
Net interest income	**7,589,791**	**5,777,669**	**(1,812,122)**	**-23.88%**	**due to reduction in interest spread**
Fee and commission income	1,730,003	1,513,164	(216,839)	-12.53%	
Fee and commission expense	(256,427)	(315,998)	(59,571)	23.23%	
Net fee and commission income	**1,473,575**	**1,197,165**	**(276,410)**	**-18.76%**	**due to reduction in business due to Covid 19**
Net interest, fee and commission income	**9,063,366**	**6,974,834**	**(2,088,532)**	**-23.04%**	
Net trading income	721,565	871,873	150,308	20.83%	due to increase in FCY transaction
Other operating income	275,470	230,124	(45,347)	-16.46%	due to reduction in business due to Covid 19
Total operaing income	**10,060,402**	**8,076,831**	**(1,983,571)**	**-19.72%**	
Impairment charge/(reversal) for loans and other losses	(340,740)	(1,997,245)	(1,656,505)	486.15%	due to additional impairment allowance on loans and advances because of Covid-19
Net operating income	**9,719,662**	**6,079,586**	**(3,640,076)**	**-37.45%**	
Personnel expenses	(2,001,126)	(1,442,949)	558,177	-27.89%	due to cessation of increament in staff salary and reduction in staff bonus amount
Other operating expenses	(949,651)	(862,095)	87,555	-9.22%	
Depreciation and Amortisation	(235,571)	(259,301)	(23,730)	10.07%	
Total operating expenses	**(3,186,347)**	**(2,564,346)**	**622,002**	**-19.52%**	
Operating profit	**6,533,315**	**3,515,240**	**(3,018,074)**	**-46.20%**	
Non operating income	63,801	3,317	(60,484)	-94.80%	due to decrease in recovery of written off loan
Non operating expense		(6,288)	(6,288)	100.00%	due to loan written off
Profit before tax	**6,597,116**	**3,512,270**	**(3,084,846)**	**-46.76%**	
Income tax					
Current Tax	(2,166,416)	(1,087,060)	1,079,356	-49.82%	due to decrease in profit
Deferred Tax	187,281	(2,023)	(189,305)	-101%	
Profit /(loss) for the period	**4,617,981**	**2,423,186**	**(2,194,795)**	**-47.53%**	

नेपाल इन्भेष्टमेण्ट बैंक लि.
दरबारमार्ग, काठमाण्डौं
३४ औं वार्षिक साधारण सभाबाट प्रवन्धपत्रमा संशोधन गर्न प्रस्तावित ३ महले बिवरण

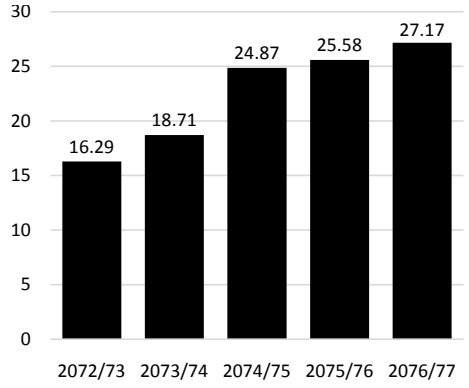
विशेष प्रस्ताव संग सम्बन्धित प्रवन्धपत्रमा संशोधन गर्न प्रस्तावित दफाहरुको विवरण			
प्रबन्ध पत्रको सम्बन्धित दफा	**हालको व्यवस्था**	**प्रस्तावित संशोधन**	**संशोधन गर्नुपर्ने कारण**
दफा ५ (क)	बैंकको अधिकृत पूँजी रु. १५,००,००,००,०००/- (अक्षरेपी पन्ध्र अर्व) हुनेछ। सो पूँजीलाई रु. १००/- का दरले १५,००,००,००० (पन्ध्र करोड) कित्ता साधारण शेयरमा विभाजित गरिएको छ।	बैंकको अधिकृत पूँजी रु. १८,००,००,००,०००/- (अक्षरेपी अठार अर्व) हुनेछ । सो पूँजीलाई रु. १००/- का दरले १८,००,००,००० (अठार करोड) कित्ता साधारण शेयरमा विभाजित गरिएको छ।	बोनस शेयर जारी गर्दा बैंकको पूँजी बृद्धि हुने र सिटी एक्सप्रेस फाइनान्स कम्पनी लिमिटेडलाई प्राप्ती गर्ने कार्य सम्पन्न भै एकिकृत कारोवार गर्दा सो को पूँजी समेत बैंकको पूँजीमा समायोजन हुने भएकोले अधिकृत पूँजी समेत वृद्धि गर्नु पर्ने भएकोले ।
दफा ५ (ख)	बैंकको जारी पूँजी रु. १४,२४,८९,५४,५००/- (अक्षरेपी रु चौध अर्व चौबिस करोड उनानब्बे लाख चौवन्न हजार पाँच सय) हुनेछ।	बैंकको जारी पूँजी रु. १६,३४,१३,१८,५८५/- (अक्षरेपी रु सोह्र अर्व चौंतीस करोड तेह्र लाख अठार हजार पाँच सय पचासी) हुनेछ । सो पूँजीलाई रु. १०० दरका १६,३४,१३,१८५.८५ (सोह्र करोड चौंतीस लाख तेह्र हजार एक सय पचासी दशमलव पचासी मात्र) थान साधारण शेयरमा विभाजन गरिएको छ।	बोनस शेयर जारी गर्दा बैंकको जारी पूँजी बृद्धि हुने र सिटी एक्सप्रेस फाइनान्स कम्पनी लिमिटेडलाई प्राप्ती गर्ने कार्य सम्पन्न भै एकिकृत कारोवार गर्दा सो को जारी पूँजी समेत बैंकको पूँजीमा समायोजन हुने भएकोले ।
दफा ५ (ग)	बैंकको जारी पूँजी रु. १४,२४,८९,५४,५००/- (अक्षरेपी रु चौध अर्व चौबिस करोड उनानब्बे लाख चौवन्न हजार पाँच सय) हुनेछ।	बैंकको चुक्ता पूँजी रु. १६,२२,१३,१८,५८५/- (अक्षरेपी रु सोह्र अर्व बाईस करोड तेह्र लाख अठार हजार पाँच सय पचासी) हुनेछ।	बोनस शेयर जारी गर्दा बैंकको चुक्ता पूँजी बृद्धि हुने र सिटी एक्सप्रेस फाइनान्स कम्पनी लिमिटेडलाई प्राप्ती गर्ने कार्य सम्पन्न भै एकिकृत कारोवार गर्दा सो को चुक्ता पूँजी समेत बैंकको पूँजीमा समायोजन हुने भएकोले ।

Major Financial Highlights

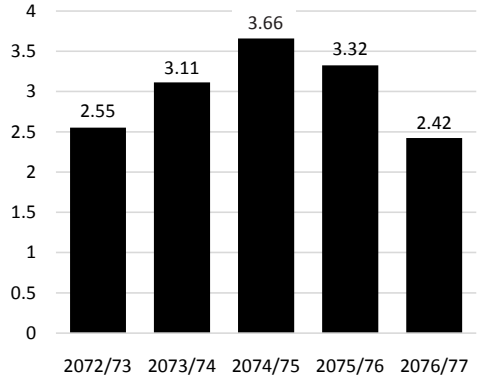
Paid up Capital
(Rs. In Billion)



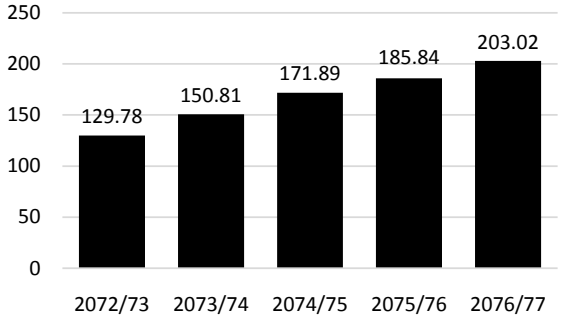
Shareholder's Fund
(Rs. In Billion)



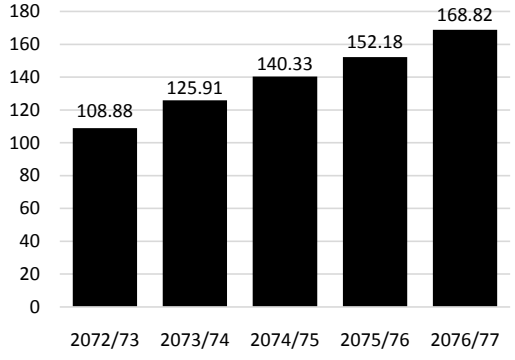
Profit After Tax
(Rs. In Billion)



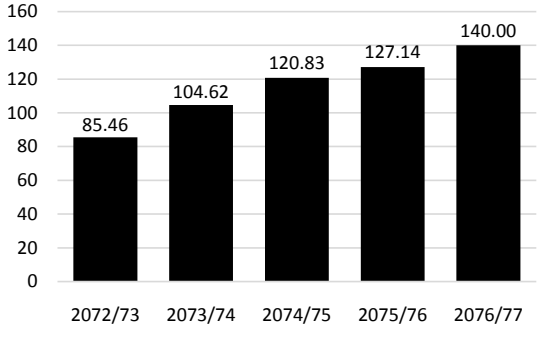
Total Assets
(Rs. In Billion)



Deposit
(Rs. In Billion)

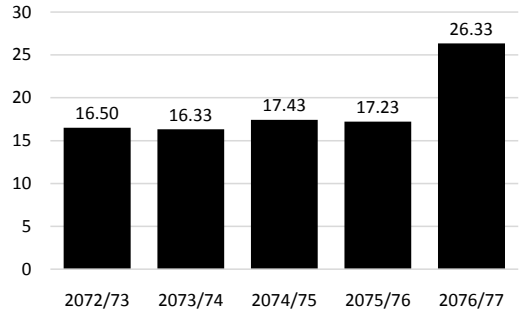


Loans and Advances (net of provision)
(Rs. In Billion)

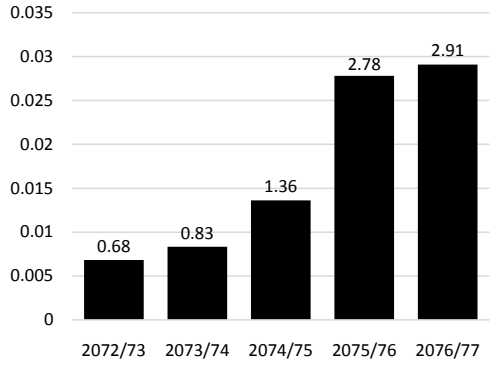


Note: Figures for FY 2072/73 and FY 2073/74 are as per previous GAAP and figures of FY 2074/75, FY 2075/76 and FY 2076/77 are as per NFRS and hence they may not be comparable.

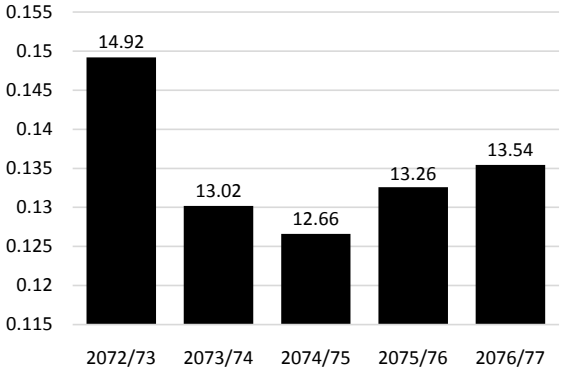
Investment
(Rs. In Billion)



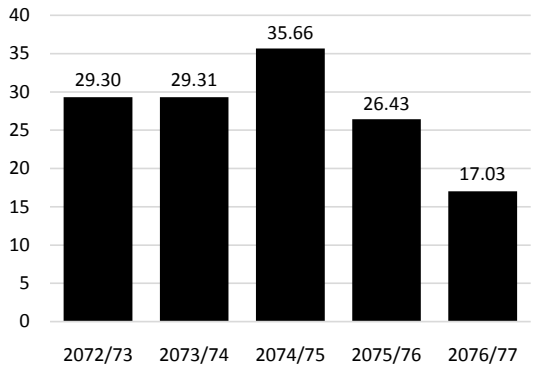
Non Performing Assets
(NPA)
(%)



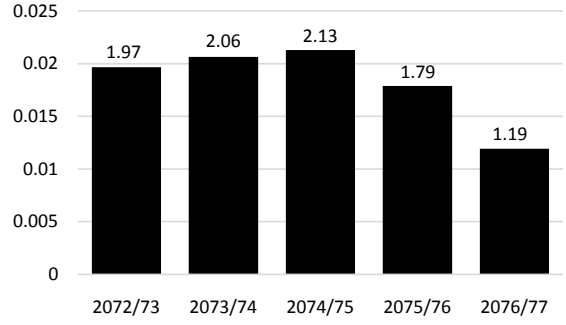
Capital Adequacy
(%)



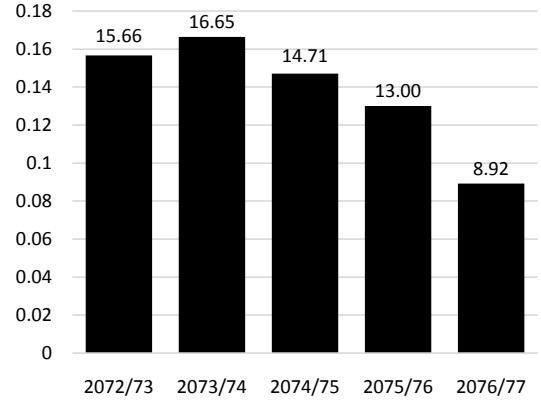
Earning Per Share (EPS)
Rs.



Return on Total Assets
(%)

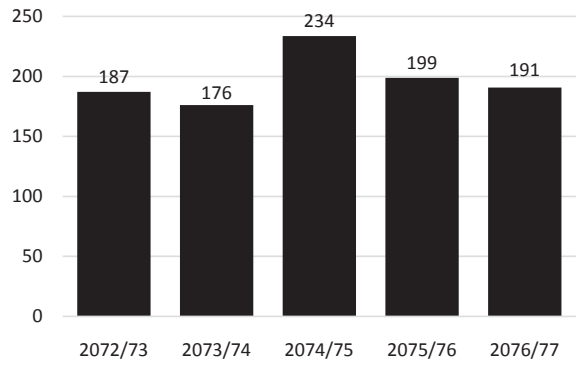


Return on Closing Equity (ROE)
(%)

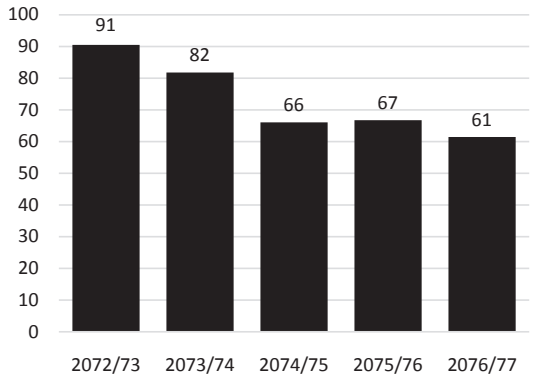


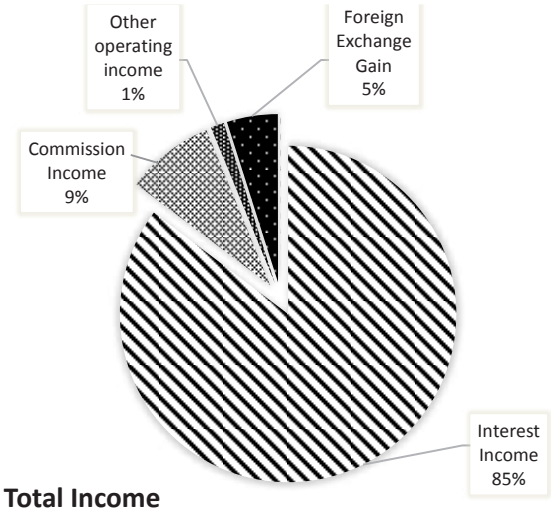
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Book Value
Rs.

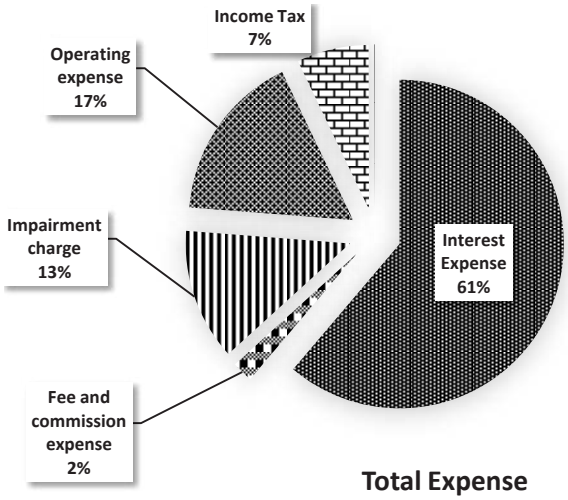


Market Capitalization
(Rs. In Billion)



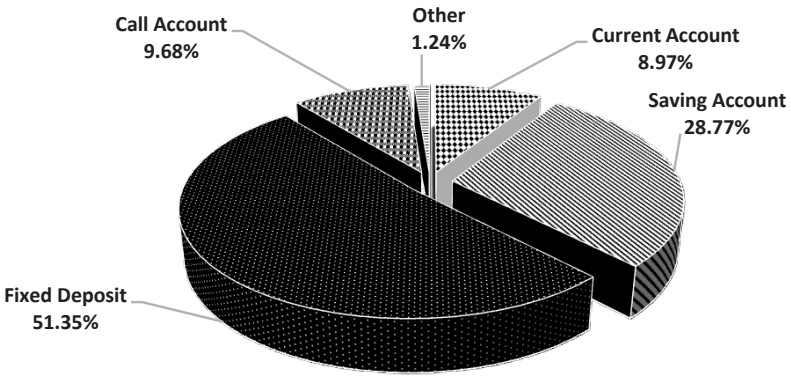


Total Income



Total Expense

Deposit Mix LCY



Note: Figures for FY 2072/73 and FY 2073/74 are as per previous GAAP and figures of FY 2074/75, FY 2075/76 and FY 2076/77 are as per NFRS and hence they may not be comparable.

दरबारमार्ग, काठमाडौं।
फोन नं.: ४४१९८०५,७
फ्याक्स नं.: ४४१०१५९
Site: www.nrb.org.np
Email: bsd@nrb.org.np
पोष्ट बक्स:७३

नेपाल राष्ट्र बैंक
बैंक सुपरिवेक्षण विभाग
पत्र सं: बै.सु.वि./अफसाइट/एजिएम/२२ /२०७७-७८

मिति : २०७७/०९/०७

नेपाल इन्भेष्टमेन्ट बैंक लिमिटेड
दरबारमार्ग , काठमाडौं।

विषय: लाभांश घोषणा/वितरण तथा वित्तीय विवरण प्रकाशन सम्वन्धमा।

महाशय,

त्यस बैंकबाट पेश गरिएका वित्तीय विवरण तथा अन्य कागजातका आधारमा बैंक तथा वित्तीय संस्था सम्बन्धी ऐन, २०७३ को दफा ४७ को उपदफा (२) का प्रावधानहरु पालना गरेको देखिएको हुँदा, सोही दफाको उपदफा (१) बमोजिम **नेपाल इन्भेष्टमेन्ट बैंक लिमिटेड**ले प्रस्ताव गरे बमोजिम नियमनकारी समायोजन पछिको सञ्चित मुनाफा रकम रु.२,६२,२३,८६,०३८।- र शेयर प्रिमियम रु.३,२५,९८,८५८।- मध्ये रु.१,८५,२३,६४,०८५।- बोनस शेयर र रु. ७८,३६,९२,४९८।- लाभांश (बोनस शेयर तथा नगद लाभांशको कर प्रयोजनका लागि समेत) गरी जम्मा रु. २,६३,६०,५६,५८३।- (अक्षरेपि रु. दुई अर्व त्रिसट्ठी करोड साठी लाख छपन्न हजार पाँच सय त्रियासी मात्र) लाभांश घोषणा एवं वितरण गर्न अन्य प्रचलित कानूनी व्यवस्थाको समेत पालना गर्ने गरी वार्षिक साधारण सभाबाट पारित भएको अवस्थामा मात्र वितरण गर्न स्वीकृति प्रदान गरिएको छ । साथै आ.व. २०७६/७७ को वार्षिक हिसाब वार्षिक साधारण सभामा स्वीकृतिको लागि पेश गर्ने प्रयोजनार्थ देहायका निर्देशनहरु सहित सार्वजनिक गर्न समेत सहमति प्रदान गरिएको व्यहोरा निर्णयानुसार जानकारी गराउँदछु ।

१ नेपाल राष्ट्र बैंकबाट जारी गरिएको एकीकृत निर्देशन नं ८ को बुंदा नं ८(४) मा भएको "घ" वर्गको लघुवित्त वित्तीय संस्थाको संस्थापक सेयरमा लगानी सम्बन्धी व्यवस्थाको पूर्ण पालना गर्नुहुन ।

२. यस बैंकबाट जारी गरिएको एकीकृत निर्देशन नं १० को बुंदा नं ७ बमोजिम इजाजतपत्र प्राप्त कुनै एक बैंक तथा वित्तीय संस्थाको संस्थापक सेयरमा लगानी गर्दा चुक्ता पुँजीको बढीमा १५ प्रतिशत र अन्य बैंक तथा वित्तीय संस्थाहरुमा चुक्तापूँजीको बढीमा १ प्रतिशतसम्म मात्र लगानी गर्न सकिने व्यवस्था रहेकोले उल्लिखित सीमाभन्दा बढी शेयर धारण गर्ने संस्थापक शेयरधनीहरु रहेमा ती संस्थापक शेयरधनीहरुलाई सो सीमा भित्र नल्याएसम्म प्रस्तावित बोनश शेयर वितरण रोक्का राख्ने व्यवस्था मिलाउन हुन ।

३. बैंक तथा वित्तीय संस्था सम्बन्धी ऐन २०७३ को दफा ११ को उपदफा (३) मा बैंकको चुक्ता पूंजीको दुई प्रतिशत भन्दा बढी शेयर धारण गरेका संस्थापकहरुले आफुले धारण गरेको शेयर बिक्री तथा धितो बन्धक राख्दा नेपाल राष्ट्र बैंकको स्वीकृति लिनु पर्ने व्यवस्था रहेकोले नेपाल राष्ट्र बैंकको स्वीकृति नलिई आफुले धारण गरेको शेयर धितो बन्धक राखी अन्य बैंक तथा वित्तीय संस्थाबाट कर्जा उपयोग गरेका संस्थापक शेयरधनीहरु रहेमा ती संस्थापक शेयरधनीहरुलाई सोको स्वीकृति नलिएसम्म वा शेयर धितो बन्धक राखी उपयोग गरेको कर्जा पूर्ण रुपमा चुक्ता गरी शेयर फुकुवा नगरेसम्म प्रस्तावित बोनस शेयर तथा नगद लाभांश वितरण रोक्का राख्ने व्यवस्था मिलाउन हुन ।

४. लेखापरीक्षण प्रतिवेदनमा उल्लेख गरिएका कैफियतहरु पूर्ण रुपले सुधार गर्न तथा त्यस्ता कैफियतहरु पुनः दोहोरिन नदिने व्यवस्था मिलाउन हुन ।

५. उपरोक्त निर्देशनलाई त्यस बैंकको वार्षिक प्रतिवेदनको छुट्टै पानामा प्रकाशित गर्नुहुन ।

भवदीय,

(पुष्प चन्द्र खनाल)
सहायक निर्देशक

बोधार्थ
१. नेपाल राष्ट्र बैंक, बैंक तथा वित्तीय संस्था नियमन विभाग ।
२. बैंक सुपरिवेक्षण विभाग, प्रतिवेदन कार्यान्वयन इकाई, **नेपाल इन्भेष्टमेन्ट बैंक लिमिटेड** ।

बैंकको आर्थिक वर्ष २०७६/७७ को वार्षिक हरहिसाब स्वीकृतिको क्रममा
नेपाल राष्ट्र बैंकबाट
दिइएको निर्देशनउपर व्यवस्थापनको जवाफ

१. "घ" वर्गको लघुवित्त संस्थाको संस्थापक शेयरमा भएको अधिक लगानी सिमा भित्र ल्याइनेछ ।

२. निर्देशनमा उल्लिखित भए बमोजिम संस्थापक शेयरमा लगानी नरहेको तथापि सो मुताबिक हुन गएमा प्रस्तावित बोनस शेयर रोक्का गर्ने व्यवस्था मिलाइएको छ ।

३. निर्देशनमा उल्लेखीत भए बमोजिम शेयर धितो बन्धक नराखिएको तथापि सो मुताबिक हुन गएमा प्रस्तावित नगद लाभांश र बोनस शेयर रोक्का गर्ने व्यवस्था मिलाइएको छ ।

४. लेखापरीक्षण प्रतिवेदनमा उल्लेख गरिएका कैफियतहरु पूर्ण रुपले सुधार गर्न तथा पुनः नदोहरिन आवश्यक व्यवस्था मिलाइएको छ ।

सहायक कम्पनी सम्बन्धि विवरणहरु
Financial Statements of Subsidiary

SUNDAR & CO.
Chartered Accountants
Pulchowk (Machagaa)
Lalitpur 20/8 Gha
P.O.B 3102 Kathmandu, Nepal
Phone # (977-1) 5521804/5529942
Fax : 977-1-5524804
Email: sundarmans@gmail.com

INDEPENDENT AUDITOR'S REPORT
TO THE MEMBERS OF NIBL ACE CAPITAL LIMITED

Opinion on the Financial Statements

We have audited the accompanying financial statements of NIBL Ace Capital Limited ("the Company") which comprise the statement of financial position (Balance Sheet) as at Ashadh 31, 2077 corresponding to July 15, 2020, the statement of Profit or Loss, the statement of other comprehensive income, the statement of changes in equity and the statement of cash flows for the year then ended, and a summary of significant accounting policies and other explanatory information.

In our opinion and to the best of our information and according to the explanations given to us, the financial statements referred to above present fairly, in all material respects, the financial position of the Company as of Ashadh 31, 2077 (July 15, 2020), and its performances, changes in equity and its cash flows for the year ended on that date in conformity with Nepal Financial Reporting Standards (NFRS)

Basis of Opinion

We conducted our audit in accordance with Nepal Standards on Auditing (NSAs). Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of our report. We are independent of the Company in accordance with the ethical requirement that are relevant to our audit of the financial statements, and we have fulfilled our other ethical responsibilities in accordance with these requirements. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Responsibility of Management and Those Charged with Governance for the Financial Statements

Management is responsible for the preparation and fair presentation of these financial statements in accordance with the Nepal Financial Reporting Standards (NFRS), and for such internal control as management determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error

In preparing the financial statements, the management is responsible for assessing the Company's ability to continue as a going concern, disclosing as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Company or to cease operations, or has no realistic alternative but to do so.

The Board of Directors is responsible for overseeing the Company's financial reporting process.

Auditor's Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with NSAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.



Report on Other Legal and Regulatory Requirements (Company Act)
On examination of the financial statements as aforesaid, we report that:

a. We have obtained all information and explanations asked for, which to the best of our knowledge and belief were necessary for the purpose of our audit

b. In our opinion, proper books of account as required by law have been kept by the company, in so far as appears from our examination of those books of account and the financial statements dealt with by this report are in agreement with the books of accounts.

c. In our opinion and to the best of our information and according to the explanations given to us and from our examination of the books of account of the company, we have not come across the cases where the Board of Directors or any member thereof or any employee of the company has acted deliberately contrary to the provisions of the law relating to accounts or caused loss or damage to the company.

For Sundar & Co.,
Chartered Accountants
UDIN # 200923CA000058RIpQ

Sundar Man Shrestha, FCA
Partner
ICAN Membership Number: 005
Kathmandu

SUNDAR & Co. Auditors Chartered Accountants

Date: 2077-06-07

NIBL ACE CAPITAL

Statement of Financial Position

As on Ashad 31, 2077 (Corresponding to 15 July 2020)

'Amount in Rs'

Particulars	Notes	As at 15 July 2020	As at 16 July 2019
STOCKHOLDERS' EQUITY:			
Paid up capital	7	270,000,000	270,000,000
Retained Earnings	8	92,291,744	90,866,819
Reserves		6,666,329	
Total Stockholders' Equity		**368,958,073**	**360,866,819**
NON CURRENT LIABILITIES			
Deferred Tax Liability	6.3	-	-
Employment Benefits		1,157,435	1,154,339
Total Non-Current Liabilities		**1,157,435**	**1,154,339**
CURRENT LIABILITIES			
Trade and Other Payables	10.1	909,070,059	829,987,180
Other Current Liabilities	10.2	22,849,943	16,611,346
Provisions	19	2,496,961	2,279,375
Current Tax Liabilities	6.2	652,034	-
Total Current Liabilities		**935,068,997**	**848,877,901**
Total Liabilities and Stockholders' Equity		**1,305,184,505**	**1,210,899,059**
NON-CURRENT ASSETS			
Property, plant and equipment	11	19,171,280	26,445,135
Intangible Assets	12	1,486,710	1,890,556
Investments	14	15,829,079	12,862,410
Staff Loan		11,572,232	10,167,660
Total Non-Current Assets		**48,059,301**	**51,365,761**
CURRENT ASSETS			
Investments	14	877,278,628	535,068,854
Trade Receivables, advances and deposits	16.1	41,928,983	37,980,673
Current Tax Assets	6.2	-	6,456,574
Deferred Tax Asset	6.3	7,167,759	7,647,063
Cash and cash equivalents	16.2	330,749,834	572,380,134
Total Current Assets		**1,257,125,204**	**1,159,533,298**
Total Assets		**1,305,184,505**	**1,210,899,059**
Contingent Liabilities	**17**		

Sachin Tibrewal
Chairman

Deepak Kumar Shrestha
Director

Bandana Thapa
Director

Rabindra Bhattarai
Independent Director

Shivanth B. Pande
CEO

Mekh Bahadur Thapa
DCEO

Sachindra Dhungana
AGM

Anup Shakya
Head - GSD

As per our report of even date,

FCA Sundar Man Shrestha
Senior Partner
Sundar & Co.
Chartered Accountants

Date: 4 Ashwin 2077 (September 20, 2020)

NIBL ACE CAPITAL

Statement of Profit or Loss

For the Year Ended Ashad 31, 2077 (Corresponding to 15 July 2020)

'Amount in Rs'

Particulars	Notes	As at 15 July 2020	As at 16 July 2019
Revenue:			
Revenue from operation	3.1	81,585,979	103,936,010
Other income	3.2	91,333,208	84,203,337
Net changes in gain/(losses) on financial assets and liabilities at FVTPL	14.1	3,267,337	25,610
Total revenue		**176,186,524**	**188,164,957**
Expenses:			
Operating Expenses	4	10,482,001	18,009,113
General and Administrative Expenses	5	67,080,995	69,544,721
Depreciation and Amortization	11 & 12	8,757,198	9,081,396
Total expenses		**86,320,194**	**96,635,230**
Income before income taxes		**89,866,330**	**91,529,727**
Tax expense /(income)	6.1	26,530,315	29,347,418
Profit for the year		63,336,015	62,182,309

Sachin Tibrewal
Chairman

Deepak Kumar Shrestha
Director

Bandana Thapa
Director

Rabindra Bhattarai
Independent Director

Shivanth B. Pande
CEO

Mekh Bahadur Thapa
DCEO

Sachindra Dhungana
AGM

Anup Shakya
Head - GSD

As per our report of even date,

FCA Sundar Man Shrestha
Senior Partner
Sundar & Co.
Chartered Accountants

Date: 4 Ashwin 2077 (September 20, 2020)

NIBL ACE CAPITAL

Statement of Other Comprehensive Income

For the Year Ended Ashad 31, 2077 (Corresponding to 15 July 2020)

'Amount in Rs'

Particulars	As at 15 July 2020	As at 16 July 2019
Profit for the year	**63,336,015**	**62,182,309**
Gains /(losses) on re-measuring available for sale financial assets	(1,778,230)	(14,626,590)
Gain/(loss) on Actuarial valuation of defined benefit liability	-;	-
Total Other Comprehensive income/(Loss) - A	**(1,778,230)**	**(14,626,590)**
Income tax income /(expense) relating to components of other comprehensive income - B	533,468	4,387,977
Other Comprehensive income /(loss) for the year, net of income tax (A-B)	**(1,244,762)**	**(10,238,613)**
Total comprehensive income for the year	**62,091,253**	**51,943,696**

Sachin Tibrewal Chairman	**Deepak Kumar Shrestha** Director	**Bandana Thapa** Director	**Rabindra Bhattarai** Independent Director
Shivanth B. Pande CEO	**Mekh Bahadur Thapa** DCEO	**Sachindra Dhungana** AGM	**Anup Shakya** Head - GSD

As per our report of even date,

FCA Sundar Man Shrestha
Senior Partner
Sundar & Co.
Chartered Accountants

Date: 4 Ashwin 2077 (September 20, 2020)

NIBL ACE CAPITAL

Statement of Cash Flow

For the Year Ended Ashad 31, 2077 (Corresponding to 15 July 2020)

'Amount in Rs'

Particulars	FY 2019.20 (Rs)	FY 2018.19 (Rs)
A. Cash Flows From Operating Activities:		
Cash Inflows	**163,299,347**	**181,595,301**
Interest Income	81,965,232	77,675,475
Issue and Sales Management & Underwriting Fee	9,152,866	17,475,030
Advisory Income	170,500	1,515,499
Share Registrar	6,180,267	6,388,622
Portfolio Management	5,445,401	3,725,373
Fund Management Fee	28,238,900	27,257,144
MF Depository	8,527,534	8,198,324
DP Income	18,070,760	21,503,654
Income from Investment	1,198,872	8,420,055
Other Income	4,349,015	9,436,125
Cash Outflows	**95,377,350**	**105,370,365**
SEBON Fee	4,411,845	4,152,051
CDS Fee	2,108,210	3,806,421
DP Commission Expense	941,474	600,092
Staff Expenses	50,173,469	48,635,247
Office and other Overhead Expenses	19,333,419	29,654,847
Income Tax Paid	18,408,933	18,521,708
Cash Flow Before Changes in Working Capital	**67,921,997**	**76,224,936**
(Increase)/Decrease in Current Assets	**(342,517,010)**	**(237,221,783)**
(Increase)/Decrease in Short Term Investments	(341,355,517)	(234,816,426)
(Increase)/Decrease in Other Assets	(1,161,494)	(2,405,357)
Increase/(Decrease) in Liabilities	**88,044,211**	**(1,362,391,113)**
Increase/(Decrease) in Other Liabilities	88,044,211	(1,362,391,113)
Increase/(Decrease) in Sundry Creditors	-	-
Net Cash Flows from Operating Activities	**(186,550,803)**	**(1,523,387,960)**
B. Cash Flows from Investing Activities:	**(1,079,498)**	**(6,117,402)**
Purchase of Fixed Assets	(7,813,546)	(6,667,402)
Proceeds from disposal of Fixed Assets	6,734,048	550,000
C. Cash Flows from Financing Activities:	**(54,000,000)**	**(40,500,000)**
Increase/(Decrease) in Share Capital	-	-
Dividend Paid	(54,000,000)	(40,500,000)
Current Year's Cash Flow from All Activities	**(241,630,300)**	**(1,570,005,362)**
Opening Balance of Cash and Bank Balance	**572,380,134**	**2,142,385,496**
Closing Balance of Cash and Bank Balance	**330,749,834**	**572,380,134**

Sachin Tibrewal
Chairman

Deepak Kumar Shrestha
Director

Bandana Thapa
Director

Rabindra Bhattarai
Independent Director

Shivanth B. Pande
CEO

Mekh Bahadur Thapa
DCEO

Sachindra Dhungana
AGM

Anup Shakya
Head - GSD

As per our report of even date,

FCA Sundar Man Shrestha
Senior Partner
Sundar & Co.
Chartered Accountants

Date: 4 Ashwin 2077 (September 20, 2020)

Statements of Changes in Shareholders' Equity

For the Year Ended Ashad 31, 2077 (Corresponding to 15 July 2020)

'Amount in Rs'

Particulars	Share Capital	Accumulated Other Comprehensive Income/(Losses)				CSR Fund	General Reserve	Retained Earnings	Total Equity
		Net unrealized gain (loss) on available-for-sale investments	Net actuarial gain (loss) on defined benefit plans	Other	Total Accumulated Other Comprehensive Income (Loss)				
Balance as at 16 July 2019	**270,000,000**	**(10,238,613)**	**-**	**-**	**(10,238,613)**	**-**	**-**	**101,105,433**	**360,866,819**
Profit for the year	-	-	-	-	-	-	-	63,336,015	63,336,015
Other comprehensive (loss) income	-	(1,244,761)	-	-	(1,244,761)	-	-	-	(1,244,761)
Dividends (Distributed)/ Recapitalized	-	-	-	-	-	-	-	(54,000,000)	(54,000,000)
Shares issued for dividend reinvestment plan	-	-	-	-	-	-	-	-	-
Transfer of net actuarial loss on defined benefit plans	-	-	-	-	-	-	-	-	-
Transfer to General Reserve	-	-	-	-	-	-	6,333,601	(6,333,601)	-
Transfer to CSR Fund (Net)	-	-	-	-	-	332,727	-	(332,727)	-
Addition through Business Combination	-	-	-	-	-	-	-	-	-
Balance as at 15 July 2020	**270,000,000**	**(11,483,375)**	**-**	**-**	**(11,483,375)**	**332,727**	**6,333,601**	**103,775,118**	**368,958,073**

Date: 4 Ashwin 2077 (September 20, 2020)

MANAGEMENT TEAM

Mr. Jyoti Prakash Pandey	Chief Executive Officer	
Mr. Bijendra Suwal	Deputy General Manager	Executive Operating Officer
Mr. Rabin Sijapati	Deputy General Manager	Executive Credit Officer
Mr. Deepak Shrestha	Asst. General Manager	Head of Legal & Recovery
Mr. Sachin Tibrewal	Asst. General Manager	Head of Accounts & Finance
Ms. Sujata Joshi	Asst. General Manager	Head of Risk Management

DEPARTMENT HEADS

Ms. Nikita Maskey	Credit Administration
Mr. Ujwol Manandhar	Information Technology
Ms. Srijana Pandey	Corporate Banking
Ms. Bandana Thapa	Compliance
Mr. Deepak Kumar Shrestha	Trade Finance
Ms. Shobha Shrestha	Deposit Marketing
Mr. Tul Jung Pandey	Reconciliation
Mr. Sanjeev Jung Karki	Cash & Customer Service
Ms. Reena Chand	Card
Mr. Shekhar Thapa	Branch Coordination
Mr. Amir Bhattarai	Internal Audit
Ms. Dina Lama	Human Resource
Ms. Usha Pandey	General Service
Mr. Santosh Ghimire	Treasury
Mr. Sunil Shah	Research and Development
Mr. Atmaram Koirala	Loan Operation

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Mr. Sushil Shrestha	Province 2
Mr. Barun Shrestha	Bagmati Province
Mr. Bibhu Shrestha	Gandaki Province
Mr. Ram Raj Upadhyaya	Lumbini Province
Mr. Suraj Jung Thapa	Karnali Province
Mr. Alok Mishra	Sudurpaschim Province

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7. PASHUPATI Pashupati Temple, Kathmandu	**8. CHUNIKHEL** Budhanilkantha Municipality-13, Budhanilkantha, Kathmandu	**9. BABAI** Bansgadhi-1, Chepang Babai, Bardia
10. KATHMANDU UNIVERSITY Hattiban, Lalitpur	**11. KATHMANDU MEDICAL COLLEGE** Sinamangal, Kathmandu	**12. KHARIKHOLA** Khumbu Pasang Lhamu Rural Municipality-1, Kharikhola, Solukhumbu
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	19.SUKULDHOKA Bhaktapur Municipality- 05, Sukuldhoka, Bhaktapur Tel: 6620280	

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